

In the opinion of Norton Rose Fulbright US LLP, Los Angeles, California, Bond Counsel, under existing statutes, regulations, rulings and court decisions, and subject to the matters described in "TAX MATTERS – Tax-Exempt Bonds" herein, interest on the Bonds (excluding the Series D Bond maturing on February 1, 2022) is excluded pursuant to section 103(a) of the Internal Revenue Code of 1986 from the gross income for the owners thereof for federal income tax purposes and is not included in computing the federal alternative minimum taxable income of the owners thereof. Interest on the Series D Bond maturing on February 1, 2022 (the "Federally Taxable Bonds") will be included in gross income for federal income purposes. See "TAX MATTERS – Taxable Bonds" herein. In the opinion of Bond Counsel, under existing law, interest on the Bonds is exempt from personal income taxes of the State of California.



\$257,620,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)

\$73,620,000
Election of 2008
General Obligation Bonds
Series 2021F

\$184,000,000
Election of 2016
General Obligation Bonds
Series 2021D

Dated: Date of Delivery**Due: August 1, as shown on inside cover.**

The Southwestern Community College District (the "District") Election of 2008, General Obligation Bonds, Series 2021F (the "Series F Bonds" or the "Proposition R Bonds") were authorized at an election of the registered voters of the District held on November 4, 2008, at which the requisite 55% or more of the persons voting on the bond proposition ("Proposition R") voted to authorize the issuance and sale of \$389 million principal amount of general obligation bonds of the District (the "2008 Election"). The Series F Bonds are the sixth and final issuance of general obligation bonds of the District authorized at the 2008 Election.

The District's Election of 2016, General Obligation Bonds, Series 2021D (the "Series D Bonds" or the "Proposition Z Bonds") were authorized at an election of the registered voters of the District held on November 8, 2016, at which the requisite 55% or more of the persons voting on the bond proposition ("Proposition Z") voted to authorize the issuance and sale of \$400 million principal amount of general obligation bonds of the District (the "2016 Election"). The Series D Bonds are the fourth and final issuance of general obligation bonds of the District authorized at the 2016 Election.

The Proposition R Bonds and the Proposition Z Bonds (together, the "Bonds") are being issued under the laws of the State of California (the "State") and pursuant to a resolution of the Governing Board of the District, adopted on September 14, 2021. The Bonds are dated the date of delivery. The Bonds will mature on the dates and in the amounts and bear interest at the rates shown on the inside cover herein. The Bonds will be issued in denominations of \$5,000 principal amount or integral multiples thereof, and are payable as to principal amount or redemption price at the office of the San Diego County Treasurer-Tax Collector (the "Paying Agent"). The Bonds will be issued as current interest bonds. Interest on the Bonds is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2022; except, however, principal of and interest on the Federally Taxable Bonds is payable upon maturity on February 1, 2022.

The Bonds are issued in fully registered form and, when delivered, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository of the Bonds as described herein under the caption "THE BONDS – Book-Entry Only System."

The Bonds are subject to redemption prior to maturity as described herein. See "THE BONDS – Optional Redemption" and "– Mandatory Sinking Fund Redemption" herein.

The Bonds are general obligations of the District, secured and payable solely from *ad valorem* property taxes collected against taxable properties within the boundaries of the District. The Bonds are general obligations of the District only and are not obligations of San Diego County, the State of California or any of its other political subdivisions. The San Diego County Board of Supervisors has the power and is obligated to levy and collect *ad valorem* property taxes for each fiscal year upon the taxable property of the District in an amount at least sufficient, together with other moneys available for such purpose, to pay the principal of, and premium, if any, and interest on each Bond as the same becomes due and payable.

MATURITY SCHEDULE
 On Inside Cover

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

The Bonds will be offered when, as and if issued and received by the Underwriter subject to the approval of legality by Norton Rose Fulbright US LLP, Los Angeles, Bond Counsel, and certain other conditions. Norton Rose Fulbright US LLP, Los Angeles is also acting as Disclosure Counsel for the issue. Certain legal matters will be passed upon for the Underwriter by its counsel, Nixon Peabody LLP, Los Angeles, California. It is anticipated that the Bonds will be available through the facilities of DTC on or about November 10, 2021.

MORGAN STANLEY**RBC CAPITAL MARKETS****MISCHLER FINANCIAL GROUP, INC.**

MATURITY SCHEDULES

\$73,620,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
Election of 2008
General Obligation Bonds
Series 2021F

\$20,050,000 Serial Bonds

Maturity Date <u>(August 1)</u>	Principal <u>Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	CUSIP[†] <u>(845389)</u>
2023	\$810,000	4.000%	0.180%	NF8
2024	640,000	1.000	0.240	NG6
2025	655,000	4.000	0.370	NH4
2026	725,000	4.000	0.500	NJ0
2027	795,000	4.000	0.660	NK7
2028	865,000	4.000	0.830	NL5
2029	950,000	4.000	0.970	NM3
2030	1,025,000	4.000	1.080	NN1
2031	1,110,000	4.000	1.150	NP6
2032	1,195,000	4.000	1.280 ^C	NQ4
2033	1,290,000	4.000	1.380 ^C	NR2
2034	1,390,000	4.000	1.480 ^C	NS0
2035	1,485,000	4.000	1.560 ^C	NT8
2036	1,595,000	4.000	1.640 ^C	NU5
2037	1,705,000	4.000	1.720 ^C	NV3
2038	1,830,000	4.000	1.750 ^C	NW1
2039	1,985,000	4.000	1.780 ^C	NX9

\$53,570,000 – 2.500% Term Bonds due August 1, 2046 – Yield 2.680% CUSIP[†] 845389 NY7

^C Yield to optional redemption at par on August 1, 2031.

[†] CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein are provided by CUSIP Global Services, managed by S&P Global Market Intelligence on behalf of the American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services. Neither the District nor the Underwriters take any responsibility for the accuracy of the CUSIP numbers, which are being provided for reference only. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

MATURITY SCHEDULES

\$184,000,000

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT (San Diego County, California) Election of 2016, General Obligation Bonds Series 2021D

\$110,390,000 Serial Bonds

Maturity Date Federally Taxable (February 1)	Principal Amount	Interest Rate	Yield	CUSIP[†] (845389)
2022	\$8,630,000	0.150%	0.150%	NZ4
Tax-Exempt (August 1)				
2023	\$6,725,000	4.000%	0.180%	PA7
2024	7,040,000	4.000	0.240	PB5
2025	1,230,000	4.000	0.370	PC3
2026	1,565,000	4.000	0.500	PD1
2027	1,925,000	4.000	0.660	PE9
2028	2,310,000	4.000	0.830	PF6
2029	2,725,000	4.000	0.970	PG4
2030	3,170,000	4.000	1.080	PH2
2031	3,645,000	4.000	1.150	PJ8
2032	4,150,000	4.000	1.280 ^C	PK5
2033	4,690,000	4.000	1.380 ^C	PL3
2034	5,270,000	4.000	1.480 ^C	PM1
2035	5,885,000	4.000	1.560 ^C	PN9
2036	6,545,000	4.000	1.640 ^C	PP4
2037	7,250,000	4.000	1.720 ^C	PQ2
2038	7,995,000	3.000	2.170 ^C	PR0
2039	8,715,000	3.000	2.220 ^C	PS8
2040	9,465,000	3.000	2.280 ^C	PT6
2041	11,460,000	3.000	2.300 ^C	PU3

\$73,610,000 – 4.000% Term Bonds due August 1, 2046 – Yield 2.080%^C CUSIP[†] 845389 PV1

^C Yield to optional redemption at par on August 1, 2031.

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No dealer, broker, salesperson or other person has been authorized by the Southwestern Community College District (the "District") to provide any information or to make any representations other than as contained herein and, if given or made, such other information or representation must not be relied upon as having been authorized by this Official Statement. This Official Statement does not constitute an offer to sell, a solicitation of an offer to buy, nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

The District maintains a website and certain social media accounts. However, the information presented therein is not part of this Official Statement and should not be relied upon in making investment decisions with respect to the Bonds. The references to internet websites in this Official Statement are shown for reference and convenience only; unless explicitly stated to the contrary, the information contained within the websites is not incorporated herein by reference and does not constitute part of this Official Statement.

The information set forth herein has been obtained from official sources which are believed to be reliable. The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. Although certain information set forth in this Official Statement has been provided by San Diego County, San Diego County has not approved this Official Statement and is not responsible for the accuracy or completeness of the statements contained in this Official Statement except for the information set forth under the caption "THE SAN DIEGO COUNTY INVESTMENT POOL" herein.

The Underwriters have provided the following sentence for inclusion in this Official Statement. "The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibility to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or the completeness of such information."

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly described herein, are intended solely as such and are not to be construed as a representation of facts.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITERS MAY OVER ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITERS MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS, INSTITUTIONAL INVESTORS, BANKS OR OTHERS AT PRICES LOWER OR HIGHER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITERS.

Certain statements included or incorporated by reference in this Official Statement constitute "forward-looking statements" within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended (the "Exchange Act"), and Section 27A of the United States Securities Act of 1933, as amended (the "Securities Act"). Such statements are generally identifiable by the terminology used such as "plan," "expect," "estimate," "budget" or other similar words.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THOSE FORWARD-LOOKING STATEMENTS IF OR WHEN ITS EXPECTATIONS, OR EVENTS, CONDITIONS OR CIRCUMSTANCES ON WHICH SUCH STATEMENTS ARE BASED OCCUR.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
San Diego County, State of California

Governing Board

Leticia Cazares, President, Seat 4
Roberto Alcantar, Vice President, Seat 3
Griselda A. Delgado, Member, Seat 1
Don Dumas, Member, Seat 2
Kirin Macapugay, Member, Seat 5

District Administrators

Dr. Mark Sanchez, Superintendent/President
Dr. Kelly Hall, Assistant Superintendent/Vice President for Business and Financial Affairs
Dr. Minou Djawdan Spradley, Assistant Superintendent/Vice President for Academic Affairs
Janene McIntyre, Assistant Superintendent/ Vice President for Human Resources
Dr. Tina King, Assistant Superintendent/Vice President for Student Affairs

Municipal Advisor

KNN Public Finance, LLC
Berkeley, California

Bond Counsel and Disclosure Counsel

Norton Rose Fulbright US LLP
Los Angeles, California

Paying Agent

San Diego County Treasurer-Tax Collector
San Diego, California

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\$257,620,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)

\$73,620,000
Election of 2008
General Obligation Bonds
Series 2021F

\$184,000,000
Election of 2016
General Obligation Bonds
Series 2021D

INTRODUCTION

This Official Statement, which includes the cover, inside cover pages and appendices hereto is provided to furnish information in connection with the sale of the Southwestern Community College District (the “District”): (i) \$73,620,000 aggregate principal amount of Election of 2008, General Obligation Bonds, Series 2021F (the “Series F Bonds” or the “Proposition R Bonds”); and (ii) \$184,000,000 aggregate principal amount of Election of 2016, General Obligation Bonds, Series 2021D (the “Series D Bonds” or the “Proposition Z Bonds”). The Proposition R Bonds and the Proposition Z Bonds are together referred to as the “Bonds.” The Bonds (excluding the Series D Bond maturing on February 1, 2022) will also be referred to as the “Tax-Exempt Bonds.” The Series D Bond maturing on February 1, 2022 will also be referred to as the “Federally Taxable Bonds.” The Bonds are being issued pursuant to certain provisions of the California Education Code, the California Government Code, the California Constitution and other applicable laws and regulations of the State, and pursuant to a resolution adopted by the Governing Board of the District (the “Governing Board”) on September 14, 2021. See “THE BONDS – Authority for Issuance and Security for the Bonds” herein.

The proceeds of the Bonds will be used to (i) finance the acquisition, construction and modernization and equipping of District sites and facilities, (ii) pay a portion of the debt service on the Bonds and (iii) pay certain costs of issuance associated therewith. See “PLAN OF FINANCE.”

The Southwestern Community College District, a community college district of the State of California (the “State”), was established in 1961. The District is located in San Diego County (the “County”). The District serves approximately 30,250 students. The District operates one campus, Southwestern College in Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa, along with the Crown Cove Aquatic Center. The District’s territory encompasses approximately 162 square miles. Southwestern College (the “College”) is fully accredited by the Accrediting Commission for Community and Junior Colleges (the “ACCJC”). The District is governed by the Governing Board, consisting of 5 voting members elected at-large by the voters of the District. Each member of the Governing Board is elected to a four-year term. Regular elections for positions to the Governing Board are held every two years, alternating between two and three available positions. The members of the District Governing Board elect a board president (the “President”) each year. The management and policies of the District are administered by its Superintendent/President (the “Superintendent/President”) who is appointed by the Governing Board and is responsible for the day-to-day affairs of the District. Dr. Mark Sanchez is serving as the Superintendent/President of the District.

Additional information related to the District is provided in Appendices A and C hereto. See APPENDIX A - “FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT” and APPENDIX C - “AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020” attached hereto. General information regarding the City of Chula Vista and San Diego County is provided in Appendix G hereto. See APPENDIX G - “GENERAL INFORMATION REGARDING THE CITY OF CHULA VISTA AND SAN DIEGO COUNTY” attached hereto.

THE BONDS

Authority for Issuance and Security for the Bonds

The Series F Bonds are being issued pursuant to an authorization obtained at the November 4, 2008 election (the “2008 Election”) conducted within the District, at which the requisite 55% or more of the persons voting on ‘Proposition R’ voted to authorize the issuance and sale of \$389,000,000 aggregate principal amount of general obligation bonds of the District (the “2008 Authorization”). Proceeds from the Series F Bonds are to be used for construction, reconstruction and/or rehabilitation of facilities, including the furnishing and equipping of its facilities. The Series F Bonds represent the sixth and final series of bonds issued under the 2008 Authorization.

The Series D Bonds are being issued pursuant to an authorization obtained at the November 8, 2016 election (the “2016 Election”) conducted within the District, at which the requisite 55% or more of the persons voting on ‘Proposition Z’ voted to authorize the issuance and sale of \$400,000,000 aggregate principal amount of general obligation bonds of the District (the “2016 Authorization and, together with the 2008 Authorization, the “Authorizations”). Proceeds from the Series D Bonds are to be used for construction, reconstruction and/or rehabilitation of facilities, including the furnishing and equipping of its facilities. The Series D Bonds represent the fourth and final series of bonds issued under the 2016 Authorization.

The Bonds are being issued by the District pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California (the “Act”), commencing with Section 53506 *et seq.*, as amended, Article XIII A of the California Constitution, other applicable laws and regulations of the State, pursuant to a resolution adopted by the Governing Board on September 14, 2021 relating to the Bonds (the “District Resolution”) and the respective Authorizations.

Description of the Bonds

The Bonds shall be issued in fully registered form, in denominations of \$5,000 or any integral multiple thereof and shall be dated and shall mature on the dates, in the years and in the principal amounts, and interest shall be computed at the rates, set forth on the inside covers of this Official Statement and in the respective Bond Purchase Contract. Interest on each Bond shall accrue from its dated date as set forth in the respective Bond Purchase Contract and as indicated on the inside covers of this Official Statement. Interest on the Bonds shall be computed using a year of 360 days comprised of twelve 30-day months and shall be payable on each Interest Payment Date to the Owner thereof appearing on the Bond Register as of the close of business on the fifteenth calendar day of the month next preceding an Interest Payment Date (the “Record Date”). Interest on each Bond will be payable from the Interest Payment Date next preceding the date of registration thereof, unless it is registered after the close of business on any Record Date and before the close of business on the immediately following Interest Payment Date, in which event interest thereon shall be payable on the following Interest Payment Date; or it is registered prior to the close of business on the first Record Date, in which event interest shall be payable from its dated date; *provided, however*, that if at the time of registration of any Bond, interest thereon is in default, interest with respect thereto shall be payable from the Interest Payment Date to which interest has previously been paid or made available for payment. Payments of interest on the Bonds will be made on each Interest Payment Date by check or draft of the Paying Agent sent by first-class mail, postage prepaid, to the Owner thereof appearing on the Bond Register on the Record Date, or by wire transfer to any Owner of \$1,000,000 aggregate principal amount or more of such Bonds, to the account specified by such Owner in a written request delivered to the Paying Agent on or prior to the Record Date for such Interest Payment Date; *provided, however*, that payments of defaulted interest shall be payable to the person whose name such Bond is registered at the close of business on a special record date fixed therefor by the Paying Agent which shall

not be more than fifteen days and not less than ten days prior to the date of the proposed payment of defaulted interest. The interest on the Bonds will be payable in lawful money of the United States of America to the person whose name appears on the bond registration books of the Paying Agent as of the Record Date, whether or not such day is a business day, such interest to be paid by check, draft, or wire transfer on such Interest Payment Date to such bank and account number as the registered Owner may have filed with the Paying Agent for that purpose.

Interest on the Bonds is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2022; except, however, principal of and interest on the Federally Taxable Bonds is payable upon maturity on February 1, 2022, as indicated on the inside cover pages hereof. Principal on the Tax-Exempt Bonds shall be due and payable on August 1 in each of the years as set forth on the inside covers of this Official Statement. The principal of and interest on the Bonds will be payable in lawful money of the United States of America to the registered Owner thereof, upon the surrender thereof at the principal office of the Paying Agent.

General. The Treasurer-Tax Collector of the County (the “Treasurer”) will act as the initial registrar, transfer agent, authentication agent and paying agent for the Bonds. As long as DTC (defined below) is the registered owner of the Bonds and DTC’s book-entry method is used for the Bonds, the Paying Agent will send any notice of prepayment or other notices to owners only to DTC. The Paying Agent, the District, the County, the Municipal Advisor and the Underwriters of the Bonds have no responsibility or liability for any aspects of the records relating to or payments made on account of beneficial ownership, or for maintaining, supervising or reviewing any records relating to beneficial ownership, or interest in the Bonds.

The Bonds will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository for the Bonds. So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the Owners or registered owners shall mean Cede & Co. as aforesaid, and shall not mean the beneficial owners of the Bonds.

So long as Cede & Co. is the registered owner of the Bonds, principal of and interest on or premium, if any, on the Bonds are payable by wire transfer or New York Clearing House or equivalent next-day funds by the Paying Agent, to Cede & Co., as nominee for DTC. DTC is obligated, in turn, to remit such amounts to the DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. Payments of principal of, interest on, and premium, if any, for any Bonds shall be made only upon the surrender of such Bonds to the Paying Agent. See “APPENDIX E – BOOK ENTRY ONLY SYSTEM” herein.

Optional Redemption

The Bonds maturing on or before August 1, 2031 are not subject to optional redemption prior to maturity. The Bonds maturing on or after August 1, 2032, may be redeemed before maturity, at the option of the District, from any source of available funds, in whole or in part on any date on or after August 1, 2031, at the principal amount thereof, together with interest accrued thereon to the date of redemption, without premium.

Mandatory Sinking Fund Redemption

The Series F Bonds maturing on August 1, 2046 (the “Series F 2046 Term Bonds”), are subject to mandatory sinking fund redemption prior to their stated maturity from mandatory sinking fund payments on any August 1 on or after August 1, 2040, at a redemption price equal to 100% of their principal amount,

together with accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (August 1)	Mandatory Sinking Fund Payment
2040	\$3,735,000
2041	1,600,000
2042	1,620,000
2043	1,630,000
2044	1,695,000
2045	20,820,000
2046 ⁽¹⁾	<u>22,470,000</u>
Total	\$53,570,000

⁽¹⁾ Maturity.

In the event that a portion of the Series F 2046 Term Bond is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments with respect thereto shall be reduced proportionately or as otherwise directed by the District, in integral multiples of \$5,000 principal amount, with respect to the portion of such Series F 2046 Term Bond optionally redeemed.

The Series D Bonds maturing on August 1, 2046 (the “Series D 2046 Term Bonds”), are subject to mandatory sinking fund redemption prior to their stated maturity from mandatory sinking fund payments on any August 1 on or after August 1, 2042, at a redemption price equal to 100% of their principal amount, together with accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (August 1)	Mandatory Sinking Fund Payment
2042	\$12,380,000
2043	13,485,000
2044	14,650,000
2045	15,890,000
2046 ⁽¹⁾	<u>17,205,000</u>
Total	\$73,610,000

⁽¹⁾ Maturity.

In the event that a portion of the Series D 2046 Term Bond is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments with respect thereto shall be reduced proportionately or as otherwise directed by the District, in integral multiples of \$5,000 principal amount, with respect to the portion of such Series D 2046 Term Bond optionally redeemed.

Selection of Bonds for Redemption

Subject to DTC’s procedures relating to the selection of Bonds for redemption (see APPENDIX E – “BOOK-ENTRY ONLY SYSTEM”), with respect to any Bonds, the Paying Agent shall select such Bonds for redemption as directed by the District, or, in the absence of such direction, in inverse order of maturity. Within a maturity, the Paying Agent will select Bonds for redemption by lot. Redemption by lot

shall be in such manner as the Paying Agent shall determine; provided, however, that the portion of any Bond to be redeemed in part shall be in the principal amount of \$5,000 or any integral multiple thereof.

Transfer and Exchange

Any Bond may be exchanged for Bonds of like tenor, maturity and principal amount and transferred upon presentation and surrender of such Bond at the principal office of the Paying Agent, together with an assignment executed by the Owner or a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new Bond or Bonds of like tenor and of any authorized denomination or denominations requested by the Owner equal to the principal amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

The registration of any Bond may be transferred upon to the Bond Register upon surrender of such Bond to the Paying Agent. Such Bond shall be endorsed or accompanied by delivery of the written instrument of transfer, duly executed by the Owner or such Owner's duly authorized attorney, and payment of such reasonable transfer fees as the Paying Agent may establish. Upon such registration of transfer, a new Bond or Bonds, of like tenor, series and maturity in the same Principal Amount and in authorized denomination or denominations, will be executed and delivered to the transferee in exchange therefor.

The Paying Agent shall deem and treat the person in whose name any Outstanding Bond shall be registered upon the Bond Register as the absolute owner of such Bond, whether the principal of, interest on, and premium, if any, on such Bond shall be overdue or not, for the purpose of receiving payment of principal of, interest on, and premium, if any, on such Bond and for all other purposes, and any such payments so made to any such Owner or upon such Owner's order shall be valid and effective to satisfy and discharge the liability upon such Bond to the extent of the sum or sums so paid, and the District or the Paying Agent shall not be affected by any notice to the contrary.

Bonds may be exchanged at the office of the Paying Agent for Bonds of like series, tenor and maturity of other authorized denominations. All Bonds surrendered in any such exchange shall thereupon be cancelled by the Paying Agent. The Paying Agent may charge the Owner a reasonable sum for each new Bond executed and delivered upon any exchange (except in the case of the first exchange of any Bond in the form in which it is originally delivered, for which no charge shall be imposed) and the Paying Agent may require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange.

The Paying Agent shall not be required to register the transfer or exchange of any Bond during the period beginning at the close of business on any Record Date through the close of business on the immediately following Interest Payment Date, or that has been called or is subject to being called for redemption, during a period beginning at the opening of business 15 days before any selection of Bonds to be redeemed through the close of business on the applicable redemption date, except for the unredeemed portion of any Bond to be redeemed only in part.

Notice of Redemption

When redemption is authorized or required pursuant to the Resolutions, the Paying Agent, upon written instruction from the District, shall give notice (each, a "Redemption Notice") of the redemption of the Bonds. Such Redemption Notice shall specify: (a) the Bonds or designated portions thereof (in the case of any Bond to be redeemed in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f)

the numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Such Redemption Notice shall further state that on the specified date of redemption there shall become due and payable each Bond or designated portion thereof being redeemed, the redemption price thereof, and that from and after such date, interest on the Bonds shall cease to accrue.

The Paying Agent shall take the following actions with respect to each such Redemption Notice: (i) at least 20 days but not more than 45 days prior to the redemption date, such Redemption Notice shall be given to the respective Owners of the Bonds designated for redemption by first-class mail, postage prepaid, at their addresses appearing on the bond register; (ii) in the event the Bonds shall no longer be held in book-entry form, at least 35 but not more than 45 days prior to the redemption date, such Redemption Notice shall be given by (1) first-class mail, postage prepaid, (2) telephonically confirmed facsimile transmission, or (3) overnight delivery service, to the Securities Depositories and the Municipal Securities Rulemaking Board (“MSRB”). Such Redemption Notice shall be given to such other persons as may be required by the Continuing Disclosure Undertaking.

“MSRB” shall mean the Municipal Securities Rulemaking Board, through its Electronic Municipal Market Access (“EMMA”) website located at <http://emma.msrb.org>, or any other entity designated or authorized by the Commission.

The “Securities Depositories” shall mean DTC and, in accordance with then-current guidelines of the Securities and Exchange Commission, such other securities depositories as the District may designate in a certificate delivered to the Paying Agent.

A Redemption Notice may be rescinded by written notice given to the Paying Agent by the District and the Paying Agent shall provide notice of such rescission as soon thereafter as practicable in the same manner, and to the same recipients, as notice of such redemption was given, but in no event later than the date set for redemption.

Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given shall affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds shall bear the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Conditional Notice of Redemption. With respect to any notice of optional redemption of Bonds as described above, unless upon the giving of such notice such Bonds (or portions thereof) shall be deemed to have been defeased as described in “— Discharge and Defeasance” herein, such notice will state that such redemption will be conditional upon the receipt of an independent escrow agent selected by the District on or prior to the date fixed for such redemption of the moneys necessary and sufficient to pay the principal of, interest on, and premium, if any, on such Bonds (or portions thereof) to be redeemed, and that, if such moneys shall not have been so received, said notice shall be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds will not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will within a reasonable time thereafter (but in no event later than the date originally set for redemption) give notice in the same manner, and to the persons to whom and in the manner in which the Redemption Notice was given, that such moneys were not so received. In addition, the District will have the right to rescind any Redemption Notice, by written notice to the Paying Agent, on or prior to the date fixed for such redemption. The Paying Agent will distribute a

notice of such rescission in the same manner, and to the same recipients, as the Redemption Notice was originally provided, but in no event later than the date set for redemption.

Partial Redemption of Bonds

Upon the surrender of any Bond redeemed in part only, the Paying Agent shall execute and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denomination or denominations equal in Transfer Amount to the unredeemed portion of the Bond surrendered. Such partial redemption shall be valid upon payment of the amount required to be paid to such Owner, and the District shall be released and discharged thereupon from all liability to the extent of such payment.

“Transfer Amount” shall mean, with respect to any Bonds, the aggregate principal amount of thereof.

Effect of Notice of Redemption

Notice having been given as required in the respective Resolutions, and the moneys for redemption (including the interest to the applicable date of redemption) having been set aside in the District’s applicable Debt Service Fund or deposited with a duly appointed escrow agent, the Bonds to be redeemed shall become due and payable on such date of redemption.

If on such redemption date, money for the redemption of all the Bonds to be redeemed, together with interest to such redemption date, shall be held by the Paying Agent or deposited with a duly appointed escrow agent, so as to be available therefor on such redemption date, and if notice of redemption thereof shall have been given, then from and after such redemption date, interest on the Bonds to be redeemed shall cease to accrue and become payable.

Discharge and Defeasance

All or any portion of the outstanding Bonds shall be paid and discharged in any one of the following ways:

1. by paying or causing to be paid the principal of, interest on, premium, if any, on such Bonds outstanding, and when the same become due and payable;
2. by depositing with the Paying Agent, or with a duly appointed escrow agent, at or before maturity, cash which, together with the amounts then on deposit in the applicable Debt Service Fund plus the interest to accrue thereon without the need for further investment, is fully sufficient to pay all Bonds outstanding at maturity thereof, including any premium and all interest thereon, notwithstanding that any Bonds shall not have been surrendered for payment; or
3. by depositing with an institution which meets the requirements for acting as a successor Paying Agent pursuant to the Resolution selected by the District, in trust, lawful money or noncallable direct obligations issued by the United States Treasury (including State and Local Government Series Obligations) or obligations which are unconditionally guaranteed by the United States of America and permitted under Section 149(b) of the Code and Regulations which, in the opinion of nationally recognized bond counsel, will not impair the exclusion from gross income for federal income tax purposes of interest on the Bonds, in such amount as will, together with the interest to accrue thereon without the need for further investment, be fully sufficient to pay and discharge all Bonds outstanding at maturity thereof, including any premium and all interest thereon, for which notice has been given or provided for, notwithstanding that any Bonds shall not have been surrendered for payment;

then all obligations of the District and the Paying Agent under the applicable resolution with respect to the affected Bonds shall cease and terminate, except only the obligation of the Paying Agent to pay or cause to be paid to the Owners of the Bonds all sums due thereon, and the obligation of the District to pay the Paying Agent amounts owing to the Paying Agent under the applicable resolution.

Book-Entry Only System

The Bonds will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of DTC. DTC will act as securities depository for the Bonds. So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the Owners or registered owners shall mean Cede & Co. as aforesaid, and shall not mean the Beneficial Owners of the Bonds. For further information regarding DTC and the book-entry system, see APPENDIX D – “BOOK-ENTRY ONLY SYSTEM” hereto.

PLAN OF FINANCE

The proceeds of the Bonds are being applied to (i) finance the construction, acquisition, furnishing and equipping of District facilities, all as included in the respective Project Lists (defined below) approved at the 2008 Election or 2016 Election, respectively, (ii) pay a portion of the debt services on the Bonds, and (iii) pay certain costs of issuance associated with the respective Bonds.

The “Strict Accountability in Local School Construction Bonds Act of 2000,” comprising Section 15264 *et seq.* of the Education Code, controls the method by which the District will expend amounts derived from the sale of the Bonds on its capital improvements. Prior to each of the 2008 Election and the 2016 Election, the District prepared and submitted to the Governing Board for approval a facilities master plan containing capital improvement projects to be built, acquired, constructed or installed with the proceeds of the Proposition R Bonds (the “2008 Project List”) and the Proposition Z Bonds (the “2016 Project List”).

With respect to the projects included in the 2008 Project List, the District has evaluated facility needs to continue to provide for safety, infrastructure and information technology capacity; and the District has appointed an independent citizens’ oversight committee to oversee the implementation of the projects. Several key projects include:

- Institutional Technology Building
- Transit Center Relocation Project
- Jaguar Village
- Auto Technology

With respect to the projects included in the 2016 Project List, the District has evaluated facility needs to continue to provide for safety, infrastructure and information technology capacity; and the District has appointed an independent citizens’ oversight committee to oversee the implementation of the projects. Several key projects include:

- Instructional Building No. 1
- Student Union
- Landscape Nursery Technology
- Auto Technology
- Operations and Warehouse
- Mayan Hall Demolition

The timing of projects will be established and shall be subject to revision by the Governing Board and will be subject to review by the citizen's oversight committee.

Financing Structure. As State law requires premium received by the District to be deposited in the interest and sinking fund of the District, the Taxable Bonds are being issued to efficiently utilize such premium and reduce the principal amount of bonds outstanding.

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ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds in connection with the Bonds are as follows:

<i>Sources of Funds</i>	<i>Proposition R Bonds</i>	<i>Proposition Z Bonds</i>	<i>Total</i>
Principal Amount	\$73,620,000.00	\$184,000,000.00	257,620,000.00
Plus Net Premium	<u>2,303,991.65</u>	<u>27,085,070.80</u>	<u>29,389,062.45</u>
Total Sources	<u><u>\$75,923,991.65</u></u>	<u><u>\$211,085,070.80</u></u>	<u><u>\$287,009,062.45</u></u>
<i>Uses of Funds</i>			
Deposit to Building Fund	\$73,477,579.95	\$183,647,420.05	\$257,125,000.00
Deposit to Debt Service Fund ⁽¹⁾	2,047,138.81	26,443,113.12	28,490,251.93
Costs of Issuance ⁽²⁾	<u>399,272.89</u>	<u>994,537.63</u>	<u>1,393,810.52</u>
Total Uses	<u><u>\$75,923,991.65</u></u>	<u><u>\$211,085,070.80</u></u>	<u><u>\$287,009,062.45</u></u>

⁽¹⁾ Includes funded debt service on the Bonds through and including August 1, 2024.

⁽²⁾ Costs of issuance includes, but is not limited to, Underwriters' discount, printing and rating costs, demographics, fees and expenses of the Paying Agent, fiscal agent, Municipal Advisor, and Bond and Disclosure Counsel.

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SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

General

The Bonds are general obligations of the District, and the San Diego County Board of Supervisors has the power and is obligated to levy and collect *ad valorem* taxes upon all property within the District subject to taxation by the County, without limitation as to rate or amount (except certain personal property which is taxable at limited rates) for payment of both principal of and interest on the Bonds. See “ – Assessed Valuations” herein for further information regarding the assessed valuation and property tax collection information within the District.

Assessed Valuations – Constitutional and Statutory Initiatives

Article XIII A of the California Constitution. Article XIII A of the California Constitution limits the amount of any *ad valorem* tax on real property, to 1% of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on indebtedness approved by the voters prior to July 1, 1978, and on bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness or 55% of voters voting on the proposition. Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment.” The full cash value may be increased at a rate not to exceed 2% per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the 2% annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property is shown at full market value on the tax rolls, with tax rates expressed as \$1 per \$100 of taxable value. All taxable property value included in this Official Statement is shown at 100% of market value (unless noted differently) and all general tax rates reflect the \$1 per \$100 of taxable value.

San Diego County has adopted, subject to future discontinuance, the “Teeter Plan,” as discussed herein, allocating 100% of the District’s total secured tax and general obligation bond taxes. See “SECURITY AND SOURCES OF PAYMENT – Teeter Plan.”

Assessed Valuations

The assessed valuation of property in the District is established by the County Assessor, except for public utility property which is assessed by the State Board of Equalization. Assessed valuations are reported at 100% of the full value of the property, as defined in Article XIII A of the California Constitution.

The State-reimbursed exemption currently provides a credit of \$7,000 of the full value of an owner-occupied dwelling for which application has been made to the County Assessor. The revenue estimated to be lost to local taxing agencies due to the exemption is reimbursed from State sources. Reimbursement is based upon total taxes due upon such exempt value and is not reduced by any amount for estimated or actual delinquencies.

In addition, certain classes of property such as churches, colleges, not-for-profit hospitals and charitable institutions are exempt from property taxation and do not appear on the tax rolls. No reimbursement is made by the State for such exemptions.

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For fiscal year 2021-22, the District's total assessed valuation is \$65,864,928,131. Shown in the following tables is information relating to the assessed valuation of property in the District during the past five fiscal years, assessed valuation by jurisdiction, assessed valuation and parcels by land use, and per parcel assessed valuation of single-family homes.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Summary of Assessed Valuations
Fiscal Years 2017-18 through 2021-22

<u>Fiscal Year</u>	<u>Local Secured</u>	<u>Utilities</u>	<u>Unsecured</u>	<u>Total</u>
2017-18	\$51,550,718,593	\$663,287,367	\$1,255,161,308	\$53,469,167,268
2018-19	54,585,199,185	587,553,982	1,311,577,562	56,484,330,729
2019-20	57,956,366,866	597,653,982	1,330,149,513	59,884,170,361
2020-21	61,248,829,409	587,853,982	1,470,180,147	63,306,863,538
2021-22	63,874,569,373	613,253,982	1,377,104,776	65,864,928,131

Source: California Municipal Statistics, Inc.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
2021-22 Assessed Valuation by Jurisdiction

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District⁽¹⁾</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in District</u>
City of Chula Vista	\$33,593,920,198	51.00%	\$ 33,593,920,198	100.00%
City of Coronado	10,359,481,774	15.73	10,359,481,774	100.00
City of Imperial Beach	2,676,990,203	4.06	2,676,990,203	100.00
City of National City	4,748,358,448	7.21	4,752,648,535	99.91
City of San Diego	10,841,669,085	16.46	287,599,090,461	3.77
Unincorporated San Diego County	<u>3,644,508,423</u>	<u>5.53</u>	84,614,337,653	4.31
Total District	\$65,864,928,131	100.00%		
San Diego County	\$65,864,928,131	100.00%	\$606,172,894,796 ⁽²⁾	10.87%

(1) Totals may not add due to rounding.

(2) Assessed valuation of San Diego County, and is not the sum of preceding numbers in column.

Source: California Municipal Statistics, Inc.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
2021-22 Assessed Valuation and Parcels by Land Use

	2021-22 Assessed Valuation ⁽¹⁾	% of Total	No. of Parcels	% of Total
Non-Residential:				
Rural/Undeveloped	\$ 291,014,475	0.46%	612	0.52%
Commercial	7,457,409,816	11.68	2,812	2.38
Vacant Commercial	242,253,117	0.38	452	0.38
Industrial	3,792,845,367	5.94	1,413	1.19
Vacant Industrial	630,642,980	0.99	611	0.52
Recreational	212,236,443	0.33	154	0.13
Government/Social/Institutional	<u>38,749,898</u>	<u>0.06</u>	<u>224</u>	<u>0.19</u>
Subtotal Non-Residential	\$12,665,152,096	19.83%	6,281	5.31%
Residential:				
Single Family Residence	\$32,947,583,535	51.58%	72,628	61.41%
Condominium/Townhouse	10,178,587,844	15.94	25,930	21.93
Mobile Home	157,181,124	0.25	2,257	1.91
Mobile Home Park	276,302,274	0.43	92	0.08
Timeshare Parcels	20,408,350	0.03	3,296	2.79
2-4 Residential Units	1,945,142,329	3.05	4,714	3.99
5+ Residential Units/Apartments	5,234,956,575	8.20	1,313	1.11
Miscellaneous Residential	12,406,855	0.02	307	0.26
Vacant Residential	<u>436,848,391</u>	<u>0.68</u>	<u>1,443</u>	<u>1.22</u>
Subtotal Residential	\$51,209,417,277	80.17%	111,980	94.69%
Total	\$63,874,569,373	100.00%	118,261	100.00%

⁽¹⁾ Local Secured Assessed Valuation; excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Per Parcel 2021-22 Assessed Valuation of Single-Family Homes

	<u>No. of Parcels</u>	<u>2021-22 Assessed Valuation</u>	<u>Average Assessed Valuation</u>	<u>Median Assessed Valuation</u>
Single-Family Residential	72,628	\$32,947,583,535	\$453,649	\$406,938

<u>2021-22 Assessed Valuation</u>	<u>No. of Parcels⁽¹⁾</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>	<u>Total Valuation</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>
\$0 - \$49,999	742	1.022%	1.022%	\$ 28,370,391	0.086%	0.086%
\$50,000 - \$99,999	5,603	7.715	8.736	410,073,355	1.245	1.331
\$100,000 - \$149,999	3,601	4.958	13.694	451,967,495	1.372	2.703
\$150,000 - \$199,999	4,313	5.938	19.633	757,585,156	2.299	5.002
\$200,000 - \$249,999	5,175	7.125	26.758	1,165,205,388	3.537	8.538
\$250,000 - \$299,999	5,243	7.219	33.977	1,442,732,466	4.379	12.917
\$300,000 - \$349,999	5,124	7.055	41.032	1,665,725,966	5.056	17.973
\$350,000 - \$399,999	5,687	7.830	48.863	2,135,896,457	6.483	24.456
\$400,000 - \$449,999	5,965	8.213	57.076	2,536,133,092	7.697	32.153
\$450,000 - \$499,999	6,139	8.453	65.528	2,914,349,883	8.845	40.999
\$500,000 - \$549,999	5,337	7.348	72.877	2,797,882,404	8.492	49.490
\$550,000 - \$599,999	4,592	6.323	79.199	2,635,147,042	7.998	57.488
\$600,000 - \$649,999	3,812	5.249	84.448	2,376,328,378	7.212	64.701
\$650,000 - \$699,999	3,069	4.226	88.674	2,065,774,181	6.270	70.971
\$700,000 - \$749,999	2,094	2.883	91.557	1,512,638,140	4.591	75.562
\$750,000 - \$799,999	1,329	1.830	93.387	1,025,725,795	3.113	78.675
\$800,000 - \$849,999	886	1.220	94.607	728,546,668	2.211	80.886
\$850,000 - \$899,999	563	0.775	95.382	491,243,990	1.491	82.377
\$900,000 - \$949,999	346	0.476	95.858	319,016,858	0.968	83.346
\$950,000 - \$999,999	322	0.443	96.302	313,317,197	0.951	84.297
\$1,000,000-and greater	<u>2,686</u>	<u>3.698</u>	100.000	<u>5,173,923,233</u>	<u>15.703</u>	100.000
	72,628	100.000%		\$32,947,583,535	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Tax Rates, Levies, Collections and Delinquencies

Taxes are levied for each fiscal year on taxable real and personal property as of the preceding January 1. Real property which changes ownership or is newly constructed is reassessed at the time the change occurs or the construction is completed. The current year property tax rate is applied to the reassessed value, and the taxes are then adjusted by a proration factor that reflects the portion of the remaining tax year for which taxes are due.

For assessment and collection purposes, property is classified either as “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The “secured roll” is that part of the assessment roll containing real property the taxes on which have a lien sufficient, in the opinion of the county assessor, to secure payment of the taxes. Other property is assessed on the “unsecured roll.”

Property taxes on the secured roll are due in two installments, on November 1 and February 1 of each fiscal year, and become delinquent on December 10 and April 10, respectively. A penalty of ten percent attaches immediately to all delinquent payments. Properties on the secured roll with respect to which taxes are delinquent become tax defaulted on or about June 30 of the fiscal year. Such property may thereafter be redeemed by payment of a penalty of 1.5% per month to the time of redemption, plus costs

and a redemption fee. If taxes are unpaid for a period of five years or more, the County notifies the State Controller, and the property may be sold at public auction by the County Treasurer.

Property taxes on the unsecured roll are due as of the January 1 lien dates and become delinquent on August 31. A ten percent penalty attaches to delinquent unsecured taxes. If unsecured taxes are unpaid at 5 p.m. on October 31, an additional penalty of 1.5% attaches to them on the first day of each month until paid. The County has four ways of collecting delinquent unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a judgment in the office of the County Clerk specifying certain facts in order to obtain a lien on certain property of the taxpayer; (3) filing a certificate of delinquency for record in the County Recorder's office in order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee.

A portion of the property tax in the District is derived from utility property subject to assessment by the State Board of Equalization (the "SBE"). State-assessed property, or "unitary property," is property of a utility system with components located in many taxing jurisdictions assessed as part of a "going concern" rather than as individual parcels of real or personal property. Unitary and certain other state-assessed property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues are distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

San Diego County has adopted, subject to future discontinuance, the "Teeter Plan," as discussed herein, allocating 100% of the District's total secured tax and general obligation bond taxes. See "SECURITY AND SOURCES OF PAYMENT – Teeter Plan."

The following tables set forth secured tax charges levied and delinquencies in the District for fiscal years 2015-16 through 2020-21.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Secured Tax Charges and Delinquencies
Fiscal Years ended June 30, 2016 to June 30, 2021

Fiscal Year ended June 30	1% General Fund Apportionment			District's General Obligation Bond Debt Service Levy		
	Secured Tax Charge⁽¹⁾	Amount Delinquent⁽²⁾ (June 30)	Percent Delinquent⁽²⁾ (June 30)	Secured Tax Charge⁽³⁾	Amount Delinquent⁽²⁾ (June 30)	Percent Delinquent⁽²⁾ (June 30)
2015-16	\$21,877,858.71	(2)	(2)	\$18,049,975.56	(2)	(2)
2016-17	23,213,159.62	(2)	(2)	18,000,281.30	(2)	(2)
2017-18	24,618,845.37	(2)	(2)	25,757,563.19	(2)	(2)
2018-19	25,893,102.62	(2)	(2)	25,600,145.15	(2)	(2)
2019-20	27,385,565.05	(2)	(2)	26,012,997.49	(2)	(2)
2020-21	28,834,263.88	(2)	(2)	17,175,734.98	(2)	(2)

⁽¹⁾ 1% General Fund appointment.

⁽²⁾ San Diego County utilizes the Teeter Plan for assessment levy and distribution. This method guarantees distribution of 100% of the assessments levied to the taxing entity, with the county retaining all penalties and interest.

⁽³⁾ Bonds debt service levy

Source: California Municipal Statistics, Inc.

The level of property tax delinquencies is affected by economic factors beyond the District's control, including the ability or willingness of property owners to pay property taxes during an economic recession. The District cannot predict whether the COVID-19 pandemic will have a significant effect on the rate of delinquency in the payment of property taxes in the District. See "LEGAL AND OTHER MATTERS – Risks Related to COVID-19" and "SECURITY AND SOURCES OF PAYMENT – Teeter Plan." herein.

The following table sets forth typical tax rates levied in Tax Rate Area (1-000) for fiscal years 2017-18 through 2021-22:

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Typical Total Tax Rate Per \$100 Assessed Value (TRA 1-000)⁽¹⁾

	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>	<u>2020-21</u>	<u>2021-22</u>
General	1.000000	1.000000	1.000000	1.000000	1.000000
Chula Vista School District	.01686	.01574	.01498	.04305	.04143
Chula Vista School District SFID 2012-1	.01908	.02343	.02245	.02150	.02136
Sweetwater Union High School District	.05156	.05283	.05159	.04880	.04611
Southwestern Community College District	.04981	.04671	.04482	.02792	.04854
Metropolitan Water District	.00350	.00350	.00350	.00350	.00350
Total	1.14081%	1.14221%	1.13734%	1.14477%	1.16094%

⁽¹⁾ The 2021-22 assessed valuation of TRA 1-000 is \$3,159,455,052, which is 4.8% of the District's total assessed valuation.

Source: California Municipal Statistics, Inc.

Largest Taxpayers

The 20 largest local secured taxpayers in the District and their assessed valuations for 2021-22 are shown in the following table.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT Largest 2021-22 Local Secured Taxpayers

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2021-22 Assessed Valuation</u>	<u>% of Total⁽¹⁾</u>
1.	BSK Del Partners LLC	Hotel	\$ 682,100,000	1.07%
2.	Chelsea San Diego Finance LLC	Shopping Center	226,390,463	0.35
3.	PR III / Broadstone Coronado LLC	Apartments	180,635,106	0.28
4.	Greenfield Otay LP	Apartments	168,647,131	0.26
5.	John Hancock Life Insurance Co. USA	Apartments	157,468,782	0.25
6.	Centermark Properties Inc.	Shopping Center	152,775,144	0.24
7.	Corrections Corporation of America	Correctional Facilities	152,363,045	0.24
8.	Rohr Inc.	Industrial	147,707,818	0.23
9.	GGP-Otay Ranch LP	Shopping Center	140,428,547	0.22
10.	Chula Vista Apartments LLC	Apartments	131,464,456	0.21
11.	Amazon.com Services LLC	Industrial	125,531,874	0.20
12.	Regulo Place Apartments Investors LLC	Apartments	122,850,382	0.19
13.	Siempre Viva Industrial LLC	Industrial	119,077,020	0.19
14.	Wal-Mart Real Estate Business Trust	Commercial	118,516,259	0.19
15.	Plaza Bonita LLC	Shopping Center	116,698,043	0.18
16.	Homefed Otay Land II LLC	Residential Facilities	112,815,211	0.18
17.	Village of Escaya Apartments LLC	Apartments	111,611,390	0.17
18.	BCIF Piper Ranch LC LP	Industrial	109,000,000	0.17
19.	Brisa Acquisitions LLC	Industrial	102,375,300	0.16
20.	N M Pulse LLC	Apartments	<u>101,981,944</u>	<u>0.16</u>
			\$3,280,438,926	5.14%

⁽¹⁾ 2021-22 Local Secured Assessed Valuation: \$63,874,569,373.

Source: California Municipal Statistics, Inc.

Debt Service Schedule

The following table summarizes the debt service requirements of the District for all of its outstanding general obligation bonds and the Bonds, assuming no optional redemptions:

Bond Year Ending August 1	Debt Service for Existing Bonds⁽¹⁾	<u>Proposition R Bonds</u>		<u>Proposition Z Bonds</u>		<u>Total Debt Service</u>
		<u>Principal</u>	<u>Interest</u>	<u>Principal</u>	<u>Interest</u>	
2022	\$ 35,971,113.08	-	\$ 1,538,486.25	\$ 8,630,000.00	\$ 4,815,788.88	\$ 50,955,388.21
2023	27,843,668.58	\$ 810,000.00	2,122,050.00	6,725,000.00	6,638,450.00	44,139,168.58
2024	30,323,848.58	640,000.00	2,089,650.00	7,040,000.00	6,369,450.00	46,462,948.58
2025	31,077,749.18	655,000.00	2,083,250.00	1,230,000.00	6,087,850.00	41,133,849.18
2026	32,854,614.14	725,000.00	2,057,050.00	1,565,000.00	6,038,650.00	43,240,314.14
2027	34,329,490.34	795,000.00	2,028,050.00	1,925,000.00	5,976,050.00	45,053,590.34
2028	35,865,051.18	865,000.00	1,996,250.00	2,310,000.00	5,899,050.00	46,935,351.18
2029	32,776,178.28	950,000.00	1,961,650.00	2,725,000.00	5,806,650.00	44,219,478.28
2030	28,123,166.38	1,025,000.00	1,923,650.00	3,170,000.00	5,697,650.00	39,939,466.38
2031	29,309,576.48	1,110,000.00	1,882,650.00	3,645,000.00	5,570,850.00	41,518,076.48
2032	30,549,647.88	1,195,000.00	1,838,250.00	4,150,000.00	5,425,050.00	43,157,947.88
2033	31,840,767.38	1,290,000.00	1,790,450.00	4,690,000.00	5,259,050.00	44,870,267.38
2034	33,178,630.98	1,390,000.00	1,738,850.00	5,270,000.00	5,071,450.00	46,648,930.98
2035	34,583,254.78	1,485,000.00	1,683,250.00	5,885,000.00	4,860,650.00	48,497,154.78
2036	36,028,371.82	1,595,000.00	1,623,850.00	6,545,000.00	4,625,250.00	50,417,471.82
2037	37,540,072.72	1,705,000.00	1,560,050.00	7,250,000.00	4,363,450.00	52,418,572.72
2038	39,109,678.88	1,830,000.00	1,491,850.00	7,995,000.00	4,073,450.00	54,499,978.88
2039	40,710,324.38	1,985,000.00	1,418,650.00	8,715,000.00	3,833,600.00	56,662,574.38
2040	40,795,721.18	-	1,339,250.00	9,465,000.00	3,572,150.00	58,907,121.18
2041	43,103,952.96	-	1,245,875.00	11,460,000.00	3,288,200.00	60,698,027.96
2042	44,961,015.56	-	1,205,875.00	-	2,944,400.00	63,111,290.56
2043	46,888,404.86	-	1,165,375.00	-	2,449,200.00	65,617,979.86
2044	48,843,835.86	-	1,124,625.00	-	1,909,800.00	68,223,260.86
2045	31,831,964.45	-	1,082,250.00	-	1,323,800.00	70,948,014.45
2046	32,842,712.50	53,570,000.00	561,750.00	73,610,000.00	688,200.00	73,767,662.50
2047	10,992,800.00	-	-	-	-	10,992,800.00
Total	<u>\$902,275,612.41</u>	<u>\$73,620,000.00</u>	<u>\$40,552,936.25</u>	<u>\$184,000,000.00</u>	<u>\$112,588,138.88</u>	<u>\$1,313,036,687.54</u>

⁽¹⁾ Figures exclude the District's Lease Revenue Bonds issued through the California Community College Financing Authority in 1999 and refunded in October 2010. See "APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020."

District Debt

Prior to delivery of the Bonds, the District's general obligation indebtedness as of October 1, 2021 was \$528,659,345, which is approximately 0.80% of its total 2021-22 assessed valuation. Set forth below is a direct and overlapping debt report for the District prepared by California Municipal Statistics, Inc. on September 10, 2021 for debt outstanding as of October 1, 2021. The debt report is included for general information purposes only. The District has not reviewed the debt report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

Column 1 in the table names each public agency which has outstanding debt as of the date of the report and whose boundaries overlap the District in whole or in part. Column 2 shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in Column 3, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT DIRECT AND OVERLAPPING BONDED INDEBTEDNESS

2021-22 Assessed Valuation: \$65,864,928,131

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable ⁽¹⁾</u>	<u>Debt 10/1/21</u>
Metropolitan Water District	1.549%	\$ 415,597
Southwestern Community College District	100.000	528,659,345 ⁽²⁾
Coronado Unified School District	100.000	5,445,000
Sweetwater Union High School District	99.992	376,251,047
Chula Vista School District	100.000	125,433,285
Chula Vista School District School Facilities Improvement District No. 2012-1	100.000	77,730,000
National School District	99.903	28,037,777
San Ysidro School District	100.000	139,506,092
South Bay Union School District	100.000	59,163,497
City of National City	99.908	2,487,709
Otay Municipal Water District, I.D. No 27	100.000	720,000
City of Chula Vista Community Facilities Districts	100.000	126,885,000
School District Community Facilities Districts	100.000	52,166,812
City 1915 Act Bonds	100.000	5,555,000
California Statewide Communities Development Authority 1915 Act Bonds	100.000	<u>9,566,818</u>
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$1,538,022,979
 <u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
San Diego County General Fund Obligations	10.810%	\$ 22,265,898
San Diego County Pension Obligation Bonds	10.810	36,843,183
San Diego County Superintendent of Schools Obligations	10.810	928,039
Southwestern Community College District General Fund Obligations	100.000	375,000
Sweetwater Union High School District Certificates of Participation	99.992	29,502,640
Coronado Unified School District Certificates of Participation	100.000	18,100,032
Chula Vista City School District Certificates of Participation	100.000	133,845,000
San Ysidro School District Certificates of Participation	100.000	41,488,596
City of Chula Vista General Fund Obligations and Pension Obligation Bonds	100.000	486,100,000
City of National City General Fund Obligations	99.908	4,905,697
City of San Diego General Fund Obligations	3.730	<u>22,148,905</u>
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$796,502,990
 <u>OVERLAPPING TAX INCREMENT DEBT (Successor Agency):</u>		 \$191,716,978
 COMBINED TOTAL DEBT		 \$2,526,242,947 ⁽³⁾

(1) 2020-21 ratios

(2) Excludes issue to be sold.

(3) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Ratios to 2021-22 Assessed Valuation:

Direct Debt (\$528,659,345).....	0.80 %
Total Direct and Overlapping Tax and Assessment Debt	2.34 %
Combined Direct Debt (\$529,034,345).....	0.80 %
Combined Total Debt	3.84 %

Ratio to Redevelopment Incremental Valuation (\$7,020,790,545):

Total Overlapping Tax Increment Debt	2.73 %
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(1) Excludes issues to be sold; includes the Refunded Bonds.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and tax allocation bonds and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

Pledge of Tax Revenues

Pursuant to the Resolutions, the District pledges all revenues from *ad valorem* property taxes collected from the levy by the County Board of Supervisors for the payment of the Bonds and amounts on deposit in the debt service fund of the District for the payment of the principal or redemption price of and interest on the Bonds.

This pledge is valid and binding from the date of adoption of the Resolutions for the benefit of the owners of the Bonds and successors thereto. The Resolutions provide that the *ad valorem* property taxes and amounts held in the debt service fund of the District are immediately subject to this pledge, and the pledge constitutes a lien and security interest which immediately attaches to the *ad valorem* property taxes and amounts held in the debt service fund of the District to secure the payment of the Bonds and is effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge and without the need of any physical delivery, recordation, filing, or further act. “Bonds” for purpose of this pledge means all bonds of the District heretofore or hereafter issued pursuant to voter approved measures of the District, including any refunding bonds thereof, as all such Bonds are required by State law to be paid from the respective debt service fund of the District.

The Resolutions provide that the pledge is an agreement between the District and the bondholders to provide security for the Bonds in addition to any statutory lien that may exist, and the Bonds and each of the other bonds secured by the pledge are or were issued to finance one or more of the projects specified in the applicable voter-approved measure or to refinance outstanding general obligation bonds.

Statutory Lien for General Obligation Bonds

Pursuant to Senate Bill 222 (2015) (“SB 222”) codified at State Government Code Section 53515 provides that all general obligation bonds issued by local agencies on or after January 1, 2016, including the Bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of the *ad valorem* taxes. SB 222 provides that the lien will automatically arise, without the need for any action or authorization by the District or its governing board, and will be valid and binding from the time the bonds are executed and delivered. See also “LEGAL AND OTHER MATTERS – Possible Limitations on Remedies; Bankruptcy – *Statutory Lien*” herein.

Dedicated Unlimited *Ad Valorem* Property Tax Collection

Factors Affecting Assessed Valuation. The annual tax rate will be based on the assessed value of taxable property in the District. Changes in the annual debt service on the District’s outstanding general obligation bonds and the assessed value of taxable property in the District may cause the annual tax rate to fluctuate. Economic and other factors beyond the District’s control, such as economic recession, deflation of land values, relocation of businesses out of the District, financial difficulty or bankruptcy by one or more major property taxpayers, or the complete or partial destruction of taxable property caused by, among other eventualities, global pandemic such as COVID-19, earthquake, flood, drought, fire, wildfires, debris flow or other natural disaster, could cause a reduction in the assessed value of taxable property in the District and, all other factors being equal, necessitate a corresponding increase in the annual tax rate. Conversely, factors such as increased assessed value of taxable property and/or an increase in the numbers of property taxpayers within the District could, all other factors being equal, cause a corresponding decrease in the annual tax rate.

In recent years, the State has experienced severe drought conditions. In January of 2014, the Governor declared a Statewide Drought State of Emergency. As of such date, the State faced water shortfalls due to the driest year in recorded State history, the State’s river and reservoirs were below their

record low levels, and manual and electronic readings recorded the water content of snowpack at the highest elevations in the State (largely in the Sierra Nevada mountain range) at around 20% of normal average for the winter season. Following the Governor's declaration, the California State Water Resources Control Board (the "Water Board") issued a Statewide notice of water shortages and potential future curtailment of water right diversions. In April 2017, the Governor lifted the drought emergency declaration, while retaining a prohibition on wasteful practices and advancing conservation measures. In April 2021, the Governor declared emergency drought declarations in two Northern California counties following two years of dry conditions. On May 10, 2021, the Governor expanded the emergency drought declaration to include an additional 39 counties throughout the State. On July 8, 2021, the Governor expanded the declaration further to include an additional 9 counties in the State.

In addition, major wildfires have occurred in recent years in different regions of the State, including significant fires throughout the fall of 2020 and summer of 2021. The Governor has previously signed a number of measures into law intended to address a variety of issues related to mitigating the risk of wildfires, including forest management, mutual aid for fire departments, emergency alerts and other safety mandates. Property damage due to wildfire could result in a significant decrease in the assessed value of the District. It is not possible for the District to make any representation regarding the extent to which wildfires could cause reduced economic activity within the boundaries of the District or the extent to which wildfires may impact the value of taxable property within the District.

A wide range of critical infrastructure, such as roads, airports, hospitals, schools, emergency facilities, wastewater treatment plants, power plants, and ports may be vulnerable to impacts associated with sea level rise. Continued development in vulnerable areas will put additional assets at risk and raise protection costs. The District is unable to predict whether sea level rise or other impacts of climate change or flooding from a major storm will occur, when they may occur, and if any such events occur, whether they will have a material adverse effect on the financial condition of the District and the local economy.

Prospective purchasers of the Bonds should be aware that, notwithstanding any decrease in assessed valuation for any fiscal year, the County is required to levy sufficient taxes to pay debt service on the Bonds. The consequence of any decrease in assessed valuation is a concomitant increase in the tax rate on taxable property so that sufficient tax revenues may be collected from taxpayers to cover debt service on the Bonds in full.

Proposition 50 and Proposition 171. On June 3, 1986, the voters of the State approved Proposition 50. Proposition 50 amends Section 2 of Article XIII A of the State Constitution to allow owners of property that was "substantially damaged or destroyed" by a disaster, as declared by the Governor (the "Damaged Property"), to transfer their existing base year value (the "Original Base Year Value") to a comparable replacement property within the same county, which is acquired or constructed within five years after the disaster. At the time of such transfer, the Damaged Property will be reassessed at its full cash value immediately prior to damage or destruction (the "Original Cash Value"); however, such property will retain its base year value notwithstanding such a transfer. Property is substantially damaged or destroyed if either the land or the improvements sustain physical damage amounting to more than 50% of either the land or improvements full cash value immediately prior to the disaster. There is no filing deadline, but the assessor can only correct four years of assessments when the owner fails to file a claim within four years of acquiring a replacement property.

Under Proposition 50, the base year value of the replacement property (the "Replacement Base Year Value") depends on the relation of the full cash value of the replacement property (the "Replacement Cash Value") to the Original Cash Value: if the Replacement Cash Value exceeds 120% of the Original Cash Value, then the Replacement Base Year Value is calculated by combining the Original Base Year Value with such excessive Replacement Cash Value; if the Replacement Cash Value does not exceed 120% of the Original Cash Value, then the Replacement Base Year Value equals the Original Base Year Value;

if the Replacement Cash Value is less than the Original Cash Value, then the Replacement Base Year Value equals the Replacement Cash Value. The replacement property must be comparable in size, utility, and function to the Damaged Property.

On November 2, 1993, the voters of the State approved Proposition 171. Proposition 171 amends subdivision (e) of Section 2 of Article XIII A of the State Constitution to allow owners of Damaged Property to transfer their Original Base Year Value to a “comparable replacement property” located within another county in the State, which is acquired or newly constructed within three years after the disaster.

Intra-county transfers under Proposition 171 are more restrictive than inter-county transfers under Proposition 50. For example, Proposition 171 (1) only applies to (a) structures that are owned and occupied by property owners as their principal place of residence and (b) land of a “reasonable size that is used as a site for a residence;” (2) explicitly does not apply to property owned by firms, partnerships, associations, corporations, companies, or legal entities of any kind; (3) only applies to replacement property located in a county that adopted an ordinance allowing Proposition 171 transfers; (4) claims must be timely filed within three years of the date of purchase or completion of new construction; and (5) only applies to comparable replacement property, which has a full cash value that is of “equal or lesser value” than the Original Cash Value.

Within the context of Proposition 171, “equal or lesser value” means that the amount of the Replacement Cash Value does not exceed either (1) 105% of the Original Cash Value when the replacement property is acquired or constructed within one year of the destruction, (2) 110% of the Original Cash Value when the replacement property is acquired or constructed within two years of the destruction, or (3) 115% of the Original Cash Value when the replacement property is acquired or constructed within three years of the destruction.

Teeter Plan

The County, since the 1993-94 Fiscal Year, has operated under provisions of Revenue and Taxation Code Sections 4701-4716 (commonly referred to as the “Teeter Plan”) pursuant to which public agencies in the County will receive their total secured tax levies and special assessments irrespective of actual collections and delinquencies. Pursuant to such provisions, the County establishes a delinquency reserve and assumes responsibility for all secured delinquencies.

Because of this method of tax collection, the District is allocated 100% collection of its total secured tax levies. Under County policy, taxes for general obligations bonds are covered by the Teeter Plan. This method of tax collection and distribution is, however, subject to future discontinuance if demanded by the participating entities or upon action by the County Board of Supervisors. Further, the County may take action to discontinue the Teeter Plan with respect to any tax levying agency in the County if the rate of secured tax delinquency in any year exceeds 3% of the total of all taxes and assessments of that agency. The County has reported that the delinquency rate for taxes collected in the District are currently under 3%. See “Secured Tax Changes and Delinquencies” herein.

The Teeter Plan of the County is to remain in effect unless the County Board of Supervisors orders its discontinuance or unless, prior to the commencement of any Fiscal Year of the County (which commences on July 1), the County Board of Supervisors receives a petition for its discontinuance joined in by a resolution adopted by at least two-thirds of the participating revenue districts in the County. In the event the County Board of Supervisors orders discontinuance of its Teeter Plan, only those secured property taxes and special assessments actually collected would be allocated to political subdivisions (including the District) for which the County acts as the tax-levying or tax-collecting agency.

The District is not aware of any plans for the discontinuance of the Teeter Plan now pending in the County.

An economic recession or depression could be caused by many factors outside the control of the District, including high interest rates, reduced consumer confidence, reduced real wages or reduced economic activity as a result of the spread of COVID-19 or other outbreak of disease or natural or manmade disaster. See “LEGAL AND OTHER MATTERS – Risks Regarding COVID-19 Outbreak” herein. However, notwithstanding any possible future change to or discontinuation of the Teeter Plan, State law requires the Counties to levy *ad valorem* property taxes sufficient to pay the Bonds when due.

TAX MATTERS

Tax-Exempt Bonds

Tax Exemption. The delivery of the Tax-Exempt Bonds is subject to delivery of the opinion of Bond Counsel, to the effect that interest on the Tax-Exempt Bonds for federal income tax purposes under existing statutes, regulations, published rulings, and court decisions (1) will be excludable from the gross income, as defined in section 61 of the Internal Revenue Code of 1986, as amended to the date of initial delivery of the Tax-Exempt Bonds (the “Code”), of the owners thereof pursuant to section 103 of the Code, and (2) will not be included in computing the alternative minimum taxable income of the owners thereof. The delivery of the Tax-Exempt Bonds is also subject to the delivery of the opinion of Bond Counsel, based upon existing provisions of the laws of the State of California, that interest on the Tax-Exempt Bonds is exempt from personal income taxes of the State of California. A form of Bond Counsel’s anticipated opinion is included in Appendix B. The statutes, regulations, rulings, and court decisions on which such opinion will be based are subject to change.

In rendering the foregoing opinions, Bond Counsel will rely upon the representations and certifications of the District made in a certificate of even date with the date of delivery of the Tax-Exempt Bonds pertaining to the use, expenditure and investment of the proceeds of the Tax-Exempt Bonds (the “Tax Certificate”) and will assume continuing compliance with the provisions of the Resolution by the District subsequent to the issuance of the Tax-Exempt Bonds. The Resolution and the Tax Certificate contain covenants by the District with respect to, among other matters, the use of the proceeds of the Tax-Exempt Bonds and the facilities and equipment financed or refinanced therewith by persons other than state or local governmental units, the manner in which the proceeds of the Tax-Exempt Bonds are to be invested, if required, the calculation and payment to the United States Treasury of any “arbitrage profits” and the reporting of certain information to the United States Treasury. Failure to comply with any of these covenants may cause interest on the Tax-Exempt Bonds to be includable in the gross income of the owners thereof from the date of the issuance of the Tax-Exempt Bonds.

Except as described above, Bond Counsel will express no other opinion with respect to any other federal, State or local tax consequences under present law, or proposed legislation, resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Tax-Exempt Bonds. Prospective purchasers of the Tax-Exempt Bonds should be aware that the ownership of tax-exempt obligations such as the Tax-Exempt Bonds may result in collateral federal tax consequences to, among others, financial institutions, life insurance companies, property and casualty insurance companies, S corporations with subchapter C earnings and profits, certain foreign corporations doing business in the United States, individual recipients of Social Security or Railroad Retirement benefits, individuals otherwise qualifying for the earned income tax credit, owners of an interest in a financial asset securitization investment trust (“FASIT”), and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations. Prospective purchasers should consult their own tax advisors as to the applicability of these consequences to their particular circumstances.

Bond Counsel's opinion is not a guarantee of a result, but represents its legal judgment based upon its review of existing statutes, regulations, published rulings and court decisions and the representations and covenants of the District described above. No ruling has been sought from the Internal Revenue Service (the "IRS") or the State of California with respect to the matters addressed in the opinion of Bond Counsel, and Bond Counsel's opinion is not binding on the IRS or the State of California. The IRS has an ongoing program of auditing the tax-exempt status of the interest on municipal obligations. If an audit of the Tax-Exempt Bonds is commenced, under current procedures, the IRS is likely to treat the District as the "taxpayer," and the owners of the Tax-Exempt Bonds would have no right to participate in the audit process. In responding to or defending an audit of the tax-exempt status of the interest on the Tax-Exempt Bonds, the District may have different or conflicting interests from the owners of the Tax-Exempt Bonds. Public awareness of any future audit of the Tax-Exempt Bonds could adversely affect the value and liquidity of the Tax-Exempt Bonds during the pendency of the audit, regardless of its ultimate outcome.

Existing law may change to reduce or eliminate the benefit to Bondholders of the exclusion of interest on the Tax-Exempt Bonds from gross income for federal income tax purposes. Any proposed legislation or administrative action, whether or not taken, could also affect the value and marketability of the Tax-Exempt Bonds. Prospective purchasers of the Tax-Exempt Bonds should consult with their own tax advisors with respect to any proposed or future changes in tax law.

Tax Accounting Treatment of Discount and Premium on Certain Tax-Exempt Bonds

The initial public offering of certain of the Tax-Exempt Bonds (the "Discount Tax-Exempt Bonds") may be less than the amount payable on such Tax-Exempt Bonds at maturity. An amount equal to the difference between the initial public offering price of a Discount Tax-Exempt Bond (assuming that a substantial amount of the Discount Tax-Exempt Bonds of that maturity are sold to the public at such price) and the amount payable at maturity constitutes original issue discount to the initial purchaser of such Discount Tax-Exempt Bond. A portion of such original issue discount, allocable to the holding period of such Discount Tax-Exempt Bond by the initial purchaser, will, upon the disposition of such Discount Tax-Exempt Bond (including by reason of its payment at maturity), be treated as interest excludable from gross income, rather than as taxable gain, for federal income tax purposes, on the same terms and conditions as those for other interest on the Bonds described above. Such interest is considered to be accrued actuarially in accordance with the constant interest method over the life of a Discount Tax-Exempt Bond taking into account the semiannual compounding of accrued interest at the yield to maturity on such Discount Tax-Exempt Bond, and generally will be allocated to an initial purchaser in a different amount from the amount of the payment denominated as interest actually received by the initial purchaser during the tax year.

However, such interest may be required to be taken into account in determining the amount of the branch profits tax applicable to certain foreign corporations doing business in the United States, even though there will not be a corresponding cash payment. In addition, the accrual of such interest may result in certain other collateral federal income tax consequences to, among others, financial institutions, life insurance companies, property and casualty insurance companies, "S" corporations with "subchapter C" earnings and profits, individual recipients of Social Security or Railroad Retirement benefits, individuals otherwise qualifying for the earned income tax credit owners of an interest in a FASIT, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations. Moreover, in the event of the redemption, sale or other taxable disposition of a Discount Tax-Exempt Bond by the initial owner prior to maturity, the amount realized by such owner in excess of the basis of such Discount Tax-Exempt Bond in the hands of such owner (adjusted upward by the portion of the original issue discount allocable to the period for which such Discount Tax-Exempt Bond was held) is includable in gross income.

Owners of Discount Tax-Exempt Bonds should consult with their own tax advisors with respect to the determination for federal income tax purposes of accrued original issue discount on Discount Tax-Exempt Bonds and with respect to the state and local tax consequences of owning and disposing of Discount Tax-Exempt Bonds. It is possible that, under applicable provisions governing determination of state and local income taxes, accrued interest on Discount Tax-Exempt Bonds may be deemed to be received in the year of accrual even though there will not be a corresponding cash payment.

The purchase price of certain Tax-Exempt Bonds (the “Premium Tax-Exempt Bonds”) paid by an owner may be greater than the amount payable on such bonds at maturity. An amount equal to the excess of a purchaser’s tax basis in a Premium Tax-Exempt Bond over the amount payable at maturity constitutes premium to such purchaser. The basis for federal income tax purposes of a Premium Tax-Exempt Bond in the hands of such purchaser must be reduced each year by the amortizable bond premium, although no federal income tax deduction is allowed as a result of such reduction in basis for amortizable bond premium. Such reduction in basis will increase the amount of any gain (or decrease the amount of any loss) to be recognized for federal income tax purposes upon a sale or other taxable disposition of a Premium Tax-Exempt Bond. The amount of premium that is amortizable each year by a purchaser is determined by using such purchaser’s yield to maturity (or, in some cases with respect to a callable Tax-Exempt Bond, the yield based on a call date that results in the lowest yield on the Tax-Exempt Bond). Purchasers of the Premium Tax-Exempt Bonds should consult with their own tax advisors with respect to the determination of amortizable bond premium on Premium Tax-Exempt Bonds for federal income tax purposes and with respect to the state and local tax consequences of owning and disposing of Premium Tax-Exempt Bonds.

Taxable Bonds

General. The delivery of the Taxable Bonds is subject to delivery of the opinion of Bond Counsel, based upon existing provisions of the laws of the State, that interest on the Taxable Bonds is exempt from personal income taxes of the State of California.

The following is a general summary of the United States federal income tax consequences of the purchase and ownership of the Taxable Bonds. The discussion is based upon laws, Treasury Regulations, rulings and decisions now in effect, all of which are subject to change or possibly differing interpretations. No assurances can be given that future changes in the law will not alter the conclusions reached herein. The discussion below does not purport to deal with United States federal income tax consequences applicable to all categories of investors. Further, this summary does not discuss all aspects of United States federal income taxation that may be relevant to a particular investor in the Taxable Bonds in light of the investor’s particular personal investment circumstances or to certain types of investors subject to special treatment under United States federal income tax laws (including insurance companies, tax exempt organizations, financial institutions, brokers-dealers, and persons who have hedged the risk of owning the Taxable Bonds). The summary is therefore limited to certain issues relating to initial investors who will hold the Taxable Bonds as “capital assets” within the meaning of section 1221 of the Code, and acquire such Taxable Bonds for investment and not as a dealer or for resale. Prospective investors should note that no rulings have been or will be sought from the IRS or the State of California with respect to any of the U.S. federal income tax consequences discussed herein, and no assurance can be given that the IRS or the State of California will not take contrary positions. A form of Bond Counsel’s anticipated opinion is included on page B-4 of Appendix B.

INVESTORS SHOULD CONSULT THEIR OWN TAX ADVISORS IN DETERMINING THE FEDERAL, STATE, LOCAL, FOREIGN AND ANY OTHER TAX CONSEQUENCES TO THEM FROM THE PURCHASE, OWNERSHIP AND DISPOSITION OF THE TAXABLE BONDS.

Payments of Stated Interest on the Taxable Bonds. The stated interest paid on the Taxable Bonds will be included in the gross income, as defined in section 61 of the Code, of the beneficial owners thereof and be subject to U.S. federal income taxation when received or accrued, depending on the tax accounting method applicable to the beneficial owners thereof.

Original Issue Discount. If a substantial amount of the Taxable Bonds of any stated maturity is purchased at original issuance for a purchase price (the “Issue Price”) that is less than their face amount by more than one quarter of one percent times the number of complete years to maturity, the Taxable Bonds of such maturity will be treated as being issued with “original issue discount.” The amount of the original issue discount will equal the excess of the principal amount payable on such Taxable Bonds at maturity over its Issue Price, and the amount of the original issue discount on the Taxable Bonds will be amortized over the life of the Taxable Bonds using the “constant yield method” provided in the Treasury Regulations. As the original issue discount accrues under the constant yield method, the beneficial owners of the Taxable Bonds, regardless of their regular method of accounting, will be required to include such accrued amount in their gross income as interest. This can result in taxable income to the beneficial owners of the Taxable Bonds that exceeds actual cash distributions to the beneficial owners in a taxable year.

The amount of the original issue discount that accrues on the Taxable Bonds each taxable year will be reported annually to the IRS and to the beneficial owners. The portion of the original issue discount included in each beneficial owner’s gross income while the beneficial owner holds the Taxable Bonds will increase the adjusted tax basis of the Taxable Bonds in the hands of such beneficial owner.

Premium. If a beneficial owner purchases a Taxable Bond for an amount that is greater than its stated redemption price at maturity, such beneficial owner will be considered to have purchased the Taxable Bond with “amortizable bond premium” equal in amount to such excess. A beneficial owner may elect to amortize such premium using a constant yield method over the remaining term of the Taxable Bond and may offset interest otherwise required to be included in respect of the Taxable Bond during any taxable year by the amortized amount of such excess for the taxable year. Bond premium on a Taxable Bond held by a beneficial owner that does not make such an election will decrease the amount of gain or increase the amount of loss otherwise recognized on the sale, exchange, redemption or retirement of a Taxable Bond. However, if the Taxable Bond may be optionally redeemed after the beneficial owner acquires it at a price in excess of its stated redemption price at maturity, special rules would apply under the Treasury Regulations which could result in a deferral of the amortization of some bond premium until later in the term of the Taxable Bond. Any election to amortize bond premium applies to all taxable debt instruments held by the beneficial owner on or after the first day of the first taxable year to which such election applies and may be revoked only with the consent of the IRS.

Medicare Contribution Tax. Pursuant to section 1411 of the Code, as enacted by the Health Care and Education Reconciliation Act of 2010, an additional tax is imposed on individuals beginning January 1, 2013. The additional tax is 3.8% of the lesser of (i) net investment income (defined as gross income from interest, dividends, net gain from disposition of property not used in a trade or business, and certain other listed items of gross income), or (ii) the excess of “modified adjusted gross income” of the individual over \$200,000 for unmarried individuals (\$250,000 for married couples filing a joint return and a surviving spouse). Holders of the Taxable Bonds should consult with their tax advisor concerning this additional tax, as it may apply to interest earned with respect to the Taxable Bonds as well as gain on the sale of a Taxable Bond.

Disposition of Taxable Bonds and Market Discount. A beneficial owner of Taxable Bonds will generally recognize gain or loss on the redemption, sale or exchange of a Taxable Bond equal to the difference between the redemption or sales price (exclusive of the amount paid for accrued interest) and the beneficial owner’s adjusted tax basis in the Taxable Bonds. Generally, the beneficial owner’s adjusted tax

basis in the Taxable Bonds will be the beneficial owner's initial cost, increased by the original issue discount previously included in the beneficial owner's income to the date of disposition. Any gain or loss generally will be capital gain or loss and will be long-term or short-term, depending on the beneficial owner's holding period for the Taxable Bonds.

Under current law, a purchaser of Taxable Bonds who did not purchase the Taxable Bonds in the initial public offering (a "subsequent purchaser") generally will be required, on the disposition of the Taxable Bonds, to recognize as ordinary income a portion of the gain, if any, to the extent of the accrued "market discount." Market discount is the amount by which the price paid for the Taxable Bonds by a subsequent purchaser is less than the sum of Issue Price and the amount of original issue discount previously accrued on the Taxable Bonds. The Code also limits the deductibility of interest incurred by a subsequent purchaser on funds borrowed to acquire Taxable Bonds with market discount. As an alternative to the inclusion of market discount in income upon disposition, a subsequent purchaser may elect to include market discount in income currently as it accrues on all market discount instruments acquired by the subsequent purchaser in that taxable year or thereafter, in which case the interest deferral rule will not apply. The re-characterization of gain as ordinary income on a subsequent disposition of Taxable Bonds could have a material effect on the market value of the Taxable Bonds.

Legal Defeasance. If the District elects to defease the Taxable Bonds by depositing in escrow sufficient cash and/or obligations to pay when due outstanding Taxable Bonds (a "legal defeasance"), under current tax law, a beneficial owner of Taxable Bonds may be deemed to have sold or exchanged its Taxable Bonds. In the event of such a legal defeasance, a beneficial owner of Taxable Bonds generally would recognize gain or loss in the manner described above. Ownership of the Taxable Bonds after a deemed sale or exchange as a result of a legal defeasance may have tax consequences different from those described above, and each beneficial owner should consult its own tax advisor regarding the consequences to such beneficial owner of a legal defeasance of the Taxable Bonds.

Backup Withholding. Under section 3406 of the Code, a beneficial owner of the Taxable Bonds who is a United States person, as defined in section 7701(a)(30) of the Code, may, under certain circumstances, be subject to "backup withholding" on payments of current or accrued interest on the Taxable Bonds. This withholding applies if such beneficial owner of Taxable Bonds: (i) fails to furnish to payor such beneficial owner's social security number or other taxpayer identification number ("TIN"); (ii) furnishes the payor an incorrect TIN; (iii) fails to report properly interest, dividends, or other "reportable payments" as defined in the Code; or (iv) under certain circumstances, fails to provide the payor with a certified statement, signed under penalty of perjury, that the TIN provided to the payor is correct and that such beneficial owner is not subject to backup withholding.

Backup withholding will not apply, however, with respect to payments made to certain beneficial owners of the Taxable Bonds. Beneficial owners of the Taxable Bonds should consult their own tax advisors regarding their qualification for exemption from backup withholding and the procedures for obtaining such exemption.

Withholding on Payments to Nonresident Alien Individuals and Foreign Corporations. Under sections 1441 and 1442 of the Code, nonresident alien individuals and foreign corporations are generally subject to withholding at the rate of 30% on periodic income items arising from sources within the United States, provided such income is not effectively connected with the conduct of a United States trade or business. Assuming the interest received by the beneficial owners of the Taxable Bonds is not treated as effectively connected income within the meaning of section 864 of the Code, such interest will be subject to 30% withholding, or any lower rate specified in an income tax treaty, unless such income is treated as portfolio interest. Interest will be treated as portfolio interest if: (i) the beneficial owner provides a statement to the payor certifying, under penalties of perjury, that such beneficial owner is not a United

States person and providing the name and address of such beneficial owner; (ii) such interest is treated as not effectively connected with the beneficial owner's United States trade or business; (iii) interest payments are not made to a person within a foreign country which the IRS has included on a list of countries having provisions inadequate to prevent United States tax evasion; (iv) interest payable with respect to the Taxable Bonds is not deemed contingent interest within the meaning of the portfolio debt provision; (v) such beneficial owner is not a controlled foreign corporation, within the meaning of section 957 of the Code; and (vi) such beneficial owner is not a bank receiving interest with respect to the Taxable Bonds pursuant to a loan agreement entered into in the ordinary course of the bank's trade or business.

Assuming payments with respect to the Taxable Bonds are treated as portfolio interest within the meaning of sections 871 and 881 of the Code, then no backup withholding under section 1441 and 1442 of the Code and no backup withholding under section 3406 of the Code is required with respect to beneficial owners or intermediaries who have furnished Form W-8BEN, Form W-8EXP or Form W-8IMY, as applicable, provided the payor does not have actual knowledge that such person is a U.S. person.

Foreign Account Tax Compliance Act. Sections 1471 through 1474 of the Code impose a 30% withholding tax on certain types of payments made to a foreign financial institution, unless the foreign financial institution enters into an agreement with the U.S. Treasury to, among other things, undertake to identify accounts held by certain U.S. persons or U.S.-owned entities, annually report certain information about such accounts, and withhold 30% on payments to account holders whose actions prevent it from complying with these and other reporting requirements, or unless the foreign financial institution is otherwise exempt from those requirements. In addition, the Foreign Account Tax Compliance Act ("FATCA") imposes a 30% withholding tax on the same types of payments to a non-financial foreign entity unless the entity certifies that it does not have any substantial U.S. owners or the entity furnishes identifying information regarding each substantial U.S. owner. Failure to comply with the additional certification, information reporting and other specified requirements imposed under FATCA could result in the 30% withholding tax being imposed on payments of interest and principal under the Taxable Bonds and sales proceeds of Taxable Bonds held by or through a foreign entity. In general, withholding under FATCA currently applies to payments of U.S. source interest (including OID) and will apply to "foreign pass-through payments" but no earlier than two years after the date of publication of final regulations defining the term "foreign pass-through payment." Prospective investors should consult their own tax advisors regarding FATCA and its effect on them.

Reporting of Interest Payments. Subject to certain exceptions, interest payments made to beneficial owners with respect to the Taxable Bonds will be reported to the IRS. Such information will be filed each year with the IRS on Form 1099 which will reflect the name, address, and TIN of the beneficial owner. A copy of Form 1099 will be sent to each beneficial owner of a Taxable Bond for U.S. federal income tax purposes.

LEGAL OPINION

The validity of the Bonds and certain other legal matters are subject to the approving opinions of Norton Rose Fulbright US LLP, Bond Counsel to the District. Complete copies of the proposed forms of Bond Counsel opinion are contained in Appendix B herein. Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Compensation to be paid to Bond Counsel, Disclosure Counsel, Municipal Advisor, the Underwriters and Underwriters' Counsel is contingent upon the issuance of the Bonds.

LEGALITY FOR INVESTMENT

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in California to the extent that the Bonds, in the informed opinion of the investing bank, are prudent for the investment of funds of depositors. Under provisions of the California Government Code, the Bonds are eligible to secure deposits of public moneys in California.

RATINGS

Moody's Investors Service, Inc. ("Moody's") and S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P") have assigned their municipal bond ratings of "Aa2" and "AA-" to the Bonds, respectively. Such ratings reflect only the views of S&P and Moody's, respectively, and an explanation of the significance of such ratings may be obtained as follows: S&P at Municipal Finance Department, 55 Water Street, New York, New York 10041, tel. (212) 208-8000 and Moody's, at 7 World Trade Center at 250 Greenwich Street, New York, New York 10007, tel. (212) 553-0300. The District furnished each rating agency with certain information and materials relating to the Bonds that may not be included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies and assumptions by rating agencies. A rating may be changed, suspended or withdrawn as a result of changes in, or unavailability of, information. There is no assurance that such ratings will continue for any given period of time or that they will not be revised downward or withdrawn entirely if, in the judgment of the rating agencies, circumstances so warrant. The District has not undertaken any responsibility to bring to the attention of the owners of the Bonds any proposed revision or withdrawal of a rating of the Bonds or to oppose any such proposed revision or withdrawal. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the Bonds.

LEGAL AND OTHER MATTERS

Continuing Disclosure

Current Undertakings. In accordance with the requirements of Rule 15c2-12 (the "Rule") promulgated by the SEC, the District will enter into a Continuing Disclosure Undertaking (the "Continuing Disclosure Undertaking") in the form of APPENDIX D hereto, on or prior to the sale of the Bonds in which the District will undertake, for the benefit of the Beneficial Owners of the Bonds, to provide certain financial information and operating data relating to the District (the "Annual Reports") by not later than nine months following the end of the District's fiscal year (which currently ends June 30), commencing with the report for fiscal year 2020-21, and to provide notices of the occurrence of certain listed events, as set forth therein. The covenants contained in the Continuing Disclosure Undertaking have been made to assist the Underwriters in complying with the Rule. See APPENDIX D – "FORM OF CONTINUING DISCLOSURE UNDERTAKING" hereto.

Prior Undertakings. The District has conducted a review of the compliance of the District, with their respective previous continuing disclosure undertakings pursuant to the Rule. This review has concluded that, within the past five years, in connection with the California Community College Financing Authority Lease Revenue Refunding Bonds, Series 2010B, issued in October of 2010 (in which the District was a participant along with Miracosta Community College District and Palomar Community College District), the filing of the associated Fiscal Year 2015-16 Audited Financial Statements and Annual Report, as well as the Fiscal Years 2015-16 and 2016-17 Budgets, were not properly attached to all outstanding original CUSIPs for the transaction. Missing filings have been made. Further, in connection with the District's refunding of its Election of 2008 General Obligation Bonds, Series C, while the District timely filed the Escrow Agreement and Notice of Redemption, it did not timely file the Notice of Defeasance.

The District has retained KNN Public Finance, LLC as its dissemination agent to assist it in preparing and filing the annual reports and notices of listed events required under its existing continuing disclosure obligations, as well as the undertaking entered into in connection with the Bonds.

Risks Related to COVID-19 Outbreak

The outbreak of the novel strain of coronavirus called COVID-19, which has been designated a global pandemic by the World Health Organization, is impacting local and global economies, as governments, businesses, and citizens react to, plan for, and try to prevent or slow further transmission of the virus. Financial markets, including the stock market in the United States and globally, have seen significant recent volatility and decline that have been attributed to COVID-19 concerns, economic output has fallen, and unemployment has increased. The California Department of Public Health and the United States Centers for Disease Control and Prevention have been providing regular updates and guidelines to the public and to State and local governments. On March 4, 2020, California Governor Gavin Newsom declared a state of emergency. In addition, stock markets in the U.S. and globally have seen significant volatility that have been attributed to coronavirus concerns. The District cannot predict the extent or duration of the outbreak or what impact it may have on the District's financial condition or operations of the District, or the assessed values of property within the District. See "SECURITY AND SOURCES OF PAYMENT — Assessed Valuation," and "-- Tax Rates, Levies, Collections and Delinquencies."

The District's Fall 2021 semester is currently operating with a combination of: (1) approximately 600 classes or 25% in-person classes at Southwestern College's Chula Vista campus, the National City and Otay Mesa Higher Education Centers and the Crown Cove Aquatic Center; (2) online classes with no set meeting times, learning is not live and class work is submitted/performed by weekly deadlines; and (3) remote classes with three (3) possibilities for instruction: (i) meeting virtually for all hours posted in the schedule; (ii) meeting virtually for some of the hours posted in the schedule; (iii) has no class meetings – all work is conducted online. Certain First Responder programs (Emergency Medical Technician, Paramedic, Dental Hygiene, Fire Technology and Nursing) have continuously been offered by the District in-person throughout the COVID pandemic. These programs train essential emergency and healthcare workers. Each program has an external accrediting body, e.g., the Board of Nursing, that demands clinical hours that cannot occur in a virtual environment. They will continue to be offered 'live.'

On March 17, 2020, the Governor signed Senate Bill 89 ("SB 89"), which amends the Budget Act of 2019 by appropriating \$500,000,000 from the State General Fund for any purpose related to executing the emergency proclamation issued by the Governor on March 4, 2020. On March 19, 2020, the Governor ordered all California residents to stay home or at their place of residence to protect the general health and well-being, except as needed to maintain continuity of 16 critical infrastructure sectors described therein (the "Stay Home Order").

On March 27, 2020 the Coronavirus Aid, Relief, and Economic Security Act (the "CARES Act") was signed by the President of the United States. The CARES Act appropriates over \$2 trillion to, among other things, (i) provide cash payments to individuals, (ii) expand unemployment assistance and eligibility, (iii) provide emergency grants and loans for small businesses, (iv) provide loans and other assistance to corporations, (v) provide funding for hospitals and community health centers, (vi) expand funding for safety net programs, including child nutrition programs, and (vii) provide aid to state and local governments. The CARES Act includes approximately \$14.25 billion in funding for higher education, including California community college districts, principally in the form of direct emergency aid to students and institutional grants. The CARES Act also waives a number of federal regulatory requirements to provide institutions greater flexibility in addressing the effects of the COVID-19 outbreak. The CARES Act addresses needs in multiple arenas, including the Higher Education Emergency Relief Fund (HEERF) which includes \$13.9

billion in “flexible funding” to help Institutions of Higher Education (IHEs) defray expenses and other fiscal impacts. The District received \$9,253,263 under the HEERF 18004(a)(1). The District spent the minimum of \$4,626,632 or 50% on direct student aid. A minimum of 50% of these funds must be distributed in direct aid to students. As a minority serving institution, the District received \$634,076 under HEERF 18004(1)(2) of the CARES Act. The District also received a \$881,598 COVID-19 Block Grant from the State of California and a \$718,199 COVID-19 Block grant from federal government.

On December 27, 2020 the Coronavirus Response and Relief Supplemental Appropriations Act (the “Coronavirus Response and Relief Act”) was signed by the President of the United States. The HEERF, implemented in the CARES Act, will receive an additional \$22.7 billion (“HEERF II funds”) under the Coronavirus Response and Relief Act, \$20.2 billion of which will be allocated to public and private non-profit institutions of higher education, including those institutions that serve students enrolled exclusively in distance education, to be distributed by an allocation formula which considers head count in addition to full-time equivalent enrollment. The allocation formula is a change from the CARES Act, which only used full-time equivalent enrollment. Public and private non-profit institutions can use HEERF II funding for lost revenue, reimbursement for expenses, technology costs associated with the shift to distance education, financial aid grants for students (including those exclusively enrolled in distance education), certain student support activities, and other qualifying purposes. Institutions who receive HEERF II funds must provide at least the same amount of funding in emergency financial aid grants to students as was required under the CARES Act. The District was awarded a total of \$19,762,638 in HEERF II funds. Of this amount, \$4.6 million must be used for direct student aid. The remaining amount may be used to reimburse lost revenue and cover expenses, including payroll, whether or not already incurred. The District will use these funds to balance its budget in fiscal years 2020-21 and 2021-22.

On March 11, 2021 the American Rescue Plan Act was signed into law by the President of the United States. This stimulus included \$39.6 billion in HEERF III funds. The HEERF III funds were allocated using essentially the same methodology as the previous two iterations and required institutions to allocate at least 50% of the funds to students in the form of emergency grants. Colleges are required to spend a portion of their HEERF III dollars implementing evidence-based practices to monitor and suppress the coronavirus in accordance with public health guidelines. Additionally, colleges are required to conduct outreach to students about the opportunity to appeal for additional financial aid due to the recent unemployment of a family member or other special circumstance. The District was awarded a total of \$34,261,440 in HEERF III funds. Of this amount, \$17.1 million must be used for direct student aid. The remaining amount may be used to reimburse lost revenue and cover expenses, including payroll, whether or not already incurred. The District will use these funds in fiscal years 2020-21 and 2021-22.

Supplemental awards for Minority Serving Institutions (MSI) were funded pursuant to section 2003 of the ARP and section 314 of the Coronavirus Response and Relief Supplemental Appropriations Act, 2021 (CRRSAA) (Pub. L. 116-260) and Title III-A of the CARES Act. The District received \$3.8 million in MSI funds. The total MSI amount may be used to reimburse lost revenue and cover expenses, including payroll, whether or not already incurred.

During certain emergency conditions, state regulations provide that a community college district may be provided an “emergency conditions allowance,” calculated to approximate the same general purpose apportionment that such district would have received in absence of the emergency. Emergency conditions are defined to include epidemics, an order from a city or county board of health or the State Board of Health, or another emergency declared by the State or federal government. Districts are required to demonstrate that the occurrence of the emergency condition prevented the district from maintaining its schools during a fiscal year for a period of 175 days, or caused the district’s general purpose apportionment to be materially decreased in that year or in subsequent years. To receive the emergency conditions allowance, a district must demonstrate to the satisfaction of the Chancellor that the district made good faith

efforts to avoid material decreases in general purposes apportionments. Community college districts may also seek a waiver of the 175-day requirement. The District filed for and was granted an emergency conditions allowance on May 12, 2020. On March 16, 2020, the Board of Governors of the California Community Colleges (the “Board of Governors”) granted the Chancellor temporary emergency powers to suspend or waive State regulatory requirements and local rules and regulations that present barriers to the continuity of educational services. This temporary grant was in addition to standing emergency powers the Chancellor has to hold community college districts financially harmless in the wake of campus closures. On May 12, 2021, the Chancellor extended the emergency conditions protections for one final year through 2021-22. In addition, the 2020 Budget Act extended the Student-Centered Funding Formula’s existing minimum revenue (hold harmless) provision by two years, through 2023-24, and the 2021 State Budget further extended the hold harmless provision through 2024-25. Under this provision, districts will earn at least their 2017-18 total computational revenue, adjusted by COLA each year, if applicable.

Other potential impacts to the District associated with the COVID-19 outbreak included, but are not limited to, increasing costs and challenges relating to establishing distance learning programs or other measures to permit instruction while District facilities remain closed, disruption of the regional and local economy with corresponding decreases in tax revenues (including property tax revenue, sales tax revenue and other revenues), potential declines in property values, and decreases in new home sales and real estate development. The economic consequences and the volatility in the U.S. and global stock markets resulting from the spread of COVID-19, and responses thereto by local, State, and the federal governments, could have a material impact on the investments in the State pension trusts, which could materially increase the unfunded actuarial accrued liability of the STRS Defined Benefit Program and PERS Schools Pool, which, in turn, could result in material changes to the District’s required contribution rates in future fiscal years. See “APPENDIX A – FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT—THE DISTRICT– Retirement Systems” herein.

The COVID-19 outbreak is ongoing, and the ultimate geographic spread of the virus, any variants, the duration and severity of the outbreak, and the economic and other of actions that may be taken by governmental authorities to contain the outbreak or to treat its impact are uncertain. The ultimate impact of COVID-19 on the District’s operations and finances is unknown. Additional information with respect to events surrounding the outbreak of COVID-19 and responses thereto can be found on State and local government websites, including but not limited to the State Governor’s office, the California Department of Public Health, the County, and the Chancellor’s Office. <https://www.gov.ca.gov/>; <https://www.cdph.ca.gov/>; <https://www.sandiegocounty.gov/>; <https://www.cccco.edu/About-Us/Chancellors-Office>. *The District has not incorporated by reference the information on such websites, and neither the District nor the Underwriters assume any responsibility for the accuracy of the information on such websites.* There can be no assurances that the spread of COVID-19, its variants, or the responses thereto by local, State, or the federal government, will not materially adversely impact the local, state and national economies or the assessed valuation of property within the District, or adversely impact enrollment or average daily attendance within the District and, notwithstanding Executive Order N-26-20 and the Stay Home Order, materially adversely impact the financial condition or operations of the District. **However, the Bonds are general obligations of the District payable solely from unlimited *ad valorem* property taxes and are not payable from the general fund of the District.**

Possible Limitations on Remedies; Bankruptcy

General. Following is a discussion of certain considerations in the event that the District should become a debtor in a bankruptcy proceeding. It is not an exhaustive discussion of the potential application of bankruptcy law to the District. The discussion is based on the United States Bankruptcy Code (“the Bankruptcy Code”) as now in effect and the few relevant judicial decisions to date. The Bankruptcy Code could be amended or construed differently in future judicial decisions (including as a result of possible

future decisions in the pending analogous insolvency proceedings for the Commonwealth of Puerto Rico). Any such action could affect the possible application of bankruptcy law to the District.

State law contains a number of safeguards to protect the financial solvency of community college districts. See “APPENDIX A – FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT.” If the safeguards are not successful in preventing a community college district from becoming insolvent, the Chancellor of the California Community Colleges (the “State Chancellor”), operating through a special trustee appointed by the State Chancellor, may be authorized under State law to file a petition under Chapter 9 of the United States Bankruptcy Code (the “Bankruptcy Code”) on behalf of the District for the adjustment of its debts, assuming that the District meets certain other requirements contained in the Bankruptcy Code necessary for filing such a petition. Under current State law, the District is not itself authorized to file a bankruptcy proceeding, and it is not subject to an involuntary bankruptcy proceeding.

Bankruptcy courts are courts of equity and as such have broad discretionary powers. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, bondholders may be prohibited from taking any action to collect any amount from the District (including *ad valorem* tax revenues) or to enforce any obligation of the District, without the bankruptcy court’s permission, except possibly as described below in the case of pledged “special revenues.” In such a proceeding, as part of its plan of adjustment in bankruptcy, the District may be able to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Bonds and other transaction documents related to the Bonds, including the obligation of the County and the District to raise taxes if necessary to pay the Bonds, if the bankruptcy court determines that the plan is fair, equitable, not unfairly discriminatory to creditors as a whole, is in the best interests of creditors and otherwise complies with the Bankruptcy Code. There also may be other possible effects of a District bankruptcy proceeding that could result in delays or reductions in payments on the Bonds. Regardless of any specific adverse determinations in any District bankruptcy proceeding, the fact of a District bankruptcy proceeding could have an adverse effect on the liquidity and market price of the Bonds.

Limitations on Plans of Adjustments. Chapter 9 of the Bankruptcy Code does not limit or impair the power of a state to control, by legislation or otherwise, a political subdivision of the state in the exercise of its political or governmental powers, including expenditures for the exercise. In addition, Chapter 9 prevents a bankruptcy court from interfering with the political or governmental powers of a political subdivision debtor, any of its property or revenues or the use or enjoyment of its income producing property, unless the political subdivision debtor confirms a plan of adjustment to that effect or consents to that action. State law provides that *ad valorem* taxes may be levied to pay the principal of and interest on the Bonds and other voted general obligation bonds of the District in an unlimited amount, and that proceeds of such a levy must be used for the payment of principal of and interest on the District’s general obligation bonds, including the Bonds, and for no other purpose. Under State law, the District’s share of the 1% limited tax imposed by the County is the only *ad valorem* tax revenue that may be raised and expended to pay liabilities and expenses of the District other than its voter-approved debt, such as its general obligation bonds. If the District should become a debtor in a Chapter 9 proceeding, then it must propose a plan of adjustment of its debts. The plan may not become effective until confirmed by the bankruptcy court.

The court may not confirm a plan unless it finds, among other conditions, that the District is not prohibited by law from taking any action necessary to carry out the plan, and that the plan is fair, equitable, does not unfairly discriminate among creditors as a whole, is in the best interests of creditors, and is feasible. If the State law restriction on the levy and expenditure of *ad valorem* taxes is respected in a bankruptcy case, then *ad valorem* tax revenue levied by the County for prepayment of the Bonds could not be used by the District for any purpose under its plan other than to make payments on the Bonds and its other voted

general obligation bonds. It is possible, however, that a bankruptcy court could conclude that the restriction is not required to be respected in a confirmed plan.

Statutory Lien. Pursuant to Senate Bill 222 (2015) (“SB 222”) that became effective on January 1, 2016, all general obligation bonds issued by local agencies, including the Bonds, are secured by a statutory lien on all revenues received pursuant to the levy and collection of the *ad valorem* taxes. SB 222 provides that the lien will automatically arise, without the need for any action or authorization by the local agency or its governing board, and will be valid and binding from the time the bonds are issued. As a result, the lien on debt service taxes will continue to be valid with respect to post-petition receipts of debt service taxes, should the District become a Chapter 9 debtor. The automatic stay provisions of the Bankruptcy Code would apply, however, thereby preventing bondholders from enforcing their rights to payment from such taxes (with the result that any payments becoming due and owing on the Bonds during the pendency of the Chapter 9 proceeding could be delayed), except as described under “--Special Revenues” below. It is also possible that the bankruptcy court could approve an alternate use of such taxes, if the bondholders are afforded protection that the court determines to be adequate.

Special Revenues. If the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be “special revenues” within the meaning of the Bankruptcy Code, then the application by the County (or others with possession) of pledged *ad valorem* tax revenues that are collected after the date of the bankruptcy filing should not be subject to the automatic stay, and bondholders may be able to compel their immediate use to pay debt service, subject to the matters discussed below, including a recent decision by the United States Court of Appeals for the First Circuit.

“Special revenues” are defined to include, among others, taxes specifically levied to finance one or more projects or systems of the debtor, but excluding receipts from general property, sales, or income taxes levied to finance the general purposes of the debtor. The District has specifically pledged the *ad valorem* taxes for payment of the Bonds. The Bonds and the District’s other general obligation bonds were approved at elections held on propositions that described the projects for which such bonds may be issued. As noted above, State law prohibits the use of the proceeds of the District’s debt service tax for any purpose other than payment of its general obligation bonds, and the bond proceeds may only be used to fund the acquisition or improvement of real property and other capital expenditures included in the proposition, so such tax revenues appear to fit the definition of special revenues. However, there is no binding judicial precedent dealing with the treatment in bankruptcy proceedings of *ad valorem* tax revenues collected for the payment of general obligation bonds in California, so no assurance can be given that a bankruptcy court would not hold otherwise.

Even if the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be “special revenues” within the meaning of the Bankruptcy Code, bondholders may not be able to compel that they be used to pay debt service during the pendency of a Chapter 9 proceeding. While the application of special revenues is exempt from the automatic stay by Section 922(d) of the Bankruptcy Code, the United States Court of Appeals for the First Circuit has interpreted that section to exempt only voluntary applications by the debtor and voluntary applications by creditors or others of property in their possession, and not to exempt actions by creditors to compel an application by others, and has held that a bankruptcy court lacks authority to compel the application of special revenues. *In re: The Financial Oversight and Management Board for Puerto Rico*, 919 F.3d 121 (1st Cir. 2019). The U.S. Supreme Court declined to review the First Circuit decision. If the First Circuit’s interpretation is upheld and applied by courts in the Ninth Circuit and the State Superintendent (or State-appointed administrator) were to file a petition to initiate a Chapter 9 proceeding in respect of the District, the bondholders would be stayed from seeking to compel the application of pledged *ad valorem* taxes to pay debt service on the Bonds during the pendency of the proceeding (in either federal or state court), if the County failed to do so as required by State law or was instructed not to do so by the District, which would leave bondholders with only state

court remedies. Accordingly, even if the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be “special revenues,” a Chapter 9 proceeding could result in a substantial delay in the payment of debt service, if the County failed to apply pledged *ad valorem* taxes to pay debt service on the Bonds.

In addition, the Bankruptcy Code provides that any consensual lien on special revenues “derived” from a project or system is subject to necessary operating expenses of the project or system. This rule applies regardless of the provisions of transaction documents. If a bankruptcy court were to conclude that the District’s tax collections are “derived” from a District project or system, then even if pledged *ad valorem* tax revenues are determined to be “special revenues,” the court could determine that such revenues may not be ordered (by itself or a state court) to pay debt service to the extent that they are needed to pay necessary operating expenses of the District and may lawfully be applied for that purpose.

Possession of Tax Revenues; Remedies. If the County or the District goes into bankruptcy and has possession of tax revenues (whether collected before or after commencement of the bankruptcy), and if the County or the District, as applicable, does not voluntarily pay such tax revenues to the owners of the Bonds, it is not clear what procedures the owners of the Bonds would have to follow to attempt to obtain possession of such tax revenues, how much time it would take for such procedures to be completed, or whether such procedures would ultimately be successful.

Amounts Held in County Treasury Pool. The County on behalf of the District is expected to be in possession of the annual *ad valorem* property taxes and certain funds to repay the Bonds and may invest these funds in the County’s Treasury Pool, as described in “SECURITY FOR AND SOURCES OF PAYMENT FOR THE BONDS” and “APPENDIX F – THE SAN DIEGO COUNTY INVESTMENT POOL.” Should those investments suffer losses, there may be delays or reductions in payments on the Bonds.

Opinion of Bond Counsel Qualified. The proposed form of opinion of Bond Counsel, attached hereto as APPENDIX B, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor’s rights.

Cybersecurity Risks

The District, like many other public and private entities, relies on computer and other digital networks and systems to conduct its operations. As a recipient and provider of personal, private or other electronic sensitive information, the District is potentially subject to multiple cyber threats including, but not limited to, hacking, viruses, malware and other attacks on computer and other sensitive digital networks and systems. Entities or individuals may attempt to gain unauthorized access to the District’s systems for the purposes of misappropriating assets or information or causing operational disruption or damage.

The District has never had a major cyber breach that resulted in a financial loss. There can be no assurance that the District’s security efforts to manage cyber threats and attacks will, in all cases, be successful in thwarting future breaches or that any such attack will not materially impact the operations or finances of the District. Successful breaches could result in, for example, unauthorized access to, disclosure, modification, misuse, theft, loss, or destruction of student or other third party data; the loss of access to critical data or systems through ransomware, destructive attacks or other means; unauthorized transfers of District funds; and delays, service or system disruptions or denials of service.

UNDERWRITING

Purchase of Bonds. Morgan Stanley & Co. LLC, RBC Capital Markets, LLC and Mischler Financial Group, Inc., as underwriters (the “Underwriters”), have agreed to purchase the Bonds from the District at the purchase price of \$286,110,251.93 (being the aggregate principal amount of the Bonds, \$257,620,000.00, plus net premium of \$29,389,062.45, and less an Underwriters’ discount of \$898,810.52), at the rates and yields shown on the inside cover pages hereof.

The Purchase Contract for the Bonds provides that the Underwriters will purchase all of the respective Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in said agreements, the approval of certain legal matters by counsel and certain other conditions. The Underwriters may offer and sell Bonds to certain dealers and others at prices lower than the offering prices stated on the inside cover pages. The offering prices may be changed from time to time by the Underwriters.

Underwriter Disclosures. The Underwriters have provided the following information for inclusion in this Official Statement. The District does not guarantee the accuracy or completeness of the following information, and the inclusion thereof should not be construed as a representation of the District.

Morgan Stanley & Co. LLC, an underwriter of the Bonds, has entered into a distribution agreement with its affiliate, Morgan Stanley Smith Barney LLC. As part of the distribution arrangement, Morgan Stanley & Co. LLC may distribute municipal securities to retail investors through the financial advisor network of Morgan Stanley Smith Barney LLC. As part of this arrangement, Morgan Stanley & Co. LLC may compensate Morgan Stanley Smith Barney LLC for its selling efforts with respect to the Bonds.

The Underwriters and their affiliates are full service financial institutions engaged in various activities, which may include securities trading, commercial and investment banking, financial advisory, investment management, principal investment, hedging, financing and brokerage services. The Underwriters and their affiliates have, from time to time, performed, and may in the future perform, various financial advisory and investment banking services for the District for which they received or will receive customary fees and expenses. In the ordinary course of their various business activities, the Underwriters and their affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities, which may include credit default swaps) and financial instruments (including bank loans) for their own account and for the accounts of their customers and may at any time hold long and short positions in such securities and instruments. Such investment and securities activities may involve securities and instruments of the District. The Underwriters and their affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

MUNICIPAL ADVISOR

KNN Public Finance, LLC is employed as Municipal Advisor to the District in connection with the issuance of the Bonds. The Municipal Advisor’s compensation for services rendered with respect to the sale of the Bonds is contingent upon the issuance and delivery of the Bonds. KNN Public Finance, LLC, in its capacity as Municipal Advisor, does not assume any responsibility for the information, covenants and representations contained in any of the legal documents with respect to the federal income status of the Bond, or the possible impact of any present, pending or future actions taken by any legislative or judicial bodies.

The Municipal Advisor to the District has provided the following sentence for inclusion in this Official Statement. The Municipal Advisor has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to the District and, as applicable, to investors under the federal securities laws as applied to the facts and circumstance of this transaction, but the Municipal Advisor does not guarantee the accuracy or completeness of such information.

NO LITIGATION

No litigation is pending or threatened concerning the validity of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District's ability to receive *ad valorem* property taxes or to collect other revenues or contesting the District's ability to issue the Bonds.

[Remainder of page intentionally left blank.]

OTHER INFORMATION

References are made herein to certain documents and reports which are brief summaries thereof which do not purport to be complete or definitive and reference is made to such documents and reports for full and complete statements of the contents thereof. Copies of the Resolutions are available upon request from the offices of the Assistant Superintendent/Vice President, Business and Financial Affairs, Southwestern Community College District, 900 Otay Lakes Road, Chula Vista, California 91910. A fee may be charged for copying and handling.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not be construed as a contract or agreement between the District and the purchasers or owners of any of the Bonds.

The execution and delivery of this Official Statement has been duly authorized by the District.

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By: /s/ Dr. Kelly Hall
Assistant Superintendent/Vice President for Business
and Financial Affairs

APPENDIX A
FINANCIAL AND DEMOGRAPHIC INFORMATION
OF THE DISTRICT

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APPENDIX A

FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT

This Appendix A provides information concerning the operations and finances of the Southwestern Community College District (the “District”). The Bonds are general obligation bonds of the District, secured and payable from ad valorem property taxes assessed on taxable properties within the District. The Bonds are not an obligation of the San Diego County (the “County”), the State of California or any of its other political subdivisions or of the general fund of the District. Prospective purchasers of the Bonds should be aware that the following discussion of the financial condition of the District, its fund balances, budgets and obligations, is intended as general information only, and no implication is made that the payment of principal of or interest on the Bonds is dependent in any way upon the District’s financial condition. The District neither receives nor accounts for ad valorem tax revenues collected by the County to pay debt service on the Bonds (or its other general obligation bonds) in the following tables or in its annual financial statements. Pursuant to Section 15251 of the California Education Code, all tax revenues collected for payment of debt service on the Bonds must be deposited into the County treasury to the credit of the debt service fund of the District. The Bonds are and will continue to be payable solely from ad valorem taxes levied and collected by the County within the boundaries of the District. See the body of this Official Statement under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

THE DISTRICT

District General Information

The District was established in 1961 and provides higher education in the County. The District operates one campus, Southwestern College in the City of Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa, along with the Crown Cove Aquatic Center. The District’s territory encompasses approximately 162 square miles. The College is fully accredited by the Accrediting Commission for Community and Junior Colleges (“ACCJC”). For fiscal year 2019-20, the District budgeted its FTES (defined herein) count at 14,840 students. The actual funded 2019-20 FTES is approximately 14,209. (The total FTES for fiscal year 2019-20 is 15,061. The District received additional funding as a result of the California Community College Chancellor’s emergency conditions allowance due to COVID-19.) Taxable property within the District has a fiscal year 2021-22 assessed valuation of \$65,864,928,131.

General information regarding the City of Chula Vista and the County is provided in Appendix G to the Official Statement. See APPENDIX G - “GENERAL INFORMATION REGARDING THE CITY OF CHULA VISTA AND SAN DIEGO COUNTY” attached to the Official Statement.

District Organization

The District is governed by a five-member Governing Board (the “Governing Board”). The members of the Governing Board are elected at-large to overlapping four-year terms at elections held in staggered years. If a vacancy arises during any term, the vacancy is filled by either an appointment by the majority vote of the remaining members of the Governing Board or by a special election. Each December, the Governing Board elects a President and a Vice President to serve one-year terms. The years in which the current terms for each member of the Governing Board expire are set forth below:

**SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
GOVERNING BOARD**

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Leticia Cazares	President	November 2022
Roberto Alcantar	Vice President	November 2024
Griselda A. Delgado	Member	November 2024
Don Dumas	Member	November 2022
Kirin Macapugay	Member	November 2022
Mae Perez	Student Trustee	June 2022

Key Personnel

The following is a listing of the key administrative personnel of the District:

<u>Name</u>	<u>Title</u>
Dr. Mark Sanchez	Superintendent/President
Dr. Kelly Hall	Assistant Superintendent/Vice President for Business and Financial Affairs
Dr. Minou Djawdan Spradley	Assistant Superintendent/Vice President for Academic Affairs
Janene McIntyre	Assistant Superintendent/Vice President for Human Resources
Dr. Tina King	Assistant Superintendent/Vice President for Student Affairs

The Superintendent/President of the District is appointed by the Governing Board and is responsible for administering the affairs of the District in accordance with the policies of the Governing Board.

Brief biographies of the Superintendent/President and the Assistant Superintendent/Vice President for Business and Financial Affairs follow:

Dr. Mark Sanchez, Superintendent/President. Dr. Sanchez became President of Southwestern Community College District in February 2021, after the retirement of Dr. Kindred Murillo. He has over twenty years of experience in community college leadership, teaching and instruction and workforce development. Previously, Dr. Sanchez was the Assistant Superintendent/Vice-President of Student Success and Support Programs at Cuesta college, part of the San Luis Obispo Community College District. He graduated from Southwestern College, completed his Bachelor of Arts at Point Loma Nazarene University and his Masters of Arts Education and Doctorate in Educational Leadership at California State University, Fresno.

Dr. Kelly Hall, Assistant Superintendent/Vice President for Business and Financial Affairs. Prior to her appointment at the District, Dr. Hall was with College of the Desert for over 15 years in a variety of leadership roles. Before moving into higher education, she was the Chief Financial Officer at Western Railroad Supply, Inc., in San Bernardino, California. Dr. Hall is a Certified Public Accountant who earned a Bachelor of Science in Business Administration with a focus in Accounting, *Suma Cum Laude*. She also holds an MBA in Corporate Management and a PhD in Management and Organizations.

Accreditation

The ACCJC is one of seven institutional accrediting bodies recognized by the Commission on Recognition of Postsecondary Accreditation and the U.S. Department of Education. Accreditation is a voluntary system of self-regulation developed to evaluate overall educational quality and institutional effectiveness and to provide public assurance of the quality of education based upon such evaluation. Each institution affiliated with ACCJC voluntarily accepts the obligation to participate in a seven-year cycle of evaluation that requires a comprehensive evaluation visit by an external team of peers. The cycle includes a mandatory midterm report in the third year as well as any other reports requested by ACCJC.

The District has maintained its accredited status since it opened in 1961. Its last comprehensive evaluation was September 28 - October 1, 2015 and its next comprehensive evaluation is currently scheduled for Fall 2021. Accreditation reports are available on the District's website. Information made available on such website is not incorporated herein by reference.

District Employees

The District currently employs 1,416 faculty and staff members. Six hundred forty-eight District employees are full-time. Full-time staff members include 243 certificated professionals, 321 classified employees, 53 administrators, 18 confidential employees, and 13 non-represented staff members. The District also employs 736 part-time faculty and 24 part-time staff (not including student workers). Of the 1,416 faculty and staff members, 1,377 are members of a bargaining unit.

<u>Labor Organization</u>	<u>Number of Employees Represented</u>		<u>Contract Expiration</u>
	<u>Full-Time</u>	<u>Part-Time</u>	
Southwestern College Education Association (SCEA)	243	736	6/30/2024
California School Employees' Association (CSEA)	321	24	4/30/2021 ⁽¹⁾
Southwestern Community College District Administrators Association (SCCDAA)	53	0	6/30/2022

⁽¹⁾ Members of this bargaining unit are working under the terms of their existing contract during negotiations.
Source: The District.

Insurance

The District maintains insurance or self-insurance in such amounts and with such retentions and other terms providing coverages for property damage, fire and theft, general public liability and worker's compensation as are adequate, customary and comparable with such insurance maintained by similarly situated community college districts. In addition, based upon prior claims experience, the District believes that the recorded liabilities for self-insured claims are adequate.

The District participates in a joint powers agreement ("JPA") entity called the Statewide Association of Community Colleges ("SWACC"). The relationship between the District and the JPA is such that the JPA is not a component unit of the District for financial reporting purposes. The JPA is governed by a board consisting of a representative from each member district. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC. This entity has budgeting and financial reporting requirements independent of member units.

Based upon prior claims experience, the District believes it has adequate insurance coverage through the JPAs and its own self-insurance.

District Enrollment

The table below sets forth the funded Resident Full-Time Equivalent Students (“FTES”) for the District for the Fiscal Years ending June 30, 2015 through 2021.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Full-Time Equivalent Students
Fiscal Years Ending 2014-15 through 2020-21

Fiscal Year	Resident Total FTES
2014-15	15,409.89
2015-16	13,767.43
2016-17	15,877.07
2017-18	13,317.72
2018-19 ⁽¹⁾	14,694.29
2019-20 ⁽¹⁾	14,209.08
2020-21 ⁽²⁾	14,900.00

⁽¹⁾ The District received additional funding under the Hold Harmless provision of the SCFF in Fiscal Years 2018-19 and 2019-20.

⁽²⁾ Projected. The District elected an emergency conditions allowance. See “THE DISTRICT - District General Information” and “LEGAL AND OTHER MATTERS - Risks Related to COVID-19 Outbreak” herein.
Source: California Community College Chancellor’s Office FTES Report and the District.

District Investments

The Treasurer-Tax Collector (the “Treasurer”) of the County manages, in accordance with California Government Code Section 53600 *et seq.*, funds deposited with the Treasurer by County school and community college districts, various special districts, and some cities within the State. State law generally requires that all moneys of the County, school and community college districts and certain special districts be held in the County’s Treasury Pool.

The composition and value of investments under management in the Treasury Pool vary from time to time depending on cash flow needs of the County and public agencies invested in the pool, maturity or sale of investments, purchase of new securities, and due to fluctuations in interest rates generally.

For a further discussion of the Pooled Investment Fund, see APPENDIX F - “THE SAN DIEGO COUNTY INVESTMENT POOL” hereto.

Financial Statements of the District

The District’s General Fund finances the legally authorized activities of the District. General Fund revenues are derived from such sources as State fund apportionments, taxes, use of money and property, charges for current services, aid from other governmental agencies and other revenue. The General Fund of the District is a combined fund comprised of moneys which are unrestricted and available to finance the legally authorized activities of the District and restricted funds and moneys which are restricted to specific types of programs or purposes. Certain information from the District’s financial statements follows. The District’s audited financial statements for fiscal year ended June 30, 2020 are attached hereto as

APPENDIX C. The District has not requested and its auditor has not provided any review or update of such statements in connection with the inclusion thereof in this Official Statement.

The financial statements included herein were prepared by the District using information from the Annual Financial Reports which are prepared by the District and audited by independent certified public accountants each year. The data included in this Official Statement for the District beyond fiscal year 2019-20 is unaudited and has not been reviewed by the District's independent certified public accountants.

Accounting Practices

The accounting policies of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California Community Colleges Budget and Accounting Manual. Revenues are recognized in the period in which they become both measurable and available to finance expenditures of the current fiscal period. Expenditures are recognized in the period in which the liability is incurred.

The financial resources of the District are divided into separate funds for which separate accounts are maintained for recording cash, other resources and all related liabilities, obligations and equities. The major fund classification is the general fund, which accounts for all financial resources not required to be accounted for in another fund. The District's fiscal year begins on July 1 and ends on June 30. All governmental funds and fiduciary funds are maintained on the accrual basis of accounting, and so revenues are recognized when earned, and expenses are recorded when an obligation has been incurred. Property taxes are recognized in the year in which they are levied. For more information on the District's accounting method, see "APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020" hereto.

The Governmental Accounting Standards Board ("GASB") published its Statement No. 34 "Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments" on June 30, 1999. GASB No. 34 provides guidelines to auditors, state and local governments and special purpose governments such as school districts, community college districts and public utilities, on new requirements for financial reporting for all governmental agencies in the United States. Generally, the basic financial statements and required supplementary information should include (i) Management's Discussion and Analysis; (ii) financial statements prepared using the economic measurement focus and the accrual basis of accounting; (iii) fund financial statements prepared using the current financial resources measurement focus and the modified accrual method of accounting; and (iv) required supplementary information.

The District's Audited Financial Statements for the Fiscal Year Ended June 30, 2020 were prepared by The Pun Group, LLP, San Diego, California, and are attached as APPENDIX C.

The District considers its audited financial statements to be public information, and accordingly, no consent has been sought or obtained from the auditor in connection with the inclusion of such statements in this Official Statement. The auditor has made no representation in connection with inclusion of the audit in this Official Statement.

Budgets of District; State Chancellor Oversight

The fiscal year of the District begins on the first day of July of each year and ends on the 30th day of June of the following year. On or before July 1* of each year the District adopts a fiscal line-item budget setting forth expenditures in priority sequence so that appropriations during the fiscal year can be adjusted if revenues do not meet projections.

The District is required by provisions of the California Education Code to maintain a balanced budget each year, where the sum of expenditures plus the ending fund balance cannot exceed the revenues plus the carry-over fund balance from the previous year. The State Chancellor imposes a uniform budgeting format for each community college district in the State.

State law grants to the Board of Governors of the California Community Colleges and to the State Chancellor certain oversight with respect to the budget development process and financial reporting of community college districts. Pursuant to California Education Code Section 84040 *et seq.* and the California Code of Regulations Section 58310 *et seq.*, the chief executive officer or other designee of the governing board of each community college district is required to regularly report the financial condition of such community college district to the governing board thereof. Further, the chief executive officer or other designee is required to submit reports showing the financial and budgetary conditions of its community college district, including outstanding obligations, to the governing board at least once every three months. Each community college district is also required to submit a copy of a certified quarterly report to the appropriate county office of education and the State Chancellor no later than forty-five days following the completion of such quarter. The State Chancellor is required to develop and maintain procedures for the administration of fiscal monitoring of community colleges districts pursuant to the California Education Code Section 84040 *et seq.*

In the event that a community college district's financial information indicates to the State Chancellor a high probability that, absent corrective actions, the district will need an emergency apportionment within three years or that the district is not in compliance with the principles of sound fiscal management as set forth in the California Code of Regulations, the State Chancellor has the authority to further intervene in the affairs of the district. The State Chancellor may, among other things, require additional reports from a community college district, require such community college district to respond to specific concerns or direct the community college district to adopt a detailed plan for fiscal stability and an educational plan which shows the impact of the fiscal plan on such community college district's educational program.

The California Code of Regulations grants the State Chancellor the authority to take certain actions if the State Chancellor determines that a community college district's plans are inadequate to solve the financial problems or to implement the principles of sound fiscal management, such community college district substantially fails to implement the plans, or if a college operated by such community college district is in imminent jeopardy of losing its accreditation which would create severe fiscal problems. The State Chancellor may, among other thing, (i) conduct a comprehensive management review of a community college district and its educational programs and an audit of the financial condition of such community college district; (ii) direct a community college district to amend and readopt the fiscal and educational plans based on the findings of the comprehensive audits; (iii) review and monitor the implementation of the plans and direct a community college district to make any further modifications to the fiscal and educational plans he or she deems necessary for such community college district's achievement of fiscal stability; (iv) appoint or assign a special trustee (a "Special Trustee"). The Special Trustee, if appointed, may review and

* Due to the COVID-19 pandemic, the District's Tentative Budget adoption was extended to July 14, 2020. Often, there are significant changes made in the budget planning process between adoption of the Tentative Budget and the final budget, known as the "Adopted Budget" in September.

monitor plans, reports, and other financial material, and may modify the fiscal and educational plans, review and prioritize expenditures in order to further the community college district's achievement of fiscal stability, approve or disapprove actions of such community college district which affect or relate to the implementation of the fiscal and educational plans. The Special Trustee may assume management and control of a community college district if authorized by the Board of Governors based on the recommendation of the State Chancellor. The State Chancellor may authorize the Special Trustee to exercise such powers as are approved by the Board of Governors for a period of no more than one year, unless the Board of Governors approves one or more one-year extensions.

In the event the State Chancellor deems that the aforementioned procedures have not stabilized the financial condition of a community college district, the State Chancellor may seek an appropriation for an emergency apportionment to be repaid over a period of three years. However, the State Chancellor is not authorized to approve any diversion of revenue from *ad valorem* taxes levied to pay debt service on district general obligation bonds.

In the event the State elects to provide an emergency appropriation to a community district, such appropriation may be accomplished through the issuance of "State School Fund Apportionment Lease Revenue Bonds" to be issued by the California Infrastructure and Economic Development Bank, on behalf of the community college district. State law provides that so long as such bonds are outstanding, the recipient community college district cannot file for bankruptcy.

District Finances

The following table describes the District's audited financial results for the fiscal years 2017-18 through 2019-20 and the District's adopted budgets for the fiscal years 2017-18 through 2020-21.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
2017-18 through 2020-21 Budgets and
2017-18 through 2019-20 Audited Actual Results
Combined General Fund

	2017-18		2018-19		2019-20		2020-21
	<u>Budget</u>	<u>Actuals</u>	<u>Budget</u>	<u>Actuals</u>	<u>Revised Budget</u>	<u>Actuals</u>	<u>Budget</u>
REVENUES:							
Federal	\$ 3,524,856	\$ 4,044,343	\$ 3,524,856	\$ 4,394,379	\$ 4,738,923	\$ 6,154,893	\$ 8,532,262
State	79,546,723	85,858,949	79,546,723	86,123,619	87,899,389	90,386,351	88,689,642
Local	38,361,531	37,690,122	37,539,398	40,625,288	44,071,327	41,400,346	43,467,452
Total Revenues	\$121,433,110	\$127,593,414	\$120,610,977	\$131,143,286	\$136,709,639	\$137,941,590	\$140,689,356
EXPENDITURES:							
Academic Salaries	\$ 47,095,682	\$ 46,542,095	\$ 46,095,682	\$ 49,025,587	\$ 51,881,971	\$ 53,353,853	\$ 51,277,526
Classified Salaries	30,487,654	29,844,559	30,487,654	32,739,131	33,299,348	34,088,756	35,177,537
Employee Benefits	23,047,422	25,678,682	24,047,422	27,803,784	29,622,983	32,094,171	30,765,579
Supplies and Materials	4,979,376	4,016,511	4,979,376	3,810,811	5,272,559	3,330,634	5,737,919
Other Operating Expenses and Services	12,018,705	12,482,976	12,018,705	15,157,118	17,081,116	15,198,679	20,644,231
Capital Outlay	476,979	767,959	476,979	775,311	935,213	570,532	605,322
Total Expenditures	\$118,105,818	\$119,332,782	\$118,105,818	\$129,311,742	\$138,093,190	\$138,636,625	\$144,208,114
Excess (Deficiency)	3,327,292	8,260,632	2,505,159	1,831,544	(1,383,551)	(695,035)	(3,518,758)
Other Financing Sources	0	1,042,706	822,133	1,360,996	0	1,346,587	0
Other Outgo	4,327,292	3,088,822	4,327,292	2,478,122	3,204,513	3,893,595	4,199,708
Change in Fund Balance	(1,000,000)	6,214,516	(1,000,000)	714,418	(4,588,064)	(3,242,043)	(7,718,466)
Beginning Fund Balance July 1	14,122,863	14,122,863	20,337,379	20,337,379	20,913,925	20,913,925	17,671,981
Prior Years Adjustments		0		(137,872)		99	
Adjusted Beginning Balance		14,122,863		20,199,507		20,914,024	
Ending Fund Balance June 30	\$13,122,863	\$20,337,379	\$19,337,379	\$20,913,925	\$16,325,861	\$17,671,981	\$9,953,515

Source: California Community College Chancellor's Office 311 Report and the District.

Southwestern College Foundation

The Southwestern College Foundation (the “Foundation”) is a not-for-profit public benefit corporation organized under Section 501(c)(3) of the Code. The Foundation was established in 1982 to support the District and its students, specifically by providing scholarships to students and contributing directly to the District. Under GASB rules, the Foundation is a component unit of the District for financial reporting purposes. As of the June 30, 2020 Financial Audit, the Foundation had total net assets valued at \$1,955,948. The Foundation contributed \$1,072,428 in fiscal year 2019-20 to District campus activities, scholarships and awards.

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Anticipated Cash-Flow Borrowing

The District undertook a temporary cash flow borrowing of \$14.5 million by the District's participation in the California Community College Financing Authority 2020-21 tax and revenue anticipation notes program to contend with State deferral of payments to local education agencies, including the District. Such tax and revenue anticipation notes were issued on April 7, 2021 and will mature on January 31, 2022.

Long-Term Debt

A schedule of the District's changes in long-term debt for the fiscal year ended June 30, 2020 is shown below:

	Balance June 30, 2019	Additions	Reductions	Balance June 30, 2020	Due Within One Year
Bonds Payable					
Lease Revenue Bonds	\$ 695,000		\$ (100,000)	\$ 595,000	\$ 105,000
G.O. Bond 2004	12,993,974		-	12,993,974	-
G.O. Bond 2008, Series C	65,490,370		(440,000)	65,050,370	545,000
G.O. Bond 2008, Series D	115,984,325 ⁽¹⁾		-	115,984,325 ⁽¹⁾	276,219
G.O. Bond 2015, Refunding	21,040,000		(2,230,000)	18,810,000	2,460,000
G.O. Bond 2016, Refunding Series A	3,400,000		-	3,400,000	1,600,000
G.O. Bond 2016, Refunding Series B	84,335,000		-	84,335,000	-
G.O. Bond 2016, Series A	127,900,000		(13,350,000)	114,550,000	10,790,000
Unamortized premium	<u>32,091,206</u>		<u>(2,107,575)</u>	<u>29,983,631</u>	<u>-</u>
Total bonds payable	\$463,929,875		(18,227,575)	\$445,702,300	\$15,776,219
Compensated absences	3,061,828	\$3,048,991	(2,107,791)	4,003,028	2,500,000
Total Long-Term Obligations	<u>\$466,991,703</u>	<u>\$3,048,991</u>	<u>\$(20,335,366)</u>	<u>\$449,705,328</u>	<u>\$18,276,219</u>

⁽¹⁾ Displayed balance as stated in the District's Audited Financial Statements for the fiscal year ended June 30, 2020. Actual balance was \$115,984,331.

For more information on the District's existing general obligations, see "APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020" hereto.

Retirement Systems

General. The District currently participates in the California State Teachers' Retirement System ("STRS") and California Public Employees' Retirement System ("PERS" and, together with STRS, the "Retirement Plans"). Academic employees are members of STRS, and most full-time classified (non-academic) employees participate in the School Employer Pool under PERS. The amounts of the District's contributions to STRS and PERS are subject to, among other things, modifications to or approvals of collective bargaining agreements. See APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020 for additional information.

STRS. The District participates in the State Teachers' Retirement System. STRS is a defined benefit plan that covers all full-time certificated employees and some classified employees, which are employees employed in a position that does not require a teaching credential from the State. STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the "STRS Defined Benefit Program"). The STRS Defined Benefit Program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions are established by State legislation in accordance with the State Teachers' Retirement Law. STRS is operated on a Statewide basis and, based on publicly available information, has substantial unfunded liabilities. Additional funding of STRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282.

As part of the 2014-15 State Budget, the Legislature enacted AB 1469 (Chapter 47, Statutes of 2014) ("AB 1469"), a comprehensive funding solution intended to eliminate the projected STRS unfunded liability on the STRS Defined Benefit Program by 2046. Under AB 1469, the funding plan began in Fiscal Year 2014-15 and will be phased in over several years. The employer contribution rate increased by 1.85% of covered payroll annually beginning July 1, 2015 and will continue to increase until the employer contribution rate is 19.10% of covered payroll. Beginning in Fiscal Year 2021-22 through Fiscal Year 2045-46, AB 1469 authorizes the STRS Board to adjust the employer contribution up or down 1 percentage point each year, but no higher than 20.25% total and no lower than 8.25%, to eliminate the remaining unfunded obligation that existed on July 1, 2014.

In addition, the STRS Board is authorized to modify the percentages paid by employers and employees for Fiscal Year 2021-22 and each fiscal year thereafter in order to eliminate STRS' unfunded liability by June 30, 2046 based upon actuarial recommendations. The STRS Board would also have the authority to reduce employer and State contributions if they are no longer necessary.

The actuarial assumptions and methods adopted by the STRS Board for funding the STRS Defined Benefit Program include: the "Entry Age Normal Cost Method", with the actuarial gains/losses and the unfunded actuarial obligation amortized over a closed period ending June 30, 2046, an assumed 7.25% investment rate of return (net of investment and administrative expenses) for Fiscal Year 2015-16 and a 7.00% investment rate of return (net of investment and administrative expenses) for Fiscal Year 2016-17, an assumed 3.00% interest on member accounts (based on the STRS Board's short-term interest crediting policy), projected 3.50% general wage growth, of which 2.75% is due to inflation and 0.75% is due to expected gains in productivity, and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases.

Based on the multi-year STRS Experience Analysis (spanning from July 1, 2015, through June 30, 2018) (the "2020 Experience Analysis"), on January 31, 2020, the STRS Board adopted a new set of actuarial assumptions that were first reflected in the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2019 (the "2019 STRS Actuarial Valuation"). While no changes were made to the actuarial

assumptions discussed above, which were established as a result of the 2017 Experience Study, certain demographic changes were made, including: (i) lowering the termination rates to reflect a continued trend of lower than expected teachers leaving their employment prior to retirement, and (ii) adopting changes to the retirement rates for both employees hired before the Implementation Date and after the Implementation Date to better reflect the anticipated impact of years of service on retirements. The 2019 STRS Actuarial Valuation continues using the Entry Age Normal Actuarial Cost Method.

The STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2020 (the “2020 STRS Actuarial Valuation”) reports that the unfunded actuarial obligation increased by \$172 million since the 2019 STRS Actuarial Valuation and the funded ratio increased by 1.1% to 67.1% over such time period. The increase in the funded ratio is primarily due to salary increases less than assumed, additional State contributions and contributions to pay down the unfunded actuarial obligation under the STRS Board’s valuation policy.

According to the 2020 STRS Actuarial Valuation, the future revenues from contributions and appropriations for the STRS Defined Benefit Program are projected to be approximately sufficient to finance its obligations with a projected ending funded ratio in fiscal year ending June 30, 2046 of 99.6%, except for a small portion of the unfunded actuarial obligation related to service accrued on or after July 1, 2014 for member benefits adopted after 1990. AB 1469 provides no authority to the STRS Board to adjust rates to pay down that portion of the unfunded actuarial obligation. This finding reflects the scheduled contribution rate increases directed by statute, assumes additional increases in the scheduled contribution rates allowed under the current law will be made, and is based on the valuation assumptions and valuation policy adopted by the STRS Board, including a 7.00% investment rate of return assumption and includes the \$1.117 billion State contribution made in July 2019 pursuant to SB 90. The supplemental \$297 million State contribution made in July 2020 will be reflected in the June 30, 2021 valuation and is reflected in the projections of funding levels and contribution rates included in the 2020 STRS Actuarial Valuation.

The actuary for the STRS Defined Benefit Program notes in the 2020 STRS Actuarial Valuation that the increase in unfunded actuarial obligation represents a net actuarial gain of \$899 million since the unfunded actuarial obligation was expected to be \$106.8 billion based on the 2019 STRS Actuarial Valuation. Salaries increasing less than projected caused the unfunded actuarial obligation to decrease by \$1.8 million from expectation. The decline in the number of teachers and slower growth in total payroll is the largest risk facing employers. For the 2020 STRS Actuarial Valuation, the number of active teachers decreased from about 451,000 on June 30, 2019 to 448,000 on June 30, 2020. This decrease resulted in a payroll growth of 2.8%, below the assumed 3.5% annual growth. Further, the return on market value compared to prior valuation is estimated at 4.1%, less than the assumed 7.0% return, while the return on the actuarial value of assets was also less, estimated at 6.5%.

The STRS Board established the employer contribution rates applicable for the period July 1, 2021 to June 30, 2022, based on the 2020 STRS Actuarial Valuation and STRS Employer Directive 2021-05, dated June 9, 2021. The contribution rate for fiscal year 2021-22 is adjusted to 16.92%, a slight increase over the adjusted contribution rate for fiscal year 2021-22 which was 16.15%. The 2020-21 State Budget re-directed the supplemental payment paid by the State on behalf of employers as part of the 2019-20 State budget. The supplemental payment is now solely being used to reduce the contribution rate for employers for fiscal years 2019-20, 2020-21 and 2021-22.

The District’s employer contributions to STRS for fiscal years ended June 30, 2016 through June 30, 2020 and a projected contribution for the fiscal year ending June 30, 2021 are set forth in the table below, and equal 100 percent of the required contributions for each year. See APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020 for additional information.

**SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
STRS CONTRIBUTIONS**

Fiscal Years Ended June 30	District Employer Contributions
2016	\$4,510,356
2017	5,732,704
2018	5,286,689
2019	7,178,963
2020	7,766,966
2021 ⁽¹⁾	7,455,208

⁽¹⁾ Projected.

Source: The District.

PERS. The District also participates in the State Public Employees’ Retirement System. PERS is a defined benefit plan that covers classified personnel who work four or more hours per day. Benefit provisions are established by State legislation in accordance with the Public Employees’ Retirement Law. The contribution requirements of the plan members are established by State statute. The actuarial methods and assumptions used for determining the rates are based on those adopted by Board of Administration of PERS (the “PERS Board”).

Active plan miscellaneous members hired on or before December 31, 2012 are required to contribute 7.0% of their monthly salary and those hired on or after January 1, 2013 are required to contribute 6.5% of their monthly salary. The required contribution rate is the difference between the actuarially determined rate and the contribution rate of employees. The actuarial methods and assumptions used for determining the rates are based on those adopted by PERS Board. School districts are currently required to contribute to PERS at an actuarially determined rate, which was 11.847%, 13.888% and 15.531% of eligible salary expenditures for fiscal years 2015-16, 2016-17 and 2017-18 respectively, and 18.062% of eligible salary expenditures for fiscal year 2018-19 and 19.721% of eligible salary for fiscal year 2019-20. The 2020-21 State Budget redirected State funding paid to PERS in fiscal year 2019-20 towards long-term unfunded liabilities to reduce employer contribution rates in fiscal years 2020-21 and 2021-22. As a result, the PERS employer contribution rate will be 20.7% in fiscal year 2020-21 and 22.91% in fiscal year 2021-22. The effect of the redirection of funding provided in the Fiscal Year 2020-21 State Budget is reflected in the 2019 PERS Schools Pool Actuarial Valuation (defined below).

The PERS Schools Pool Actuarial Valuation as of June 30, 2019 (the “2019 PERS Schools Pool Actuarial Valuation”) is the most recent actuarial valuation for the PERS Schools Pool Plan, in which the District participates. The actuarial funding method used in the 2019 PERS Schools Pool Actuarial Valuation is the “Entry Age Normal Cost Method.” The 2019 PERS Schools Pool Actuarial Valuation assumes, among other things, 2.50% inflation and payroll growth of 2.75% compounded annually. The 2019 PERS Schools Pool Actuarial Valuation reflects a discount rate of 7.00% compounded annually (net of administrative expenses) as of June 30, 2019. The PERS Board adopted new demographic assumptions on December 19, 2017, including a reduction in the inflation assumption. The reduction in the inflation assumption results in decreases in both the normal cost and the accrued liabilities in the future. Based on the changes in the discount rate, inflation rate, payroll growth rate and demographic assumptions, along with expected reductions in normal cost due to the continuing transition of active members from those employees hired prior to January 1, 2013, to those hired after such date, the projected employer contribution (as a percentage of payroll) is 23.0% and 26.3% for fiscal year 2021-22 and fiscal year 2022-23, respectively. According to the 2019 PERS Schools Pool Actuarial Valuation as of June 30, 2019, the funded ratio is approximately 68.5% on a market value of assets basis, as compared to the funded ratio of

70.4% reported in the Actuarial Valuation as of June 30, 2018, mainly due to the reduction in the discount rate and investment return being lower than expected. The funded ratio, on a market value basis, as of June 30, 2018, June 30, 2017, June 30, 2016, June 30, 2015, and June 30, 2014 was 70.4%, 72.1%, 71.9%, 77.5%, and 86.6%. On December 21, 2016, the PERS Board voted to lower the PERS discount rate to 7.00% over the next three years in accordance with the following schedule: 7.375% in Fiscal Year 2017-18, 7.25% in Fiscal Year 2018-19 and 7.00% in Fiscal Year 2019-20. The discount rates went into effect July 1, 2017 for the State and went into effect July 1, 2018 for K-14 school districts and other public agencies.

On June 27, 2019, PERS informed school employers that the employer and employee pension contribution rates approved by the PERS Board of Administration on April 17, 2019 were modified by Senate Bill 90 and codified at California Government Code Section 20825.2. The employer contribution rate for Fiscal Year 2019-20 would be 19.721%, representing a reduction of 1.012% in the employer contribution rate from the 20.733% adopted by the PERS Board on April 17, 2019. The employer contribution rate of 19.721% for fiscal year 2019-20 was the first fiscal year that employer contributions were impacted by demographic assumptions adopted by the PERS Board in December 2017. The 19.721% contribution rate became effective with the first payroll period beginning July 2019. The employer contribution rate for fiscal year 2020-21 will be 22.68%, which reflects an initial actuarially determined rate of 23.35% that has been reduced by 0.67% pursuant to Senate Bill 90. Participants enrolled in PERS prior to January 1, 2013 contribute at a rate established by statute, which is 7% of their respective salaries in fiscal year 2019-20 and will be 7% of such salaries in fiscal year 2020-21, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 7% in fiscal year 2019-20 and will be 7% in fiscal year 2020-21. The Fiscal Year 2020-21 State Budget redirects State funding paid to PERS in fiscal year 2019-20 towards long-term unfunded liabilities to further reduce employer contribution rates in fiscal years 2020-21 and 2021-22. As a result, the PERS employer contribution rate will be reduced to 20.7% in fiscal year 2020-21 and to 22.84% in fiscal year 2021-22. See “FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA – State Budget – 2021-22 State Budget” herein.

The PERS Board established the employer contribution rates for 2020-21 on April 21, 2020, releasing certain information from the Schools Pool Actuarial Valuation as of June 30, 2019, ahead of its release date in the latter half of 2020. From June 30, 2018 to June 30, 2019 the funded status for the Schools Pool decreased by 1.9% (from 70.4% to 68.5%); mainly due to the reduction in the discount rate from 7.25% to 7.00% and investment return in 2018-19 being lower than expected. The funded status as of June 30, 2019 does not reflect the State’s additional payment of \$660 million that was made pursuant to SB 90, since PERS received the payment in July 2019. PERS attributes the decline in the funded status over the last five years to recent investment losses in excess of investment gains, adoption of new assumptions, both demographic and economic, lowering of the discount rate, and negative amortization. Assuming all actuarial assumptions are realized, including investment return of 7% in fiscal year 2019-20, that no changes to assumptions, methods of benefits will occur during the projection period, along with the expected reductions in normal cost due to the continuing transition of active members from those employees hired prior to the Implementation Date (defined below), to those hired after such date, the contribution rate was projected to increase annually, resulting in a projected 26.2% employer contribution rate for fiscal year 2026-27. As of the April 21, 2020, PERS reported that the year to date return for the 2019-20 fiscal year was well below the 7% assumed return. See “FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA—State Budget—2020-21 State Budget.”

The District’s employer contribution to PERS for fiscal years ended June 30, 2016 through June 30, 2020 and a projected contribution for the fiscal year ending June 30, 2021 are set forth in the table below, and equal 100 percent of the required contributions for each year. See APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020 for additional information.

**SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
PERS CONTRIBUTIONS**

Fiscal Years Ended June 30	District Employer Contributions
2016	\$2,824,088
2017	3,424,643
2018	3,203,022
2019	5,119,561
2020	5,650,990
2021 ⁽¹⁾	5,283,440

⁽¹⁾ Projected.

Source: The District.

Both PERS and STRS are operated on a Statewide basis and, based on available information, both PERS and STRS have unfunded actuarial accrued liabilities. (Additional funding of STRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282.) The amounts of the pension/award benefit obligation (PERS) or actuarially accrued liability (STRS) will vary from time to time depending upon actuarial assumptions, rates of return on investments, salary scales, and levels of contribution. See “State Pension Trusts” below. The District is unable to predict what the amount of liabilities will be in the future, or the amount of the contributions which the District may be required to make.

California Public Employees’ Pension Reform Act of 2013. The Governor signed the California Public Employee’s Pension Reform Act of 2013 (the “Reform Act”) into law on September 12, 2012. The Reform Act affects both STRS and PERS, most substantially as they relate to new employees hired after January 1, 2013 (the “Implementation Date”). As it pertains to STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age, increasing the eligibility for the 2% “age factor” (the percent of final compensation to which an employee is entitled to for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. For non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and also increases the eligibility requirement for the maximum age factor of 2.5% to age 67.

The Reform Act also implements certain other changes to PERS and STRS including the following: (a) all new participants enrolled in PERS and STRS after the Implementation Date are required to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (b) STRS and PERS are both required to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (currently 12 months for STRS members who retire with 25 years of service), and (c) “pensionable compensation” is capped for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution and benefit base for members participating in Social Security or 120% for STRS and PERS members not participating in social security.

On April 17, 2013 the PERS Board of Administration (the “PERS Board”) approved new actuarial policies aimed to fully fund the pension system’s obligations within 30 years. The new policies included a rate-smoothing method with a 30-year fixed amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period,

and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented in respect of the State, K-14 school district and all other public agencies in Fiscal Year 2015-16.

In 2014, PERS completed a 2-year asset liability management study incorporating actuarial assumptions and strategic asset allocation. On February 19, 2014, the PERS Board adopted relatively modest changes to the current asset allocation that will reduce the expected volatility of returns. The adopted asset allocation is expected to have a long-term blended return that continues to support a discount rate assumption of 7.5 percent. On November 17, 2015, the PERS Board approved a new funding risk mitigation policy to incrementally lower the PERS discount rate by establishing a mechanism whereby such rate is reduced by a minimum of 0.05% to a maximum of 0.25% in years when investment returns outperform the existing PERS discount rate by at least four percentage points. On December 21, 2016, the PERS Board voted to lower the PERS discount rate to 7.0% over the next three years in accordance with the following schedule: 7.375% in fiscal year 2017-18, 7.25% in fiscal year 2018-19 and 7.00% in fiscal year 2019-20. The new discount rate will go into effect July 1, 2017 for the State and July 1, 2018 for K-14 school districts and other public agencies. Lowering the PERS discount rate means employers that contract with PERS to administer their pension plans will see increases in their normal costs and unfunded actuarial liabilities. Active members hired after January 1, 2013, under the Reform Act will also see their contribution rates rise. The three-year reduction of the discount rate to 7.0% is expected to result in average employer rate increases of approximately 1-3% of normal cost as a percent of payroll for most miscellaneous retirement plans and a 2-5% increase for most safety plans. The PERS Board also approved several changes to the demographic assumptions that more closely align with actual experience. The most significant of these changes is the inclusion of mortality improvement to acknowledge the greater life expectancies among PERS membership and expected continued improvements.

Pursuant to the PERS Board's decision in February 2014, the new actuarial assumptions were incorporated in the June 30, 2015 valuation for the school's portion of the PERS pool (the "School's Pool"). The increase in liability due to the new actuarial assumptions will be amortized over 20 years and phased in over 5 years in accordance with PERS Board policy, beginning with the contribution requirement for fiscal year 2016-17. The projected impact of the assumption change on the Schools Pool rate is estimated to be an increase of 1.6 percent of payroll in 2016-17 with approximate annual increases of 0.8 percent of payroll in each of the next 4 years with an estimated total increase of 4.8 percent of payroll by 2020-21.

In February 2018, the PERS Board voted to shorten the period over which PERS amortized actuarial gains and losses from 30 years to 20 years for new pension liabilities, effective for the June 30, 2019 actuarial valuations. Amortization payments for all unfunded accrued liability bases will be computed to remain at a level dollar amount throughout the amortization period, and certain 5-year ramp-up and ramp-down periods will be eliminated. As a result of the shorter amortization period, the contribution required to be made by employers may increase beginning in fiscal year 2020-21.

In February 2017, the STRS Board voted to adopt revised actuarial assumptions to reflect the increasing life expectancies of its members and the then-current economic trends. The revisions to the actuarial assumptions included changes to the generational mortality methodology that reflect prior improvements in life expectancies and more dynamic assessments of future life spans. In addition, the STRS Board determined to decrease the investment return assumption over a two-year period as follows: (i) a decrease from 7.50% to 7.25% for the June 30, 2016 actuarial valuation that is to be presented to the STRS Board in April 2017 and (ii) a decrease from 7.25% to 7.00% for the June 30, 2017 actuarial valuation to be presented to the STRS Board at the April/May 2018 meeting. The changes reflect the less than 50% probability that the then-current return assumptions would be met over the long term. The STRS Board also decreased some of the economic-related assumptions to reflect continued trends. As a result, the wage-

growth assumption was reduced to 3.50% from 3.75% while the price inflation factor was also reduced to 2.75% from 3.00%.

State Pension Trusts

The following information on the State Pension Trusts has been obtained from publicly available sources and has not been independently verified by the District, is not guaranteed as to the accuracy or completeness of the information and is not to be construed as a representation by the District or the Underwriter. Furthermore, the summary data below should not be read as current or definitive, as recent losses on investments made by the retirement systems generally may have increased the unfunded actuarial accrued liabilities stated below.

Both STRS and PERS have substantial Statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The PERS Schools Pool had an unfunded liability, based on the market value of assets, of \$31.4 billion as of June 30, 2019, and STRS had unfunded actuarial liabilities of \$105.7 billion as of June 30, 2019. The amount of unfunded actuarially accrued liability will vary from time to time depending upon actuarial assumptions, rates of return on investments, salary scales, and levels of contribution.

STRS and PERS each issue separate comprehensive annual financial reports that include financial statements and required supplementary information. Copies of the STRS annual financial report may be obtained from STRS, P.O. Box 15275, Sacramento, California 95851-0275 and copies of the PERS annual financial report and actuarial valuations may be obtained from the PERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information presented in these reports is not incorporated by reference in this Official Statement.

GASB Statement Nos. 67 and 68

On June 25, 2012, the Governmental Accounting Standards Board (“GASB”) approved two new standards (“Statements”) with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government’s balance sheet (currently, such unfunded liabilities are typically included as notes to the government’s financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014. For more information, see the fiscal year 2018-19 audited financial statements of the District included in Appendix C hereto.

Post-Employment Benefits

In June 2004, GASB pronounced Statement No. 45, *Accounting and Financial Reporting by Employers for Post-Employment Benefits Other Than Pensions*. The pronouncement required public agency employers providing other postemployment benefits (“OPEB”) to retirees to recognize and account for the costs for providing these benefits on an accrual basis and provide footnote disclosure on the progress toward funding the benefits (“GASB 45”). In June 2015, GASB issued Statement Nos. 74 and 75, respectively, *Accounting and Financial Reporting for Post-Employment Benefits Other Than Pension Plans and Pensions*, respectively. The objectives of these statements are to (i) improve the usefulness of information related to postemployment benefits other than pensions (other postemployment benefits or “OPEB”) included in the general purpose external financial reports of State and local governmental OPEB plans for making decisions and assessing accountability and (ii) improve accounting and financial reporting by State and local governments for OPEB, respectively. GASB Statement No. 74 replaces Statements No. 43 and 57 and Statement No. 75 replaces GASB Statement No. 45.

Plan Description. The District provides post-employment health care benefits for eligible retirees. The retiree must have worked for at least ten years (administrators) to fifteen years (classified/academic). For more information, see the fiscal year 2019-20 audited financial statements of the District included in Appendix C hereto.

Plan Membership. At June 30, 2019, the Plan membership consisted of 268 inactive employees entitled to but not yet receiving benefits and 677 active employees, for a total of 945 plan participants.

Contribution Information. Through June 30, 2013, the District contributed \$3.2 million to an irrevocable trust with the Community College League of California – Joint Powers Authority (CCLC-JPA). The District contributed \$990,669 during fiscal year 2020. At June 30, 2020, the market value of the irrevocable trust was \$5,995,448. The obligation of the District to contribute to the plan is established and may be amended by the Governing Board. The Governing Board has established a policy of funding the actuarially determined contribution. For the fiscal year ended June 30, 2020, the District’s average contribution rate was 0.33% of covered-employee payroll. Employees are not required to contribute to the plan.

Net OPEB Liability of the District. The District’s net OPEB liability of \$16,773,915 was measured as of June 30, 2019, and the actuarial valuation used to calculate the net OPEB liability was as of June 30, 2019. For additional information, see “APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2020” hereto.

FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA

Major Revenues

General. California community college districts (other than “community supported” Basic Aid districts, as described below) receive a majority of their funding from the State, and the balance from local and federal sources. State funds include general apportionment, categorical funds, capital construction, lottery funds, and other minor sources. Every community college district receives the same amount of State lottery funds on a per-student basis (which is generally less than 3%), although lottery funds are not categorical funds as they are not for particular programs or students. The initiative authorizing the lottery requires the funds to be used for instructional purposes, and prohibits their use for capital purposes.

The major local revenue source is local property taxes that are collected from within district boundaries, with student enrollment fees accounting for most of the remainder. A small part of a community college district’s budget is from local sources other than property taxes and student enrollment

fees, such as interest income, donations, educational foundation contributions and sales or leases of property.

The sum of property taxes, student enrollment fees, Education Protection Account (“EPA”) funds, and State aid comprise a district’s revenue limit. State funding is generally subject to the appropriation of funds in the State’s annual budget. Thus, decreases in State revenues may affect appropriations made by the State Legislature to community college districts.

“Basic Aid” community college districts (also referred to “community supported” districts) are those districts whose local property taxes, student enrollment fee collections, and Education Protection Account funds exceed the revenue allocation determined by the current State funding model. Thus, Basic Aid districts do not receive any general apportionment funding from the State. The current law in the State allows these districts to keep the excess funds without penalty. The implication for Basic Aid districts is that legislatively determined annual COLAs and other politically determined factors are less significant in determining such districts primary funding sources. Rather, property tax growth and the local economy become the determining factors. The District is not currently a Basic Aid district.

Enrollment Based Funding. California community college districts apportionments were previously funded pursuant to a system established by Senate Bill 361 (“SB 361”). SB 361 provided for a basic allocation (a “Basic Allocation”) based on the number of colleges, state-approved education centers and total enrollment, together with funding based on per-student rates for credit FTES, non-credit FTES and career development and college preparation (“CDCP”) non-credit FTES.

SB 361 specified that, commencing with the 2006-07 fiscal year the minimum funding per FTES would be: (a) not less than \$4,367 per credit FTES; (b) at a uniform rate of \$2,626 per non-credit FTES; and (c) \$3,092 per CDCP FTES. Although CDCP FTES were initially funded at a lower rate than credit FTES, subsequent legislation effective as of the 2015-16 fiscal year set the minimum funding for CDCP FTES at the same level as credit FTES. Each such minimum funding rate was subject to cost of living adjustments (each, a “COLA”), if any, funded through the State budgeting legislation in each fiscal year.

One unit of FTES is equivalent to 525 student contact hours, which is determined based on a State formula of one student multiplied by 15 weekly contact hours multiplied by 35 weeks. Accordingly, the number of FTES in the District may not equal the number of students enrolled in the District.

In each fiscal year, the State budget previously established an enrollment cap on the maximum number of resident FTES, known as the “funded” FTES, for which a community college district would receive a revenue allocation. A district’s enrollment cap was based on the previous fiscal year’s reported FTES, plus the growth allowance provided for by the State budget, if any. All student hours in excess of the enrollment cap were considered “unfunded” FTES. Nonresident and international students were excluded from the State funding formula and pay full tuition.

Student Centered Funding Formula. Assembly Bill 1809 (“AB 1809”), the higher education trailer bill passed as part of the State budget for fiscal year 2018-19, implemented a new funding mechanism for community college districts referred to as the “Student Centered Funding Formula,” (the “SCFF”). The SCFF includes three components: (1) a base allocation (the “Base Allocation”) driven primarily by enrollment, (2) a supplemental allocation (the “Supplemental Allocation”) based on the number of certain types of low-income students, and (3) a student success allocation (the “Student Success Allocation”) calculated using various performance-based metrics.

The SCFF includes several provisions to provide districts greater financial stability in transitioning to the new formula: (i) for fiscal years 2018-19 through 2021-22,* community college districts will receive no less in total apportionment funding than they received in 2017-18, adjusted for COLAs; (ii) for fiscal year 2022-23 and onward, districts will receive no less in apportionment funding per-student than they received in fiscal year 2017-18; and (iii) beginning in fiscal year 2018-19, districts will receive the greater of the amount calculated by the SCFF for the current or prior year (excluding amounts districts receive pursuant to the provision summarized in (i) above).

The 2020-21 State Budget extends the formula's existing hold harmless (minimum revenue) provision by two years, through 2023-24, and the 2021-22 State Budget further extended the hold harmless provision to 2024-25. Under this provision, the District will earn at least their 2017-18 total computational revenue, adjusted by COLA each year, in years without base reductions.

Base Allocation. The Base Allocation is composed of (1) the Basic Allocation, determined consistent with the prior funding formula (see “- *Enrollment Based Funding*” above), and (2) funding for credit, non-credit and CDCP FTES. The Base Allocation is expected to constitute approximately 70% of Statewide funding for community college districts in fiscal year 2018-19 and in fiscal year 2019-20. The 2019 Budget Act tasked the Chancellor's Office with determining the formula's final 2019-20 funding rates based on total computational revenue of \$7.43 billion as determined by the Department of Finance. Beginning in 2020-21, these funding rates are to be adjusted by COLA and other base adjustments, and the distribution of funds across the three allocations (base, supplemental, and student success) is to be determined by changes in the underlying factors.

The SCFF provides minimum funding levels for credit FTES for the first fiscal year at \$3,727 for fiscal year 2018-19. For fiscal year 2019-20 the 2019-20 State Budget recalculates funding rates in the base, supplemental and student success allocations so that 70% of SCFF funds would be allocated to the base allocation. Beginning in 2020-21 those funding rates are codified in trailer bill language and are to be adjusted by COLA. Notwithstanding the foregoing, the SCFF provides higher credit FTES funding rates for certain districts that were entitled to higher funding rates under the prior funding formula. Beginning in fiscal year 2021-22, the provision of COLAs and other adjustments will be subject to appropriation therefor in the annual State budget. Total funding for credit FTES will be based on a rolling three-year average of the funded credit FTES from the current fiscal year and the two immediately preceding fiscal years. Credit FTES associated with enrollment growth proposed in the annual budget act shall be excluded from the three-year average and shall instead be added to the computed three-year rolling average. In computing the three-year average, credit FTES generated by incarcerated and special admit students shall be excluded and funded consistent with the prior funding formula.

Funding levels for non-credit and CDCP FTES are determined consistent with the prior funding formula. See “- *Enrollment Based Funding*” herein. Total funding for these categories will be based on actual non-credit and CDCP FTES for the most recent fiscal year.

Supplemental Allocation. The Supplemental Allocation, accounting for approximately 20% of Statewide funding, will be distributed to districts based on their headcounts of students that receive Federal Pell Grants, a student who is granted an exemption from nonresident tuition pursuant to Section 68130.5 (AB540), and student fee waivers under California Education Code 76300 (California College Promise Grant). The SCFF provides \$919 per qualifying student for fiscal year 2018-19. Beginning in fiscal year 2019-20, the 2019-20 State Budget recalculates funding rates for supplemental allocation so that in 2019-20, 20% of the SCFF funds would be allocated for the supplemental allocation. The final SCFF rate per

* The 2020-21 State Budget extended the formula's existing hold harmless (minimum revenue) provision by two years, through 2023-24. Under this provision, districts will earn at least their 2017-18 total computational revenue, adjusted by COLA each year, in years without base reductions.

qualifying student as calculated in the 2020 Budget Act is \$948. Beginning in 2020-21 those rates would be adjusted by COLA. Headcounts are not unduplicated, such that districts will receive twice or three times as much supplemental funding for a student that falls into more than one of the aforementioned categories.

Student Success Allocation. The Student Success Allocation will be distributed to districts based on their performance in various student outcome metrics, including obtaining various degrees and certificates, completing transfer-level math and English courses within a student's first year, and having students obtain a regional living wage within a year of completing community college. The Student Success Allocation is expected to account for 10% of statewide funding for community college districts. Each metric is assigned a point value, with some metrics weighted more than others. A single student outcome with more points will generate more funding. Outcome metrics for students that qualify for Federal Pell Grants and California College Promise Grants are eligible for additional funding.

Beginning in fiscal year 2019-20 the student success allocation counts only the highest of all awards a student earned in the same year and only counts the award if the student was enrolled in the district in the year the award was granted. The student success allocation also calculates based on the three-year rolling average of each metric. Outcome metrics for students that qualify for Federal Pell Grants, AB 540 and California College Promise Grants are eligible for additional funding.

The District received \$3,100,997 more in fiscal year 2019-20 than in fiscal year 2018-19 in Total Computational Revenue from State and local sources included in the State Chancellor's apportionment calculation. The increase in revenue consisted of a cost of living increase of 3.26% and \$1,813,877 provided by the new funding formula's hold harmless adjustment. As the funding formula is phased-in, a district can be "held harmless" where, at a minimum, it will receive resources at least equal to the amounts received in fiscal year 2017-18 plus a cost-of-living adjustment. If at any time during the hold harmless period a district would do better under the new funding formula than the hold harmless amount, they will receive the higher of the two.

The 2020-21 State Budget extended the existing minimum revenue provisions of the SCFF, specifying that districts will receive at least the 2017-18 total computational revenues, adjusted by COLA each year, through 2023-24. COLA for fiscal year 2019-20 was 3.26%, which provided an estimated additional \$3,100,997 for the District. However, the revenue was constrained by \$418,579 due to an overall State budget shortfall. COLA for fiscal year 2020-21 was 0.00%. The 2021-22 State Budget provides a 5.07% COLA for SCFF apportionments. The 2021-22 State Budget extends the formula's existing hold harmless (minimum revenue) provision by one year, through 2024-25. Under this provision, community college districts will earn at least their 2017-18 total computational revenue, adjusted by COLA each year, in years without base reductions.

There can be no assurances that the spread of COVID-19, its variants, or the responses thereto by local, State, or the federal government, will not materially adversely impact the local, State and national economies or the assessed valuation of property within the District, or adversely impact enrollment or FTES within the District and, notwithstanding Executive Order N-26-20 and the Stay Home Order, materially adversely impact the financial condition or operations of the District. Accordingly, the District's FTES count and State funding may be affected by the ongoing COVID-19 outbreak. See "LEGAL AND OTHER MATTERS –Risks Related to COVID-19 Outbreak" and "APPENDIX A – FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT – FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA - State Budget" herein.

Ad Valorem Property Taxes

Taxes are levied for each fiscal year on taxable real and personal property which is situated in the County as of the preceding January 1. However, upon a change in ownership of property or completion of new construction, State law permits an accelerated recognition and taxation of increases in real property assessed valuation (known as a “floating lien date”). For assessment and collection purposes, property is classified either as “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The “secured roll” is that part of the assessment roll containing State assessed property and locally assessed property secured by a lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Other property is assessed on the “unsecured roll.”

The County levies a 1% property tax on behalf of all taxing agencies in the County. The taxes collected are allocated on the basis of a formula established by State law enacted in 1979. Under this formula, the County and all other taxing entities receive a base year allocation plus an allocation on the basis of “situs” growth in assessed value (new construction, change of ownership, inflation) prorated among the jurisdictions which serve the tax rate areas within which the growth occurs. Tax rate areas are specifically defined geographic areas which were developed to permit the levying of taxes for less than county-wide or less than city-wide special and school districts. In addition, the County levies and collects additional voter-approved property taxes and assessments on behalf of any taxing agency within the County.

Property taxes on the secured roll are due in two installments, on November 1 and February 1. If unpaid, such taxes become delinquent after December 10 and April 10, respectively, and a ten percent penalty attaches to any delinquent payment. In addition, property on the secured roll secured by the assessee’s fee ownership of land with respect to which taxes are delinquent is declared tax-defaulted on or about June 30. Those properties on the secured roll that become tax-defaulted on June 30 of the fiscal year that are not secured by the assessee’s fee ownership of land are transferred to the unsecured roll and are then subject to the Treasurer’s enforcement procedures (*i.e.*, seizures of money and property, liens and judgments). Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus costs and redemption penalty of one and one-half percent per month to the time of redemption. If taxes are unpaid for a period of five years or more, the tax-defaulted property is subject to sale by the Treasurer.

Property taxes on the unsecured roll are currently due as of the January 1 lien date prior to the commencement of a fiscal year and become delinquent, if unpaid, on August 31. A ten percent penalty attaches to delinquent taxes on property on the unsecured roll and an additional penalty of one and one-half percent per month begins to accrue on November 1. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a certificate in the office of the County Clerk specifying certain facts in order to obtain a judgment lien on certain property of the taxpayer; (3) filing a certificate of delinquency for recordation in the County Recorder’s office in order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements, bank accounts or possessory interests belonging or assessed to the taxpayer.

The County levies and collects all property taxes for property falling within its taxing boundaries.

State Budget

The District's principal funding formulas and revenue sources are derived from the budget of the State of California. *The following information concerning the State of California's budgets has been obtained from publicly available information which the District believes to be reliable; however, the State has not entered into any contractual commitment with the District, the County, the Underwriters, Bond and Disclosure Counsel nor the Owners of the Bonds to provide State budget information to the District or the owners of the Bonds. Although they believe the State sources of information listed above are reliable, none of the District, the County, Bond and Disclosure Counsel nor the Underwriters assume any responsibility for the accuracy of the State budget information set forth or referred to herein or incorporated by reference herein. Additional information regarding State budgets is available at various State-maintained websites including www.ebudget.ca.gov, which website is not incorporated herein by reference.*

2021-22 State Budget. On July 16, 2021, Governor Newsom signed into law the Fiscal Year 2021-22 State Budget (the "2021-22 State Budget"). The 2021-22 State Budget totals about \$262.6 billion. General Fund spending would increase over Fiscal Year 2020-21 by about \$30.4 billion (18.3%) to \$196.4 billion. The State is projected to end the Fiscal Year 2020-21 with available general fund reserves that include: \$15.8 billion in the Budget Stabilization Account (the General Fund's "rainy-day" fund) for fiscal emergencies; \$900 million in the Safety Net Reserve (used to maintain benefits and services for CalWORKs and Medi-Cal participants during economic downturns) and \$4.5 billion in the Public School System Stabilization Account (the Proposition 98 "rainy-day" fund used to lessen the impact of State revenue volatility on K-14 schools). The multi-year forecast reflects a budget roughly in balance; however, risks to the economic forecast remain, including a stock market decline that would significantly reduce State revenues.

Proposition 98 Guarantee. For K-12 public schools and California community colleges ("CCCs"), the Proposition 98 funding for Fiscal Year 2021-22 is approximately \$93.7 billion, a significant increase above the level that was projected in January 2021 in the Governor's proposed budget.

Significant features of the 2021-22 State Budget affecting CCCs include the following:

- **Reducing Textbook Costs.** \$115 million one-time Proposition 98 General Fund to develop and implement Zero-Textbook-Cost degrees and open educational resources.

Apportionment Investments:

- **Apportionments Adjustment** - An increase of \$395 million ongoing Proposition 98 General Fund, which includes \$371.2 million for a 5.07% cost-of-living adjustment (COLA) and \$23.8 million for 0.50% enrollment growth.
- **Repayment of 2020-21 Apportionments Deferral** - A 2021-22 payment of \$1.453 billion Proposition 98 General Fund for apportionments deferred from 2020-21, of which \$144.6 million is from 2019-20, \$1,078.9 million is from 2020-21, and \$229.8 million is from 2021-22.
- **Local Property Tax Adjustment** - A decrease of \$230.2 million ongoing Proposition 98 General Fund as a result of increased offsetting local property tax revenues.

Student-Focused Program Investments:

- ***Emergency Financial Assistance Grants*** - An increase of \$250 million one-time American Recovery Plan Act of 2021 funds to support emergency student financial assistance grants.
- ***Student Basic Needs*** - An increase of \$160 million Proposition 98 General Fund, comprised of \$100 million one-time Proposition 98 General Fund available over three years to address student basic needs including food and housing insecurity, \$30 million ongoing Proposition 98 General Fund to support student mental health services, and \$30 million ongoing Proposition 98 General Fund for colleges to establish basic needs centers and hire basic needs coordinators.
- ***Retention and Enrollment Strategies*** - An increase of \$120 million one-time Proposition 98 General Fund to support efforts to bolster CCC student retention rates and enrollment.
- ***Guided Pathways*** - An increase of \$50 million one-time Proposition 98 General Fund to further support colleges' efforts to implement Guided Pathways programs.
- ***Categorical Program Augmentations*** - An increase of \$64.2 million ongoing Proposition 98 General Fund to support budget augmentations for the Student Equity and Achievement Program, Extended Opportunity Programs and Services (EOPS), the Umoja Program, the MESA Program, and the Puente Project.
- ***Equal Employment Opportunity Programs*** - An increase of \$20 million one-time Proposition 98 General Fund to support the implementation of EEO best practices developed by the Chancellor's Equal Employment Opportunity and Diversity Advisory Committee.

Workforce-Focused Investments:

- ***CCC Strong Workforce Program*** - An increase of \$42.4 million ongoing Proposition 98 General Fund to increase program funding and enable community college districts to support work-based learning opportunities.
- ***High Road Training Partnerships and Regional Partnerships*** - An increase of \$20 million one-time Proposition 98 General Fund to support CCC participation in High Road Training Partnerships and regional partnerships developed by the California Workforce Development Board.
- ***California Apprenticeship Initiative*** - An increase of \$15 million ongoing Proposition 98 General Fund to augment the California Apprenticeship Initiative.
- ***Competency-Based Education Pilot*** - An increase of \$10 million one-time Proposition 98 General Fund to pilot implementation of competency-based education at select community colleges.
- ***CCC Registry Modernization*** - An increase of \$1 million one-time Proposition 98 General Fund to support the modernization of the CCC Registry, an online database of job opportunities for the CCCs.

Technology-Focused Investments:

- **Online Education and Supports Block Grant** - An increase of \$10.6 million ongoing Proposition 98 General Fund to support the continuity of education and quality distance learning across the CCC system, including access to online tutoring, online counseling, and online student support services such as mental health services.
- **Common Course Numbering** - An increase of \$10 million one-time Proposition 98 General Fund to plan for and begin developing a common course numbering system throughout the community college system.
- **CENIC Cost Increase** - An increase of \$8 million ongoing Proposition 98 General Fund for cost increases associated with continued broadband access provided by the Corporation for Education Network Initiatives in California (CENIC).
- **Library Services Platform** - An increase of \$4 million ongoing Proposition 98 General Fund to support a system-wide technology platform for library services to better manage and deliver digital information to support teaching and learning.

Other Investments:

- **CCC Facilities** - General Obligation bond funding of \$581.4 million (\$577.9 million Proposition 51 of 2016 and \$3.5 million Proposition 55 of 2004), including \$8.2 million to start nine new capital outlay project and \$573.2 million for the construction phase of 32 projects anticipated to complete design by spring 2022. This allocation of Proposition 51 funding represents the next installment of the \$2 billion available to CCCs under Proposition 51.
- **Deferred Maintenance** - An increase of \$511 million one-time Proposition 98 General Fund to address deferred maintenance.
- **Faculty Investments** - An increase of \$100 million ongoing Proposition 98 General Fund to hire new full-time faculty, and \$100 million Proposition 98 General Fund, of which \$10 million is ongoing to support part-time faculty office hours.
- **College Augmentations** - An increase of \$72.9 million one-time Proposition 98 General Fund to support local requests.
- **Adult Education** - An increase of \$21.8 million ongoing Proposition 98 General Fund to reflect a 4.05-percent cost-of-living adjustment for the Adult Education Program, and \$1 million ongoing Proposition 98 General Fund to support technical assistance for the Program.
- **Faculty Professional Development** - An increase of \$20 million one-time Proposition 98 General Fund for culturally competent professional development for faculty, including leveraging 21st-century technology to improve learning outcomes.
- **Anti-Racism Initiatives** - An increase of \$5.6 million one-time Proposition 98 General Fund to support the implementation of the provisions of Chapter 32, Statutes of 2020 (AB 1460) and system-wide anti-racism initiatives.

Future Budgets. The District cannot predict how State income or State education funding will vary over the term of the Bonds, and the District takes no responsibility for informing owners of the Bonds as to actions the State Legislature or Governor may take affecting the current year's budget after its adoption. Future State budgets will be affected by national and State economic conditions, over which the District has no control, and other factors over which the District will have no control. To the extent that the State budget process results in reduced revenues deferred revenues or increased expenses for the District, the District will be required to make adjustments to its budget and cash management practices. In the event current or future State Budgets decrease the District's revenues or increase required expenditures by the District from the levels assumed by the District, the District will be required to generate additional revenues, curtail programs or services, or use its reserve funds to ensure a balanced budget.

Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of proposed and adopted budgets may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget" or www.ebudget.ca.gov. An impartial analysis of the budget is posted by the Office of the Legislative Analyst ("LAO") at www.lao.ca.gov. The information referred to is prepared by the respective State agency maintaining each website and not by the District or the Underwriters, and neither the District nor the Underwriters take any responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated herein by these references.

The State Constitution requires that from all State revenues there will first be set apart the moneys to be applied by the State for support of the public school system and public institutions of higher education. As discussed below, school districts in the State receive a significant portion of their funding from State appropriations. Accordingly, the State's economic condition can affect the economic condition of California school districts.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Article XIII A of the California Constitution. On June 6, 1978, State voters approved Proposition 13 ("Proposition 13"), which added Article XIII A to the State Constitution ("Article XIII A"). Article XIII A limits the amount of any ad valorem tax on real property to 1% of the full cash value thereof, except that additional ad valorem taxes may be levied to pay debt service on (i) indebtedness approved by the voters prior to July 1, 1978, (ii) bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness, and (iii) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% of the voters of the district, but only if certain accountability measures are included in the proposition. Article XIII A defines full cash value to mean "the county assessor's valuation of real property as shown on the 1975-76 tax bill under full cash value, or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment." This full cash value may be increased at a rate not to exceed 2% per year to account for inflation. This system results in widely varying amounts of tax on similarly situated properties based on differences in the taxpayer's date of acquisition of the property. On June 18, 1992, the United States Supreme Court issued a decision upholding the constitutionality of Article XIII A (*Nordlinger v. Hahn*, 112 S. Ct. 2326, 120 L. Ed. 2d 1 (1992)).

Article XIII A has subsequently been amended to permit reduction of the "full cash value" base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the "full cash value" base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Other amendments to the California Constitution have implemented and modified limits on reassessment of property value upon transfers. Most recently, Proposition 19 limits people who inherit family properties from keeping a low property tax base resulting from the 2% restriction on increases, unless they use the home as their primary residence, but it also allows homeowners who are over 55 years of age, disabled, or victims of a wildfire or natural disaster to transfer their assessed value of their primary home to a newly purchased or newly constructed replacement primary residence up to three times.

County of Orange v. Orange County Assessment Appeals Board No. 3. Section 51 of the State Revenue and Taxation Code permits county assessors who have reduced the assessed valuation of a property as a result of natural disasters, economic downturns or other factors, to subsequently “recapture” such value (up to the pre-decline value of the property) at an annual rate higher than 2%, depending on the assessor’s measure of the restoration of value of the damaged property. The constitutionality of this procedure was challenged in a lawsuit brought in 2001 in the Orange County Superior Court, and in similar lawsuits brought in other counties, on the basis that the decrease in assessed value creates a new “base year value” for purposes of Proposition 13 and that subsequent increases in the assessed value of a property by more than 2% in a single year violate Article XIII A. On appeal, the California Court of Appeal upheld the recapture practice in 2004, and the State Supreme Court declined to review the ruling, leaving the recapture law in place.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The one percent property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the two percent annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

Beginning in the 1981-82 fiscal year, assessors in the State no longer record property values on tax rolls at the assessed value of 25% of market value which was expressed at \$4 per \$100 assessed value. All taxable property is now shown at full market value on the tax rolls. Consequently, the tax rate is expressed as \$1 per \$100 of taxable value. All taxable property value included in this Official Statement is shown at 100% of market value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Article XIII B of the California Constitution. An initiative to amend the State Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979, thereby adding Article XIII B to the State Constitution (“Article XIII B”). Under Article XIII B state and local governmental entities have an annual “appropriations limit” and are not permitted to spend certain moneys which are called “appropriations subject to limitation” (consisting of tax revenues, state subventions and certain other funds) in an amount higher than the “appropriations limit.” Article XIII B does not affect the appropriation of moneys which are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the “appropriations limit” is to be based on certain 1978-79 expenditures, and is to be adjusted annually to reflect changes in consumer prices, populations, and services provided by these entities. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

Article XIIC and Article XIID of the California Constitution. On November 5, 1996, the voters of the State approved Proposition 218, the so-called “Right to Vote on Taxes Act.” Proposition 218 added Articles XIIC and XIID to the State Constitution, which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the State Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIIC establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIIC further provides that no tax may be assessed on property other than ad valorem property taxes imposed in accordance with Articles XIII and XIII A of the State Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIID deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIIC or XIID will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

Proposition 62. In 1986, California voters adopted Proposition 62, a statutory initiative which amended the California Government Code by the addition of Sections 53720-53730. Proposition 62 requires that (i) any local tax for general governmental purposes (a “general tax”) must be approved by a majority vote of the electorate; (ii) any local tax for specific purposes (a “special tax”) must be approved by a two-thirds vote of the electorate; (iii) any general tax must be proposed for a vote by two-thirds of the legislative body; and (iv) proceeds of any tax imposed in violation of the vote requirements must be deducted from the local agency’s property tax allocation. Provisions applying Proposition 62 retroactively from its effective date to 1985 are unlikely to be of any continuing importance; certain other restrictions were already contained in the Constitution.

Most of the provisions of Proposition 62 were affirmed by the 1995 California Supreme Court decision in *Santa Clara County Local Transportation Authority v. Guardino*, which invalidated a special sales tax for transportation purposes because fewer than two-thirds of the voters voting on the measure had approved the tax. Following the California Supreme Court’s decision upholding Proposition 62, several actions were filed challenging taxes imposed by public agencies since the adoption of Proposition 62, which was passed in November 1986. On June 4, 2001, the California Supreme Court released its decision in one of these cases, *Howard Jarvis Taxpayers Association v. City of La Habra, et al.* (“La Habra”). In this case, the court held that public agency’s continued imposition and collection of a tax is an ongoing violation, upon which the statute of limitations period begins anew with each collection. The court also held that, unless another statute or constitutional rule provided differently, the statute of limitations for challenges to taxes subject to Proposition 62 is three years. Accordingly, a challenge to a tax subject to Proposition 62 may only be made for those taxes received within three years of the date the action is brought.

Proposition 98 and Proposition 111. . On November 8, 1988, voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). The Accountability Act changed State funding of public education below the university level, and the operation of the State’s Appropriations Limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (collectively, “K-14 districts”) at a level equal to the greater of (a) the same percentage of general fund revenues as the percentage appropriated to such districts in 1986-87, which percentage is equal to 40.9%,

or (b) the amount actually appropriated to such districts from the general fund in the previous fiscal year, adjusted for growth in enrollment and inflation.

Since the Accountability Act is unclear in some details, there can be no assurance that the Legislature or a court might not interpret the Accountability Act to require a different percentage of general fund revenues to be allocated to K-14 districts than the 40.9%, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the State Budget. In any event, the Governor and other fiscal observers expect the Accountability Act to place increasing pressure on the State's budget over future years, potentially reducing resources available for other State programs, especially to the extent the Article XIIIB spending limit would restrain the State's ability to fund such other programs by raising taxes.

The Accountability Act also changes how tax revenues in excess of the State Appropriations Limit are distributed. Any excess State tax revenues up to a specified amount would, instead of being returned to taxpayers, be transferred to K-14 districts. Such transfer would be excluded from the Appropriations Limit for the State and the K-14 school Appropriations Limits for the next year would automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K-14 districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIIIB surplus. The maximum amount of excess tax revenues which could be transferred to schools is 4% of the minimum State spending for education mandated by the Accountability Act, as described above.

On June 5, 1990, State voters approved Proposition 111 (Senate Constitutional Amendment 1), which further modified the State Constitution to alter the spending limit and education funding provisions of Proposition 98. Most significantly, Proposition 111 (1) liberalized the annual adjustments to the spending limit by measuring the "change in the cost of living" by the change in State per capita personal income rather than the Consumer Price Index, and specified that a portion of the State's spending limit would be adjusted to reflect changes in school attendance; (2) provided that 50% of the "excess" tax revenues, determined based on a two-year cycle, would be transferred to K-14 school districts with the balance returned to taxpayers (rather than the previous 100% but only up to a cap of 4% of the districts' minimum funding level), and that any such transfer to K-14 school districts would not be built into the school districts' base expenditures for calculating their entitlement for State aid in the following year and would not increase the State's appropriations limit; (3) excluded from the calculation of appropriations that are subject to the limit appropriations for certain "qualified capital outlay projects" and certain increases in gasoline taxes, sales and use taxes, and receipts from vehicle weight fees; (4) provided that the Appropriations Limit for each unit of government, including the State, would be recalculated beginning in the 1990-91 fiscal year, based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Senate Constitutional Amendment 1 had been in effect; and (5) adjusted the Proposition 98 formula that guarantees K-14 school districts a certain amount of general fund revenues, as described below.

Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 districts are guaranteed the greater of (b) in general, a fixed percent of the State's General Fund (the "State General Fund") revenues ("Test 1"), (c) the amount appropriated to K-14 schools in the prior year, adjusted for changes in the cost-of-living (measured as in Article XIIIB by reference to State per capita personal income) and enrollment ("Test 2"), or (d) a third test, which would replace Test 2 in any year when the percentage growth in per capita State General Fund revenues from the prior year plus one-half of one percent is less than the percentage growth in State per capita personal income ("Test 3"). Under Test 3, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State General Fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 would become a "credit" to schools which would be the basis of payments in future years when per capita State General Fund revenue growth exceeds per capita personal income growth. Legislation adopted prior to the end of the 1988-89 fiscal year, implementing

Proposition 98, determined the K-14 districts' funding guarantee under Test 1 to be 40.3% of the State General Fund tax revenues, based on 1986-87 appropriations. However, that percentage has been adjusted to 35% to account for a subsequent redirection of local property taxes whereby a greater proportion of education funding now comes from local property taxes.

Proposition 98 permits the State Legislature by a two-thirds vote of both houses, with the Governor's concurrence, to suspend the K-14 districts' minimum funding formula for a one-year period. In the fall of 1989, the Legislature and the Governor utilized this provision to avoid having 40.3% of revenues generated by a special supplemental sales tax enacted for earthquake relief go to K-14 districts. Proposition 98 also contains provisions transferring certain State tax revenues in excess of the Article XIII B limit to K-14 districts.

Application of Proposition 98

The application of Proposition 98 and other statutory regulations has become increasingly difficult to predict accurately in recent years. One major reason is that Proposition 98 minimum funding levels under Test 1 and Test 2 are dependent on State General Fund revenues. In past fiscal years, the State made actual allocations to K-14 districts based on an assumption of State General Fund revenues at a level above that which was ultimately realized. In such years, the State has considered the amounts appropriated above the minimum as a loan to K-14 districts, and has deducted the value of these loans from future years' estimated Proposition 98 minimum funding levels. The State determined that there were loans to K-14 districts of \$1.3 billion during fiscal year 1990-91, \$1.1 billion during fiscal year 1991-92, \$1.3 billion during fiscal year 1992-93 and \$787 million during fiscal year 1993-94. These loans have been combined with the K-14 1992-93 loans into one loan totaling \$1.760 billion. The State proposed that repayment of this loan would be from future years' Proposition 98 entitlements, and would be conditioned on maintaining current funding levels per pupil for K-12 schools.

In 1992, a lawsuit, *California Teachers' Association et al. v. Gould*, was filed, which challenged the validity of the off-budget loans. As part of the negotiations leading to the 1995-96 Budget Act, an agreement was reached to settle this case. The agreement provides that both the State and K-14 districts share in the repayment of prior years' emergency loans to schools. Of the total \$1.76 billion in loans, the State will repay \$935 million, while K-14 districts will repay \$825 million. The State share of the repayment will be reflected as expenditures above the current Proposition 98 base calculation. The K-14 districts' share of the repayment will count as appropriations that count toward satisfying the Proposition 98 guarantee, and thus are treated as from "below" the current base. Repayments are spread over the eight-year period of 1994-95 through 2001-02 to mitigate any adverse fiscal impact. In April 1996, a court settlement was reached and \$360 million in appropriations from the 1995-96 fiscal year was disbursed to districts in August 1996.

Substantially increased State General Fund revenues, above initial budget projections, in the fiscal years 1994-95 and thereafter have resulted or will result in retroactive increases in Proposition 98 appropriations from subsequent fiscal years' budgets. During the period of increasing revenues at the State level, per-pupil funding at the K-12 level increased by about 42% from the level in place from 1991-92 through 1993-94. A significant amount of the "extra" Proposition 98 moneys in the last few years has been allocated to special programs, most particularly an initiative to allow each classroom from grades K-3 to have no more than 20 pupils by the end of the 1997-98 school year. More recently, however, the economy of the State has slowed and it is anticipated that the State may experience budget shortfalls due to COVID-19. For a discussion of State funding of the District, see "FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA." See also "LEGAL AND OTHER MATTERS - Risks Related to COVID-19 Outbreak."

Proposition 39

On November 7, 2000, voters approved Proposition 39 called the “Smaller Classes, Safer Schools and Financial Accountability Act” (the “Smaller Classes Act”). The Smaller Classes Act amends Section 1 of Article XIII A, Section 18 of Article XVI of the California Constitution and Section 47614 of the California Education Code. With respect to school districts, community colleges and county offices of education and effective upon its passage, Section 18(b) of Article XVI allows an alternative means of seeking voter approval for bonded indebtedness by 55 percent of the vote, rather than the two-thirds majority required under Section 18 of Article XVI of the Constitution. The reduced 55 percent voter requirement applies only if the bond measure submitted to the voters includes, among other items: 1) a restriction that the proceeds of the bonds may be used for “the construction, reconstruction, rehabilitation, or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities,” 2) a list of projects to be funded and a certification that the school district board has evaluated “safety, class size reduction, and information technology needs in developing that list”; and 3) that annual, independent performance and financial audits will be conducted regarding the expenditure and use of the bond proceeds.

Section 1(b)(3) of Article XIII A has been added to except from the one percent *ad valorem* tax limitation under Section 1(a) of Article XIII A of the Constitution levies to pay bonds approved by the 55 percent of the voters, subject to the restrictions explained above.

The Legislature enacted AB 1908, Chapter 44, which became effective upon passage of Proposition 39. AB 1908 amends various sections of the Education Code. Under amendments to Sections 15268 and 15270 of the Education Code, the following limits on *ad valorem* taxes apply in any single election: 1) for a school district, indebtedness shall not exceed \$30 per \$100,000 of taxable property; 2) for a unified school district, indebtedness shall not exceed \$60 per \$100,000 of taxable property; and, 3) for a community college district, indebtedness shall not exceed \$25 per \$100,000 of taxable property. Finally, AB 1908 requires that a citizens’ oversight committee must be appointed who will review the use of the bond funds and inform the public about their proper usage.

Jarvis v. Connell

On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State of California). The Court of Appeal held that a final budget bill, an emergency appropriation, a self-executing authorization pursuant to state statutes (such as continuing appropriations) or the California Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District’s budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the California Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Proposition 1A and Proposition 22

Beginning in fiscal year 1992-93, the State satisfied a portion of its Proposition 98 obligations by shifting part of the property tax revenues otherwise belonging to cities, counties, special districts, and redevelopment agencies, to school and community college districts through a local Educational Revenue Augmentation Fund (“ERAF”) in each county. Local agencies, objecting to invasions of their local revenues by the State, sponsored a Statewide ballot initiative intended to eliminate the practice. In response, the Legislature proposed an amendment to the State Constitution, which the State’s voters approved as Proposition 1A at the November 2004 election. That measure was generally superseded by the passage of an initiative constitutional amendment at the November 2010 election, known as “Proposition 22.”

The effect of Proposition 22 is to prohibit the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services. It prevents the State from redirecting or diverting revenues to any other local government, including school and community college districts, or from temporarily shifting property taxes from cities, counties and special districts to K-14 schools, as in the ERAF program. This is intended to, among other things, stabilize local government revenue sources by restricting the State’s control over local property taxes. One effect of this amendment is to deprive the State of fuel tax revenues to pay debt service on most State bonds for transportation projects, reducing the amount of State general fund resources available for other purposes, including education.

Because Proposition 22 reduced the State’s authority to use or reallocate certain revenue sources, fees and taxes for State general fund purposes, the State has to take other actions to balance its budget, such as reducing State spending or increasing State taxes, and school and college districts that receive Proposition 98 or other funding from the State are more directly dependent upon the State’s general fund.

Redevelopment Agency Dissolution. On December 30, 2011, the California Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos*, finding ABx1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all redevelopment agencies in California were dissolved as of February 1, 2012, and all net tax increment revenues, after payment of redevelopment bonds debt service and administrative costs, will be distributed to cities, counties, special districts and K-14 school districts. The Court also found that ABx1 27, a companion bill to ABx1 26, violated the California Constitution, as amended by Proposition 22. ABx1 27 would have permitted redevelopment agencies to continue operations provided their establishing cities or counties agreed to make specified payments to K-14 school districts and county offices of education, totaling \$1.7 billion statewide. The District is unable to predict what affect the implementation of ABx1 26 will have on the District’s future receipt of tax increment revenues.

As a result of the dissolution of California redevelopment agencies and ABx1 26, the tax increment previously paid to redevelopment agencies shall first be used to pay pass-through payments to other taxing entities and second to pay the redevelopment agencies enforceable obligations; with the remaining revenue (if any) paid to the taxing entities by the County Auditor-Controller in the same proportion as other tax revenue. The California Department of Finance estimates the amount the District is expected to receive once the pass-through payments are made and enforceable obligations paid, then reduces its funding allocation to the District by such amount.

Proposition 30 and Proposition 55

On November 6, 2012, voters approved the Governor’s November Tax Initiative (“Proposition 30”), also referred to as the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment. Proposition 30 temporarily (a) increased the personal income tax on

certain of the State's income taxpayers by one to three percent for a period of seven years from January 1, 2012 through the end of 2018, and (b) increased the sales and use tax by one-quarter percent for a period of four years from January 1, 2013 through the end of 2016. The revenues generated from such tax increases are included in the calculation of the Proposition 98 minimum funding guarantee (see "CONSTITUTIONAL AND STATUTORY INITIATIVES – Proposition 98 and Proposition 111" herein). The revenues generated from such temporary tax increases are deposited into a State account created pursuant to Proposition 30 (the "Education Protection Account"), and 89% of the amounts therein are allocated to school districts and 11% of the amounts therein are allocated to community college districts.

The Proposition 30 sales and use tax increases expired at the end of the 2016 tax year. Under Proposition 30, the personal income tax increases were set to expire at the end of the 2018 tax year. However, the California Tax Extension to Fund Education and Healthcare Initiative ("Proposition 55"), approved by voters on November 8, 2016, extends by twelve years the temporary personal income tax increases on incomes over \$250,000 that was first enacted by Proposition 30; Proposition 55 did not extend the sales tax increases imposed by Proposition 30. Revenues from the tax increase will be allocated to school districts and community colleges in the State.

Proposition 2

Proposition 2, also known as The Rainy Day Budget Stabilization Fund Act ("Proposition 2") was approved by California voters on November 4, 2014. Proposition 2 triggered the implementation of certain provisions which could limit the amount of reserves that may be maintained by a school district, was approved by the voters in the November 2014 election. Proposition 2 provides for changes to State budgeting practices, including revisions to certain conditions under which transfers are made into and from the State's Budget Stabilization Account (the "BSA") established by the California Balanced Budget Act of 2004 (also known as Proposition 58). Commencing in Fiscal Year 2015-16 and for each fiscal year thereafter, the State is required to make an annual transfer to the BSA in an amount equal to 1.5% of estimated State general fund revenues (the "Annual Stabilization Account Transfer"). For a Fiscal Year in which the estimated State general fund revenues allocable to capital gains taxes exceed 8% of the total estimated general fund tax revenues, supplemental transfers to the BSA (a "Supplemental Stabilization Account Transfer") are also required. Such excess capital gains taxes, which are net of any portion thereof owed to K-14 school districts pursuant to Proposition 98, are required to be transferred to the BSA.

In addition, for each fiscal year, Proposition 2 increases the maximum size of the BSA to 10% of estimated State general fund revenues. Such excess amounts are to be expended on State infrastructure, including deferred maintenance, in any Fiscal Year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold. For the period from Fiscal Year 2015-16 through Fiscal Year 2029-30, Proposition 2 requires that half of any such transfer to the BSA (annual or supplemental), shall be appropriated to reduce certain State liabilities, including repaying State interfund borrowing, reimbursing local governments for State mandated services, making certain payments owed to K-14 school districts, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. After Fiscal Year 2029-30, the Governor and the Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities and any amount not so applied shall be transferred to the BSA or applied to infrastructure, as set forth above.

Accordingly, the conditions under which the Governor and the Legislature may draw upon or reduce transfers to the BSA are impacted by Proposition 2. Unilateral discretion to suspend transfers to the BSA are not retained by the Governor. Neither does the Legislature retain discretion to transfer funds from the BSA for any reason, as was previously provided by law. Instead, the Governor must declare a "budget emergency" (defined as an emergency within the meaning of Article XIII B of the Constitution) or a determination that estimated resources are inadequate to fund State general fund expenditure, for the current

or ensuing fiscal year, at a level equal to the highest level of State spending within the three immediately preceding fiscal years, and any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of the funds on deposit in the BSA, unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also provides for the creation of a Public School System Stabilization Account (the “Public School System Stabilization Account”) into which transfers will be made in any fiscal year in which a Supplemental Stabilization Account Transfer is required, requiring that such transfer will be equal to the portion of capital gains taxes above the 8% threshold that would otherwise be paid to K-14 school districts as part of the minimum funding guarantee. Transfers to the Public School System Stabilization Account are only to be made if certain additional conditions are met, including that: (i) the minimum funding guarantee was not suspended in the immediately preceding Fiscal Year, (ii) the operative Proposition 98 formula for the Fiscal Year in which a Public School System Stabilization Account transfer might be made is “Test 1,” (iii) no maintenance factor obligation is being created in the budgetary legislation for the Fiscal Year in which a Public School System Stabilization Account transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the minimum funding guarantee for the Fiscal Year in which a Public School System Stabilization Account transfer might be made is higher than the immediately preceding Fiscal Year, as adjusted for ADA growth and cost of living. Under Proposition 2, the size of the Public School System Stabilization Account is capped at 10% of the estimated minimum guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Any reductions to a required transfer to, or draws upon, the Public School System Stabilization Account, are subject to the budget emergency requirements as described above. However, in any Fiscal Year in which the estimated minimum funding guarantee is less than the prior year’s funding level, as adjusted for ADA growth and cost of living, Proposition 2 also mandates draws on the Public School System Stabilization Account.

The Proposition 2 constitutional amendments related to the Rainy Day Fund (i) require deposits into the Rainy Day Fund whenever capital gains revenues rise to more than 8% of general fund tax revenues; (ii) set the maximum size of the Rainy Day Fund at 10% of general fund revenues; (iii) for the next 15 years, require half of each year’s deposit to be used for supplemental payments to pay down the budgetary debts or other long-term liabilities and, thereafter, require at least half of each year’s deposit to be saved and the remainder used for supplemental debt payments or savings; (iv) allow the withdrawal of funds only for a disaster or if spending remains at or below the highest level of spending from the past three years; (v) require the State to provide a multiyear budget forecast; and (vi) create a Proposition 98 reserve (the “Public School System Stabilization Account”) to set aside funds in good years to minimize future cuts and smooth school spending. The State may deposit amounts into such account only after it has paid all amounts owing to school districts relating to the Proposition 98 maintenance factor for fiscal years prior to fiscal year 2014-15. The State, in addition, may not transfer funds to the Public School System Stabilization Account unless the State is in a Test 1 year under Proposition 98 or in any year in which a maintenance factor is created.

Proposition 51

The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 (also known as Proposition 51) is a voter initiative that was approved by voters on November 8, 2016. Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds for the new construction and modernization of K-14 facilities.

K-12 School Facilities. Proposition 51 includes \$3 billion for the new construction of K-12 facilities and an additional \$3 billion for the modernization of existing K-12 facilities. K-12 school districts will be required to pay for 50% of the new construction costs and 40% of the modernization costs with local revenues. If a school districts lack sufficient local funding, it may apply for additional state grant funding,

up to 100% of the project costs. In addition, a total of \$1 billion will be available for the modernization and new construction of charter school (\$500 million) and technical education (\$500 million) facilities. Generally, 50% of modernization and new construction project costs for charter school and technical education facilities must come from local revenues. However, schools that cannot cover their local share for these two types of projects may apply for state loans. State loans must be repaid over a maximum of 30 years for charter school facilities and 15 years for career technical education facilities. For career technical education facilities, state grants are capped at \$3 million for a new facility and \$1.5 for a modernized facility. Charter schools must be deemed financially sound before project approval.

Community College Facilities. Proposition 51 includes \$2 billion for community college district facility projects, including buying land, constructing new buildings, modernizing existing buildings, and purchasing equipment. In order to receive funding, community college districts must submit project proposals to the Chancellor of the community college system, who then decides which projects to submit to the State legislature and Governor based on a scoring system that factors in the amount of local funds contributed to the project. The Governor and State legislature will select among eligible projects as part of the annual state budget process.

The District makes no guarantees that it will either pursue or qualify for Proposition 51 State facilities funding.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 1A, 22, 26, 30, 39, 98, 51 and 55 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

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APPENDIX B

FORMS OF BOND COUNSEL OPINION

Upon issuance and delivery of the Tax-Exempt Bonds, Norton Rose Fulbright US LLP, Bond Counsel, proposes to deliver its final approving opinion with respect to the Tax-Exempt Bonds substantially in the following form:

[Closing Date]

Governing Board
Southwestern Community College District

Re: \$73,620,000 Southwestern Community College District (San Diego County, California)
Election of 2008, General Obligation Bonds, Series 2021F

\$175,370,000 Southwestern Community College District (San Diego County, California)
Election of 2016, General Obligation Bonds, Series 2021D, maturing on or after August 1,
2023

Ladies and Gentlemen:

We have acted as Bond Counsel to the Southwestern Community College District (the “District”), in connection with the issuance by the District of \$73,620,000 aggregate principal amount of its Election of 2008, General Obligation Bonds, Series 2021F (the “Series F Bonds”), and \$184,000,000 aggregate principal amount of its Election of 2016, General Obligation Bonds, Series 2021D (the “Series D Bonds” and, together with the Series F Bonds, the “Bonds”). The Bonds are issued pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California, as amended, Article XIII A of the California Constitution, and the resolution adopted by the Governing Board of the District on September 14, 2021 relating to the Bonds (the “Resolution”). All terms used herein and not otherwise defined shall have the meanings given to them in the Resolution.

As bond counsel, we have examined copies certified to us as being true and complete copies of the proceedings of the District for the authorization and issuance of the Bonds, including the Resolution and the Tax Exemption Certificate of the District dated the date hereof (the “Tax Certificate”), relating to the Series F Bonds and the Series D Bonds maturing on and after August 1, 2023 (collectively, the “Tax-Exempt Bonds”). Our services as such bond counsel were limited to an examination of such proceedings and to the rendering of the opinions set forth below. In this connection we have also examined such certificates of public officials and officers of the District as we have considered necessary for the purposes of this opinion.

Certain agreements, requirements and procedures contained or referred to in the Resolution, the Tax Certificate and other relevant documents may be changed and certain actions (including, without limitation, the defeasance of the Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. No opinion is expressed herein as to any Bond or the interest thereon if any such change occurs or action is taken or omitted upon the advice or approval of counsel other than ourselves.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to

determine, or to inform any person, whether any such actions or events are taken or do occur. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by any parties other than the District. We have not undertaken to verify independently, and have assumed, the accuracy of the factual matters represented, warranted or certified in the documents referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Resolution and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Tax-Exempt Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Resolution and the Tax Certificate may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against public entities in the State of California. We express no opinion with respect to any indemnification, contribution, choice of law, choice of forum or waiver provisions contained in the foregoing documents. We express no opinion and make no comment with respect to the sufficiency of the security or the marketability of the Bonds. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute valid and binding obligations of the District, payable as to principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
2. The Resolution has been duly adopted and constitutes a valid and binding obligation of the District.
3. It is further our opinion, based upon the foregoing, that pursuant to section 103 of the Internal Revenue Code of 1986, as amended and in effect on the date hereof (the "Code"), and existing regulations, published rulings, and court decisions thereunder, and assuming continuing compliance with the provisions of the Resolution and the Tax Certificate and in reliance upon the representations and certifications of the District made in the Tax Certificate of even date herewith pertaining to the use, expenditure, and investment of the proceeds of the Tax-Exempt Bonds, when the Tax-Exempt Bonds are delivered to and paid for by the initial purchasers thereof, interest on the Tax-Exempt Bonds for federal income tax purposes (1) will be excludable from the gross income, as defined in section 61 of the Code, of the owners thereof, and (2) will not be included in computing the alternative minimum taxable income of the owners thereof.

In our opinion, under existing law, interest on the Bonds is exempt from personal income taxes of the State of California.

We express no other opinion with respect to any other federal, state, or local tax consequences under present law or any proposed legislation resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Bonds. Ownership of tax-exempt obligations such as the Tax-Exempt Bonds may result in collateral federal tax consequences to, among others, financial institutions, life insurance companies, property and casualty insurance companies, certain S corporations with subchapter C earnings and profits, certain foreign corporations doing business in the United States, owners of an

interest in a financial asset securitization investment trust, individuals otherwise qualifying for the earned income tax credit, individual recipients of Social Security or Railroad Retirement benefits, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations.

Our opinions are based on existing law, which is subject to change. Such opinions are further based on our knowledge of facts as of the date hereof. We assume no duty to update or supplement our opinions to reflect any facts or circumstances that may thereafter come to our attention or to reflect any changes in any law that may thereafter occur or become effective. Moreover, our opinions are not a guarantee of result and are not binding on the Internal Revenue Service or the State of California; rather, such opinions represent our legal judgment based upon our review of existing law that we deem relevant to such opinions and in reliance upon the representations and covenants referenced above.

Respectfully submitted,

[Upon issuance and delivery of the Taxable Bonds, Norton Rose Fulbright US LLP, Bond Counsel, proposes to deliver its final approving opinion with respect to the Federally Taxable Bonds substantially in the following form:]

[Closing Date]

Governing Board
Southwestern Community College District

Re: \$8,630,000 Southwestern Community College District (San Diego County, California)
Election of 2016, General Obligation Bonds, Series 2021D maturing on February 1, 2022

Ladies and Gentlemen:

We have acted as Bond Counsel to the Southwestern Community College District (the “District”), in connection with the issuance by the District of \$8,630,000 principal amount of its Election of 2016, General Obligation Bonds, Series 2021D, maturing on February 1, 2022 (the “Bonds”). The Bonds are issued pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California, as amended, Article XIII A of the California Constitution, and the resolution adopted by the Governing Board of the District on September 14, 2021 relating to the Bonds (the “Resolution”). All terms used herein and not otherwise defined shall have the meanings given to them in the Resolution.

As bond counsel, we have examined copies certified to us as being true and complete copies of the proceedings of the District for the authorization and issuance of the Bonds, including the Resolution. Our services as such bond counsel were limited to an examination of such proceedings and to the rendering of the opinions set forth below. In this connection we have also examined such certificates of public officials and officers of the District as we have considered necessary for the purposes of this opinion.

Certain agreements, requirements and procedures contained or referred to in the Resolution and other relevant documents pertaining to the Bonds may be changed and certain actions (including, without limitation, the defeasance of the Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents, upon the advice or with the approving opinion of counsel. We express no opinion as to the effect of any change to any document pertaining to the Bonds or of any action taken or not taken where such change is made or action is taken or not taken without our approval or in reliance upon the advice of counsel other than ourselves.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by any parties other than the District. We have not undertaken to verify independently, and have assumed, the accuracy of the factual matters represented, warranted or certified in the documents referred to in the second paragraph hereof. We call attention to the fact that the rights and obligations under the Bonds and the Resolution may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors’ rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against public entities in the State of California. We express no opinion with respect to any indemnification, contribution, choice of law, choice of forum or waiver provisions contained in the foregoing documents. We express no opinion

and make no comment with respect to the sufficiency of the security or the marketability of the Bonds. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute valid and binding obligations of the District, payable as to principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
2. The Resolution has been duly adopted and constitutes a valid and binding obligation of the District.
3. Under existing law, interest on the Bonds is exempt from personal income taxes of the State of California.

We express no other opinion with respect to any other state, or local tax consequences under present law or any proposed legislation resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Bonds.

Our opinions are based on existing law, which is subject to change. Such opinions are further based on our knowledge of facts as of the date hereof. We assume no duty to update or supplement our opinions to reflect any facts or circumstances that may thereafter come to our attention or to reflect any changes in any law that may thereafter occur or become effective. Moreover, our opinions are not a guarantee of result and are not binding on the State of California; rather, such opinions represent our legal judgment based upon our review of existing law that we deem relevant to such opinions and in reliance upon the representations and covenants referenced above.

Respectfully submitted,

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APPENDIX C

AUDITED FINANCIAL STATEMENTS

FOR THE FISCAL YEAR ENDED JUNE 30, 2020

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Southwestern Community College District

Chula Vista, California

**Basic Financial Statements,
Single Audit, State Compliance, Supplementary
Information, and Other Information
with Independent Auditors' Reports**

For the Year Ended June 30, 2020



Southwestern Community College District

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Southwestern Community College District

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Southwestern Community College District

Introductory Section

Southwestern Community College District (the “District”) is located in Chula Vista, San Diego County. The District presently operates one primary campus in Chula Vista with extension sites in Otay Mesa, San Ysidro and National City. There have been no changes in the District’s boundaries during the current year.

The Governing Board of the District for the fiscal year ended June 30, 2020 was composed of the following members:

Member	Office	Term Expires
Roberto Alcantar	President	November 2020
Nora E. Vargas	Vice President	November 2022
Leticia Cazares	Board Member	November 2020
Griselda A. Delgado	Board Member	November 2020
Tim Nader	Board Member	November 2022
Melkitsedeq, Jorge Hernandez	Student Trustee	May 2021

The Executive and Senior Administration of the District for the fiscal year ended June 30, 2020 was composed of the following members:

Member	Office
Kindred Murillo, Ed.D.	Superintendent/President
Kelly Hall, Ph.D.	Vice-President for Business & Financial Affairs
Rose Del Gaudio	Vice-President, Human Resources
Minou Spradley, Ph.D.	Vice-President for Academic Affairs
Tina King, Ed.D	Vice-President for Student Affairs

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INDEPENDENT AUDITORS' REPORT

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Financial Statements

We have audited the accompanying financial statements of the business-type activities and the fiduciary funds of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2020, and the related notes to the basic financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Southwestern College Foundation (the "Foundation"), an aggregate discretely presented component unit of the District. Those financial statements were audited by other auditors, whose report dated December 4, 2020, has been furnished to us, and our opinion on the basic financial statements of the District, insofar as it relates to the Foundation, is based solely on the report of the other auditors.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of other auditors, the basic financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities, the fiduciary funds, and the aggregate discretely presented component unit of the District, as of June 30, 2020, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis and Schedules of Changes in Proportionate Share of the Net Pension Liability – CalSTRS and CalPERS, Schedules of Contributions – CalPERS and CalSTRS, the Schedule of Changes in Net OPEB Liability and Related Ratios, and the Schedule of Contributions – OPEB on pages 5 through 10 and page 60 through 63, respectively, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements as a whole. The accompanying Introductory Section, Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Basic Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Basic Statement of Activities and Changes in Net Position, and Other Supplementary Information as listed in the foregoing table of contents are presented for purpose of additional analysis and are not a required part of the basic financial statements.

The Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Basic Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Basic Statement of Activities and Changes in Net Position are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Our audit was performed for the purpose of forming an opinion on the basic financial statements of the District, taken as a whole. The accompanying Introductory Section, Purpose of Schedules, Schedule of Workload Measures for State General Apportionment and Annual Actual Attendance, Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements, Reconciliation of the 50% Calculation with Audited Financial Statements, Reconciliation of Education Protection Account Expenditures with Audited Financial Statements, Schedule of Expenditures of State Awards, and Budget Comparison Schedule – General Fund are not a required part of the basic financial statements but are other information required by the State of California Department of Education. This other information is the responsibility of management. We have applied certain limited procedures, which consisted principally of inquiries of management regarding the methods of measurement and presentation of the Introductory Section and Other Information. However, we did not audit the information and express no opinion on these schedules.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated January 25, 2021, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

The PwC Group, LLP

San Diego, California
January 25, 2021

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**Southwestern Community College District
Management's Discussion and Analysis (Unaudited)
For the Year Ended June 30, 2020**

This section of the Southwestern Community College District's (the "District") financial statements presents the analysis of the District's financial performance during the fiscal year that ended on June 30, 2020. Please read it in conjunction with the financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- Ending General Fund fund-balance (unrestricted) at June 30, 2020 was \$16.8 million or 15.4% of General Fund unrestricted expenses. This is a decrease from last year of \$19.9 or 19.7% of General Fund unrestricted expenses.
- Funded FTES (full time equivalent students) were 14,209 in Fiscal Year (FY) 2019-20 and 14,694 in FY 2018-19.
- Budgeted FTES in FY 2020-21 are 14,750.
- The General Fund unrestricted expenses over revenue of (\$3,040,369) represent a 407% decrease from the prior year. The revenue over expenses in FY 18-19 was \$989,568 which included one-time state funding.
- Bond Proposition R expenses during the year were \$4.7 million with an ending cash balance of \$33.7 thousand at June 30, 2020.
- Bond Proposition Z expenses during the year were \$48.2 million with an ending cash balance of \$79.9 million at June 30, 2020.

Southwestern Community College District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2020

OVERVIEW OF THE FINANCIAL STATEMENTS

The Basic Financial Statements consist of the following four components:

- Management's Discussion and Analysis;
- Financial statements including the Statement of Net Position, Statement of Activities and Changes in Net Position, Statement of Cash Flows, Statement of Fiduciary Net Position and Statement of Changes in Fiduciary Net Position;
- Notes to the financial statements; and
- Required Supplementary Information.

Additional information presented with the Basic Financial Statements includes:

- Introductory Section;
- Supplementary Information:
 - Combining Schedule of Assets, Liabilities, and Fund Balances;
 - Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Government-Wide Statement of Net Position;
 - Combining Schedule of Revenues, Expenditures/Expenses, and Changes in Fund Equity/Net Position;
 - Reconciliation of Combining Schedule of Revenues, Expenditures/Expenses, and Changes in Fund Equity to Government-Wide Statement of Activities and Changes in Net Position;
- Single Audit
- State Compliance
- Other Information:
 - Purpose of Schedules;
 - Schedule of Workload Measures for State General Apportionment and Annual Actual Attendance;
 - Reconciliation of Annual Financial and Budget Report (CCFS-311) with the Audited Financial Statements;
 - Reconciliation of the 50% Calculation with Audited Financial Statements;
 - Reconciliation of Education Protection Account Expenditures with Audited Financial Statements;
 - Schedule of Expenditures of State Awards; and
 - Budget Comparison Schedule – General Fund Unrestricted and Restricted.

Southwestern Community College District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2020

The **Statement of Net Position** presents the assets, deferred outflows of resources, liabilities, deferred inflows of resources, and net position of the District as of the end of the fiscal year using the accrual basis of accounting, which is similar to the accounting basis used by most private-sector institutions. Net position, the difference between assets and deferred outflows of resources and liabilities and deferred inflows of resources, is one way to measure the financial health of the District. The data allows its readers to determine the assets available to continue the operations of the District. The net position of the District consists of three major categories. The *Net Investment in Capital Assets* category represents the District's equity in property, plant, and equipment net of related debt.

Restricted Net Position is restricted by use constraints placed on it by outside parties such as agreements, laws, regulations of creditors, other governments or as imposed by laws through constitutional provisions or enabling legislation. *Unrestricted Net Position* is the final category. The District can use unrestricted net position for any lawful purpose. Although unrestricted by third parties, the District's Governing Board may place internal restrictions on this net position, but it retains the power to modify or remove such restrictions.

The District's Statement of Net Position is presented in the table below:

Table 1
Statements of Net Position

	June 30, 2020	June 30, 2019	Changes	
Current assets	\$ 131,955,373	\$ 181,165,781	\$ (49,210,408)	-27.2%
Noncurrent assets	453,390,628	419,240,647	34,149,981	8.1%
Total assets	585,346,001	600,406,428	(15,060,427)	-2.5%
Deferred outflows of resources	40,495,172	41,621,515	(1,126,343)	-2.7%
Current liabilities	52,950,310	49,338,712	3,611,598	7.3%
Long-term liabilities	577,860,517	590,086,037	(12,225,520)	-2.1%
Total liabilities	630,810,827	639,424,749	(8,613,922)	-1.3%
Deferred inflows of resources	12,648,223	10,605,981	2,042,242	19.3%
Net position:				
Net investment in capital assets	63,542,485	64,041,032	(498,547)	-0.8%
Restricted	26,694,252	30,864,967	(4,170,715)	-13.5%
Unrestricted	(107,854,614)	(102,908,786)	(4,945,828)	4.8%
Total net position	\$ (17,617,877)	\$ (8,002,787)	\$ (9,615,090)	120.1%

The **Statement of Activities and Changes in Net Position** presents the operating results of the District. The purpose of the statement is to present the revenues received by the District, both operating and non-operating, and the expenses paid by the District, operating and non-operating, and any other revenues, expenses, gains and losses received or spent by the District.

Changes in total net position on the Statement of Net Position are based on the activity presented in the Statement of Activities and Changes in Net Position. Generally speaking, operating revenues are received for providing goods and services to the various customers and constituencies of the District. Operating expenses are those expenses paid to acquire or produce the goods and services provided in return for the operating revenues and to carry out the mission of the District. Non-operating revenues are revenues received for which goods and services are not provided. For example, state appropriations are non-operating revenue because they are provided by the legislature to the institution without the legislature directly receiving commensurate goods and services for those revenues.

Southwestern Community College District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2020

The District's Statement of Activities and Changes in Net Position is presented in the table below:

Table 2
Changes in Net Position

	June 30, 2020	June 30, 2019	Change	
Operating revenues	\$ 32,732,744	\$ 27,613,137	\$ 5,119,607	18.5%
Operating expenses	(196,594,985)	(175,210,123)	(21,384,862)	12.2%
Deficit before depreciation and Nonoperating income and expenses	(163,862,241)	(147,596,986)	(16,265,255)	11.0%
Depreciation	(14,865,438)	(7,716,119)	(7,149,319)	92.7%
Non-operating income and expenses, net	169,112,589	158,009,010	11,103,579	7.0%
Increase (decrease) in net position	\$ (9,615,090)	\$ 2,695,905	\$ (12,310,995)	-456.7%

The **Statement of Cash Flows** provides additional information about the District's financial results by reporting the major sources and uses of cash. This information assists readers in assessing the District's ability to generate revenue, meet its obligations as they come due and evaluate its need for external financing. The statement is divided into several parts. The first part deals with operating cash flows and shows the net cash used by the operating activities of the District. The second section reflects cash flows from non-capital financing activities and shows the sources and uses of those funds. The third section deals with cash flows from capital and related financing activities. This section deals with the cash used for the acquisition and construction of capital and related items. The fourth section deals with cash flows from investing activities. This section reflects the cash received and spent for short-term investments and any interest paid or received on those investments.

The District's Statement of Cash Flows is presented in the table below:

Table 3
Statement of Cash Flows

	June 30, 2020	June 30, 2019
Cash provided by (used in):		
Operating activities	\$ (156,819,590)	\$ (145,457,496)
Non-capital financing activities	180,768,736	170,161,781
Capital and related financing activities	(86,658,842)	(99,245,289)
Investing activities	3,379,143	5,796,227
Net change in cash and cash equivalents	(59,330,553)	(68,744,777)
Cash balance, beginning of year	202,957,171	271,701,948
Cash balance, end of year	\$ 143,626,618	\$ 202,957,171

Southwestern Community College District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2020

CAPITAL ASSETS

The following table summarizes the District's capital assets, net of accumulated depreciation, and changes therein, for the year ended June 30, 2020. These changes are presented in detail in Note 4 to the financial statements.

Table 4
Capital Assets Net of Accumulated Depreciation

	June 30, 2020	June 30, 2019	Change	
Land	\$ 9,703,148	\$ 9,703,148	\$ -	0.0%
Buildings	300,664,157	153,707,425	146,956,732	95.6%
Improvements	48,864,870	105,671,282	(56,806,412)	-53.8%
Equipment	4,566,383	2,793,404	1,772,979	63.5%
Construction in progress	62,897,818	116,500,421	(53,602,603)	-46.0%
Net capital assets	<u>\$ 426,696,376</u>	<u>\$ 388,375,680</u>	<u>\$ 38,320,696</u>	<u>9.9%</u>

LONG TERM DEBT

The following table summarizes the District's long-term debt and changes therein for the year ended June 30, 2020. Changes in long term debt are presented in detail in Note 6 to the financial statements.

Table 5
Summary of Long-Term Debt

	June 30, 2020	June 30, 2019	Change	
Bonds Payable:				
Lease Revenue	\$ 595,000	\$ 695,000	\$ (100,000)	-14.4%
GO Bond, Series 2004	12,993,974	12,993,974	-	0.0%
Prop R - Series C	65,050,370	65,490,370	(440,000)	-0.7%
Prop R - Series D	115,984,325	115,984,325	-	0.0%
GO Bond, Series 2015, Refunding	18,810,000	21,040,000	(2,230,000)	-10.6%
GO Bond 2016, Refunding Series A	3,400,000	3,400,000	-	100.0%
GO Bond 2016, Refunding Series B	84,335,000	84,335,000	-	100.0%
GO Bond 2016, Series A	114,550,000	127,900,000	(13,350,000)	100.0%
Unamortized premiums	29,983,631	32,091,206	(2,107,575)	-6.6%
	<u>\$ 445,702,300</u>	<u>\$ 463,929,875</u>	<u>\$ (18,227,575)</u>	<u>-3.9%</u>

**Southwestern Community College District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2020**

ECONOMIC FACTORS AND 2020-21 BUDGET

The major economic factors that have an effect on the District's financial condition are directly related to the overall economy of the State of California and any future legislation that may impact the funding of community colleges.

The District's FY 2020-2021 Adopted Budget (General Fund-Unrestricted) includes revenue and expense projections based on the best information available to date and is not based on the budgetary basis of accounting. The adopted budget also includes sufficient reserves for the District's stability and security, including a Governing Board reserve of 7%.

The District's unrestricted general fund revenue budget for FY 2020-2021 is \$103.1 million compared to FY 2019-2020 adopted budget of \$105.8 million a 2.6% decrease.

- General unrestricted revenues consist of California State principal apportionment (including faculty hiring allocation and Proposition 30 Educational Protection Act) of \$59.9 million, property taxes of \$30.4 million, enrollment fees of \$4.9 million, and \$7.9 million in other revenue including lottery proceeds of \$2.2 million and non-resident tuition of \$1.1 million.

The District's FY 2020-2021 General Fund unrestricted budgeted expenses of \$110.8 million compared to FY 2019-2020 budgeted expenses of \$105.2 million, represent a 5.3% increase.

Proposition R Bond construction funds that are separate from the General Fund have an expense budget of \$10.3 million. Proposition Z construction Bond fund has an expense budget of \$85.7 million including projects for the student and performing arts center.

The total District-wide expense budget for all funds in FY 2020-2021 is \$255.4 million:

	FY 20-21 Budget
General Fund Summary	\$ 148,407,821
Enterprise Fund Summary	4,632,438
Prop R Construction Bond Fund	10,296,000
Prop Z Construction Bond Fund	85,651,800
Civic Center Leasing Fund	209,494
Capital Outlay Fund	1,130,191
Associated Student Organization Fund	374,800
Student Success Completion Fund	4,570,538
Student Center Fund	163,572
	<u>\$ 255,436,654</u>

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report was designed to provide a general overview of the District's finances for all those interested. Questions concerning any of the information provided in this report or requests for additional information should be addressed to the Vice President of Business and Financial Affairs, Southwestern Community College District, 900 Otay Lakes Road, Chula Vista CA 91910.

BASIC FINANCIAL STATEMENTS

Southwestern Community College District
Statement of Net Position
June 30, 2020

	Primary Government District	Component Unit Foundation
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 36,991,132	\$ 524,320
Investments	-	166,797
Accounts receivable, net	13,853,568	1,768
Inventories	1,103,038	-
Prepaid items	5,475	625
Due from fiduciary funds	60,926	-
Other assets	-	15
Restricted cash and cash equivalents	79,941,234	309,003
Total current assets	<u>131,955,373</u>	<u>1,002,528</u>
Noncurrent assets:		
Restricted cash and cash equivalents	26,694,252	-
Restricted investments	-	953,420
Capital assets, net	426,696,376	-
Total noncurrent assets	<u>453,390,628</u>	<u>953,420</u>
Total assets	<u>585,346,001</u>	<u>1,955,948</u>
DEFERRED OUTFLOWS OF RESOURCES		
Pension-related deferred outflows	29,943,927	-
OPEB-related deferred outflows	7,115,124	-
Deferred loss on refunding, net	3,436,121	-
Total deferred outflows of resources	<u>40,495,172</u>	<u>-</u>

Southwestern Community College District
Statement of Net Position (Continued)
June 30, 2020

	Primary Government	Component Unit
	District	Foundation
LIABILITIES		
Liabilities:		
Current liabilities:		
Accounts payable and accrued liabilities	8,493,539	2,467
Interest payable	6,449,288	-
Payroll and related liabilities	6,894,588	-
Unearned revenue	12,806,676	-
Due from fiduciary funds	30,000	-
Compensated absences - due within one year	2,500,000	-
Bonds payable - due within one year	15,776,219	-
Total current liabilities	52,950,310	2,467
Noncurrent liabilities:		
Compensated absences - due in more than one year	1,503,028	-
Bonds payable - due in more than one year	429,926,081	-
Net pension liability - due in more than one year	129,210,617	-
Net OPEB liability - due in more than one year	17,220,791	-
Total noncurrent liabilities	577,860,517	-
Total liabilities	630,810,827	2,467
DEFERRED INFLOWS OF RESOURCES		
Pension-related deferred inflows	7,242,868	-
OPEB-related deferred inflows	4,576,409	-
Deferred gain on refunding, net	828,946	-
Total deferred inflows of resources	12,648,223	-
Net Position:		
Net investment in capital assets	63,542,485	-
Restricted for:		
Special projects	-	1,262,362
Debt service	26,694,252	-
Total restricted	26,694,252	1,262,362
Unrestricted (deficit) (Note 12)	(107,854,614)	691,119
Total net position (deficit)	\$ (17,617,877)	\$ 1,953,481

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Southwestern Community College District
Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2020

	Primary Government District	Component Unit Foundation
OPERATING REVENUES:		
Tuition and fees	\$ 8,864,455	\$ -
Grants and contracts, non-capital:		
Federal	10,746,810	-
State	7,086,766	-
Local	2,304,608	-
Total grants and contracts, non-capital	20,138,184	-
Auxiliary enterprise sales and charges, net	3,689,802	-
Other operating revenues	40,303	1,768,059
Total operating revenues	32,732,744	1,768,059
OPERATING EXPENSES:		
Salaries	97,998,118	-
Employee benefits	32,822,885	-
Payments to students	43,585,279	223,083
Supplies, materials, and other expenses	19,307,124	1,265,706
Utilities	2,881,579	-
Depreciation	14,865,438	-
Total operating expenses	211,460,423	1,488,789
Operating income (loss)	(178,727,679)	279,270
NONOPERATING REVENUE (EXPENSES):		
Federal grants, non-capital	29,892,586	-
State apportionments, non-capital	89,794,802	-
Local property taxes, non-capital	59,517,204	-
Investment income	3,352,143	45,710
Interest expense	(15,008,290)	-
Other nonoperating revenues (expenses)	1,564,144	-
Total nonoperating revenues (expenses), net	169,112,589	45,710
Changes in net position	(9,615,090)	324,980
NET POSITION (DEFICIT):		
Beginning of year	(8,002,787)	1,628,501
End of year	<u><u>\$ (17,617,877)</u></u>	<u><u>\$ 1,953,481</u></u>

Southwestern Community College District
Statement of Cash Flows
For the Year Ended June 30, 2020

	Primary Government District	Component Unit Foundation
CASH FLOWS FROM OPERATING ACTIVITIES:		
Tuition and fees	\$ 5,836,469	\$ -
Grants and contracts	20,138,184	-
Payments for supplies and services	(143,016,765)	(1,262,325)
Payments to students	(43,585,279)	(223,083)
Auxiliary enterprise sales and charges	3,689,802	-
Other operating revenues and expenses	117,999	1,762,159
Net cash provided by (used in) operating activities	<u>(156,819,590)</u>	<u>276,751</u>
CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES:		
Federal Pell Grants	29,892,586	-
State apportionment	89,794,802	-
Local property taxes	59,517,204	-
Other	1,564,144	-
Net cash provided by noncapital financing activities	<u>180,768,736</u>	<u>-</u>
CASH FLOWS FROM CAPITAL FINANCING ACTIVITIES:		
Acquisition of capital assets	(53,186,134)	-
Principal paid on bonds	(16,120,000)	-
Payment of interest and fees	(17,352,708)	-
Net cash (used in) capital financing activities	<u>(86,658,842)</u>	<u>-</u>
CASH FLOWS FROM INVESTING ACTIVITIES:		
Purchase of investments	27,000	-
Interest and investment proceeds	3,352,143	7,469
Cash provided by (used in) investing activities	<u>3,379,143</u>	<u>7,469</u>
Net increase (decrease) in cash and equivalents	(59,330,553)	284,220
CASH AND CASH EQUIVALENTS		
Beginning of year	202,957,171	549,103
End of year	<u>\$ 143,626,618</u>	<u>\$ 833,323</u>
RECONCILIATION OF CASH AND CASH EQUIVALENTS TO STATEMENTS OF NET POSITION:		
Cash and cash equivalents	\$ 36,991,132	\$ 524,320
Restricted cash and investments - current	79,941,234	-
Restricted cash and investments - noncurrent	26,694,252	309,003
Total cash and cash equivalents	<u>\$ 143,626,618</u>	<u>\$ 833,323</u>

Southwestern Community College District
Statement of Cash Flows (Continued)
For the Year Ended June 30, 2020

	Primary Government District	Component Unit Foundation
RECONCILIATION OF OPERATING INCOME (LOSS)		
TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES:		
Operating income (loss)	\$ (178,727,679)	\$ 279,270
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	14,865,438	-
Change in assets and liabilities:		
Receivables	(6,118,882)	310
Inventories	12,175	-
Prepaid items	58,598	900
Due from fiduciary funds	77,696	-
Other assets	-	535
Pension-related deferred outflows	2,621,828	-
OPEB-related deferred outflows	(1,673,308)	-
Accounts payable and accrued liabilities	(1,029,260)	1,636
Payroll and related liabilities	2,142,618	-
Unearned revenue	3,090,896	(5,900)
Aggregate net pension liability	6,938,073	-
Net OPEB liability	(2,220,999)	-
Pension related deferred inflows	(2,285,706)	-
OPEB-related deferred inflows	4,487,722	-
Compensated absences	941,200	-
Net cash provided by (used in) operating activities	\$ (156,819,590)	\$ 276,751
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION:		
Noncash Capital and Related Financing Activities:		
Amortization of deferred loss on bond refunding	\$ (177,823)	\$ -
Amortization of deferred gain on bond refunding	159,774	-
Amortization of bond premiums	(2,107,575)	-
Total noncash capital and related financing activities	\$ (2,125,624)	\$ -

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FUNDS OF THE DISTRICT

Associated Students Trust Fund - This agency fund accounts for funds that the District holds in an agent capacity on behalf of various Associated Students clubs.

Student Services Trust Fund - This fund is used to account for funds that the District holds in an agent capacity on behalf of Student Services.

Student Fees Trust Fund - This fund is used to account for funds that the District holds in an agent capacity on behalf of student clubs and organizations.

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Southwestern Community College District
Statement of Fiduciary Net Position
June 30, 2020

	Associated Student Trusts	Student Service Trust Funds	Student Fees Trust Funds	Total
Assets:				
Cash and investments	\$ 616,616	\$ 1,146,069	\$ -	\$ 1,762,685
Accounts receivable	5,089	150	1,524	6,763
Due from District	30,000	-	-	30,000
Total assets	<u>651,705</u>	<u>1,146,219</u>	<u>1,524</u>	<u>1,799,448</u>
Liabilities:				
Accounts payable and accrued liabilities	11,400	278	-	11,678
Due to District	37,860	23,066	-	60,926
Deposits payable	23,926	-	-	23,926
Amount held in trust for others	122,281	1,093,872	-	1,216,153
Total liabilities	<u>195,467</u>	<u>1,117,216</u>	<u>-</u>	<u>1,312,683</u>
Net Position:				
Unrestricted	456,238	29,003	1,524	486,765
Total net position	<u><u>\$ 456,238</u></u>	<u><u>\$ 29,003</u></u>	<u><u>\$ 1,524</u></u>	<u><u>\$ 486,765</u></u>

Southwestern Community College District
Statement of Changes in Fiduciary Net Position
For the Year Ended June 30, 2020

	Associated Student Trusts	Student Service Trust Funds	Student Fees Trust Funds	Total
ADDITIONS				
Student fees	\$ 269,522	\$ -	\$ 1,524	\$ 271,046
Interest and investment income	-	821	-	821
Total additions	<u>269,522</u>	<u>821</u>	<u>1,524</u>	<u>271,867</u>
DEDUCTIONS				
Salaries and benefits	84,150	-	-	84,150
Payments to students	45,000	-	-	45,000
Supplies, materials, and other expenses	172,942	4,501	-	177,443
Total deductions	<u>302,092</u>	<u>4,501</u>	<u>-</u>	<u>306,593</u>
Operating income (loss)	<u>(32,570)</u>	<u>(3,680)</u>	<u>1,524</u>	<u>(34,726)</u>
Changes in net position	<u>(32,570)</u>	<u>(3,680)</u>	<u>1,524</u>	<u>(34,726)</u>
NET POSITION:				
Beginning of year	488,808	32,683	-	521,491
End of year	<u>\$ 456,238</u>	<u>\$ 29,003</u>	<u>\$ 1,524</u>	<u>\$ 486,765</u>

NOTES TO THE BASIC FINANCIAL STATEMENTS

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Southwestern Community College District
Notes to the Basic Financial Statements
For the Year Ended June 30, 2020

Note 1 – Summary of Significant Accounting Policies

A. Reporting Entity

Southwestern Community College District (the “District”) is a political subdivision of the State of California and provides higher educational services in the County of San Diego, State of California. The District is classified as a state instrumentality under Internal Revenue Code Section 115 and is also classified as a charitable organization under Internal Revenue Code 501(c)(3) and is, therefore, exempt from federal and state income taxes.

The financial reporting entity consists of the District, organizations for which the District is financially accountable, and any other organization for which the nature and significance of their relationship with the District is such that exclusion would cause the reporting entity’s financial statements to be misleading or incomplete. The following criteria regarding financial accountability were considered by the District in its evaluation of District organizations and activities for the year ended June 30, 2020:

- Financial interdependency - the District receives financial support or provides financial benefit to the organization, is responsible for or has directly or indirectly guaranteed the organization's debts.
- Authoritative appointment of governing authority - the District's Board of Trustees appoints the organization's governing authority and maintains a significant continuing relationship with the governing authority pertaining to the functions of the organization.

The District determined that the following organization is a discretely presented component unit:

The Southwestern College Foundation

The Southwestern College Foundation (Foundation) is a California not-for-profit public benefit corporation organized and incorporated in 1982. The Foundation was established for the purpose of receiving and distributing contributed funds to promote the general welfare of the Southwestern Community College District. Financial statements can be obtained at 900 Otay Lakes Road, Chula Vista, CA 91910.

B. Basis of Accounting and Measurement Focus

The accounts of the District are organized on the basis of funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for in a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenues, expenditures or expenses, as appropriate. Government resources are allocated to and accounted for in individual funds based upon the purpose for which they are to be spent and the means by which spending activities are controlled.

For financial reporting purposes, the District is considered a special-purpose government engaged only in business-type activities. The basic financial statements include a Statement of Net Position, Statement of Activities and Change in Net Position, and Statement of Cash Flows. Fiduciary activities are reported separately.

The basic financial statements are presented on an “*economic resources*” measurement focus and the accrual basis of accounting. Under the accrual basis of accounting, revenues are recognized when earned while expenses are recognized when the liability is incurred. Property taxes are recognized in the year in which they are levied.

Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 1 – Summary of Significant Accounting Policies (Continued)

B. Basis of Accounting and Measurement Focus (Continued)

The Statement of Net Position reports separate sections for deferred outflows of resources and deferred inflows of resources, when applicable.

Deferred Outflows of Resources represent outflows of resources (consumption of net position) that apply to future periods and that, therefore, will not be recognized as an expense until that time.

Deferred Inflows of Resources represent inflows of resources (acquisition of net position) that apply to future periods and that, therefore, are not recognized as revenue until that time.

C. Cash, Cash Equivalents, and Investments

The District pools its available cash for investment purposes. The District considers pooled cash and investment amounts with original maturities of three months or less to be cash equivalents.

Highly liquid market investments with maturities of one year or less at time of purchase are stated at amortized cost. All other investments are stated at fair value. Market value is used as fair value for those securities for which market quotations are readily available.

The District adheres to certain disclosure requirements, if applicable for deposit and investment risks, which are specified for the following areas:

- Interest rate risk
- Credit risk
 - ◆ overall
 - ◆ custodial credit risk
 - ◆ concentration of credit risk

D. Restricted Cash, Cash Equivalents and Investments

Cash, Cash Equivalents, and Investments that are externally restricted for contractual obligations such as debt service payments, sinking or reserve funds, or to purchase or construct capital or other non-current assets is classified as a non-current asset in the statement of net assets.

E. Fair Value Measurement

U.S. GAAP defines fair value, establishes a framework for measuring fair value and establishes disclosures about fair value measurement. Investments, unless otherwise specified, recorded at fair value in the Statements of Net Position, are categorized based upon the level of judgment associated with the inputs used to measure their fair value. Levels of inputs are as follows:

Level 1 – Inputs are unadjusted, quoted prices for identical assets and liabilities in active markets at the measurement date.

Level 2 – Inputs, other than quoted prices included in Level 1, which are observable for the asset or liability through corroboration with market data at the measurement date.

Level 3 – Unobservable inputs that reflect management's best estimate of what market participants would use in pricing the asset or liability at the measurement date.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 1 – Summary of Significant Accounting Policies (Continued)

F. Accounts Receivable

Accounts receivable consist of amounts due from the Federal, State and local governments or private resources, in connection with reimbursement of allowable expenditures made pursuant to the District's grants and contracts. Accounts receivable are recorded net of estimated uncollectible amounts. There were no significant receivables, which are not scheduled for collection within one year of year-end.

G. Inventories

Inventory is measured at the lower of cost or net realizable value. . Net realizable value is the estimated selling prices in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation. The cost is expensed at the time individual inventory items are withdrawn from the store's inventory for consumption.

H. Bond Discounts, Premiums, and Refunding Losses

Bond discounts, premiums, and refunding losses are amortized over the life of the bond using the straight-line method. Bonds payable are reported net of applicable discount or premium. Issuance costs, with the exception of prepaid bond insurance, are expensed immediately.

I. Compensated Absences

Accrued compensated absences benefits are recorded as liabilities as vested and earned, but not taken. Employees are allowed to carry over a limited number of vacation days from year to year. The unused vacation will be paid to the employee upon leaving the District's employment. The General Fund – Unrestricted is typically used to liquidate compensated absences balances.

Sick leave accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees, therefore, are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recorded in the accompanying financial statements.

J. Capital Assets

Capital assets, which include site and site improvements, buildings, equipment and infrastructure assets (e.g. roads, parking lots, sidewalks, and similar items), are defined by the District as assets with an initial cost of \$5,000 or more and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated acquisition value at the date of donation.

Costs for assets that do not meet the capitalization threshold of \$5,000 and costs for routine maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are expensed as incurred. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 1 – Summary of Significant Accounting Policies (Continued)

J. Capital Assets (Continued)

Depreciation of capital assets is computed using a half-year convention on a straight-line basis over the estimated useful life of the asset as follows:

Asset	Years
Buildings	25-50
Improvements	10-20
Equipment/Vehicles	5-10

Interest paid during capital assets construction, if any, is capitalized as part of the asset cost.

K. Net Position

Net Investment in Capital Assets – This component of net position consists of capital assets net of accumulated depreciation and deferred outflows and deferred inflows of resources related to those assets, reduced by the outstanding balances of debt that are attributable to the acquisition, construction, or improvement of those assets and the deferred inflows of resources related to those assets.

Restricted – This component of net position consists of restricted assets reduced by liabilities and deferred inflows of resources related to those assets.

Unrestricted – This component of net position is the amount of the assets, deferred outflows of resources, liabilities, and deferred inflows of resources that are not included in the determination of net investment in capital assets or the restricted component of net position.

L. Unearned Revenue

Unearned revenues include amounts received for tuition and fees and certain auxiliary activities prior to the end of the fiscal year but that are to be earned in the subsequent accounting period. Unearned revenues also include amounts received from grant and contract sponsors that have not yet been earned.

M. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the plans and additions to/deductions from the plans' fiduciary net position have been determined on the same basis as they are reported by the plans (Note 8). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 1 – Summary of Significant Accounting Policies (Continued)

M. Pensions (Continued)

The following timeframes are used for pension reporting:

CalPERS	
Valuation date	June 30, 2018
Measurement date	June 30, 2019
Measurement period	July 1, 2018 to June 30, 2019
CalSTRS	
Valuation date	June 30, 2018
Measurement date	June 30, 2019
Measurement period	July 1, 2018 to June 30, 2019

Gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over five years. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

N. Other Postemployment Benefits (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the District's Plan and the CalSTRS Medicare Premium Payment (MPP) Program and additions to/deductions from the District's Plan and MPP's fiduciary net position have been determined on the same basis as they are reported by the District's Plan and MPP. (Note 7).

The following timeframes are used for OPEB reporting:

OPEB - District's Plan	
Valuation date	June 30, 2019
Measurement date	June 30, 2019
Measurement period	July 1, 2018 to June 30, 2019
OPEB - MPP Program	
Valuation date	June 30, 2018
Measurement date	June 30, 2019
Measurement period	July 1, 2018 to June 30, 2019

O. Property Taxes

The County of San Diego (County) bills and collects property taxes on behalf of numerous special districts and incorporated cities, including the District. The District's collections of current year's taxes are received through periodic apportionments from the County. The County's tax calendar is from July 1 to June 30. Property taxes attach as a lien on property on March 1. Taxes are levied on July 1 and are payable in two equal installments on November 15 and March 15, and become delinquent after December 10 and April 10, respectively.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 1 – Summary of Significant Accounting Policies (Continued)

O. Property Taxes (Continued)

Since the passage of California's Proposition 13, beginning with Fiscal Year 1978-79, general property taxes are based either on a flat 1% rate applied to the 1975-76 full value of the property or on 1% of the sales price of any property sold or the cost of any new construction after the 1975-76 valuation.

Taxable values of properties (exclusive of increases related to sales and new construction) can rise at a maximum of 2% per year.

This Proposition 13 limitation on general property taxes does not apply to taxes levied to pay the debt service on any indebtedness approved by the voters prior to June 6, 1978 (the date of the passage of Proposition 13).

Property tax revenue is recognized in the fiscal year for which the taxes have been levied based on actual and estimated receipts. Adjustments to estimates are made at the time of final apportionment for the applicable fiscal year.

P. On-Behalf Payments

GASB Statement No. 24 requires that direct on-behalf payments for fringe benefits and salaries made by one entity to a third-party recipient for the employees of another, legally separate entity be recognized as revenue and expenditures by the employer government.

The State of California makes direct on-behalf payments for retirement benefits to the State Teachers Retirement System (STRS) on behalf of all community college districts in California. The District recorded \$3,707,448 of revenues and expenses for on-behalf payments in 2020.

Q. Classification of Revenues

The District has classified its revenues as either operating or non-operating. Certain significant revenue streams relied upon for operations are recorded as non-operating revenues including state appropriations, local property taxes and investment income.

Revenues are classified according to the following criteria:

Operating Revenues

Operating revenues include activities that have the characteristics of exchange transactions, such as (1) student tuition and fees, net of scholarship discounts and allowances, (2) sales and services of auxiliary enterprises, net of scholarship discounts and allowances, (3) most federal, state and local grants and contracts and federal appropriations, and (4) interest on institutional student loans.

Non-operating Revenues

Non-operating revenues include activities that have the characteristics of non-exchange transactions, such as gifts and contributions, and other revenue sources, such as state appropriations, state and local property taxes and investment income.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 1 – Summary of Significant Accounting Policies (Continued)

R. Scholarship Discounts and Allowances

Student tuition and fee revenues and certain other revenues from students are reported net of scholarship discounts and allowances in the statement of revenues, expenses, and changes in net assets. Scholarship discounts and allowances are the difference between the stated charge for goods and services provided by the District and the amount that is paid by students and/or third parties making payments on the students' behalf. Certain governmental grants, such as Pell Grants, and other federal, state or non-governmental programs are recorded as non-operating revenues in the District's financial statements.

S. Use of Estimates

The preparation of the basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and revenues and expenses in the basic financial statements and the accompanying notes. Actual results could differ from those estimates. Management believes that the estimates are reasonable.

T. Accounting Changes

Implementation of New GASB Pronouncements for the Year Ended June 30, 2020

The requirements of the following accounting standards are effective for the purpose of implementation, if applicable to the District, for the year ended June 30, 2020. The financial statements included herein apply the requirements and provisions of these statements, including necessary retroactive adjustments to financial statement classifications and presentations.

GASB Statement No. 95

In May 2020, GASB issued Statement No. 95, *Postponement of the Effective Dates of Certain Authoritative Guidance*. The primary objective of this Statement is to provide temporary relief to governments and other stakeholders in light of the COVID-19 pandemic. That objective is accomplished by postponing the effective dates of certain provisions in Statements and Implementation Guides that first became effective or are scheduled to become effective for periods beginning after June 15, 2018, and later. Application of this statement did not have a material effect on the District's financial statements for the fiscal year ending June 30, 2020.

Note 2 – Cash and Investments

The following is a summary of cash and investments at June 30, 2020:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents	\$ 36,991,132	\$ 1,762,685	\$ 524,320	\$ 39,278,137
Restricted cash and cash equivalents	106,635,486	-	309,003	106,944,489
Total cash and cash equivalents	143,626,618	1,762,685	833,323	146,222,626
Investments	-	-	166,797	166,797
Restricted investments	-	-	953,420	953,420
Total investments	-	-	1,120,217	1,120,217
Total cash and investments	\$ 143,626,618	\$ 1,762,685	\$ 1,953,540	\$ 147,342,843

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 2 – Cash and Investments (Continued)

Cash, cash equivalents, and investments consisted of the following at June 30, 2020:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents:				
Cash on hand	\$ 84,951	\$ 2,450	\$ -	\$ 87,401
Cash in bank accounts	5,509,336	1,760,235	833,323	8,102,894
Cash in County treasury	138,032,331	-	-	138,032,331
Total cash and cash equivalents	143,626,618	1,762,685	833,323	146,222,626
Investments:				
Mutual funds	-	-	168,322	168,322
Fixed income	-	-	367,014	367,014
Equities	-	-	475,237	475,237
Real estate investment trust	-	-	6,980	6,980
Closed-end funds and exchange traded products	-	-	102,664	102,664
Total investments	-	-	1,120,217	1,120,217
Total cash and investments	\$ 143,626,618	\$ 1,762,685	\$ 1,953,540	\$ 147,342,843

San Diego County Investment Pool

As provided for by Education Code §41001, a significant portion of the District's cash balances are deposited with the County Treasurer to enhance interest earnings through County investment activities. In accordance §53601 and §53602 of the California Government Code, the County may invest in the following types of investments:

- Local bonds or notes
- Securities of the U.S. Government or its agencies
- Registered State warrants or treasury notes or bonds of the State
- Small Business Administration loans
- Negotiable Certificates of Deposit
- Bankers Acceptances
- Commercial Paper (Prime Quality)
- Local Agency Investment Fund (State Pool) Deposits
- Passbook Savings Account Demand Deposits
- Medium-term notes (remaining maturity of five years or less; rated "A" or better)
- Repurchase agreements or reverse repurchase agreements
- Mortgage pass-through securities

The District is a participant in the San Diego County Treasury Pool (County Pool) which is regulated under the oversight of the Treasurer of the County of San Diego. The fair value of the District's investment in the County Pool is reported in the accompanying financial statements based upon the District's pro-rata share of the fair value provided by the County Pool for the entire portfolio. The balance available for withdrawal is based on the accounting records maintained by the Pool. Included in the County Pool's investment portfolio are collateralized and negotiable certificates of deposit, floating rate securities issued by federal agencies and corporations, money market funds, repurchase agreements and commercial paper.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 2 – Cash and Investments (Continued)

San Diego County Investment Pool (Continued)

The value of the pool shares in the County Pool, which may be withdrawn at any time, is determined on an amortized cost basis, which is different from the fair value of the District's position in the pool. At June 30, 2020, the amortized cost approximated is the District's cost. At June 30, 2020, the District had \$138,032,331 invested in the San Diego County Investment Pool.

Restricted Cash and Investments

As of June 30, 2020, the District and Foundation had restricted cash and investments totaling \$106,635,486 and \$1,262,423, respectively. This amount is restricted to be used for acquisition, construction, renovation, repair, and modernization of certain District property and facilities and to refund or advance refund certain obligations of the District.

Fair Value Measurement

As of June 30, 2020, the District's investments had the following recurring fair value measurements:

Investments measured by fair value level:	June 30, 2020	Level 1	Level 2	Level 3
Mutual funds	\$ 168,322	\$ 168,322	\$ -	\$ -
Fixed income	367,014	367,014	-	-
Equities	475,237	475,237		
Equities	6,980	6,980		
Closed-end funds and exchange traded products	102,664	102,664	-	-
Total investments by fair value level	\$ 1,120,217	\$ 1,120,217	\$ -	\$ -
Total investments	\$ 1,120,217			

Disclosures Relating to Interest Rate Risk

Interest rate risk is the risk that a change in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment is, the greater the sensitivity its fair value will be to changes in market interest rates. None of the District's investments are highly sensitive to interest rate fluctuation.

The District's investments are rated by the nationally recognized statistical rating organizations as follows:

	Foundation Fair Value	Moody's	Standard & Poor's
Mutual funds	\$ 168,322	A2	A
Fixed income	367,014	A2	A
Equities	475,237	Not Rated	Not Rated
Real estate investment trust	6,980	Not Rated	Not Rated
Closed-end funds and exchange traded products	102,664	Not Rated	Not Rated
Total	\$ 1,120,217		

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 2 – Cash and Investments (Continued)

Disclosures Relating to Concentration of Credit Risk

The investment policy limits the percentage of the portfolio that can be invested in certain types of investments. The District is in compliance with the investment policy with respect to investment type percentages for the total portfolio.

Disclosures Relating to Custodial Credit Risk

The custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the broker or dealer to a transaction, a government will not be able to recover the value of its investments or collateral securities that are in the possession of another party.

The California Government Code requires California banks and savings and loan associations to secure the District's cash deposits by pledging securities as collateral. This Code states that collateral pledged in this manner shall have the effect of perfecting a security interest in such collateral superior to those of a general creditor. Thus, collateral for cash deposits is considered to be held in the District's name.

The market value of pledged securities must equal at least 110% of the District's cash deposits. California law also allows institutions to secure District deposits by pledging first trust deed mortgage notes having a value of 150% of the District's total cash deposits. The District may waive collateral requirements for cash deposits which are fully insured up to \$250,000 by the Federal Deposit Insurance Corporation. The District, however, has not waived the collateralization requirements.

Note 3 – Accounts Receivable

The following is a summary of receivables at June 30, 2020:

	Business-type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Grants:				
Federal	\$ 5,238,054	\$ -	\$ -	\$ 5,238,054
State	2,136,963	-	-	2,136,963
Local	394,955	-	-	394,955
Total grants	7,769,972	-	-	7,769,972
State apportionment	3,522,235	-	-	3,522,235
Others	2,561,361	6,763	1,768	2,569,892
Total	\$ 13,853,568	\$ 6,763	\$ 1,768	\$ 13,862,099

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 4 – Capital Assets

The following summarizes the changes in the various capital asset categories for the year ended June 30, 2020:

	Balance July 1, 2019	Additions	Transfers	Reclassification	Balance June 30, 2020
Nondepreciable:					
Land	\$ 9,703,148	\$ -	\$ -	\$ -	\$ 9,703,148
Construction in progress	116,500,421	52,882,693	(106,485,296)	-	62,897,818
Total nondepreciable	126,203,569	52,882,693	(106,485,296)	-	72,600,966
Depreciable:					
Buildings	182,989,368	-	101,301,723	72,375,870	356,666,961
Improvements	150,380,565	-	1,496,559	(70,500,496)	81,376,628
Equipment	9,051,505	303,441	3,687,014	(681,565)	12,360,395
Total depreciable, at cost	342,421,438	303,441	106,485,296	1,193,809	450,403,984
Less accumulated depreciation:					
Buildings	(29,281,943)	(9,528,484)	-	(17,192,377)	(56,002,804)
Improvements	(44,709,283)	(4,680,879)	-	16,878,404	(32,511,758)
Equipment	(6,258,101)	(656,075)	-	(879,836)	(7,794,012)
Total accumulated depreciation	(80,249,327)	(14,865,438)	-	(1,193,809)	(96,308,574)
Total depreciable, net	262,172,111	(14,561,997)	106,485,296	-	354,095,410
Total capital assets, net	\$ 388,375,680	\$ 38,320,696	\$ -	\$ -	\$ 426,696,376

Depreciation expense for capital assets for the year ended June 30, 2020 was \$13,972,366.

Note 5 – Unearned Revenue

Unearned revenue consists of grant monies, student fees, and other revenues that have been received as of June 30, 2020 for the subsequent 2020-2021 year. As of June 30, 2020, the District's unearned revenue balance consists of the following:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Federal sources	\$ 252,772	\$ -	\$ -	\$ 252,772
State sources	8,222,650	-	-	8,222,650
Enrollment fees	2,298,933	-	-	2,298,933
Other local sources	2,032,321	-	-	2,032,321
Total	\$ 12,806,676	\$ -	\$ -	\$ 12,806,676

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 6 – Long-Term Debt

The following is a summary of the changes in long-term debt for the year ended June 30, 2020:

	Balance June 30, 2019	Additions	Reductions	Balance June 30, 2020	Due Within One Year	Due In More Than One Year
Bonds payable:						
Lease Revenue Bonds	\$ 695,000	\$ -	\$ (100,000)	\$ 595,000	\$ 105,000	\$ 490,000
GO Bond 2004	12,993,974	-	-	12,993,974	-	12,993,974
GO Bond 2008, Series C	65,490,370	-	(440,000)	65,050,370	545,000	64,505,370
GO Bond 2008, Series D	115,984,325	-	-	115,984,325	276,219	115,708,106
GO Bond 2015, Refunding	21,040,000	-	(2,230,000)	18,810,000	2,460,000	16,350,000
GO Bond 2016, Refunding Series A	3,400,000	-	-	3,400,000	1,600,000	1,800,000
GO Bond 2016, Refunding Series B	84,335,000	-	-	84,335,000	-	84,335,000
GO Bond 2016, Series A	127,900,000	-	(13,350,000)	114,550,000	10,790,000	103,760,000
Unamortized premiums	32,091,206	-	(2,107,575)	29,983,631	-	29,983,631
Total bonds payable	463,929,875	-	(18,227,575)	445,702,300	15,776,219	429,926,081
Compensated absences	3,061,828	3,048,991	(2,107,791)	4,003,028	2,500,000	1,503,028
Total	\$ 466,991,703	\$ 3,048,991	\$ (20,335,366)	\$ 449,705,328	\$ 18,276,219	\$ 431,429,109

Lease Revenue Bonds

In January 1999, the District entered into a trust indenture with the California Community College Financing Authority to issue lease revenue bonds in order to provide funds for public capital improvements. The bonds consist of Series 1999A bonds of which the District's portion of the issuance was \$4,460,000.

On October 1, 2010 the District, along with two other local California Community College Districts, refinanced these bonds in order to achieve a savings in debt service. The new bonds have a principal amount due of \$1,410,000 with the first payment due on October 1, 2011 and the final payment due on October 1, 2023. The bonds have coupon rates ranging from 3.0% to 4.0%. As part of the refinancing, additional principal was paid from the existing reserve account in the amount of \$215,000.

The District pledged all lease revenue to repay the outstanding principal and interest of the Lease Revenue Bonds. Total principal and interest remaining on the bonds at June 30, 2020 is \$647,684 payable through 2024.

The annual requirements for debt service outstanding at June 30, 2020 are as follows:

Year Ending June 30,	Principal	Interest	Total
2021	\$ 105,000	\$ 20,044	\$ 125,044
2022	115,000	15,931	130,931
2023	115,000	11,834	126,834
2024	260,000	4,875	264,875
Total	\$ 595,000	\$ 52,684	\$ 647,684

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2004

In September 2004, the District authorized the sale and issuance of the 2004 General Obligation Bonds in the amount of \$49,353,974. Proceeds from the sale of the bonds are to be used to finance the renovation of classrooms and other college facilities throughout the District. These bonds were partially refunded in August 2005. Interest on the remaining amount is payable August 1, commencing August 1, 2024 at rates ranging from 2.5% to 5.0%. Principal is payable August 1, commencing August 1, 2024 and through the maturity date August 1, 2029.

The bonds are solely payable from *ad valorem* property taxes levied. The District pledged all *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds - 2004. Total principal and interest remaining on the bonds is \$42,435,000, payable through 2030.

The annual requirements for debt service outstanding at June 30, 2020 are as follows:

Year Ending June 30,	Principal	Interest	Total
2021	\$ -	\$ -	\$ -
2022	-	-	-
2023	-	-	-
2024	-	1,237,906	1,237,906
2025	1,434,188	2,609,247	4,043,435
2026-2030	11,559,786	25,593,873	37,153,659
Total	\$ 12,993,974	\$ 29,441,026	\$ 42,435,000

General Obligation Bonds – 2008, Series C and D

On October 22, 2009, as authorized by the registered voters of the Southwestern Community College District in the election of November 4, 2008, the District issued \$10,225,000 of Election of 2008 General Obligation Bonds, Series A, and \$89,775,000 of Election of 2008 General Obligation Bonds, Series B bonds. The Series A bonds are tax exempt. The Series B bonds were issued as “Build America Bonds” for purposes of the American Recovery and Reinvestment Act of 2009 (“Recovery Act”). Pursuant to the Recovery Act, the District expects to receive a cash subsidy payment from the United States Treasury equal to 35% of the interest payable on the Series B bonds on or about each interest payment date. The cash payment does not constitute the full faith and credit of the United States, but is required to be paid by the Treasury under the Recovery Act. Interest is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2010 at 5.5%. The bonds are being issued to finance the repair, construction, acquisition and equipping of certain District sites and facilities and to pay costs of issuance with the bonds. The bonds were issued at a premium of \$1,212,387. In fiscal year 2018, both the Election of 2008 General Obligation Bonds, Series A and Series B were refunded via issuance of the General Obligation Refunding Bonds, Series A and Series B. At June 30, 2020, the outstanding balances of the refunded issuances remaining to be paid through a non-revocable trust were \$3,260,000 and \$89,775,000 for the Election of 2008 General Obligation Bonds, Series A and Series B, respectively. The District’s liability was \$0 for both at June 30, 2020.

In June, 2011, the District authorized the sale and issuance of 2008 General Obligation Bonds, Series C in the amount of \$68,730,371. Proceeds from the sale of the bonds will be used to finance the construction and renovation of classrooms and other college facilities throughout the District. The bonds were issued at a premium of \$716,045.

Interest on the Series C current interest bonds with principal of \$58,355,000 is payable February 1 and August 1, commencing August 1, 2011 at rates ranging from 1.0% to 5.25%. Principal is payable August 1, commencing August 1, 2011 and through the maturity date of August 1, 2030.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2008, Series C and D (Continued)

Interest on the Series C bonds with principal of \$10,375,371 will accrete in value commencing August 1, 2011 at rates ranging from 7.15% to 7.3% to the respective maturity amounts on August 1, 2041 and August 1, 2046.

In August, 2015, the District authorized the sale and issuance of 2008 General Obligation Bonds, Series D in the amount of \$121,649,325. Proceeds from the sale of the bonds are used to finance the construction and renovation of classrooms and other college facilities throughout the District. The bonds were issued at a premium of \$8,387,579. In addition, there were bond issuance costs of \$791,597.

Interest on the Series D current interest bonds with principal of \$79,525,000 is payable February 1 and August 1, commencing February 1, 2017 at rates ranging from 2.0% to 5.0%. Principal is payable August 1, commencing August 1, 2017 and through the maturity date of August 1, 2044.

Interest on the Series D capital appreciation bonds with principal of \$42,124,325 will accrete in value commencing August 1, 2015 at rates ranging from 2.29% to 5.01% to the maturity date of August 1, 2039.

The bonds are solely payable from ad valorem property taxes levied. The District pledged all ad valorem property tax levied and collected to repay the outstanding principal and interest of the 2008 General Obligation Bonds Series D.

The annual requirements for debt service outstanding at June 30, 2020 are as follows:

Year Ending June 30,	SERIES C		
	Principal	Interest	Total
2021	\$ 545,000	\$ 2,763,238	\$ 3,308,238
2022	655,000	2,733,238	3,388,238
2023	775,000	2,697,488	3,472,488
2024	900,000	2,655,613	3,555,613
2025	1,035,000	2,607,238	3,642,238
2026-2030	7,510,000	12,052,063	19,562,063
2031-2035	12,490,000	9,535,856	22,025,856
2036-2040	19,565,000	5,440,238	25,005,238
2041-2045	18,608,012	62,617,096	81,225,108
2046-2047	2,967,358	32,553,737	35,521,095
Total	\$ 65,050,370	\$ 135,655,805	\$ 200,706,175

Year Ending June 30,	SERIES D		
	Principal	Interest	Total
2021	\$ 276,219	\$ 3,726,780	\$ 4,002,999
2022	547,488	3,785,512	4,333,000
2023	812,378	3,875,622	4,688,000
2024	1,063,335	3,994,665	5,058,000
2025	1,304,776	4,153,224	5,458,000
2026-2030	9,413,478	24,581,520	33,994,998
2031-2035	13,005,192	34,565,805	47,570,997
2036-2040	15,701,459	49,212,541	64,914,000
2041-2045	73,860,000	10,069,750	83,929,750
Total	\$ 115,984,325	\$ 137,965,419	\$ 253,949,744

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 6 – Long-Term Debt (Continued)

General Obligation Refunding Bonds – 2015

In August 2014, the District authorized the sale and issuance of 2015 General Obligation Refunding Bonds, in the amount of \$27,045,000. Proceeds from the sale of the bonds were used to advance refund a portion of the District's 2005 General Obligation Bonds, Election of 2000, Series 2005. Interest is payable February 1 and August 1, commencing August 1, 2015 at 5.0%. Principal is payable August 1, commencing August 1, 2015 and through the maturity date February 1, 2026. The bonds were issued at a premium of \$4,030,391 and the refunding transaction resulted in a deferred loss on refunding of \$1,823,862 to be amortized through the remaining life of the new bonds. The aggregate debt service payments of the new debt are \$3,698,626 less than the old debt. The issuance of the new debt and refunding of the old debt resulted in an economic gain (the difference between the present value of the old debt and new debt service payments) of approximately \$3,247,455. Total principal and interest remaining on the bonds as of June 30, 2020 is \$21,877,750.

The annual requirements for debt service outstanding at June 30, 2020 are as follows:

Year Ending June 30,	Principal	Interest	Total
2021	\$ 2,460,000	\$ 879,000	\$ 3,339,000
2022	2,710,000	749,750	3,459,750
2023	2,970,000	607,750	3,577,750
2024	3,250,000	452,250	3,702,250
2025	3,550,000	282,250	3,832,250
2026	3,870,000	96,750	3,966,750
Total	\$ 18,810,000	\$ 3,067,750	\$ 21,877,750

General Obligation Refunding Bonds – 2016 Series A and B

In August 2016, the District authorized the sale and issuance of the 2016 General Obligation Refunding Bonds Series A and B, in the amounts of \$3,400,000 and \$84,335,000, respectively. Proceeds from the sale of the bonds were used to advance refund the remaining balances of the District's Election of 2008 General Obligation Bonds, Series A and B and to pay costs of issuing the bonds. Interest is payable February 1 and August 1, commencing February 1, 2017 at interest rates ranging from 3.0% to 5.0%. Principal is payable August 1, commencing August 1, 2020 and August 1, 2022 for Series A and B, respectively, and through the maturity dates of August 1, 2021 and August 1, 2039 for Series A and B, respectively. The bonds were issued at premiums of \$335,362 and \$13,491,677, for Series A and B, respectively, and the refunding transaction resulted in a deferred loss on refunding of \$4,123,345 to be amortized through the remaining life of the new bonds. The aggregate debt service payments of the new debt are \$7,438,394 less than the old debt. The issuance of the new debt and refunding of the old debt resulted in an economic gain (the difference between the present value of the old debt and new debt service payments) of approximately \$13,147,462.

The bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District has pledged *ad valorem* property tax levied and collected to pay repay the outstanding principal and interest of the bonds. Total principal and interest remaining on the bonds as of June 30, 2020 is \$3,505,000 and \$128,614,650 for Series A and Series B, respectively.

The annual requirements for debt service outstanding at June 30, 2020 are as follows:

Year Ending June 30,	SERIES A		
	Principal	Interest	Total
2021	\$ 1,600,000	\$ 78,000	\$ 1,678,000
2022	1,800,000	27,000	1,827,000
Total	\$ 3,400,000	\$ 105,000	\$ 3,505,000

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 6 – Long-Term Debt (Continued)

General Obligation Refunding Bonds – 2016 Series A and B (Continued)

Year Ending June 30,	SERIES B		
	Principal	Interest	Total
2021	\$ -	\$ 3,391,100	\$ 3,391,100
2022	-	3,391,100	3,391,100
2023	1,905,000	3,353,000	5,258,000
2024	2,150,000	3,271,900	5,421,900
2025	2,390,000	3,181,100	5,571,100
2026-2030	16,345,000	14,006,000	30,351,000
2031-2035	25,200,000	9,847,350	35,047,350
2036-2040	36,345,000	3,838,100	40,183,100
Total	\$ 84,335,000	\$ 44,279,650	\$ 128,614,650

At June 30, 2020, the refunded 2008 General Obligation Bonds, Series A and Series B had remaining balances to be paid through escrow of \$3,260,000 and \$89,775,000, respectively. The District has no liability for them.

General Obligation Bonds – 2016 Series A

On November 9, 2016, voters of the District approved ballot Proposition Z, which allowed the District to issue up to \$400 million in general obligation bonds to repair/upgrade the campus and to provide job training and support for students and veterans. On November 30, 2017, the District issued \$140,000,000 of Election of 2016, General Obligation Bonds, Series A. The bonds were issued at a premium of \$10,216,377. Net proceeds of \$139,266,675 were deposited in the District's building fund and \$10,216,277 was deposited in the debt service fund.

The bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District has pledged *ad valorem* property tax levied and collected to pay repay the outstanding principal and interest of the bonds. Total principal and interest remaining on the bonds as of June 30, 2020 is \$199,979,432.

The annual requirements for debt service outstanding at June 30, 2020 are as follows:

Year Ending June 30,	SERIES A		
	Principal	Interest	Total
2021	\$ 10,790,000	\$ 4,345,743	\$ 15,135,743
2022	-	4,129,943	4,129,943
2023	-	4,129,943	4,129,943
2024	160,000	4,127,543	4,287,543
2025	335,000	4,118,443	4,453,443
2026-2030	4,950,000	20,059,965	25,009,965
2031-2035	12,165,000	18,158,215	30,323,215
2036-2040	21,830,000	14,953,765	36,783,765
2041-2045	34,995,000	9,583,372	44,578,372
2046-2048	29,325,000	1,822,500	31,147,500
Total	\$ 114,550,000	\$ 85,429,432	\$ 199,979,432

Compensated Absences

The District's liability for vested and unpaid compensated absences (accrued vacation) has been accrued and amounts to \$4,003,028 at June 30, 2020.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 7 – Other Postemployment Benefits

A. Summary

For the fiscal year ended June 30, 2019, the District reported net OPEB liability, deferred outflows of resources, deferred inflows of resources, and OPEB expense for the following plans:

OPEB Plan	Net OPEB Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	OPEB Expense
District Plan	\$ 16,773,915	\$ 7,115,124	\$ 4,576,409	\$ 1,833,647
Medicare Premium Payment (MPP) Program	446,876	-	-	14,114
	<u>\$ 17,220,791</u>	<u>\$ 7,115,124</u>	<u>\$ 4,576,409</u>	<u>\$ 1,847,761</u>

B. District's Plan

Plan Description

The District provides post-employment health care benefits for eligible retirees. The retiree must have worked for at least ten years (administrators) to fifteen years (classified/academic). The following is a summary description of the current retiree benefit plan:

	Faculty	Classified	Management*
Benefit Types Provided	Medical and Dental	Medical Only	Medical, Dental and Medicare Part B
Duration of Benefits	Lifetime	Lifetime	Lifetime
Required Service	15 Years	15 Years	10 Years
Minimum Age	55	50	55
Dependent Coverage	No	No	No
College Contribution %	50% (not less than \$1,000 per year)	100%	100%
College Cap	None	\$1,000 per year after age 65	\$1,000 per year after age 65**

* Educational administrators hired after 12/31/2003 are not entitled to any District-paid benefits.

** Employees hired prior to 01/01/2004 are not subject to this cap.

Employees Covered by Benefit Terms

	OPEB
Inactive employees entitled to but not yet receiving benefits	197
Active Employees	557
	<u>754</u>

Contributions

Through June 30, 2013, the District had contributed \$3.2 million to an irrevocable trust with the Community College League of California – Joint Powers Authority (CCLC-JPA). The District contributed \$990,669 during fiscal year 2020. At June 30, 2020, the market value of the irrevocable trust was \$5,995,448.

The obligation of the District to contribute to the plan is established and may be amended by the Board of Directors. The Board of Directors has established a policy of funding the actuarially determined contribution (ADC). For the fiscal year ended June 30, 2020, the District's average contribution rate was 0.33 % of covered-employee payroll. Employees are not required to contribute to the plan.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 7 – Other Postemployment Benefits (Continued)

B. District's Plan (Continued)

Net OPEB Liability

The City's net OPEB liability was measured as of June 30, 2019, and the actuarial valuation used to calculate the net OPEB liability was as of June 30, 2019.

Actuarial Assumptions Used to Determine the Total OPEB Liability

The net OPEB liability in the June 30, 2019 actuarial valuation was determined using the following actuarial assumptions:

Actuarial Cost Method	Entry age normal
Valuation Date	June 30, 2019
Measurement Date	June 30, 2019
Actuarial Assumptions:	
Discount Rate	4.14%
Inflation	2.75%
Expected Net Long-Term Rate of Return on Investments	4.40%
Mortality Rate Table	SOA Pub-2010 General Headcount Weighted Mortality Table fully generational using Scale MP-2019 SOA Pub-2010 Teacher Headcount Weighted Mortality Table fully generational using Scale MP-2019
Salary Increases	3.00%
Medical Trend	5.00%

The long-term expected rate of return on OPEB plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of OPEB plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	New Strategic Allocation	Expected Real Rate of Return
US Large Cap	60.00%	7.80%
US Small Cap	15.00%	7.80%
Long-Term Corporate Bonds	20.00%	5.30%
Short-Term Government Fixed	5.00%	3.25%
	100.00%	7.07%

Discount Rate

The discount rate used to measure the total OPEB liability was 4.14 percent, which was changed from 4.40 percent in the 2019. The projection of cash flows used to determine the discount rate assumed that City contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the Town plan's fiduciary net position was projected to be available to make all projected OPEB payments for current active and inactive employees. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 7 – Other Postemployment Benefits (Continued)

B. District's Plan (Continued)

Net OPEB Liability (Continued)

Changes in Net OPEB Liability

	Total OPEB Liability	Fiduciary Net Position	Net OPEB Liability
Balance at June 30, 2018	\$ 23,961,720	\$ 4,519,930	\$ 19,441,790
Changes during the year:			
Service costs	793,547	-	793,547
Interest on the total OPEB liability	1,068,759	-	1,068,759
Changes of benefit terms	-	-	-
Effect of economic/demographic gains or losses	-	-	-
Differences between actual and expected experience	(5,010,993)	-	(5,010,993)
Change in assumptions	2,348,340	-	2,348,340
Contributions - employer	-	1,574,788	(1,574,788)
Contribution - employer (paid by employer)	-	-	-
Net investment income	-	297,375	(297,375)
Administrative expenses	-	(4,635)	4,635
Benefit Payments, including refunds of employee contributions	(940,706)	(940,706)	-
Net changes	(1,741,053)	926,822	(2,667,875)
Balance at June 30, 2019	\$ 22,220,667	\$ 5,446,752	\$ 16,773,915

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The following presents the net OPEB liability of the plan as of the measurement date, calculated using the discount rate of 4.14%, as well as what the net OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower (3.14%) or 1 percentage point higher (5.14%) than the current rate:

Plan's Net OPEB Liability		
Discount Rate - 1% (3.14%)	Current Discount Rate (4.14%)	Discount Rate + 1% (5.14%)
\$ 19,784,980	\$ 16,773,915	\$ 14,281,342

Sensitivity of the Net OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the net OPEB liability of the plan as of the measurement date, calculated using healthcare cost trend rates, as well as what the net OPEB liability would be if it were calculate using a trend that are one percentage point lower or one percentage higher than the current healthcare cost trend rates:

Plan's Net OPEB Liability		
Cost Trend Rate - 1% (6.00 to 4.50%)	Healthcare Cost Trend Rate Current (5.00 to 3.50%)	Cost Trend Rate + 1% (7.00 to 5.50%)
\$ 14,116,308	\$ 16,773,915	\$ 20,097,886

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 7 – Other Postemployment Benefits (Continued)

B. District’s Plan (Continued)

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to the OPEB plan from the following sources:

	Deferred outflows of Resources	Deferred inflows of Resources
Contribution made after measurement date	\$ 990,669	\$ -
Difference between expected and actual experience	-	4,509,894
Changes in assumptions	6,091,913	-
Difference between expected and actual earnings on investments	32,542	66,515
Total	<u>\$ 7,115,124</u>	<u>\$ 4,576,409</u>

For the year ended June 30, 2020, the City recognized OPEB expense of \$1,833,647. The \$990,669 reported as deferred outflows of resources related to contributions subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ended June 30, 2020. Other amount reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized as pension expense as follows:

Measurement Period Ended June 30	
2019	\$ 304,759
2020	304,759
2021	304,760
2022	326,929
2023	318,795
Thereafter	(11,956)
Total	<u>\$ 1,548,046</u>

C. Medicare Premium Payment Program

The District participates in the Medicare Premium Payment (MPP) Program of the California State Teachers’ Retirement Plan (the STRP). The District’s proportionate share of the liability as of measurement date, June 30, 2019, is 0.120%. As the plan activity and the District’s proportionate share of the total OPEB liability is not significant, additional disclosures regarding the plan are not included in these financial statements.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans

A. Summary

Net Pension Liability

Aggregate net pension liability is reported in the accompanying statement of net position as follows:

	Net Pension Liability
CalPERS Pension Plan	\$ 58,764,137
CalSTRS Pension Plan	70,446,480
Total	\$ 129,210,617

Deferred Outflows of Resources

Deferred outflows of resources are reported in the accompanying statement of net position as follows:

	Deferred Outflows of Resources		
	CalPERS	CalSTRS	Total
Pension contribution made after measurement date	\$ 5,650,990	\$ 7,766,966	\$ 13,417,956
Difference between expected and actual experience	4,268,635	-	4,268,635
Changes in assumptions	2,797,355	8,909,940	11,707,295
Difference between projected and actual earnings on pension plan investments	-	-	-
Difference between employer contribution and proportionate share of contributions	-	550,041	550,041
Total deferred outflows of resources	\$ 12,716,980	\$ 17,226,947	\$ 29,943,927

Deferred Inflows of Resources

Deferred inflows of resources are reported in the accompanying statement of net position as follows:

	Deferred Inflows of Resources		
	CalPERS	CalSTRS	Total
Difference between expected and actual experience	\$ -	\$ 1,807,260	\$ 1,807,260
Difference between projected and actual earnings on pension plan investments	545,048	2,713,620	3,258,668
Difference between employer contribution and proportionate share of contributions	66,702	-	66,702
Changes in employer's proportionate share	9,756	2,100,482	2,110,238
Total deferred inflows of resources	\$ 621,506	\$ 6,621,362	\$ 7,242,868

Pension Expense

Pension expenses are included in the accompanying statement of revenues, expenses, and change in net position as follows:

	Pension Expense
CalPERS Pension Plan	\$ 12,911,669
CalSTRS Pension Plan	10,491,000
Total	\$ 23,402,669

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan

Plan Description

Most full-time classified (non-academic) employees participate in the School Employer Pool under CalPERS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan administered by CalPERS. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law (Part 3 of the California Government Code, §22000 et seq.). CalPERS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalPERS' annual financial report may be obtained from the CalPERS Executive Office located at 400 P Street, Sacramento, CA 95814.

Benefits Provided

CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. A classic CalPERS member becomes eligible for Service Retirement upon attainment of age 55, with at least 5 years of credited service. Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62, with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 12 full-time equivalent monthly pay. Retirement benefits for classic employees are calculated as 2.0%, of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Participant is eligible for non-industrial disability retirement if becomes disabled and has at least 5 years of credited service. There is no special age requirement. The standard non-industrial disability retirement benefit is a monthly allowance equal to 1.8% of final compensation, multiplied by service. Industrial disability benefits are not offered to miscellaneous employees.

An employee's beneficiary may receive the basic death benefit if the employee dies while actively employed. The employee must be actively employed with the District to be eligible for this benefit. An employee's survivor who is eligible for any other pre-retirement death benefit may choose to receive that death benefit instead of this basic death benefit. The basic death benefit is a lump sum in the amount of the employee's accumulated contributions, where interest is currently credited at 7.5% per year, plus a lump sum in the amount of one month's salary for each completed year of current service, up to a maximum of six months' salary. For purposes of this benefit, one month's salary is defined as the member's average monthly full-time rate of compensation during the 12 months preceding death.

Upon the death of a retiree, a one-time lump sum payment of \$500 will be made to the retiree's designated survivor(s), or to the retiree's estate.

Benefit terms provide for annual cost-of-living adjustments to each employee's retirement allowance. Beginning the second calendar year after the year of retirement, retirement and survivor allowances will be annually adjusted on a compound basis by 2%.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Contributions

Section 20814(c) of the California Public Employees’ Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalPERS’ annual actuarial valuation process. For public agency cost-sharing plans covered by either the Miscellaneous or Safety risk pools, the Plan’s actuarially determined rate is based on the estimated amount necessary to pay the Plan’s allocated share of the risk pool’s costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2019 (the measurement date), the active contribution rate was 7.0% (non-PEPRA) and 6.5% (PEPRA) of annual payroll. The required employer’s contribution rate was 15.531% of annual payroll.

For the year ended June 30, 2020, the plan’s proportionate share of aggregate employer contributions made was as follows:

	<u>CalPERS Plan</u>
Contributions - employer	\$ 5,650,990

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District’s net pension liability is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2018 rolled forward to June 30, 2019 using standard update procedures. The District’s proportion of the net pension liability was based on a projection of the District’s long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

As of June 30, 2020, the District reported net pension liability for its proportionate shares of the net pension liability as follows:

		<u>Increase (Decrease)</u>	
	<u>Plan Total Pension Liability</u>	<u>Plan Fiduciary Net Position</u>	<u>Plan Net Pension Liability/(Asset)</u>
Balance at: 6/30/18 (Valuation date)	\$ 182,973,443	\$ 129,631,149	\$ 53,342,294
Balance at: 6/30/19 (Measurement date)	196,189,936	137,425,799	58,764,137
Net Changes during 2018-2019	\$ 13,216,493	\$ 7,794,650	\$ 5,421,843

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan’s proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2018). The risk pool’s fiduciary net position (“FNP”) subtracted from its total pension liability (“TPL”) determines the net pension liability (“NPL”) at the valuation date.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2019). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2018 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2018-19).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

The District's proportionate share of the net pension liability for the Plan as of June 30, 2018 and 2019 was as follows:

	<u>CalPERS Plan</u>
Proportion June 30, 2018	0.20006%
Proportion June 30, 2019	0.20163%
Change - Increase (Decrease)	<u>0.00157%</u>

For the year ended June 30, 2020, the District recognized pension expense in the amount of \$12,911,669 for the Plan.

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime ("EARSL") is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2018-19 measurement period is 4.1 years, which was obtained by dividing the total service years of the active employees by the total number of participants (active, inactive, and retired).

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

CalPERS Plan		
	Deferred outflows of Resources	Deferred inflows of Resources
Contributions made after the measurement date	\$ 5,650,990	\$ -
Difference between projected and actual earning on pension plan investments	-	545,048
Difference between expected and actual experience	4,268,635	-
Changes in assumptions	2,797,355	-
Changes in employer's proportionate share	-	9,756
Difference between District contributions and proportionate share of contributions	-	66,702
Total	<u>\$ 12,716,980</u>	<u>\$ 621,506</u>

For the Plan, \$5,650,990 was reported as a deferred outflow of resources related to pensions resulting from District's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2021. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources
2021	\$ 4,798,570
2022	798,541
2023	615,110
2024	232,263
2025	-
Thereafter	-
Total	<u>\$ 6,444,484</u>

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2019 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2018 total pension liability. The June 30, 2019 total pension liability was based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal
Actuarial Assumptions:	
Discount Rate	7.15%
Inflation	2.50%
Salary Increases	3.3% to 14.2% depending on age, service, and type of employment
Investment Rate of Return	7.15%
Mortality Rate Table	Derived using CalPERS' Membership Data for all Funds. The mortality table used was developed based on CalPERS' specific data. The table includes 15 years of mortality improvements using Society of Actuaries Scale BB.
Post Retirement Benefit Increase	Contract COLA up to 2.0% until Purchasing Power Protection Allowance Floor on Purchasing Power applies, 2.5% thereafter.

The underlying mortality assumptions and all other actuarial assumptions used in the June 30, 2018 valuation were based on the results of a January 2015 actuarial experience study for the period 1997 to 2014. Further details of the Experience Study can be found on the CalPERS website.

Discount Rate

In determining the long-term expected rate of return, CalPERS took into account, both short-term and long-term market return expectations as well as the expected pension fund cash flows. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

The table below reflects the long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. The target allocation shown was adopted by the Board effective July 1, 2017.

Asset Class	New Strategic Allocation	Real Return Years 1-10 ¹	Real Return Years 11+ ²
Global equity	50.00%	4.80%	5.98%
Global fixed income	28.00%	1.00%	2.62%
Inflation sensitive assets	0.00%	0.77%	1.81%
Private equity	8.00%	6.30%	7.23%
Real assets	13.00%	3.75%	4.93%
Liquidity	1.00%	0.00%	-0.92%

¹ An expected inflation of 2.00% was used for this period.

² An expected inflation of 2.92% was used for this period.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability for calculated using the discount rate for as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1%	Current Discount	Discount Rate + 1%
(6.15%)	Rate (7.15%)	(8.15%)
\$ 84,704,640	\$ 58,764,137	\$ 37,244,699

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

C. CalSTRS Pension Plan

Plan Description

Most full-time certificated (academic) employees participate in CalSTRS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law (Part 13 of the California Education Code, §22000 et seq.). Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62 with at least five years of service. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS' annual financial report may be obtained from the CalSTRS Executive Office located at 7667 Folsom Boulevard, Sacramento, California 95826.

Under State Teachers' Retirement Law, certain early retirement incentives require the employer to pay the present value of the additional benefit, which may be paid on either a current or deferred basis. The District has no obligations to CalSTRS for early retirement incentives granted to terminate employees as of June 30, 2020.

Benefits Provided

CalSTRS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law. Retirement benefits for classic employees are calculated as 2.0% of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Benefits Provided (Continued)

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalSTRS' annual actuarial valuation process. For public agency cost-sharing plans, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2019 (the measurement date), the active contribution rate was 10.25% of annual payroll for the Plan. The average employer's contribution rate was 16.28% for the Plan.

Consistent with Section 22955.1 of the California Education Code, the State of California makes contributions to CalSTRS on behalf of employees working for the District. These amounts are reported as both revenues and expenditures of the District. Accordingly, these amounts have been recorded in these financial statements. Contributions each fiscal year are based on the contribution rate multiplied by salaries creditable to CalSTRS from the fiscal year two periods prior to the measurement period.

For the year ended June 30, 2020, the Plan's proportionate share of aggregate employer contributions made for the Plan was as follows:

	CalSTRS Plan
Contributions - employer	\$ 7,766,966
Contributions - State on-behalf payments	3,707,448
Total contributions	\$ 11,474,414

On-Behalf payments reported by the District for the past three fiscal years are as follows:

Year Ended June 30,	Contribution Rate	Contribution Amount
2018	11.700%	\$ 2,907,777
2019	11.700%	3,286,017
2020	11.700%	3,707,448

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District's net pension liability for the Plan is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2019, and the total pension liability the Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2018 rolled forward to June 30, 2019 for the Plan using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

As of June 30, 2020, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate shares of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

	Increase (Decrease)		
	Plan Total Pension Liability	Plan Fiduciary Net Position	Plan Net Pension Liability/(Asset)
Balance at: 6/30/18 (Valuation date)	\$ 237,582,000	\$ 168,651,750	\$ 68,930,250
Balance at: 6/30/19 (Measurement date)	256,758,840	186,312,360	70,446,480
Net Changes during 2018-2019	<u>\$ 19,176,840</u>	<u>\$ 17,660,610</u>	<u>\$ 1,516,230</u>

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2018). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2019). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2018 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2017-19).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

The District's proportionate share of the net pension liability as of June 30, 2018 and 2019 was as follows:

	CalSTRS Plan
Proportion June 30, 2018	0.07500%
Proportion June 30, 2019	0.07800%
Change - Increase (Decrease)	<u>0.00300%</u>

For the year ended June 30, 2020, the District recognized pension expense in the amount of \$10,491,000 for the Plan.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime (“EARSL”) is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2018-19 measurement period is 7 years.

At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of Resources	Deferred inflows of Resources
Contributions made after the measurement date	\$ 7,766,966	\$ -
Difference between projected and actual earning on pension plan investments	-	2,713,620
Difference between expected and actual experience	-	1,807,260
Changes in assumptions	8,909,940	-
Changes in employer's proportionate share	-	2,100,482
Difference between District contributions and proportionate share of contributions	550,041	-
Total	<u>\$ 17,226,947</u>	<u>\$ 6,621,362</u>

For the Plan, \$7,766,966 was reported as deferred outflows of resources related to pensions resulting from District’s contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2021. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources
2021	\$ 41,826
2022	(730,230)
2023	1,122,761
2024	1,866,505
2025	341,662
Thereafter	196,095
Total	<u>\$ 2,838,619</u>

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2019 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2018 total pension liability. The June 30, 2019 total pension liability was based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal
Actuarial Assumptions:	
Discount Rate	7.10%
Inflation	2.75%
Salary Increases	3.50%
Investment Rate of Return	7.00%, net of investment and administrative expenses
Mortality Rate Table	Custom tables based on RP2016 series tables adjusted to fit CalSTRS experience
Post Retirement Benefit Increase	2.00% simple for DB, Not applicable for DBS/CBB

All other actuarial assumptions used in the June 30, 2018 valuation were based on the results of an actuarial experience study for the period July 1, 2010 – June 30, 2015, including updates to salary increase, mortality and retirement rates.

Discount Rate

The discount rate used to measure the total pension liability was 7.10%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increases per AB1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10%) and assuming that contributions, benefit payments, and administrative expenses occur mid-year. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The 7.00% investment return assumption used in this accounting valuation is net of administrative expenses. Administrative expenses are assumed to be 10 basis points. An investment return excluding administrative expenses would have been 7.0%. Using this lower discount rate has resulted in a slightly higher total pension liability and net pension liability. This difference was deemed immaterial to the Public Agency Cost-Sharing Multiple-Employer Defined Benefit Pension Plan.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant ("Consultant") as an input to the process. Based on the model from CalSTRS consulting actuary's investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that annual returns are lognormally distributed and independent from year to year to develop expected percentiles for the long-term distribution of annualized returns.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

The assumed asset allocation by the Consultant is based on CalSTRS board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as an input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	New Strategic Allocation	Long-Term Expected Real Rate of Return ¹
Global Equity	47.00%	6.30%
Fixed Income	12.00%	0.30%
Real Estate	13.00%	5.20%
Private Equity	13.00%	9.30%
Absolute Return	9.00%	2.90%
Inflation Sensitive	4.00%	3.80%
Cash / Liquidity	2.00%	-1.00%
	100%	

¹20-year geometric average

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.10%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.10%) or one percentage point higher (8.10%) than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1% (6.10%)	Current Discount Rate (7.10%)	Discount Rate + 1% (8.10%)
\$ 104,900,640	\$ 70,446,480	\$ 41,877,420

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalSTRS financial reports.

Note 9 – Risk Management

The District's risks management activities include property and liability and worker's compensation insurance programs.

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters.

Significant losses are covered by commercial insurance for all major programs. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year or the three prior years.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 10 – Joint Ventures (Joint Powers Agreement)

The District participates in a joint powers agreement (JPA) entity called the Statewide Association of Community Colleges (SWACC). The relationship between the District and the JPA is such that the JPA is not a component unit of the District. The JPA is governed by a board consisting of a representative from each member district.

SWACC provides liability and property insurance for approximately nineteen community colleges. SWACC is governed by a board comprised of a member of each of the participating districts. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC.

This entity has budgeting and financial reporting requirements independent of member units and the financial statements are not presented in these financial statements; however, fund transactions between the entity and the District are included in these statements. The District's share of year-end assets, liabilities or fund equity has not been calculated.

Note 11 – Commitments and Contingencies

Litigation

The District is periodically involved in various litigations. In the opinion of management and legal counsel, the disposition of all litigation pending will not have a material effect on the District's financial statements.

Grants and Contracts

The District has received state and federal funds for specific purposes that are subject to review and audit by the grantor agencies. Although such audits could generate expenditure disallowances under terms of the grants, it is believed that any required reimbursements will not be material.

Construction Contracts

In addition to construction amounts in accounts payable and accrued liabilities, the District has construction commitments of approximately \$43,103,805 remaining on open construction contracts as of June 30, 2020.

COVID-19 Pandemic

In December 2019, a novel strain of coronavirus has spread around the world resulting in business and social disruption. The coronavirus was declared a Public Health Emergency of International Concern by the World Health Organization on January 30, 2020. The operations and business results of the District could potentially be adversely affected by this global pandemic. The extent to which the coronavirus may impact business activity or investment results will depend on future developments, which are highly uncertain and cannot be predicted, including new information which may emerge concerning the severity of the coronavirus and the actions required to contain the coronavirus. The ultimate financial impact and duration cannot be estimated at this time.

Note 12 – Deficit Net Position

At June 30, 2020 the District had an unrestricted net position deficit of \$(107,854,615) and a total net position deficit of \$(16,660,259). These deficits were caused by the reporting of the net pension liability and net OPEB liability.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2020

Note 13 – Subsequent Events

COVID-19 Pandemic

The Coronavirus Aid, Relief, and Economic Security (CARES) Act Higher Education Emergency Relief Fund allocated funding of \$9.2 million to the District. At least half of this funding must be distributed directly to students as emergency aid for expenses related to the disruption of campus operations during the pandemic. During the year ended June 30, 2020, \$2.7 million was disbursed to qualifying students and recorded as revenue within Grants and contracts, non-capital federal, and as expense within Payments to students on the Statement of Activities. The District expects to disburse the remainder of these funds during the fiscal year ending June 30, 2021.

Bond Issuance

In July 2020, the District authorized the sale and issuance of the Election of 2008 General Obligation Bonds Series 2020E-1 and E-2 in the amount of \$25,000,000 (plus original issue premium of \$4,412,287) and the Election of 2016 General Obligation Bonds Series 2020B-1 and 2020B-2 in the amount of \$30,000,000 (plus original issue premium of \$4,251,285). These bonds are being issued to (i) finance the acquisition, construction, modernization, and equipping of District sites and facilities, (ii) pay a portion of the debt service on the bonds, and (iii) pay certain costs of issuance. The District also authorized the sale and issuance of the 2020 General Obligation Refunding Bonds in the amount of \$56,530,000. The proceeds of these bonds were used to (i) advance refund a portion of the District's Election of 2008 General Obligation Bonds, Series C and (ii) pay certain costs of issuance. The bonds are payable semiannually on February 1 and August 1 of each year, commencing February 1, 2021.

The bonds are general obligations of the District, secured and payable solely from ad valorem property taxes collected against taxable properties within the boundaries of the District. The Bonds are general obligations of the District only and are not obligations of San Diego County, the State of California or any of its other political subdivisions. The Board of Supervisors of San Diego County has the power and is obligated to levy and collect ad valorem property taxes for each fiscal year upon the taxable property of the District in an amount at least sufficient, together with other moneys available for such purpose, to pay the principal of, and premium, if any, and interest on each Bond as the same becomes due and payable.

REQUIRED SUPPLEMENTARY INFORMATION

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Southwestern Community College District
Schedule of Changes in Proportionate Share of the Net Pension Liability
Last Ten Years
For the Year Ended June 30, 2020

California Public Employees' Retirement System ("CalPERS")

Measurement Period	June 30, 2014	June 30, 2015	June 30, 2016	June 30, 2017	June 30, 2018	June 30, 2019
District's Proportion of the Net Pension Liability	0.20990%	0.20900%	0.19845%	0.20098%	0.20006%	0.20163%
District's Proportionate Share of the Net Pension Liability	\$ 23,828,761	\$ 30,806,804	\$ 39,193,398	\$ 47,979,230	\$ 53,342,294	\$ 58,764,137
District's Covered-Employee Payroll	\$ 22,245,705	\$ 23,993,385	\$ 24,031,265	\$ 24,659,008	\$ 26,109,642	\$ 28,504,767
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	107.12%	128.40%	163.09%	194.57%	204.30%	206.16%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	83.38%	79.43%	79.43%	71.87%	70.85%	70.05%

California State Teachers' Retirement System ("CalSTRS")

Measurement Period	June 30, 2014	June 30, 2015	June 30, 2016	June 30, 2017	June 30, 2018	June 30, 2019
District's Proportion of the Net Pension Liability	0.08000%	0.08000%	0.07787%	0.07400%	0.07500%	0.07800%
District's Proportionate Share of the net Pension Liability	\$ 46,749,600	\$ 53,859,200	\$ 62,982,608	\$ 68,434,460	\$ 68,930,250	\$ 70,446,480
District's Covered-Employee Payroll	\$ 35,763,671	\$ 39,853,588	\$ 38,688,844	\$ 39,727,305	\$ 41,966,316	\$ 43,904,504
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	130.72%	135.14%	162.79%	172.26%	164.25%	160.45%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	76.52%	74.02%	74.02%	69.46%	70.99%	72.56%

Notes to Schedule:

Changes in assumptions In 2017, CalPERS the accounting discount rate reduced from 7.65 percent to 7.15

Changes in assumptions In 2017, CalSTRS the accounting discount rate reduced from 7.60 percent to 7.10

* Information is only available for periods in which GASB 68 is applicable.

Southwestern Community College District
Schedules of Contributions
Last Ten Years
For the Year Ended June 30, 2020

California Public Employees' Retirement System ("CalPERS")							
	2013-14	2014-15	2015-16	2016-17	2017-18	2018-19	2019-20
Actuarially Determined Contribution	\$ 2,545,353	\$ 2,824,261	\$ 2,824,088	\$ 3,424,643	\$ 4,055,088	\$ 5,119,561	\$ 5,650,990
Contribution in Relation to the Actuarially Determined Contribution	(2,545,353)	(2,824,261)	(2,824,088)	(3,424,643)	(4,055,088)	(5,119,561)	(5,650,990)
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 22,245,705	\$ 23,993,385	\$ 24,713,187	\$ 24,659,008	\$ 26,109,642	\$ 28,504,767	\$ 28,879,071
Contributions as a Percentage of Covered Payroll	11.44%	11.77%	11.43%	13.89%	15.53%	17.96%	19.57%

California State Teachers' Retirement System ("CalSTRS")							
	2013-14	2014-15	2015-16	2016-17	2017-18	2018-19	2019-20
Actuarially Determined Contribution	\$ 2,954,523	\$ 3,539,234	\$ 4,510,356	\$ 4,997,695	\$ 6,055,739	\$ 7,178,963	\$ 7,766,966
Contribution in Relation to the Actuarially Determined Contribution	(2,954,523)	(3,539,234)	(4,510,356)	(4,997,695)	(6,055,739)	(7,178,963)	(7,766,966)
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 35,763,671	\$ 39,853,588	\$ 41,049,196	\$ 39,727,305	\$ 41,966,316	\$ 43,904,504	\$ 45,506,865
Contributions as a Percentage of Covered Payroll	8.26%	8.88%	10.99%	12.58%	14.43%	16.35%	17.07%

* Information is only available for periods in which GASB 68 is applicable.

Notes to Schedule

Benefit Changes: There were no changes to benefit terms that applied to all members of the Schools Pool. However, individual employers in the Plan may have provided a benefit improvement to their employees by granting Two Years Additional Service Credit to members retiring during a specified time period (a.k.a. Golden Handshakes). Employers that have done so may need to report this information as a separate liability in their financial statement as CalPERS considers such amounts to be separately financed employer-specific liabilities. These employers should consult with their auditors.

Southwestern Community College District
Schedule of Changes in Net OPEB Liabilities and Related Ratios – District's Plan
Last Ten Years
For the Year Ended June 30, 2020

	2018	2019	2020
Measurement period, year ended:	2016-2017	2017-2018	2018-2019
Total OPEB liability			
Service cost	\$ 781,846	\$ 803,347	\$ 793,547
Interest	1,103,513	793,810	1,068,759
Changes of benefit terms	-	-	-
Differences between expected and actual experience	-	-	(5,010,993)
Changes of assumptions	-	5,148,527	2,348,340
Benefit payments, including refunds of member contributions	(838,883)	(846,834)	(940,706)
Net change in total OPEB liability	1,046,476	5,898,850	(1,741,053)
Total OPEB liability - beginning	17,016,394	18,062,870	23,961,720
Total OPEB liability - ending (a)	<u>\$ 18,062,870</u>	<u>\$ 23,961,720</u>	<u>\$ 22,220,667</u>
OPEB fiduciary net position			
Contributions - employer	\$ 1,180,577	\$ 846,834	\$ 1,574,788
Net investment income	345,663	296,861	297,375
Benefit payments, including refunds of member contributions	(838,883)	(846,834)	(940,706)
Administrative expense	(500)	(4,488)	(4,635)
Net change in plan fiduciary net position	686,857	292,373	926,822
Plan fiduciary net position - beginning	3,540,700	4,227,557	4,519,930
Plan fiduciary net position - ending (b)	4,227,557	4,519,930	5,446,752
Plan net OPEB liability - ending (a) - (b)	<u>\$ 13,835,313</u>	<u>\$ 19,441,790</u>	<u>\$ 16,773,915</u>
Plan fiduciary net position as a percentage of the total OPEB liability	23.40%	18.86%	24.51%
Covered payroll	\$ 48,511,146	\$ 49,966,480	\$ 57,833,973
Plan net OPEB liability as a percentage of covered payroll	28.52%	38.91%	29.00%

* Information is only available for periods in which GASB 75 is applicable.

Southwestern Community College District
Schedule of OPEB Contributions – District's Plan
Last Ten Years
For the Year Ended June 30, 2020

	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>
Actuarially determined contribution	\$ 1,180,577	\$ 878,349	\$ 2,415,840	\$ 990,669
Contribution in relation to the actuarially determined contribution	<u>(1,180,577)</u>	<u>(878,349)</u>	<u>(1,574,788)</u>	<u>(990,669)</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 841,052</u>	<u>\$ -</u>
Covered-employee payroll	\$ 48,511,146	\$ 49,966,480	\$ 57,833,973	\$ 59,568,992
Contributions as a percentage of covered-employee payroll	2.43%	1.76%	4.18%	1.66%

SUPPLEMENTARY INFORMATION

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FUNDS OF THE DISTRICT

The following funds are included in the combining financial statements of the District. They are included as supplementary information in accordance with the requirements of the State Department of Education, California Community College Chancellor's Office's (the "CCCCO") Contracted District Audit Manual.

General Fund - Unrestricted - This fund is the primary operating account of the District and is used to account for resources which are not required to be accounted for in another fund. The fund includes the general activities of the District and other administrative functions.

General Fund - Restricted - This fund is used to account for categorical and other restricted resources of the District.

Capital Outlay Fund - This fund is used to account for the acquisition or construction of major property, equipment, or facilities.

Prop R Bond Fund - This fund is used to account for the acquisition or construction of major property, equipment, or facilities from funds provided through Proposition R.

Prop Z Bond Fund - This fund is used to account for the acquisition or construction of major property, equipment, or facilities from funds provided through Proposition Z.

Student Center Fund - This fund is used to account for the operations of the Student Center.

Bond Interest and Redemption Fund - This fund is used to account for property tax revenues and the payment of debt service.

Bookstore Fund - This enterprise fund is used to account for the operations of the Southwestern Community College bookstore.

Cafeteria Fund - This enterprise fund is used to account for the operations of the Southwestern Community College cafeteria and other various cafes on campus.

Federal Financial Aid Fund - This fund is used to account for federal financial aid receipts and payments to students.

Facilities Lease Fund - This fund is used to account for facilities leases.

Fitness Center Fund - This fund is used to account for the operations of the fitness center.

Self Insurance Fund - This fund is used to account for the District's self-insurance claims.

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances
June 30, 2020

	General Fund - Unrestricted	General Fund - Restricted	Capital Outlay	Prop R Bond Fund	Prop Z Bond Fund
ASSETS					
Current assets:					
Cash and investments	\$ 23,941,536	\$ 6,287,226	\$ 3,114,344	\$ -	\$ -
Accounts receivable	6,908,049	5,982,963	12,208	51	364,919
Inventories	57,657	-	-	-	-
Prepaid items	5,475	-	-	-	-
Due from other funds	869,081	-	-	21,794	-
Due from Fiduciary	60,926	-	-	-	-
Restricted cash and investments	-	-	-	11,849	79,929,385
Total current assets	31,842,724	12,270,189	3,126,552	33,694	80,294,304
Noncurrent assets:					
Restricted cash and investments	-	-	-	-	-
Capital assets, net	-	-	-	-	-
Total noncurrent assets	-	-	-	-	-
Total assets	\$ 31,842,724	\$ 12,270,189	\$ 3,126,552	\$ 33,694	\$ 80,294,304
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	\$ 1,929,605	\$ 910,926	\$ 224	\$ 4,322	\$ 5,033,166
Payroll and related liabilities	6,683,397	192,351	-	-	-
Compensated absences	4,003,028	-	-	-	-
Unearned revenue	2,367,652	10,340,462	-	-	-
Due to other funds	13,511	-	-	4,504	68,236
Due to Fiduciary	-	-	-	-	-
Total liabilities	14,997,193	11,443,739	224	8,826	5,101,402
Fund balances	16,845,531	826,450	3,126,328	24,868	75,192,902
Total liabilities and fund balances	\$ 31,842,724	\$ 12,270,189	\$ 3,126,552	\$ 33,694	\$ 80,294,304

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2020

	Student Center	Bond Interest and Redemption Fund	Bookstore	Cafeteria	Federal Financial Aid
ASSETS					
Current assets:					
Cash and investments	\$ 400,158	\$ -	\$ 1,065,448	\$ 262,063	\$ 588,185
Accounts receivable	539	-	555,920	5,894	20,582
Inventories	-	-	990,680	54,679	-
Prepaid items	-	-	-	-	-
Due from other funds	166	-	12,804	541	-
Due from Fiduciary	-	-	-	-	-
Restricted cash and investments	-	-	-	-	-
Total current assets	<u>400,863</u>	<u>-</u>	<u>2,624,852</u>	<u>323,177</u>	<u>608,767</u>
Noncurrent assets:					
Restricted cash and investments	-	26,694,252	-	-	-
Capital assets, net	-	-	-	2,881	-
Total noncurrent assets	<u>-</u>	<u>26,694,252</u>	<u>-</u>	<u>2,881</u>	<u>-</u>
Total assets	<u><u>\$ 400,863</u></u>	<u><u>\$ 26,694,252</u></u>	<u><u>\$ 2,624,852</u></u>	<u><u>\$ 326,058</u></u>	<u><u>\$ 608,767</u></u>
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	\$ -	\$ -	\$ 56,787	\$ 32,737	\$ 16
Payroll and related liabilities	-	-	-	-	-
Compensated absences	-	-	-	-	-
Unearned revenue	-	-	-	-	-
Due to other funds	-	-	196,685	400,501	16,766
Due to Fiduciary	-	-	-	30,000	-
Total liabilities	<u>-</u>	<u>-</u>	<u>253,472</u>	<u>463,238</u>	<u>16,782</u>
Fund balances	<u>400,863</u>	<u>26,694,252</u>	<u>2,371,380</u>	<u>(137,180)</u>	<u>591,985</u>
Total liabilities and fund balances	<u><u>\$ 400,863</u></u>	<u><u>\$ 26,694,252</u></u>	<u><u>\$ 2,624,852</u></u>	<u><u>\$ 326,058</u></u>	<u><u>\$ 608,767</u></u>

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2020

	Facilities Lease	Fitness Center	Self Insurance	Total
ASSETS				
Current assets:				
Cash and investments	\$ 215,984	\$ 532,046	\$ 584,142	\$ 36,991,132
Accounts receivable	-	-	2,443	13,853,568
Inventories	-	22	-	1,103,038
Prepaid items	-	-	-	5,475
Due from other funds	-	-	-	904,386
Due from Fiduciary	-	-	-	60,926
Restricted cash and investments	-	-	-	79,941,234
Total current assets	<u>215,984</u>	<u>532,068</u>	<u>586,585</u>	<u>132,859,759</u>
Noncurrent assets:				
Restricted cash and investments	-	-	-	26,694,252
Capital assets, net	-	-	-	2,881
Total noncurrent assets	<u>-</u>	<u>-</u>	<u>-</u>	<u>26,697,133</u>
Total assets	<u><u>\$ 215,984</u></u>	<u><u>\$ 532,068</u></u>	<u><u>\$ 586,585</u></u>	<u><u>\$ 159,556,892</u></u>
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	\$ -	\$ 525,756	\$ -	\$ 8,493,539
Payroll and related liabilities	-	18,840	-	6,894,588
Compensated absences	-	-	-	4,003,028
Unearned revenue	-	98,562	-	12,806,676
Due to other funds	204,183	-	-	904,386
Due to Fiduciary	-	-	-	30,000
Total liabilities	<u>204,183</u>	<u>643,158</u>	<u>-</u>	<u>33,132,217</u>
Fund balances	<u>11,801</u>	<u>(111,090)</u>	<u>586,585</u>	<u>126,424,675</u>
Total liabilities and fund balances	<u><u>\$ 215,984</u></u>	<u><u>\$ 532,068</u></u>	<u><u>\$ 586,585</u></u>	<u><u>\$ 159,556,892</u></u>

Southwestern Community College District
Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances
to Basic Statement of Net Position
June 30, 2020

Total Fund Balances reported in the Combining Balance Sheet	\$ 126,424,675
Amounts reported in the Statement of Net Position are differently because:	
Capital assets used in governmental activities are not financial resources and therefore are not reported in governmental funds.	
Government-Wide capital assets	426,696,376
Less enterprise funds capital assets	<u>(2,881)</u>
Total capital assets not reported in the funds	<u>426,693,495</u>
Long-term liabilities are not due and payable in the current period and therefore are not reported in the governmental funds.	
Aggregate net pension liability	(129,210,617)
Net OPEB liability	(17,220,791)
Bonds payable - due within one year	(15,776,219)
Bonds payable - due in more than one year	<u>(429,926,081)</u>
Total long-term liabilities not reported in the funds	<u>(592,133,708)</u>
Deferred loss on bond refunding did not require current financial resources. Therefore, it is not reported in the governmental funds.	3,436,121
Deferred gain on bond refunding did not require current financial resources. Therefore, it is not reported in the governmental funds.	(828,946)
Actuarially determined deferred outflows of resources are reported in the government-wide statements:	
Pension-related deferred outflows	29,943,927
OPEB-related deferred outflows	<u>7,115,124</u>
Total actuarially determined deferred outflows of resources	<u>37,059,051</u>
Actuarially determined deferred inflows of resources are reported in the government-wide statements:	
Pension-related deferred inflows	(7,242,868)
OPEB-related deferred inflows	<u>(4,576,409)</u>
Total actuarially determined deferred inflows of resources	<u>(11,819,277)</u>
Interest payable on long-term debt did not require current financial resources. Therefore, interest payable was not reported in the governmental funds.	<u>(6,449,288)</u>
Net Position	<u><u>\$ (17,617,877)</u></u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position
For the Year Ended June 30, 2020

	General Fund - Unrestricted	General Fund - Restricted	Capital Outlay	Prop R Bond Fund	Prop Z Bond Fund
OPERATING REVENUES					
Tuition and fees	\$ 6,215,168	\$ 1,423,648	\$ -	\$ -	\$ -
Federal grant, non-capital	132,092	6,022,802	-	-	-
State grant, non-capital	-	-	-	-	-
Local grant, non-capital	1,167,203	545,942	591,463	-	-
Auxiliary enterprise sales and charges	-	-	-	-	-
Other operating revenues	-	-	-	-	-
Total operating revenues	7,514,463	7,992,392	591,463	-	-
OPERATING EXPENDITURES/EXPENSES:					
Salaries	71,024,626	16,418,156	-	3,529	54,310
Employee benefits	26,755,394	5,304,585	-	378	12,245
Payments to students	308,646	1,663,330	-	-	-
Supplies, materials, and other expenses	8,143,679	8,109,309	98,181	4,694,732	48,182,731
Utilities	2,878,830	2,078	-	-	-
Depreciation	-	-	-	-	-
Total operating expenditures/expenses	109,111,175	31,497,458	98,181	4,698,639	48,249,286
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	(101,596,712)	(23,505,066)	493,282	(4,698,639)	(48,249,286)
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	-	-
State apportionments, non-capital	68,183,704	21,611,098	-	-	-
Local property taxes, non-capital	31,029,783	-	-	-	-
Investment income	624,568	-	52,670	30,012	2,103,015
Other non-operating revenue(expense)	639,875	345,707	-	-	-
Debt service:					
Principal payment	-	-	-	-	-
Interest and fiscal charges	-	-	-	-	-
Total non-operating expenditures/expenses	100,477,930	21,956,805	52,670	30,012	2,103,015
INCOME(LOSS) BEFORE TRANSFERS	(1,118,782)	(1,548,261)	545,952	(4,668,627)	(46,146,271)
TRANSFERS:					
Transfers in	-	1,346,587	-	-	-
Transfers out	(1,921,587)	-	-	-	-
Transfers	(1,921,587)	1,346,587	-	-	-
Changes in fund balance/net position	(3,040,369)	(201,674)	545,952	(4,668,627)	(46,146,271)
FUND EQUITY/NET POSITION:					
Beginning of year	19,885,900	1,028,124	2,580,376	4,693,495	121,339,173
End of year	<u>\$ 16,845,531</u>	<u>\$ 826,450</u>	<u>\$ 3,126,328</u>	<u>\$ 24,868</u>	<u>\$ 75,192,902</u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2020

	Student Center	Bond Interest and Redemption Fund	Bookstore	Cafeteria	Federal Financial Aid
OPERATING REVENUES					
Tuition and fees	\$ 148,761	\$ -	\$ -	\$ -	\$ -
Federal grant, non-capital	-	-	-	-	4,591,916
State grant, non-capital	-	-	-	-	7,086,766
Local grant, non-capital	-	-	-	-	-
Auxiliary enterprise sales and charges	-	-	2,329,623	1,360,179	-
Other operating revenues	-	-	-	-	-
Total operating revenues	148,761	-	2,329,623	1,360,179	11,678,682
OPERATING EXPENDITURES/EXPENSES:					
Salaries	-	-	501,131	807,418	65,630
Employee benefits	-	-	172,811	234,850	-
Payments to students	-	-	-	-	41,613,303
Supplies, materials, and other expenses	-	-	1,767,832	842,363	-
Utilities	-	-	501	170	-
Depreciation	-	-	-	10,095	-
Total operating expenditures/expenses	-	-	2,442,275	1,894,896	41,678,933
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	148,761	-	(112,652)	(534,717)	(30,000,251)
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	-	29,892,586
State apportionments, non-capital	-	-	-	-	-
Local property taxes, non-capital	-	28,487,421	-	-	-
Investment income	3,181	525,117	609	-	119
Other non-operating revenue(expense)	-	189,792	50,712	-	-
Debt service:					
Principal payment	(100,000)	(16,020,000)	-	-	-
Interest and fiscal charges	(23,645)	(17,353,045)	-	-	-
Total non-operating expenditures/expenses	(120,464)	(4,170,715)	51,321	-	29,892,705
INCOME(LOSS) BEFORE TRANSFERS	28,297	(4,170,715)	(61,331)	(534,717)	(107,546)
TRANSFERS:					
Transfers in	-	-	-	-	-
Transfers out	-	-	-	-	-
Transfers	-	-	-	-	-
Changes in fund balance/net position	28,297	(4,170,715)	(61,331)	(534,717)	(107,546)
FUND EQUITY/NET POSITION:					
Beginning of year	372,566	30,864,967	2,432,711	397,537	699,531
End of year	<u>\$ 400,863</u>	<u>\$ 26,694,252</u>	<u>\$ 2,371,380</u>	<u>\$ (137,180)</u>	<u>\$ 591,985</u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2020

	Facilities Lease	Fitness Center	Self Insurance	Total
OPERATING REVENUES				
Tuition and fees	\$ -	\$ 1,076,878	\$ -	\$ 8,864,455
Federal grant, non-capital	-	-	-	10,746,810
State grant, non-capital	-	-	-	7,086,766
Local grant, non-capital	-	-	-	2,304,608
Auxiliary enterprise sales and charges	-	-	-	3,689,802
Other operating revenues	-	40,303	-	40,303
Total operating revenues	-	1,117,181	-	32,732,744
OPERATING EXPENDITURES/EXPENSES:				
Salaries	205,454	1,050,254	-	90,130,508
Employee benefits	76,575	266,047	-	32,822,885
Payments to students	-	-	-	43,585,279
Supplies, materials, and other expenses	44,228	256,870	353,333	72,493,258
Utilities	-	-	-	2,881,579
Depreciation	-	-	-	10,095
Total operating expenditures/expenses	326,257	1,573,171	353,333	241,923,604
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	(326,257)	(455,990)	(353,333)	(209,190,860)
NONOPERATING REVENUE(EXPENSES):				
Federal grant, non-capital	-	-	-	29,892,586
State apportionments, non-capital	-	-	-	89,794,802
Local property taxes, non-capital	-	-	-	59,517,204
Investment income	-	16	12,836	3,352,143
Other non-operating revenue(expense)	338,058	-	-	1,564,144
Debt service:				
Principal payment	-	-	-	(16,120,000)
Interest and fiscal charges	-	-	-	(17,376,690)
Total non-operating expenditures/expenses	338,058	16	12,836	150,624,189
INCOME(LOSS) BEFORE TRANSFERS	11,801	(455,974)	(340,497)	(58,566,671)
TRANSFERS:				
Transfers in	-	575,000	-	1,921,587
Transfers out	-	-	-	(1,921,587)
Transfers	-	575,000	-	-
Changes in fund balance/net position	11,801	119,026	(340,497)	(58,566,671)
FUND EQUITY/NET POSITION:				
Beginning of year	-	(230,116)	927,082	184,991,346
End of year	\$ 11,801	\$ (111,090)	\$ 586,585	\$ 126,424,675

Southwestern Community College District
Reconciliation of Combining Schedule of Revenues, Expenditures/Expenses and Changes in
Fund Equity to Basic Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2020

Revenues and other financing sources over (under) expenditures/expenses and other financing use:	\$ (58,566,671)
Amounts reported in the Statement of Activities were different because:	
Capital outlay expenditures reported in the governmental funds that were not capitalized on the Government-Wide Statement of Net Position were reclassified as Supplies, Materials, and Other Expenses.	<u>53,186,134</u>
Depreciation expense on capital assets was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, depreciation was not reported as an expenditure in governmental funds (net of \$10,300 in enterprise funds).	<u>(14,855,343)</u>
Interest expense on long-term debt was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, accrued interest was not reported as an expenditure in governmental funds.	<u>278,874</u>
Repayment of long-term liabilities was an expenditure in governmental funds, but the repayment reduced long-term liabilities in the Government-Wide Statement of Net Position:	
Lease revenue bonds	100,000
General Obligation bonds	<u>16,020,000</u>
Total repayment of long-term liabilities	<u>16,120,000</u>
Amortization expenses were reported in the Government-Wide Statement of Activities and Changes in Net Position, but they did not require the use of current financial resources. Therefore, amortization expenses were not reported as expenditures in the Governmental Funds.	
Bond premium and discount	(2,107,575)
Deferred gain and loss on refunding	<u>(18,049)</u>
Total amortization expenses	<u>(2,125,624)</u>
Changes in the net pension liability and related deferred outflows and deferred inflows reported in the Statement of Activities did not require the use of current financial resources and, therefore, were not reported as expenditures in the governmental funds.	<u>(7,274,195)</u>
Changes in the net OPEB liability and related deferred outflows and deferred inflows reported in the Statement of Activities did not require the use of current financial resources and, therefore, were not reported as expenditures in the governmental funds.	<u>(593,415)</u>
Change in Net Position	<u>\$ (9,615,090)</u>

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SINGLE AUDIT

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**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND
OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Independent Auditors' Report

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the basic financial statements of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2020, and the related notes to the financial statements, and have issued our report thereon dated January 25, 2021.

Our report includes a reference to other auditors who audited the financial statements of the Southwestern College Foundation, a discretely presented component unit of the District as described in our report on the District's financial statements. This report does not include the results of the other auditors' testing of internal control over financial reporting or compliance and other matters that are reported on separately by those auditors.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly we do not express such an opinion. The results of our tests disclosed no instance of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

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To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California
Page 2

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The Pw Group, LLP

San Diego, California
January 25, 2021



**REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM AND ON INTERNAL
CONTROL OVER COMPLIANCE AND ON THE SCHEDULE OF EXPENDITURES OF FEDERAL
AWARDS REQUIRED BY THE UNIFORM GUIDANCE**

Independent Auditors' Report

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Compliance for Each Major Federal Program

We have audited the Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2020. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditors' Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District, complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2020.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Schedule of Expenditures of Federal Awards

We have audited the accompanying basic financial statements of the District as of and for the year ended June 30, 2020, and the related notes to the financial statements. We issued our report thereon dated January 25, 2021 which contained unmodified opinions on those financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated in all material respects in relation to the basic financial statements as a whole.

The Pw Group, LLP

Southwestern Community College District
Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2020

Federal Agency	Grant Name/Program Name	CFDA No.	Agency or Pass-Through No.	Expenditure	Amount Provided to Subrecipients
<u>U.S. Department of Education:</u>					
	Direct Programs:				
	Financial Aid Cluster:				
	PELL	84.063	P063P131184	\$ 30,195,135	\$ -
	FSEOG	84.007	P0078130617	545,790	-
	Direct Loans	84.268	P268K131184	995,489	-
	Federal Work Study	84.033	P033A130617	433,149	-
			Total Financial Aid Cluster	32,169,563	-
	Education Stabilization Fund Program:				
	COVID-19 - HEERF Student Aid Portion	84.425E	P425E201465	2,776,100	-
	COVID-19 - HEERF Institutional Portion	84.425F	P425L200442	1,369,357	-
	COVID-19 - HEERF Minority Serving Institutions	84.425L	P425F203699	46,292	-
			Total Education Stabilization Fund Program	4,191,749	-
	Child Care Access Means Parents in School (CCAMPIS)	84.335	P335A180234	157,140	-
	Puertas al Futuro - "Doorways to the Future"	84.031S	P031S140041	578,061	-
	Passed through San Diego State University Research Foundation				
	Developing Effective Bilingual Educators with Resources	84.031S	P031S190108	51,158	-
			Sub-total	629,219	-
	Passed through California Department of Education				
	Career and Technical Education - National Programs	84.051	11-C01-063	676,791	-
	Tech Prep, now CTE Transitions	84.051	11-112-090	46,195	-
			Sub-total	722,986	-
	Passed through State of California Department of Rehabilitation:				
	State Vocational Rehabilitation Program	84.126A	29018/SCPRS 1324967	176,021	-
			Total U.S. Department of Education	38,046,678	-
<u>U.S. Department of Agriculture:</u>					
	Passed through The Foundation for California Community Colleges:				
	SNAP Cluster:				
	Fresh Success Program	10.561	FRS-010-17	14,408	-
			Total SNAP Cluster	14,408	-
			Total U.S. Department of Agriculture	14,408	-
<u>U.S. Department of Defense:</u>					
	Direct Programs:				
	Procurement Technical Assistance (DLA)	12.002	SP4800-20-2-2049	596,350	-
			Total U.S. Department of Defense	596,350	-
<u>U.S. Department of Housing and Urban Development:</u>					
	Passed through The Foundation for California Community Colleges:				
	CDBG - Entitlement Grant Cluster:				
	Community Development Block Grant	14.218	CED-FY18-003-02	353,616	-
			Total CDBG - Entitlement Grant Cluster	353,616	-
			Total U.S. Department of Housing and Urban Development	353,616	-

Southwestern Community College District
Schedule of Expenditures of Federal Awards (Continued)
For the Year Ended June 30, 2020

Federal Agency	Grant Name/Program Name	CFDA No.	Agency or Pass-Through No.	Expenditure	Amount Provided to Subrecipients
<u>National Science Foundation:</u>					
	Direct Programs:				
	Mentored Pathways	47.076	1929756	132,012	-
	Passed through University of San Diego:				
	Malate Dehydrogenase Course	47.076	DUE-1726932	55	-
	Passed through Jefferson Community College and Technical College:				
	Geopatial Technology Center of Excellence: "Growing the Workforce"	47.076	DUE-1700496	52,428	-
			Sub-total	184,495	-
	Total National Science Foundation			184,495	-
<u>Small Business Administration:</u>					
	Direct Programs:				
	Women's Business Ownership Assistance	59.043	OWBO-2018-02	176,561	-
	COVID-19 - Women's Business Center	59.043	SBAHQ-20C0126	10,451	-
			Sub-total	187,012	-
	Direct Programs:				
	2019 US SBA Grant	59.037	SBAHQ19B0054	509,172	264,157
	2020 US SBA Grant	59.037	SBAHQ20B0070	453,091	233,917
	COVID-19 - SBDC CARES Act	59.037	SBAHQ-20C0070	137,735	-
			Sub-total	1,099,998	498,074
	Total Small Business Administration			1,287,010	498,074
<u>U.S. Veterans Affairs Education Services Outreach:</u>					
	Direct Programs:				
	Veterans Reporting Fees	64.270	38 USC 3684	10,791	-
	Total U.S. Department of Veterans Affairs			10,791	-
<u>U.S. Department of Justice:</u>					
	Direct Programs:				
	San Diego Campus Violence Prevention Project Consortium	16.525	2018-WA-AX-0044	92,971	-
	Total U.S. Department of Justice			92,971	-
<u>U.S. Department of Homeland Security</u>					
	Direct Programs:				
	Paramedic Refresher Training Course	97.036	AR3586.12	153	-
	Total U.S. Department of Homeland Security			153	-
	Total Expenditures of Federal Awards			\$ 40,586,472	\$ 498,074

Southwestern Community College District
Notes to the Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2020

Note 1 – Reporting Entity

The financial reporting entity consists of the primary government, Southwestern Community College District (District), (b) organizations for which the primary government is financially accountable, and (c) other organizations for which the primary government is not accountable, but for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete.

Note 2 – Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the federal grant activity of the District and is presented on the accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the Uniform Guidance. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the basic financial statements.

Consistent with management's policy, federal, state and local awards are recorded in various revenue categories. As a result, the amount of total awards expended on the Schedule does not agree to total grant and contract revenues on the Statement of Revenues, Expenditures and Changes in Net Position.

Note 3 – Indirect Cost Rate

The District did not use the 10% de-minimis indirect cost rate as allowed under the Uniform Guidance.

Note 4 – Amounts Passed Through to Subrecipients

The following schedule of amounts passed through to subrecipients includes the federal passthrough grant activity of the District and is presented on the accrual basis of accounting. The information in this schedule is presented in accordance with the requirements set forth in the *2019-2020 Contracted District Audit Manual*.

Subrecipient	CFDA	Amount
San Diego Asian Business Association	59.037	\$ 21,565
CONNECT Foundation	59.037	50,056
East County Economic Development Council	59.037	26,890
Imperial Regional Alliance, Inc.	59.037	73,920
International Rescue Committee	59.037	54,168
MiraCosta College	59.037	157,730
University of San Diego	59.037	113,745
		<u>\$ 498,074</u>

Southwestern Community College District
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2020

Section I – Summary of Audit Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP	Unmodified
Internal control over financial reporting:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	None Reported
Non-compliance material to the financial statements identified?	No

Federal Awards

Internal control over major programs:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	None Reported
Type of auditor's report issued on compliance for major programs	Unmodified
Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?	No
Identification of major programs:	

Major Program	CFDA	Expenditures
Financial Aid Cluster:		
PELL	84.063	\$ 30,195,135
FSEOG	84.007	545,790
Federal Direct Student Loans	84.268	995,489
Federal Work Study	84.033	433,149
Total Financial Aid Cluster		32,169,563
Education Stabilization Fund (ESF) Program:		
COVID-19 - HEERF Student Aid Portion	84.425E	2,776,100
COVID-19 - HEERF Institutional Portion	84.425F	1,369,357
COVID-19 - HEERF Minority Serving Institutions	84.425L	46,292
Total Education Stabilization Fund Program		4,191,749
Small Business Administration Grant Program:		
2019 US SBA Grant	59.037	509,172
2020 US SBA Grant	59.037	453,091
COVID-19 - SBDC CARES Act	59.037	137,735
Total Small Business Administration Grant Program		1,099,998
Total Major Program Expenditures		\$ 37,461,310
Total Expenditures of Federal Awards		\$ 40,586,472
Percent of Total Expenditures of Federal Awards		92.30%

Dollar threshold used to distinguish between type A and type B programs	\$1,217,594
Auditee qualified as low-risk auditee in accordance with 2 CFR 200.520?	Yes

**Southwestern Community College District
Schedule of Findings and Questioned Costs (Continued)
For the Year Ended June 30, 2020**

Section II – Financial Statement Findings

A. Current Year Financial Statement Findings

No financial statement findings were noted for the year ended June 30, 2020.

B. Prior Year Financial Statement Findings

No financial statement findings were noted for the year ended June 30, 2019.

Section III – Federal Awards Findings

A. Current Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2020.

B. Prior Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2019.

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STATE COMPLIANCE

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INDEPENDENT AUDITORS' REPORT ON STATE COMPLIANCE

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the California Community Colleges Contracted District Audit Manual (the "CDAM") 2019-2020, issued by the California Community Colleges Chancellor's Office for the year ended June 30, 2020. The District's State Compliance requirements are identified in the table provided.

Management's Responsibility

Management is responsible for the compliance with the State laws and regulations as identified below.

Auditors' Responsibility

Our responsibility is to express an opinion on compliance based on our audit of the types of compliance referred to below. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the California Community Colleges Contracted Audit Manual (CDAM) 2019-2020, issued by the California Community Colleges Chancellor's Office. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the specific areas listed below has occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion on State Compliance. Our audit does not provide legal determination on the District's compliance.

In connection with our audit referred to above, we selected and tested transactions and records to determine the District's compliance with the following state laws and regulations in accordance with Section 400 of the Chancellor's Office's California Community College Contracted District Audit Manual (CDAM).

Compliance Requirements Tested

In connection with the audit referred to above, we selected and tested transactions and records to determine the District's compliance with the laws and regulations applicable to the following items:

Section	Description	Procedures Performed
411	SCFF Data Management Control Environment	Yes
421	Salaries of Classroom Instructors (50 Percent Law)	Yes
423	Apportionment for Activities Funded from Other Sources	Yes
424	State General Apportionment Funding System	Yes
425	Residency Determination for Credit Courses	Yes
426	Students Actively Enrolled	Yes
427	Dual Enrollment (CCAP and Non-CCAP)	Yes
430	Scheduled Maintenance Program	Yes
431	Gann Limit Calculation	Yes
435	Open Enrollment	Yes
439	Proposition 39 Clean Energy Fund	Yes
444	Apprenticeship Related and Supplemental Instruction (RSI) Funds	Yes
475	Disabled Student Programs and Services (DSPS)	Yes
479	To Be Arranged Hours (TBA)	Yes
490	Proposition 1D and 51 State Bond Funded Projects	Not applicable
491	Education Protection Account Funds	Yes

Opinion on State Compliance

In our opinion, the District complied with the laws and regulations of the state programs referred to above in all material respects for the year ended June 30, 2020.

Purpose of this Report

The purpose of this report on state compliance is solely to describe the results of testing based on the requirements of the *2019-2020 Contracted District Audit Manual*. Accordingly, this report is not suitable for any other purpose.



San Diego, California
January 25, 2021

OTHER INFORMATION

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Southwestern Community College District
Other Information
Purpose of Schedules
For the Year Ended June 30, 2020

PURPOSE OF SCHEDULES

Schedule of Workload Measures for Program-Based Funding

Full-time Equivalent Students (FTES) is a measurement of the number of pupils attending classes of the District on a full-time basis. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to community college districts. This schedule provides information regarding the attendance of students throughout the District.

Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Form CCFS-311 to the audited financial statements.

Reconciliation of the 50% Calculation with Audited Financial Statements

This schedule provides the information necessary to reconcile the numbers used in the District's 50% Law calculation reported on the form CCFS-311 to the District's accounting records.

Reconciliation of the Education Protection Account Expenditures with Audited Financial Statements

This schedule provides the information necessary to reconcile the expenditures of Education Protection Account funds reported on the Form CCFS-311 to the District's accounting records.

Schedule of Expenditures of State Awards

This schedule provides information about the types and amounts of State funding the District spent during the fiscal year.

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Southwestern Community College District
Schedule of Workload Measures for State General Apportionment
and Annual Actual Attendance
For the Year Ended June 30, 2020

	Reported Data	Audit Adjustments	Revised Data
A. Summer Intersession (Summer 2019 only)			
1. Noncredit	2.42	-	2.42
2. Credit	1,407.49	-	1,407.49
B. Summer Intersession (Summer 2020 - Prior to July 1, 2020)			
1. Noncredit	-	-	-
2. Credit	-	-	-
C. Primary Terms (Exclusive of Summer Intersession)			
1. Census Procedure Courses			
(a) Weekly Census Contact Hours	9,875.11	-	9,875.11
(b) Daily Census Contact Hours	712.68	-	712.68
2. Actual Hours of Attendance Procedure Courses			
(a) Noncredit	163.16	-	163.16
(b) Credit	368.01	-	368.01
3. Independent Study/Work Experience			
(a) Weekly Census Contact Hours	1,527.39	-	1,527.39
(b) Daily Census Contact Hours	743.25	-	743.25
(c) Noncredit Independent Study/Distance Education Courses	-	-	-
D. Total FTES	<u>14,799.51</u>	<u>-</u>	<u>14,799.51</u>
Supplemental Information (subset of above information)			
E. In-Service Training Courses (FTES)	-	-	-
H. Basic Skills courses and Immigrant Education			
(a) Noncredit	-	-	-
(b) Credit	555.82	-	555.82
<u>CCFS-320 Addendum</u>			
CDCP Noncredit FTES	-	-	-
Centers FTES			
(a) Noncredit	-	-	-
(b) Credit	-	-	-

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Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements
For the Year Ended June 30, 2020

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

	General Fund Unrestricted	General Fund Restricted	Capital Outlay	Prop R Fund	Prop Z Fund	Student Center	Bond Interest and Redemption Fund	Bookstore
Fund balance/net position per the CCFS-311 at June 30, 2020	\$ 16,845,531	\$ 826,450	\$ 3,126,328	\$ 24,868	\$ 75,192,902	\$ 400,862	\$ 26,694,252	\$ 2,371,380
Audit adjustments	-	-	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	-	-	-	-	-	-	-	-
Net adjustments and reclassifications	-	-	-	-	-	-	-	-
Fund balance/net position per the audited fund financial statements at June 30, 2020	\$ 16,845,531	\$ 826,450	\$ 3,126,328	\$ 24,868	\$ 75,192,902	\$ 400,863	\$ 26,694,252	\$ 2,371,380

Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements (Continued)
For the Year Ended June 30, 2020

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

	Cafeteria	Federal Financial Aid	Facilities Lease	Fitness Center	Self Insurance	Fiduciary Funds		
						ASO Student Clubs	Student Service Trust Funds	Student Fees Trust Funds
Fund balance/net position per the CCFS-311 at June 30, 2020	\$ (137,180)	\$ 591,985	\$ 11,801	\$ (111,090)	\$ 586,585	\$ 456,238	\$ 29,003	\$ 1,524
Audit adjustments	-	-	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	-	-	-	-	-	-	-	-
Net adjustments and reclassifications	-	-	-	-	-	-	-	-
Fund balance/net position per the audited fund financial statements at June 30, 2020	\$ (137,180)	\$ 591,985	\$ 11,801	\$ (111,090)	\$ 586,585	\$ 456,238	\$ 29,003	\$ 1,524

Southwestern Community College District
Reconciliation of 50% Calculation with
Audited Financial Statements
For the Year Ended June 30, 2020

		Activity (ECSA) ECS 84362 A Instructional Salary Cost AC 0100-5900 & AC 6110			Activity (ECSB) ECS 84362 B Total CEE AC 0100-6799		
	Object /TOP Codes	Reported Data	Audit Adjustments	Revised Data	Reported Data	Audit Adjustments	Revised Data
<u>Academic Salaries</u>							
Instructional Salaries:							
Contract or Regular	1100	\$ 18,131,975	\$ -	\$ 18,131,975	\$ 18,131,975	\$ -	\$ 18,131,975
Other	1300	18,424,641	-	18,424,641	18,424,641	-	18,424,641
Total Instructional Salaries		36,556,616	-	36,556,616	36,556,616	-	36,556,616
Non-Instructional Salaries:							
Contract or Regular	1200	-	-	-	8,811,577	-	8,811,577
Other	1400	-	-	-	982,382	-	982,382
Total Non-Instructional Salaries		-	-	-	9,793,959	-	9,793,959
Total Academic Salaries		36,556,616	-	36,556,616	46,350,575	-	46,350,575
<u>Classified Salaries</u>							
Non-Instructional Salaries:							
Regular Status	2100	-	-	-	18,039,076	-	18,039,076
Other	2300	-	-	-	2,119,676	-	2,119,676
Total Non-Instructional Salaries		-	-	-	20,158,752	-	20,158,752
Instructional Aides:							
Regular Status	2200	2,010,351	-	2,010,351	2,010,351	-	2,010,351
Other	2400	754,588	-	754,588	799,612	-	799,612
Total Instructional Aides		2,764,939	-	2,764,939	2,809,963	-	2,809,963
Total Classified Salaries		2,764,939	-	2,764,939	22,968,715	-	22,968,715
Employee Benefits	3000	11,318,106	-	11,318,106	22,760,026	-	22,760,026
Supplies and Materials	4000	-	-	-	1,254,228	-	1,254,228
Other Operating Expenses	5000	433,372	-	433,372	9,587,857	-	9,587,857
Equipment Replacement	6420	-	-	-	21,588	-	21,588
Total Expenditures Prior to Exclusions		<u>\$ 51,073,033</u>	<u>\$ -</u>	<u>\$ 51,073,033</u>	<u>\$ 102,942,989</u>	<u>\$ -</u>	<u>\$ 102,942,989</u>
<u>Exclusions</u>							
Activities to Exclude:							
Instructional Staff-Retirees' Benefits and Retirement Services	5900	\$ 1,163,265	\$ -	\$ 1,163,265	\$ 1,163,265	\$ -	\$ 1,163,265
Student Health Services Above Amount Collected	6441	-	-	-	-	-	-
Student Transportation	6491	-	-	-	-	-	-
Noninstructional Staff-Retirees' Benefits and Retirement Incentives	6740	-	-	-	1,268,527	-	-
Objects to Exclude:							
Rents and Leases	5060	-	-	-	-	-	-
Lottery Expenditures		-	-	-	-	-	-
Academic Salaries	1000	-	-	-	-	-	-
Classified Salaries	2000	-	-	-	-	-	-
Employee Benefits	3000	-	-	-	-	-	-
Supplies and Materials:							
Software	4100	-	-	-	-	-	-
Books, Magazines, & Periodicals	4200	-	-	-	-	-	-
Instructional Supplies & Materials	4300	-	-	-	-	-	-
Noninstructional, Supplies & Materials	4400	-	-	-	-	-	-
Total Supplies and Materials		-	-	-	-	-	-
Other Operating Expenses and Services	5000	-	-	-	-	-	-
Capital Outlay:							
Capital Outlay	6000	-	-	-	-	-	-
Library Books	6300	-	-	-	65,483	-	65,483
Equipment - Additional	6410	-	-	-	14,377	-	14,377
Equipment - Replacement	6420	-	-	-	7,211	-	7,211
Total Capital Outlay		-	-	-	87,071	-	87,071
Other Outgo	7000	-	-	-	2,111,144	-	2,111,144
Total Exclusions		<u>\$ 1,163,265</u>	<u>\$ -</u>	<u>\$ 1,163,265</u>	<u>\$ 4,630,007</u>	<u>\$ -</u>	<u>\$ 3,361,480</u>
Total for ECS 84362, 50% Law		<u>\$ 49,909,768</u>	<u>\$ -</u>	<u>\$ 49,909,768</u>	<u>\$ 98,312,982</u>	<u>\$ -</u>	<u>\$ 99,581,509</u>
Percent of CEE (Instructional Salary Cost / Total CEE)		<u>50.77%</u>	<u>-</u>	<u>50.77%</u>	<u>100.00%</u>	<u>-</u>	<u>100.00%</u>
50% of Current Expense of Education					\$ 49,156,491	-	\$ 49,790,755

Southwestern Community College District
Reconciliation of Education Protection Account Expenditures
with Audited Financial Statements
For the Year Ended June 30, 2020

Education Protection Account proceeds per the CCFS-311: \$ 7,272,385

	Activity Code (0100-5900)	Salaries & Benefits (1000-3000)	Operating Expenses (4000-5000)	Capital Outlay (6000)	Total
Instructional Activities	\$ -	\$ 7,272,385	\$ -	\$ -	\$ 7,272,385

Southwestern Community College District
Schedule of Expenditures of State Awards
For the Year Ended June 30, 2020

State Agency	Program Name	Cash Received	Accounts Receivable	Unearned Income	Total	Total Program Expenditures
<u>State Department of Education</u>						
Direct Programs:						
	AB104 - Adult Education Consortium Block Grant	\$ 1,095,667	\$ -	\$ 623,598	\$ 472,069	\$ 472,069
	Total direct programs	1,095,667	-	623,598	472,069	472,069
Passed through California Community College Chancellor's Office:						
	Deputy Sector Navigator (DSN)	39,917	80,000	-	119,917	119,917
	Instructional Equipment and Library	1,378,666	-	460,676	917,990	917,990
	Online CTE Pathways Grant	5,306	92,365	-	97,671	97,671
	Total passed through California Community Colleges Chancellor's Office	1,423,889	172,365	460,676	1,135,578	1,135,578
Passed through Umoja Community Education Foundation:						
	Umoja Community Education Foundation Grant	18,650	-	478	18,172	18,172
	Total passed through Umoja Community Education Foundation	18,650	-	478	18,172	18,172
	Total State Department of Education	2,538,206	172,365	1,084,752	1,625,819	1,625,819
<u>California Community Colleges Chancellor's Office:</u>						
Direct Programs:						
	Basic Skills	949,286	-	624,148	325,138	325,138
	EOPS Category A	2,475,209	-	196,149	2,279,060	2,279,060
	EOPS CARE Support	237,433	-	52,779	184,654	184,654
	DSPS Programs and Services	1,899,794	-	14,038	1,885,756	1,885,756
	California Work Opportunity and Responsibility for Kids (Calworks)	469,824	6,707	-	476,531	476,531
	Matriculation Assessment	3,504,455	-	-	3,504,455	3,504,455
	Matriculation Non Credit	71,926	-	51,617	20,309	20,309
	Temporary Cash Assistance for Needy Family (TANF)	33,517	43,268	-	76,785	76,785
	Nursing Education	200,190	-	-	200,190	200,190
	Guided Pathways Project	641,863	-	388,709	253,154	253,154
	Incarcerated Students Reentry Grants	45,454	99,597	-	145,051	145,051
	Food Security-Hunger Free	188,593	-	111,604	76,989	76,989
	Strong Workforce	4,231,459	-	2,244,270	1,987,189	1,987,189
	Staff Diversity	116,565	-	27,253	89,312	89,312
	BFAP Financial Aid Allowance	855,478	-	53,215	802,263	802,263
	Student Equity	2,161,895	-	200,236	1,961,659	1,961,659
	Veteran Resource Center	439,633	-	288,550	151,083	151,083
	Classified Professional Development	71,907	-	60,778	11,129	11,129
	California Promise Program	1,533,689	-	831,444	702,245	702,245
	Mental Health	110,736	-	51,050	59,686	59,686
Passed through Santa Clarita CCD:						
	Innovation & Effectiveness Grant	29,642	-	-	29,642	29,642
Passed through Chabot-Las Positas CCD:						
	Education Futures Grant	30,000	-	-	30,000	30,000
	Total California Community Colleges Chancellor's Office	20,298,548	149,572	5,195,840	15,252,280	15,252,280
<u>California Governor's Office of Business and Economic Development:</u>						
Direct Programs:						
	Go-Biz	1,525,262	301,263	-	1,826,525	1,826,525
	Technical Assistance Expansion Program	1,640,335	188,072	-	1,828,407	1,828,407
	Total California Governor's Office of Business and Economic Development	3,165,597	489,335	-	3,654,932	3,654,932
<u>California Department of Boating and Waterways:</u>						
Direct Programs:						
	Aquatic Center Grant	68,837	-	33,972	34,865	34,865
	Total California Department of Boating and Waterways	68,837	-	33,972	34,865	34,865
Total State Programs		\$ 26,071,188	\$ 811,272	\$ 6,314,564	\$ 20,567,896	\$ 20,567,896

Southwestern Community College District
Budget Comparison Schedule - General Fund
For the Year Ended June 30, 2020

	General Fund - Unrestricted			General Fund-Restricted		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES:						
Federal	\$ 216,600	\$ 132,092	\$ (84,508)	\$ 4,522,323	\$ 6,022,802	\$ 1,500,479
State	67,934,448	68,183,704	249,256	21,218,406	21,611,098	392,692
Local	37,090,794	39,676,597	2,585,803	5,135,519	2,315,297	(2,820,222)
Total revenues	105,241,842	107,992,393	2,750,551	30,876,248	29,949,197	(927,051)
EXPENDITURES:						
Salaries	44,192,931	71,024,626	(26,831,695)	14,396,705	16,418,156	(2,021,451)
Employee benefits	23,118,933	26,755,394	(3,636,461)	4,535,056	5,304,585	(769,529)
Payments to students	175,000	308,646	(133,646)	1,013,163	1,663,330	(650,167)
Supplies, materials, and other expenses	35,364,567	8,143,679	27,220,888	10,867,434	8,109,309	2,758,125
Utilities	2,375,609	2,878,830	(503,221)	63,890	2,078	61,812
Total expenditures	105,227,040	109,111,175	(3,884,135)	30,876,248	31,497,458	(621,210)
REVENUES OVER (UNDER) EXPENDITURES	14,802	(1,118,782)	(1,133,584)	-	(1,548,261)	(1,548,261)
OTHER FINANCING SOURCES (USES):						
Transfers in	-	-	-	-	1,346,587	1,346,587
Transfers out	-	(1,921,587)	(1,921,587)	-	-	-
Total other financing sources (uses)	-	(1,921,587)	(1,921,587)	-	1,346,587	1,346,587
CHANGES IN FUND BALANCES	\$ 14,802	(3,040,369)	\$ (3,055,171)	\$ -	(201,674)	\$ (201,674)
FUND BALANCES:						
Beginning of year		19,885,900			1,028,124	
End of year		\$ 16,845,531			\$ 826,450	

APPENDIX D

FORM OF CONTINUING DISCLOSURE UNDERTAKING

This Continuing Disclosure Undertaking (this “Disclosure Undertaking”) is executed and delivered by Southwestern Community College District (the “District”) as of November 10, 2021 in connection with the execution and delivery of its (i) Election of 2008, General Obligation Bonds, Series 2021F, and (ii) Election of 2016, General Obligation Bonds, Series 2021D (collectively, the “Bonds”). The Bonds are being issued pursuant to a Resolution adopted by the Governing Board of the District on September 14, 2021 (the “Resolution”). Capitalized terms used but not defined herein shall have the meanings ascribed thereto in the Resolution.

In consideration of the execution and delivery of the Bonds by the District and the purchase of such Bonds by the Underwriters described below, the District hereby covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Undertaking. This Disclosure Undertaking is being executed and delivered by the District for the benefit of the Bondholders and in order to assist the Participating Underwriters in complying with Rule 15c2-12(b)(5) (the “Rule”) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended.

SECTION 2. Additional Definitions. In addition to the above definitions and the definitions set forth in the Resolutions, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 4 and 5 of this Disclosure Undertaking.

“Bondholder” or “Holder” means any holder of the Bonds or any beneficial owner of the Bonds so long as they are immobilized with DTC.

“Commission” means the Securities and Exchange Commission.

“Dissemination Agent” shall mean KNN Public Finance or any alternate or successor dissemination agent, designated in writing by the Superintendent/President or the Assistant Superintendent/Vice President for Business and Financial Affairs (or otherwise by the District), which Dissemination Agent has evidenced its acceptance in writing.

“Financial Obligation” as used in this Disclosure Undertaking is defined in the Rule as (i) a debt obligation; (ii) derivative instrument entered into in connection with, or pledged as a security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“Listed Event” means any of the events listed in Section 6 of this Disclosure Undertaking.

“MSRB” shall mean the Municipal Securities Rulemaking Board, through its Electronic Municipal Market Access (“EMMA”) website located at <http://emma.msrb.org>, or any other entity designated or authorized by the Commission.

“Participating Underwriters” shall mean Morgan Stanley & Co. LLC, RBC Capital Markets and Mischler Financial Group, Inc., as the original underwriters of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

SECTION 3. CUSIP Numbers and Final Official Statement. The CUSIP Numbers for the Bonds have been assigned. The Final Official Statement relating to the Bonds is dated October 20, 2021.

SECTION 4. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent (if other than the District), not later than nine months after the end of the District's fiscal year (currently ending June 30), commencing on or prior to March 31, 2022 with the report for the fiscal year ending June 30, 2021, to provide to the MSRB in a format prescribed by the MSRB, an Annual Report that is consistent with the requirements of Section 5 of this Disclosure Undertaking. As of the date of this Certificate, the format prescribed by the MSRB is the Electronic Municipal Market Access system. Information regarding requirement for submissions to EMMA is available at <http://emma.msrb.org>.

The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 5 of this Disclosure Undertaking; provided that the audited financial statements of the District may be submitted, when and if available, separately from the balance of the relevant Annual Report. If the District does not have audited financial statements available when it submits the relevant Annual Report, it shall submit unaudited financial statements, as described in Section 5(a) below.

(b) Not later than 15 Business Days prior to the filing date required in paragraph (a) above for providing the Annual Report to the MSRB, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to the MSRB an Annual Report by the date required in paragraph (a) above, the District shall send a notice to the MSRB in substantially the form attached as Exhibit A.

(c) The Dissemination Agent (if other than the District) shall:

- (i) determine each year prior to the date for providing the Annual Report the format for filing with the MSRB; and
- (ii) file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Undertaking, stating the date it was provided to the MSRB.

SECTION 5. Content of Annual Report. The District's Annual Report shall contain or incorporate by reference the following:

(a) Audited financial statements of the District for the preceding fiscal year, prepared in conformity with generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board and the American Institute of Certified Public Accountants. If audited financial information is not available by the time the Annual Report is required to be filed pursuant to Section 4(a) hereof, the financial information included in the Annual Report may be unaudited, and the District will provide audited financial information to the MSRB as soon as practical after it has been made available to the District.

(b) Operating data, including the following information with respect to the District's preceding fiscal year (to the extent not included in the audited financial statements described in paragraph (a) above):

- (i) State funding received by the District for the last completed fiscal year;

- (ii) Outstanding District indebtedness;
- (iii) Secured *ad valorem* tax delinquencies, if the County is no longer on the Teeter Plan;
- (iv) Full-time equivalent students, or equivalent information, as may be reasonably available;
- (v) Summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting adopted budget for the current fiscal year; and
- (vi) Assessed valuations.

(c) Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the MSRB or to the Commission. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The District shall clearly identify each other document so incorporated by reference.

SECTION 6. Reporting of Designated Listed Events.

(a) The District agrees to provide or cause to be provided to the MSRB notice of the occurrence of any of the following events with respect to the Bonds not later than ten (10) Business Days after the occurrence of the event:

- (i) Principal and interest payment delinquencies;
- (ii) Unscheduled draws on any debt service reserves reflecting financial difficulties;
- (iii) Unscheduled draws on any credit enhancements reflecting financial difficulties;
- (iv) Substitution of credit or liquidity providers, or their failure to perform;
- (v) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
- (vi) Tender offers;
- (vii) Defeasances;
- (viii) Rating changes;
- (ix) Bankruptcy, insolvency, receivership or similar event of the District; or
- (x) Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties.

For purposes of item (ix) above, the described event shall be deemed to occur when any of the following shall occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or

business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or other governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority have supervision or jurisdiction over substantially all of the assets or business of the District.

(b) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, not later than ten (10) business days after the occurrence of the event:

(i) Unless described in paragraph 6(a)(v) hereof, other material notices or determinations with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;

(ii) Modifications to rights of Owners;

(iii) Optional, unscheduled or contingent Bond calls;

(iv) Release, substitution or sale of property securing repayment of the Bonds, if applicable;

(v) Non-payment related defaults;

(vi) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms;

(vii) Appointment of a successor or additional Paying Agent or the change of name of a Paying Agent; or

(viii) Incurrence of a Financial Obligation, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation, any of which affect security holders.

(c) The District shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 4 hereof, as provided in Section 4(b) hereof.

(d) If the District determines that the occurrence of a Listed Event described in Section 6(b) hereof is material under applicable federal security laws, the District shall within ten (10) business days of occurrence file a notice of such occurrence with the MSRB in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in subsections (a)(vii) or (b)(iii) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Resolutions.

SECTION 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Undertaking shall terminate when the District is no longer an obligated person with respect to the Bonds, as provided in the Rule, upon the defeasance, prior redemption or payment in full of all of the Bonds.

SECTION 8. Dissemination Agent. The Superintendent/President or Assistant Superintendent/Vice President for Business and Financial Affairs may, from time to time, appoint or engage an alternate or successor Dissemination Agent to assist in carrying out the District's obligations under this Disclosure Undertaking, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. If at any time there is no other designated Dissemination Agent in place, the District shall act as the Dissemination Agent.

The Dissemination Agent, if other than the District, shall be paid compensation for its services provided hereunder, and reimbursement for its costs and expenses. The Dissemination Agent shall not be responsible for the form or content of any document provided by the District hereunder.

SECTION 9. Amendment. Notwithstanding any other provision of this Disclosure Undertaking, the District may amend this Disclosure Undertaking under the following conditions, provided no amendment to this Disclosure Undertaking shall be made that affects the rights, duties or obligations of the Dissemination Agent without its written consent:

(a) The amendment may be made only in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the obligated person, or type of business conducted;

(b) This Disclosure Undertaking, as amended, would have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment does not materially impair the interests of Holders, as determined either by parties unaffiliated with the District or another obligated person (such as the Bond Counsel) or by the written approval of the Bondholders; provided, that the Annual Report containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

SECTION 10. Additional Information. If the District chooses to include any information from any document or notice of occurrence of a Material Event in addition to that which is specifically required by this Disclosure Undertaking, the District shall have no obligation under this Disclosure Undertaking to update such information or to include it in any future disclosure or notice of occurrence of a Designated Material Event.

Nothing in this Disclosure Undertaking shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Undertaking or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Designated Material Event, in addition to that which is required by this Disclosure Undertaking.

SECTION 11. Default. The District shall give notice to the MSRB of any failure to provide the Annual Report when the same is due hereunder, which notice shall be given prior to July 1 of that year. In the event of a failure of the District to comply with any provision of this Disclosure Undertaking, any Bondholder may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Undertaking. A default under this Disclosure Undertaking shall not be deemed an event of default under the Resolutions, and the sole remedy under this Disclosure Undertaking in the event of any failure of the District to comply with this Disclosure Undertaking shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Undertaking shall inure solely to the benefit of the District, the Dissemination Agent, the Underwriters and Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 13. Record Keeping. The District shall maintain records of all Annual Reports and notices of material Listed Events including the content of such disclosure, the names of the entities with whom the such disclosure were filed and the date of filing such disclosure.

SECTION 14. Governing Law. This Disclosure Undertaking shall be governed by the laws of the State of California, applicable to contracts made and performed in such State of California.

[Remainder of page intentionally left blank.]

IN WITNESS WHEREOF, Southwestern Community College District has executed this Continuing Disclosure Undertaking as of the date first set forth herein.

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By: _____
Assistant Superintendent/Vice President for
Business and Financial Affairs

EXHIBIT A

NOTICE TO REPOSITORIES OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: Southwestern Community College District (San Diego County, California)

Name of Issues: \$73,620,000 Election of 2008, General Obligation Bonds, Series 2021F
\$184,000,000 Election of 2016, General Obligation Bonds, Series 2021D

Date of Issuance: November 10, 2021

NOTICE IS HEREBY GIVEN that the above-named Issuer has not provided an Annual Report with respect to the above-named Bonds as required by Section 4(a) of the Disclosure Undertaking dated as of November 10, 2021. The Issuer anticipates that the Annual Report will be filed by _____.

Dated: _____

[ISSUER/DISSEMINATION AGENT]

By: _____

APPENDIX E

BOOK-ENTRY ONLY SYSTEM

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) Bonds representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedure" of DTC to be followed in dealing with DTC Participants are on file with DTC.

General

The Depository Trust Company ("DTC") will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation, and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has an S&P Global Ratings' rating of "AA+". The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. *The foregoing internet address is included for reference only, and the information on this internet site is not incorporated by reference herein.*

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as

periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District (or the Paying Agent on behalf thereof) as soon as possible after the Record Date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the Record Date (identified in a listing attached to the Omnibus Proxy).

Principal, premium, if any and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, if any, and interest payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, certificates for the Bonds are required to be printed and delivered in such principal amount or amounts, in authorized denominations, and registered in whatever name or names DTC shall designate.

The District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). Discontinuance of use of the system of book-entry transfers through DTC may require the approval of DTC Participants under DTC's operational arrangements. In that event, printed certificates for the Bonds will be printed and delivered in such principal amount or amounts, in authorized denominations, and registered in whatever name or names DTC shall designate.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

Discontinuation of Book-Entry Only System; Payment to Beneficial Owners

In the event that the book-entry system described above is no longer used with respect to the Bonds, the following provisions will govern the payment, transfer and exchange of the Bonds.

The principal of the Bonds and any premium and interest upon the redemption thereof prior to maturity will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the office of the Paying Agent, initially located in Los Angeles, California. Interest on the Bonds will be paid by the Paying Agent by check or draft mailed to the person whose name appears on the registration books of the Paying Agent as the registered owner, and to that person's address appearing on the registration books as of the close of business on the Record Date. At the written request of any registered owner of at least \$1,000,000 in aggregate principal, payments shall be wired to a bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for a Bond of any authorized denomination of like tenor upon presentation and surrender at the office of the Paying Agent, initially located in Los Angeles, California, together with a request for exchange signed by the registered owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred only on the Bond registration books upon presentation and surrender of the Bond at such office of the Paying Agent together with an assignment executed by the registered owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new Bond or Bonds of any authorized denomination or denominations requested by the owner equal in the aggregate to the unmatured principal amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required to exchange or transfer any Bond during the period from the Record Date through the next Interest Payment Date.

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APPENDIX F

THE SAN DIEGO COUNTY INVESTMENT POOL

The following information concerning the Treasury Pool of San Diego County (the "Treasury Pool") has been provided by the Treasurer and has not been confirmed or verified by the District or the Underwriters. No representation is made herein as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date.

County of San Diego County Investment Pool general information and portfolio statistics can be found at <http://www.sdtc.com/content/ttc/en/treasury/financial-reports.html>. The foregoing internet address is included for reference only, and the information on such internet site is not incorporated by reference herein.

In accordance with Government Code Section 53600 et seq., the Treasurer manages funds deposited with it by the District. The County is required to invest such funds in accordance with California Government Code Sections 53635 et seq. In addition, counties are required to establish their own investment policies which may impose limitations beyond those required by the Government Code.

All investments in the Treasurer's investment portfolio conform to the statutory requirements of Government Code Section 53635 et seq., authorities delegated by the County Board of Supervisors and the Treasurer's investment policy.

General

Pursuant to a resolution adopted July 8, 1958, the County Board of Supervisors delegated to the County Treasurer the authority to invest and reinvest funds of the County. Applicable law limits this delegation of authority to a one-year period and must be renewed annually by action of the County Board of Supervisors. In addition to funds of the County funds of certain local agencies within the County, including school districts in the County, are required under state law to be deposited into County Treasury ("Involuntary Depositors"). In addition, certain agencies, such as cities and special districts, invest certain of their funds in the County Treasury on a voluntary basis ("Voluntary Depositors" and together with the Involuntary Depositors, the "Depositors"). Deposits made by the County and the various local agencies are commingled in a pooled investment fund (the "Treasury Pool" or the "Pool"). No particular deposits are segregated for separate investment.

Under State law, Depositors in the Pool are permitted to withdraw funds which they have deposited on 30 days' notice. The County does not expect that the Pool will encounter liquidity shortfalls based on its current portfolio and investment guidelines or realize any losses that may be required to be allocated among all Depositors in the Pool.

The County has established an Oversight Committee pursuant to State law. The members of the Oversight Committee include the County Treasurer, the County Auditor–Controller, the County Superintendent of Schools or designee, a representative from the special districts, a representative from the school districts and community college districts in the County, and members of the public. The role of the Oversight Committee is to review and approve the Investment Policy that is prepared by the County Treasurer.

The Treasury Pool's Portfolio

As of September 30, 2021, the securities in the Treasury Pool had a market value of \$10,672,473,891 and a book value of \$10,634,422,379, for a net unrealized gain of \$38,051,512 of the book value of the Treasury Pool.

The effective duration for the Treasury Pool was 1.49 years as of September 30, 2021. “Duration” is a measure of the price volatility of the portfolio and reflects an estimate of the projected increase or decrease in the value of the portfolio based upon a decrease or increase in interest rates. A duration of 1.49 means that for every one percent increase in interest rates the market value of the portfolio would decrease by 1.49%.

As of September 30, 2021, approximately 12.25% of the total funds in the Pool were deposited by Voluntary Depositors, such as cities and fire districts, 10.32% by community colleges, 29.18% by the County, 1.18% by Non-County and 47.08% by K-12 school districts.

Fitch Ratings maintains ratings of “AAAF” (highest underlying credit quality) and “S1” (very low sensitivity to market risk) on the Pool. The ratings reflect only the view of the rating agency and any explanation of the significance of such ratings may be obtained from such rating agency as follows: Fitch Ratings, Inc., 33 Whitehall Street, New York, New York 10004.

Investments of the Treasury Pool

Authorized Investments: Investments of the Pool are placed in those securities authorized by various sections of the California Government Code, which include obligations of the United States Treasury, Agencies of the United States Government, local and State bond issues, bankers acceptances, commercial paper of prime quality, certificates of deposit (both collateralized and negotiable), repurchase and reverse repurchase agreements, medium term corporate notes, shares of beneficial interest in diversified management companies (mutual funds), asset backed (including mortgage related), pass-through securities, and specific Supranational debt securities

Legislation which would modify the currently authorized investments and place restrictions on the ability of municipalities to invest in various securities is considered from time to time by the California State Legislature. At all times, the Pool’s investments will comply with California Government Code and the County’s Investment Policy (the “Investment Policy”).

The Investment Policy currently states the primary goals of the County Treasurer when investing public funds to be as follows: the primary objective is to safeguard the principal of the funds under the County Treasurer's control, the secondary objective is to meet the liquidity needs of the Pool Participants, and the third objective is to achieve an investment return on the funds under the control of the County Treasurer within the parameters of prudent risk management. The Investment Policy contains a requirement that at least 35% of the Pool should be invested in securities maturing in one year or less, with the remainder of the portfolio being invested in debt securities with maturities spread over more than one year to five years. Furthermore, at least 15% of the securities must mature within 90 days. The maximum effective duration for the Pool shall be 2.0 years.

Certain Information Relating to Pool

The following reflects information with respect to the Pool as of September 30, 2021. As described above, a wide range of investments is authorized by state law. Therefore, there can be no assurances that the investments in the Pool will not vary significantly from the investments described below. In addition, the value of the various investments in the Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Therefore, there can be

no assurance that the values of the various investments in the Pool will not vary significantly from the values described below. In addition, the values specified in the following table were based upon estimates of market values provided to the County by a third party. Accordingly, there can be no assurance that if these securities had been sold on September 30, 2021, the Pool necessarily would have received the values specified.

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COUNTY OF SAN DIEGO INVESTMENT POOL TREASURY INVESTMENT RESULTS

SEP
2021

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Note: The Information provided, including all charts, tables, graphs and numerical representations, are provided to readers solely as a general overview of the economic and market conditions which the Treasurer utilizes in making investment decisions.

SUMMARY PORTFOLIO STATISTICS

County of San Diego Pooled Money Fund As of September 30, 2021

Investment Type	Par Value	Book Value	Market Value	% of Portfolio	Market Price	Days To Maturity	YTM	Accrued Interest	Unrealized Gain/Loss
ABS	429,848,445	430,043,298	431,374,285	4.04%	100.35	1022	1.03%	181,781	1,330,987
Agency	2,962,903,000	2,966,207,111	2,979,950,268	27.94%	100.58	1117	0.97%	6,485,319	13,743,157
Bank Deposit	381,775,883	381,775,883	381,775,883	3.57%	100.00	0	0.10%	-	-
Commercial Paper	1,795,000,000	1,794,362,691	1,794,362,691	16.79%	99.96	91	0.14%	-	-
Corporate	647,526,000	649,141,619	654,428,282	6.15%	101.07	372	1.81%	3,021,810	5,286,664
Local Gov Investment Pool	199,734,528	199,734,528	199,734,528	1.87%	100.00	0	0.05%	-	-
Money Market Fund FI	4,800,000	4,800,000	4,800,000	0.04%	100.00	0	0.02%	-	-
Municipal Bonds	238,855,000	239,899,230	240,779,394	2.26%	100.81	1091	0.92%	742,640	880,164
Negotiable CD	1,830,000,000	1,829,981,208	1,830,204,695	17.13%	100.01	172	0.17%	1,015,203	223,487
Supranationals	1,006,708,000	1,012,449,276	1,024,897,466	9.62%	101.81	1015	1.27%	3,044,928	12,448,190
US Treasury	1,130,000,000	1,126,027,535	1,130,166,399	10.59%	100.01	1245	0.99%	2,156,791	4,138,864
Total for September 2021	10,627,150,856	10,634,422,379	10,672,473,891	100%	100.43	675	0.73%	16,648,472	38,051,512
Total for August 2021	10,610,112,657	10,618,507,888	10,679,810,981	100.00%	100.66	679	0.74%	18,175,919	61,303,093
Change from Prior Month	17,038,199	15,914,492	(7,337,089)		(0.23)	(4)	-0.01%	(1,527,447)	(23,251,581)

Portfolio Effective Duration 1.49

Return Information	Monthly Return	Annualized	Fiscal Year To Date Return	Annualized	Calendar YTD Return	Annualized
Book Value	0.06%	0.74%	0.18%	0.73%	0.58%	0.78%

Notes

Yield to maturity (YTM) is the estimated rate of return on a bond given its purchase price, assuming all coupon payments are made on a timely basis and reinvested at this same rate of return to the maturity date. Weighted Average Maturity (WAM) is average time it takes for securities in a portfolio to mature, weighted in proportion to the dollar amount that is invested in the portfolio.

Yields for the portfolio are aggregated based on the book value of each security.

Monthly Investment Returns are reported gross of fees. Administration fees since fiscal year 17-18 have averaged approximately 7 basis points per annum.

**All Investments held during the month of March 2021 were in compliance with the Investment Policy dated January 1, 2021.

PROJECTED LIQUIDITY

County of San Diego Pooled Money Fund

As of September 30, 2021

(\$000)

	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22	Mar-22
Beginning Pool Book Balance	10,559,414	11,158,896	11,205,821	12,807,472	11,730,254	11,229,139
Inflows						
Investment Inflows	590,000	490,000	405,000	680,000	465,281	298,290
Projected Credits	1,812,340	1,467,563	3,280,663	882,175	922,385	1,402,477
	2,402,340	1,957,563	3,685,663	1,562,175	1,387,666	1,700,767
Outflows						
Investment Purchases	187,500	-	-	-	-	-
Projected Debits	1,212,858	1,420,638	1,679,012	1,959,393	1,423,500	1,309,713
	1,400,358	1,420,638	1,679,012	1,959,393	1,423,500	1,309,713
Net Cash Flows	599,482	46,925	1,601,651	(1,077,218)	(501,115)	92,764
 MONTH END POOL BALANCE	 11,158,896	 11,205,821	 12,807,472	 11,730,254	 11,229,139	 11,321,903
 PROJECTED MONTH END LIQUIDITY	 \$ 1,365,507	 \$ 1,902,432	 \$ 3,909,083	 \$ 3,511,865	 \$ 3,476,031	 \$ 3,867,085

**The projected cash flows indicate sufficient liquidity to meet all scheduled expenditures for the next 6 months.*

Note: The above is not meant to be a complete Cash Flow Statement. The data represents a subset of the main cash flow items and does not include accrued interest or other adjustment items.

PARTICIPANT CASH BALANCES

County of San Diego Pooled Money Fund

As of September 30, 2021

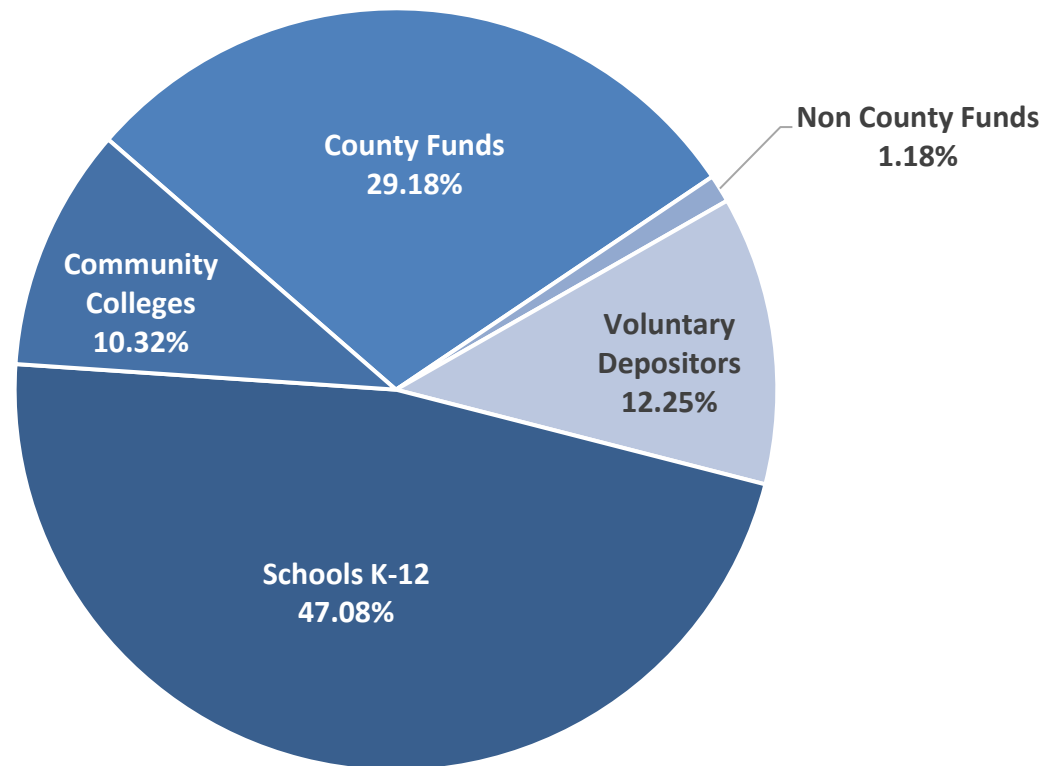
(\$000)

PARTICIPANT	FMV 07/31/21	FMV 08/31/21	FMV 09/30/21	% of Total	PARTICIPANT	FMV 07/31/21	FMV 08/31/21	FMV 09/30/21	% of Total
COUNTY	1,295,240	1,339,955	1,390,669	13.12%	Leucadia Wastewater District	6,022	4,531	4,491	0.04%
COUNTY - SPECIAL TRUST FUNDS	1,985,695	1,766,341	1,701,344	16.05%	Lower Sweetwater FPD	585	471	469	0.00%
NON-COUNTY INVESTMENT FUNDS	137,560	117,815	124,746	1.18%	Metropolitan Transit System	23,961	26,495	43,691	0.41%
SCHOOLS - (K THRU 12)	5,074,989	5,171,676	4,989,248	47.08%	Mission Resource Conservation District	105	105	104	0.00%
					North County Transit District	43,291	43,386	43,000	0.41%
COMMUNITY COLLEGES					North County Cemetery District	8,209	8,036	8,055	0.08%
San Diego	186,823	118,877	160,937	1.53%	North County Dispatch	5,148	4,608	6,269	0.06%
Grossmont-Cuyamaca	257,588	239,176	240,787	2.27%	North County FPD	3,827	2,786	3,757	0.04%
MiraCosta	344,814	314,887	299,566	2.83%	Otay Water District	56,494	56,619	56,114	0.53%
Palomar	247,318	229,386	228,548	2.16%	Palomar Health Care District*	0	0	0	0.00%
Southwestern	182,794	164,634	163,891	1.55%	Pomerado Cemetery District	2,135	2,049	1,996	0.02%
Total Community Colleges	1,219,337	1,066,960	1,093,729	10.32%	Public Agencies Self-Insurance System	3,513	3,521	3,490	0.03%
					Ramona Cemetery District	969	1,161	1,139	0.01%
FIRST 5 COMMISSION	46,457	41,602	39,645	0.37%	Rancho Santa Fe FPD	10,106	8,732	7,418	0.07%
SANCAL	0	0	0	0.00%	Resource Conservation District of Greater SD*	0	0	0	0.00%
SDCERA	2,157	2,292	2,141	0.02%	Rincon del Diablo Municipal Water District	6,858	6,874	6,812	0.06%
					SANDAG	229,264	228,879	219,198	2.07%
CITIES					SD County Regional Airport Authority	256,590	258,896	338,046	3.19%
Chula Vista	201,931	202,376	200,574	1.89%	San Diego Housing Commission	22,237	22,287	22,088	0.21%
Coronado	74,514	74,681	74,016	0.70%	San Diego Geographic Information Source	660	618	521	0.00%
Del Mar	2,783	2,789	2,764	0.03%	San Diego Law Library	4,279	5,735	5,635	0.05%
El Cajon	0	0	0	0.00%	San Diego Local Agency Formation Comm	2,129	2,673	2,612	0.02%
Encinitas	4,220	4,229	4,191	0.04%	San Diego Regional Training Center	553	991	683	0.01%
National City	36,504	36,586	36,260	0.34%	San Dieguito River Park	618	1,118	1,117	0.01%
Oceanside*	0	0	0	0.00%	San Marcos FPD	1	1	1	0.00%
Solana Beach*	0	0	0	0.00%	San Miguel Consolidated FPD	14,776	13,063	15,980	0.15%
					Santa Fe Irrigation District	4,527	4,537	4,497	0.04%
INDEPENDENT AGENCIES					Serra Cooperative Library System	0	0	0	0.00%
Air Pollution Control District	81,003	80,010	79,681	0.75%	Upper San Luis Rey Resource Conserv Dist	80	80	80	0.00%
Alpine FPD	2,373	1,651	1,268	0.01%	Vallecitos Water District	5,561	5,573	5,524	0.05%
Bonita-Sunnyside FPD	5,513	5,158	4,638	0.04%	Valley Center FPD	1,557	1,363	1,109	0.01%
Borrego Springs FPD	1,264	1,181	999	0.01%	Valley Center Cemetery District	431	432	428	0.00%
Canebrake County Water District	55	55	54	0.00%	Valley Center Water District	22,541	22,612	22,368	0.21%
Deer Springs FPD	13,052	13,034	12,922	0.12%	Vista FPD	4,988	4,999	4,955	0.05%
Fallbrook Public Utility District	0	0	0	0.00%	Whispering Palms Community Services District*	0	0	0	0.00%
Grossmont Healthcare District	2	2	2	0.00%	Total Voluntary Participants	1,222,538	1,217,065	1,297,730	12.25%
Julian-Cuyamaca FPD	521	522	517	0.00%					
Lake Cuyamaca Rec & Park District	386	321	313	0.00%					
Lakeside FPD	7,790	7,344	6,097	0.06%					
					Pooled Money Fund Total	\$10,935,360	\$10,679,811	\$10,597,467	100.00%

* **Footnote:** The Oracle ending balances for these pool participants are under \$500. Due to rounding, the FMV will show as zero even though there is an Oracle balance.

INVESTMENT FUND PARTICIPANTS

County of San Diego Pooled Money Fund
As of September 30, 2021

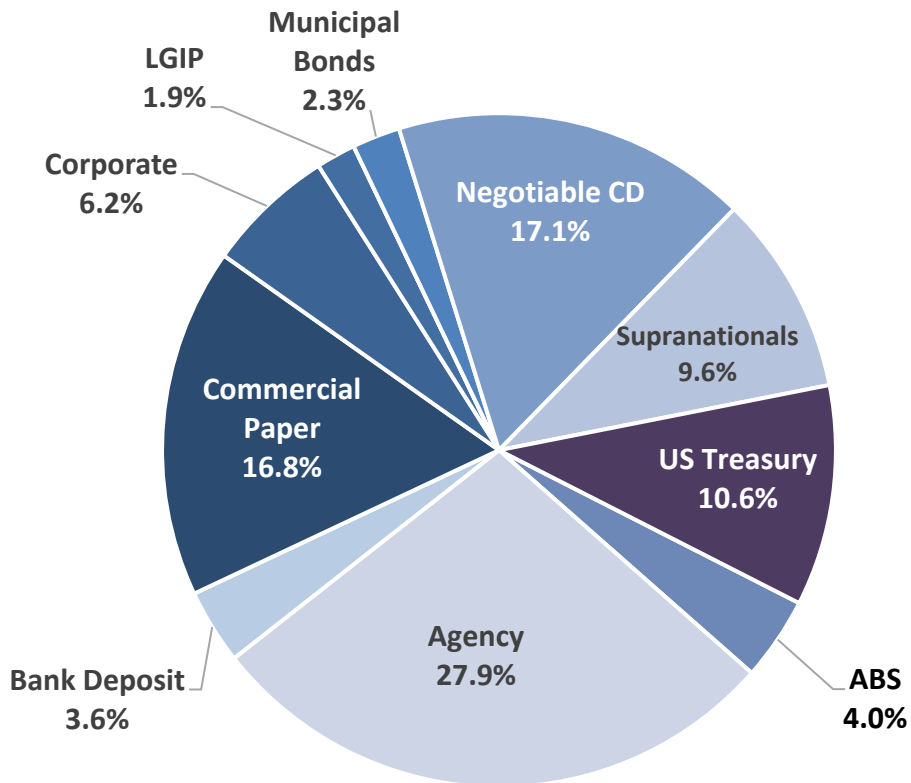


*Totals may not add to 100% due to rounding

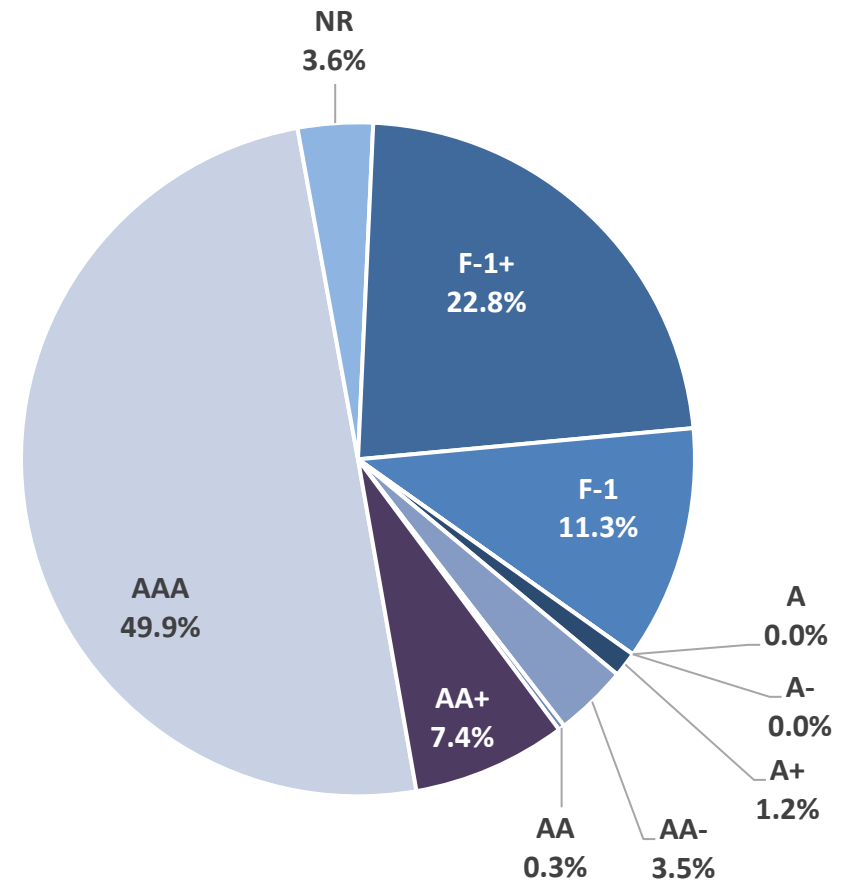
INVESTMENT FUND OVERVIEW

County of San Diego Pooled Money Fund As of September 30, 2021

ASSET ALLOCATION



CREDIT QUALITY**



Note: Totals in both charts may not add to 100% due to rounding.

**If a security is not rated by Fitch, the report uses the lowest rating provided by either Moody's or Standard and Poor's using the Fitch scale.



APPENDIX



INVESTMENT POLICY COMPLIANCE REPORT

County of San Diego Pooled Money Fund As of September 30, 2021

Category	Standard	Comment
U.S. Treasury Issues	No limitations; Issued at the Federal level; Obligations are bills, notes, and bonds issued by the Treasury and are direct obligations of the Federal Government	Complies
Federal Agencies	35% max per Agency issuer; Issued at the Federal level; Agency obligations are notes and bonds of the federal agencies and government sponsored enterprise, including: FNMA, FHLB, FFCB, FHLMC, GNMA, TVA	Complies
Supranational Obligations	30% max; 10% max per issuer; "AA" rated or higher by at least one NRSRO; USD denominated senior unsecured unsubordinated obligations; Issued or unconditionally guaranteed by IBRD, IFC, or IADB	Complies
Municipal Securities (Local Agency & State Obligations)	30% max; 10% max per issuer; Minimum Credit Requirements: a) For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; b) For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO	Complies
Corporate Medium Term Notes	30% max; 10% max per issuer (inclusive of any other non-MTN investments with said issuer); Minimum Credit Requirements: a) For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; b) For securities with maturities greater than 13 months, the ratings must be "A" or higher by at least one NRSRO	Complies
Pass-Through Securities	20% max; 10% max per issuer; "AA" rated or higher by at least one NRSRO; Limited to equipment lease-backed certificates, consumer receivable pass-through certificates, or consumer receivable-backed bonds	Complies
Negotiable Certificates of Deposit (NCD)	30% max; 10% max per issuer (inclusive of any other non-NCD investments with said issuer); Minimum Credit Requirements: a) For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; b) For securities with maturities greater than 13 months, the ratings must be "A" or higher by at least one NRSRO; 5 years max maturity of an NCD Security; 13 months max maturity of any FDIC insured CDs	Complies
FDIC & NCUA Insured Deposits	5% max; 5 max per issuer; 13 months max maturity; There is no minimum credit requirement of FDIC or NCUA insured deposit accounts whether directly placed or placed through a private sector entity; The full amount of deposit and the interest that may accrue on each deposit shall at all times be insured by the FDIC or NCUA	Complies
Collateralized Certificates of Deposit	5% max; 5 max per issuer; 13 months max maturity; Deposit may not exceed the total of the paid-in capital and surplus of a depository; The depository must maintain securities with a market value of at least 10% in excess of the total amount of the Fund's deposits; The County Treasurer may waive the first \$250,000 of collateral for each depository, so long as the amount is insured by an agency of the Federal Government; Institutions at or above the highest short-term rating category by at least one NRSRO may pledge mortgage-based collateral for County deposits	Complies
Banker's Acceptances	40% max; 5% max per issuer; 180 days max maturity; Highest short-term rating category by at least one NRSRO	Complies
Commercial Paper	40% max; 10% max per issuer (inclusive of any other non-CP investments with said issuer); 270 days max maturity; Highest short-term rating category by at least one NRSRO	Complies
Money Market Mutual Funds	20% max; 10% max per fund; Highest rating category by at least two NRSROs; or Retained an investment adviser registered or exempt from SEC registration with > 5 years experience managing money market mutual funds with AUM >\$500 million; The purchase price of the mutual fund shall not include any commission	Complies
Local Government Investment Pool (LGIP)	5% max; Highest rating category by at least one NRSRO; Investments consist of (i) shares of beneficial interest issued by a joint powers authority (JPA) or (ii) the Local Agency investment Fund (LAIF); Invest in LGIPs that comply with California Government Code and all relevant sections of the Investment Policy and are managed to maintain a stable NAV.	Complies
Repurchase Agreements	40% max; 10% max exposure per broker-dealer when the dollar-weighted average maturity is >5 days or 15% of the fund when the dollar-weighted average maturity is 5 days or less; 1 year max maturity; Collateral eligible for repurchase agreements maturing from 7 days to 1 year shall be Treasury and Agency Obligations	Complies
Reverse Repurchase Agreements	20% max; 10% max per broker/dealer; 92 days max maturity if a securities lending loan, unless the agreement includes a written guarantee of a minimum earning or spread for the entire period of the RFP	Complies
Securities Lending	20% max exposed to securities lending and/or Reverse Repurchase Agreements; 10% max per loan with a single counterparty at any one time; 92 days max maturity; Loans must be secured by cash collateral or securities and maintained at a value of at least equal to 102% of the market value of the securities loan	Complies
Covered Call Option/Put Option	10% max; 90 days max maturity	Complies
Prohibited	Inverse floaters; Ranges notes; Interest-only strips from pool of mortgages; Any security that could result in zero interest accrual	Complies
Credit Rating Policy	For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; For securities with maturities greater than 13 months, the ratings must be "A" or higher by at least one NRSRO	Complies
Duration	2 years maximum effective duration	Complies
Maturity	5 years maximum maturity with shorter limitations specified for certain types of securities; At least 35% of the Fund maturing within 1 year; At least 15% of the Fund maturing within 90 days	Complies

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
ABS									
43815HAC1	Honda Auto Receivables Trust 2018-3 A3 2.950% Due 08/22/2022	996,699.19	05/03/2019 2.53%	1,003,785.10 998,607.16	100.22 0.22%	998,937.71 816.74	0.01% 330.55	Aaa / NR AAA	0.89 0.08
65479CAB4	Nissan Auto Receivables Owner 2020-B A2A 0.470% Due 10/17/2022	1,786,280.00	06/30/2020 0.47%	1,786,226.77 1,786,275.24	100.02 0.11%	1,786,562.23 373.13	0.02% 286.99	Aaa / AAA NR	1.05 0.04
43813RAB3	Honda Auto Receivables 2020-1 A2 1.630% Due 10/21/2022	985,423.04	02/26/2020 1.64%	985,323.22 985,419.73	100.09 0.10%	986,355.25 446.18	0.01% 935.52	Aaa / NR AAA	1.06 0.06
89232HAB1	Toyota Auto Receivable Own 2020-A A2 1.670% Due 11/15/2022	1,814,118.34	02/12/2020 1.68%	1,814,096.02 1,814,117.83	100.06 0.14%	1,815,277.56 1,346.48	0.02% 1,159.73	Aaa / AAA NR	1.13 0.04
43813DAB4	Honda Auto Receivables 2020-2 A2 0.740% Due 11/15/2022	766,961.51	05/27/2020 0.75%	766,904.15 766,953.92	100.05 0.23%	767,321.98 252.25	0.01% 368.06	Aaa / AAA NR	1.13 0.09
89231AAD3	Toyota Auto Receivables Trust 2018-C A3 3.020% Due 12/15/2022	8,058,531.03	Various 2.45%	8,161,031.36 8,094,263.36	100.45 0.05%	8,095,036.10 10,816.34	0.08% 772.74	Aaa / AAA NR	1.21 0.15
34533GAB5	Ford Credit Auto Owner Trust 2020-B A2 0.500% Due 02/15/2023	3,577,574.72	06/19/2020 0.51%	3,577,417.30 3,577,560.94	100.04 0.08%	3,578,934.20 795.02	0.03% 1,373.26	NR / AAA AAA	1.38 0.09
43813KAB8	Honda Auto Receivables Trust 2020-3 A2 0.270% Due 02/21/2023	8,043,255.70	09/29/2020 0.28%	8,042,706.35 8,043,062.55	100.02 0.20%	8,044,687.40 784.22	0.08% 1,624.85	NR / AAA AAA	1.39 0.27
09661RAB7	BMW Vehicle Owner Trust 2020-A A2 0.390% Due 02/27/2023	971,639.56	07/15/2020 0.40%	971,570.57 971,631.94	100.03 0.13%	971,887.33 63.16	0.01% 255.39	NR / AAA AAA	1.41 0.10
89231PAD0	Toyota Auto Receivables Trust 2018-D A3 3.180% Due 03/15/2023	4,076,215.50	11/07/2018 3.21%	4,075,333.82 4,075,921.42	100.67 0.30%	4,103,358.98 5,761.05	0.04% 27,437.56	Aaa / AAA NR	1.45 0.23
44933FAB2	Hyundai Auto Receivables Trust 2020-B A2 0.380% Due 03/15/2023	1,700,041.72	07/22/2020 0.39%	1,699,877.15 1,700,002.37	100.04 0.14%	1,700,655.44 287.12	0.02% 653.07	NR / AAA AAA	1.45 0.15
47787NAB5	John Deere Owner Trust 2020-B A2 0.410% Due 03/15/2023	736,324.23	07/22/2020 0.42%	736,288.38 736,318.97	100.04 0.17%	736,594.46 134.17	0.01% 275.49	Aaa / NR AAA	1.45 0.15
43814WAC9	Honda Auto Receivables Trust 2019-1 A3 2.830% Due 03/20/2023	3,610,630.04	02/27/2019 2.85%	3,610,533.28 3,610,595.11	100.85 0.24%	3,641,392.61 3,689.86	0.03% 30,797.50	NR / AAA AAA	1.47 0.33
65478NAD7	Nissan Auto Receivables Trust 2018-C A3 3.220% Due 06/15/2023	2,855,144.88	12/06/2019 2.18%	2,915,036.00 2,884,089.93	100.83 0.18%	2,878,882.55 4,086.03	0.03% (5,207.38)	Aaa / AAA NR	1.71 0.27
43815MAC0	Honda Auto Receivables Trust 2019-2 A3 2.520% Due 06/21/2023	14,633,316.76	05/29/2019 2.54%	14,632,770.93 14,633,085.78	101.01 0.20%	14,781,801.03 10,243.32	0.14% 148,715.25	Aaa / NR AAA	1.72 0.44
89239AAD5	Toyota Auto Receivables Trust 2019-A A3 2.910% Due 07/17/2023	8,318,664.61	02/13/2019 2.94%	8,317,148.94 8,318,050.83	101.01 0.28%	8,402,774.88 10,758.81	0.08% 84,724.05	Aaa / AAA NR	1.79 0.38
43815NAC8	Honda Auto Receivables Trust 2019-3 A3 1.780% Due 08/15/2023	17,110,739.89	08/27/2019 1.79%	17,110,597.87 17,110,695.44	100.75 0.23%	17,238,317.57 13,536.50	0.16% 127,622.13	Aaa / AAA NR	1.87 0.48

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
65479HAC1	Nissan Auto Receivables Trust 2019-B A3 2.500% Due 11/15/2023	15,312,195.52	05/28/2019 2.53%	15,308,733.44 15,310,551.46	100.97 0.30%	15,460,984.12 17,013.55	0.14% 150,432.66	Aaa / NR AAA	2.13 0.44
36260KAB0	GM Financial Securitized Auto 2020-4 A2 0.260% Due 11/16/2023	3,952,991.91	10/14/2020 0.27%	3,952,703.35 3,952,869.86	100.02 0.17%	3,953,920.86 428.24	0.04% 1,051.00	NR / AAA AAA	2.13 0.27
47788UAB8	John Deere Owner Trust 2021-A A2 0.200% Due 12/15/2023	9,000,000.00	03/10/2021 0.21%	8,998,987.50 8,999,325.00	100.01 0.18%	9,000,936.00 800.00	0.08% 1,611.00	Aaa / NR AAA	2.21 0.50
89233MAD5	Toyota Auto Receivables Owners 2019-D A3 1.920% Due 01/16/2024	11,818,043.85	11/13/2019 1.93%	11,817,190.58 11,817,711.01	100.94 0.24%	11,929,594.37 10,084.73	0.11% 111,883.36	Aaa / AAA NR	2.30 0.56
43813VAC2	Honda Auto Receivables 2019-4 A3 1.830% Due 01/18/2024	19,423,458.08	11/26/2019 1.84%	19,419,996.82 19,422,030.20	100.90 0.36%	19,597,298.03 12,835.67	0.18% 175,267.83	NR / AAA AAA	2.30 0.61
05588CAC6	BMW Vehicle Owner Trust 2019-A A3 1.920% Due 01/25/2024	5,966,694.02	09/18/2019 1.93%	5,965,892.10 5,966,267.34	100.81 0.15%	6,015,179.38 1,909.34	0.06% 48,912.04	NR / AAA AAA	2.32 0.46
44891JAC2	Hyundai Auto Receivables Trust 2019-B A3 1.940% Due 02/15/2024	6,049,666.93	11/06/2019 1.95%	6,049,388.05 6,049,568.52	100.84 0.22%	6,100,308.69 5,216.16	0.06% 50,740.17	NR / AAA AAA	2.38 0.48
44933LAB9	Hyundai Auto Receivables Trust 2021-A A2 0.230% Due 02/15/2024	12,000,000.00	04/28/2021 0.24%	11,998,800.00 11,999,130.74	100.00 0.22%	12,000,528.00 1,226.67	0.11% 1,397.26	NR / AAA AAA	2.38 0.57
36257PAD0	GM Financial Securitized Auto 2019-3 A3 2.180% Due 04/16/2024	15,571,753.05	07/10/2020 0.25%	15,948,273.17 15,728,350.08	100.95 0.13%	15,719,108.55 14,144.34	0.15% (9,241.53)	NR / AAA AAA	2.55 0.46
43813RAC1	Honda Auto Receivables 2020-1 A3 1.610% Due 04/22/2024	16,500,000.00	02/26/2020 1.62%	16,496,766.00 16,498,008.86	101.05 0.23%	16,674,009.00 7,379.17	0.16% 176,000.14	Aaa / NR AAA	2.56 0.76
44934KAB0	Hyundai Auto Receivables Trust 2021-B A2 0.240% Due 05/15/2024	38,000,000.00	07/20/2021 0.25%	37,996,553.40 37,996,948.51	100.04 0.19%	38,015,960.00 4,053.33	0.36% 19,011.49	NR / AAA AAA	2.62 0.86
89239BAB7	Toyota Auto Receivables Trust 2021-C A2 0.200% Due 05/15/2024	22,500,000.00	09/27/2021 0.21%	22,498,299.00 22,498,306.08	99.97 0.22%	22,493,025.00 500.00	0.21% (5,281.08)	Aaa / AAA NR	2.62 1.33
47789QAB6	John Deere Owner Trust 2021-B A2 0.250% Due 06/17/2024	13,000,000.00	07/13/2021 0.25%	12,999,706.20 12,999,738.11	99.97 0.28%	12,996,659.00 1,444.44	0.12% (3,079.11)	Aaa / NR AAA	2.72 1.02
65479JAD5	Nissan Auto Receivables Owner 2019-C A3 1.930% Due 07/15/2024	9,963,987.94	10/23/2019 1.94%	9,963,461.84 9,963,677.82	101.00 0.22%	10,063,528.18 8,546.89	0.09% 99,850.36	Aaa / AAA NR	2.79 0.58
47789KAC7	John Deere Owner Trust 2020-A A3 1.100% Due 08/15/2024	12,000,000.00	03/11/2020 1.11%	11,999,266.80 11,999,524.64	100.69 0.22%	12,083,004.00 5,866.67	0.11% 83,479.36	Aaa / NR AAA	2.88 0.78
36258NAC6	GM Financial Securitized Auto 2020-1 A3 1.840% Due 09/16/2024	10,461,212.43	01/15/2020 1.86%	10,458,748.82 10,460,193.24	100.88 0.35%	10,552,831.73 8,020.26	0.10% 92,638.49	Aaa / AAA NR	2.96 0.59
41284UAD6	Harley-Davidson Motorcycle Tr 2020-A A3 1.870% Due 10/15/2024	4,786,880.59	01/29/2020 1.89%	4,785,836.58 4,786,207.23	100.85 0.28%	4,827,770.12 3,978.43	0.05% 41,562.89	Aaa / AAA NR	3.04 0.54
89236XAC0	Toyota Auto Receivables 2020-D A3 0.350% Due 01/15/2025	7,000,000.00	10/13/2020 0.36%	6,998,695.90 6,998,991.94	100.08 0.28%	7,005,264.00 1,088.89	0.07% 6,272.06	NR / AAA AAA	3.30 1.05

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43813GAC5	Honda Auto Receivables Trust 2021-1 A3 0.270% Due 04/21/2025	13,250,000.00	02/24/2021 0.27%	13,249,757.53 13,249,804.90	99.95 0.31%	13,243,666.50 993.75	0.12% (6,138.40)	Aaa / NR AAA	3.56 1.32
34532NAC9	Ford Credit Auto Owners Trust 2021-A A3 0.300% Due 08/15/2025	22,500,000.00	02/17/2021 0.30%	22,498,103.25 22,498,468.39	99.83 0.41%	22,462,020.00 3,000.00	0.21% (36,448.39)	Aaa / AAA NR	3.88 1.57
36260KAC8	GM Financial Securitized Auto 2020-4 A3 0.380% Due 08/18/2025	7,250,000.00	10/14/2020 0.39%	7,248,450.68 7,248,887.32	100.06 0.33%	7,254,582.00 1,147.92	0.07% 5,694.68	NR / AAA AAA	3.88 1.22
47788UAC6	John Deere Owner Trust 2021-A A3 0.360% Due 09/15/2025	4,000,000.00	03/10/2021 0.37%	3,999,231.20 3,999,351.05	99.91 0.41%	3,996,584.00 640.00	0.04% (2,767.05)	Aaa / NR AAA	3.96 1.78
44933LAC7	Hyundai Auto Receivables Trust 2021-A A3 0.380% Due 09/15/2025	11,000,000.00	04/28/2021 0.38%	10,998,842.80 10,999,005.00	99.96 0.40%	10,995,523.11 1,857.78	0.10% (3,481.89)	NR / AAA AAA	3.96 1.75
43815EAC8	Honda Auto Receivables Trust 2021-3 A3 0.410% Due 11/18/2025	10,500,000.00	08/25/2021 0.41%	10,499,846.70 10,499,851.50	99.89 0.47%	10,488,450.00 1,554.58	0.10% (11,401.50)	NR / AAA AAA	4.14 2.01
89239BAC5	Toyota Auto Receivables Trust 2021-C A3 0.430% Due 01/15/2026	24,000,000.00	09/27/2021 0.43%	23,998,087.20 23,998,093.88	99.86 0.49%	23,965,200.00 1,146.67	0.22% (32,893.88)	Aaa / AAA NR	4.30 2.28
47789QAC4	John Deere Owner Trust 2021-B A3 0.520% Due 03/16/2026	7,000,000.00	07/13/2021 0.52%	6,999,375.60 6,999,409.33	99.93 0.55%	6,995,303.00 1,617.78	0.07% (4,106.33)	Aaa / NR AAA	4.46 2.41
254683CP8	Discover Card Execution Trust 2021-A1 A1 0.580% Due 09/15/2026	17,000,000.00	09/27/2021 0.59%	16,996,360.30 16,996,373.73	99.73 0.67%	16,954,270.00 1,095.56	0.16% (42,103.73)	Aaa / AAA NR	4.96 2.92
TOTAL ABS		429,848,445.04	1.03%	430,352,002.02 430,043,298.26	0.29%	431,374,284.92 181,781.20	4.04% 1,330,986.66	Aaa / AAA Aaa	2.80 0.99
Agency									
3135G0Q89	FNMA Note 1.375% Due 10/07/2021	35,000,000.00	11/08/2016 1.44%	34,885,550.00 34,999,617.22	100.02 0.23%	35,007,805.00 232,604.17	0.33% 8,187.78	Aaa / AA+ AAA	0.02 0.02
313378CR0	FHLB Note 2.250% Due 03/11/2022	25,000,000.00	03/27/2017 2.02%	25,267,500.00 25,023,794.20	100.96 0.10%	25,240,050.00 31,250.00	0.24% 216,255.80	Aaa / AA+ NR	0.44 0.45
313378WG2	FHLB Note 2.500% Due 03/11/2022	18,290,000.00	04/05/2019 2.34%	18,370,110.20 18,302,042.71	101.09 0.06%	18,489,635.35 25,402.78	0.17% 187,592.64	Aaa / AA+ NR	0.44 0.45
3135G0V59	FNMA Note 2.250% Due 04/12/2022	50,000,000.00	04/12/2019 2.36%	49,836,000.00 49,971,120.44	101.14 0.11%	50,571,250.00 528,125.00	0.48% 600,129.56	Aaa / AA+ AAA	0.53 0.53
3133EKZY5	FFCB Note 1.550% Due 06/01/2022	54,425,000.00	09/26/2019 1.61%	54,345,079.70 54,405,162.79	100.99 0.07%	54,963,916.35 281,195.84	0.52% 558,753.56	Aaa / AA+ AAA	0.67 0.67
3130A5P45	FHLB Note 2.375% Due 06/10/2022	10,000,000.00	04/08/2019 2.34%	10,009,900.00 10,002,152.55	101.58 0.10%	10,157,770.00 73,229.17	0.10% 155,617.45	Aaa / AA+ AAA	0.69 0.69
3133ELDK7	FFCB Note 1.630% Due 06/15/2022	40,000,000.00	12/16/2019 1.63%	39,998,000.00 39,999,436.40	101.11 0.07%	40,442,280.00 191,977.78	0.38% 442,843.60	Aaa / AA+ AAA	0.71 0.70

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313380GJ0	FHLB Note 2.000% Due 09/09/2022	25,000,000.00	10/24/2019 1.62%	25,262,375.00 25,085,627.62	101.79 0.10%	25,447,700.00 30,555.56	0.24% 362,072.38	Aaa / AA+ NR	0.94 0.94
3133EKY91	FFCB Note 1.375% Due 10/11/2022	10,000,000.00	10/11/2019 1.41%	9,988,700.00 9,996,133.67	101.31 0.10%	10,130,970.00 64,930.56	0.10% 134,836.33	Aaa / AA+ AAA	1.03 1.02
3133EKUA2	FFCB Note 1.850% Due 02/01/2023	70,000,000.00	Various 1.84%	70,015,800.00 70,005,892.01	102.23 0.18%	71,561,560.00 215,833.34	0.67% 1,555,667.99	Aaa / AA+ AAA	1.34 1.32
3130ADRG9	FHLB Note 2.750% Due 03/10/2023	39,195,000.00	04/04/2019 2.33%	39,808,401.75 39,419,259.00	103.69 0.19%	40,642,001.01 62,875.32	0.38% 1,222,742.01	Aaa / AA+ NR	1.44 1.42
3133834G3	FHLB Note 2.125% Due 06/09/2023	48,500,000.00	06/28/2019 1.83%	49,049,505.00 48,734,740.00	103.16 0.25%	50,030,708.50 320,638.89	0.47% 1,295,968.50	Aaa / AA+ NR	1.69 1.66
3133EEW71	FFCB Note 2.520% Due 06/15/2023	11,008,000.00	07/03/2019 1.82%	11,300,702.72 11,134,168.46	103.84 0.26%	11,431,213.57 81,679.36	0.11% 297,045.11	Aaa / AA+ AAA	1.71 1.67
3133EKS7	FFCB Note 1.770% Due 06/26/2023	35,675,000.00	Various 1.82%	35,608,544.50 35,646,190.31	102.60 0.27%	36,603,513.23 166,631.98	0.34% 957,322.92	Aaa / AA+ AAA	1.74 1.71
3137EAES4	FHLMC Note 0.250% Due 06/26/2023	100,000,000.00	08/27/2020 0.28%	99,910,500.00 99,945,156.34	100.03 0.24%	100,025,200.00 65,972.22	0.94% 80,043.66	Aaa / AA+ AAA	1.74 1.73
3137EAEV7	FHLMC Note 0.250% Due 08/24/2023	90,000,000.00	Various 0.28%	89,909,200.00 89,942,601.36	99.96 0.27%	89,960,670.00 23,125.00	0.84% 18,068.64	Aaa / AA+ AAA	1.90 1.89
3137EAEW5	FHLMC Note 0.250% Due 09/08/2023	65,000,000.00	09/04/2020 0.26%	64,978,550.00 64,986,200.96	99.92 0.29%	64,949,430.00 10,381.94	0.61% (36,770.96)	Aaa / AA+ AAA	1.94 1.93
3135G0U43	FNMA Note 2.875% Due 09/12/2023	35,000,000.00	Various 2.00%	36,232,250.00 35,566,042.88	105.07 0.27%	36,773,415.00 53,107.64	0.34% 1,207,372.12	Aaa / AA+ AAA	1.95 1.91
3133EMB50	FFCB Note 0.200% Due 10/02/2023	25,000,000.00	10/02/2020 0.24%	24,968,750.00 24,979,138.13	99.87 0.26%	24,968,300.00 24,861.11	0.23% (10,838.13)	Aaa / AA+ AAA	2.01 2.00
3133EKUB0	FFCB Note 1.880% Due 11/01/2023	50,000,000.00	07/03/2019 1.88%	50,006,500.00 50,003,126.74	103.18 0.35%	51,588,350.00 391,666.67	0.49% 1,585,223.26	Aaa / AA+ AAA	2.09 2.04
3134GXCA0	FNMA Callable Note Qtrly 11/24/2021 0.320% Due 11/24/2023	25,000,000.00	11/25/2020 0.33%	24,990,000.00 24,992,833.64	99.95 0.34%	24,987,650.00 28,222.22	0.23% (5,183.64)	Aaa / NR AAA	2.15 0.97
3135G06H1	FNMA Note 0.250% Due 11/27/2023	25,000,000.00	11/25/2020 0.29%	24,971,500.00 24,979,553.78	99.88 0.31%	24,969,175.00 21,527.78	0.23% (10,378.78)	Aaa / AA+ AAA	2.16 2.15
3137EAFA2	FHLMC Note 0.250% Due 12/04/2023	25,000,000.00	12/02/2020 0.28%	24,975,250.00 24,982,053.42	99.78 0.35%	24,944,975.00 20,312.50	0.23% (37,078.42)	Aaa / AA+ AAA	2.18 2.17
3130AFW94	FHLB Note 2.500% Due 02/13/2024	15,000,000.00	02/15/2019 2.58%	14,946,900.00 14,974,818.26	105.05 0.36%	15,758,115.00 50,000.00	0.15% 783,296.74	Aaa / AA+ AAA	2.37 2.31
3133EKM71	FFCB Note 2.230% Due 02/23/2024	50,000,000.00	07/08/2019 1.94%	50,629,500.00 50,325,731.82	104.28 0.43%	52,139,950.00 117,694.44	0.49% 1,814,218.18	Aaa / AA+ AAA	2.40 2.34

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3136G4G80	FNMA Callable Note Qtrly 8/26/2022 0.375% Due 02/26/2024	15,455,000.00	08/27/2020 0.38%	15,455,000.00 15,455,000.00	100.09 0.27%	15,469,373.15 5,634.64	0.14% 14,373.15	Aaa / AA+ AAA	2.41 1.42
3134GWE44	FHLMC Callable Note Qtrly 9/8/2022 0.375% Due 03/08/2024	50,000,000.00	09/08/2020 0.38%	50,000,000.00 50,000,000.00	99.87 0.43%	49,934,400.00 11,979.17	0.47% (65,600.00)	Aaa / NR AAA	2.44 1.32
3133EKU3	FFCB Note 1.950% Due 06/13/2024	120,350,000.00	Various 1.89%	120,672,926.30 120,525,734.34	103.87 0.50%	125,012,840.40 704,047.50	1.18% 4,487,106.06	Aaa / AA+ AAA	2.70 2.63
3136G4H22	FNMA Callable Note Annual 8/12/2022 0.410% Due 08/12/2024	50,000,000.00	08/12/2020 0.42%	49,975,000.00 49,982,101.30	99.93 0.44%	49,963,350.00 27,902.78	0.47% (18,751.30)	Aaa / AA+ AAA	2.87 1.87
3133EL5S9	FFCB Callable Note Cont 9/3/2021 0.480% Due 09/03/2024	25,000,000.00	09/03/2020 0.48%	25,000,000.00 25,000,000.00	99.95 0.50%	24,986,375.00 9,333.33	0.23% (13,625.00)	Aaa / AA+ AAA	2.93 1.19
3130A2UW4	FHLB Note 2.875% Due 09/13/2024	66,555,000.00	Various 1.70%	70,171,868.25 68,752,903.04	106.89 0.52%	71,138,176.97 95,672.81	0.67% 2,385,273.93	Aaa / AA+ AAA	2.96 2.85
3133EKP75	FFCB Note 1.600% Due 09/17/2024	25,000,000.00	09/17/2019 1.68%	24,906,620.00 24,944,697.78	103.06 0.56%	25,764,300.00 15,555.55	0.24% 819,602.22	Aaa / AA+ AAA	2.97 2.90
3134GWVM5	FHLMC Callable Note 1X 9/30/2022 0.350% Due 09/30/2024	25,000,000.00	09/30/2020 0.35%	25,000,000.00 25,000,000.00	99.34 0.57%	24,835,475.00 243.06	0.23% (164,525.00)	Aaa / NR AAA	3.00 1.98
3134GWWY8	FHLMC Callable Note Qtrly 9/30/2022 0.375% Due 09/30/2024	25,000,000.00	09/30/2020 0.38%	25,000,000.00 25,000,000.00	99.45 0.56%	24,861,375.00 260.42	0.23% (138,625.00)	Aaa / NR AAA	3.00 2.11
3134GXDZ4	FNMA Callable Note Qtrly 11/25/2022 0.450% Due 11/25/2024	50,000,000.00	11/25/2020 0.45%	50,000,000.00 50,000,000.00	99.49 0.61%	49,743,200.00 78,750.00	0.47% (256,800.00)	Aaa / NR AAA	3.16 2.40
3134GWC38	FHLMC Callable Note Qtrly 9/2/2022 0.480% Due 12/02/2024	50,000,000.00	09/02/2020 0.48%	50,000,000.00 50,000,000.00	99.51 0.64%	49,754,200.00 19,333.33	0.47% (245,800.00)	Aaa / NR AAA	3.18 2.04
3135G0X24	FNMA Note 1.625% Due 01/07/2025	50,000,000.00	01/10/2020 1.69%	49,840,500.00 49,895,590.46	103.39 0.58%	51,694,250.00 189,583.33	0.49% 1,798,659.54	Aaa / AA+ AAA	3.27 3.18
3133EMVS8	FFCB Callable Note Cont 4/14/2023 0.690% Due 04/14/2025	25,000,000.00	04/14/2021 0.69%	25,000,000.00 25,000,000.00	100.20 0.56%	25,051,075.00 80,020.83	0.24% 51,075.00	Aaa / AA+ AAA	3.54 2.67
3134GVU55	FHLMC Callable Note Qtrly 5/19/2021 0.750% Due 05/19/2025	25,000,000.00	05/19/2020 0.75%	25,000,000.00 25,000,000.00	99.91 0.78%	24,976,875.00 68,750.00	0.23% (23,125.00)	Aaa / NR AAA	3.64 1.49
3134GVB31	FHLMC Callable Note Qtrly 5/28/2021 0.750% Due 05/28/2025	75,000,000.00	Various 0.75%	74,995,000.00 74,996,334.43	99.85 1.67%	74,888,250.00 192,187.50	0.70% (108,084.43)	Aaa / NR AAA	3.66 0.16
3136G4WV1	FNMA Callable Note Qtrly 6/16/2022 0.750% Due 06/16/2025	50,000,000.00	06/16/2020 0.75%	50,000,000.00 50,000,000.00	99.98 0.75%	49,992,400.00 109,375.00	0.47% (7,600.00)	Aaa / AA+ AAA	3.71 2.16
3136G4YU1	FNMA Callable Note Qtrly 7/15/2021 0.730% Due 07/15/2025	30,000,000.00	07/15/2020 0.73%	30,000,000.00 30,000,000.00	99.79 0.79%	29,936,100.00 46,233.33	0.28% (63,900.00)	Aaa / AA+ AAA	3.79 1.97
3136G4A37	FNMA Callable Note Qtrly 1/28/2022 0.670% Due 07/28/2025	20,000,000.00	07/28/2020 0.67%	20,000,000.00 20,000,000.00	99.66 0.76%	19,931,340.00 23,450.00	0.19% (68,660.00)	Aaa / AA+ AAA	3.83 2.33

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3136G4D75	FNMA Callable Note Qtrly 7/29/2022 0.600% Due 07/29/2025	50,000,000.00	07/29/2020 0.60%	50,000,000.00 50,000,000.00	99.19 0.81%	49,595,400.00 51,666.66	0.46% (404,600.00)	Aaa / NR AAA	3.83 2.80
3136G4B77	FNMA Callable Note Qtrly 8/4/2021 0.700% Due 08/04/2025	25,000,000.00	08/04/2020 0.70%	25,000,000.00 25,000,000.00	99.69 0.78%	24,923,025.00 27,708.33	0.23% (76,975.00)	Aaa / AA+ AAA	3.85 2.17
3136G4J46	FNMA Callable Note Qtrly 8/12/2022 0.570% Due 08/12/2025	25,000,000.00	08/12/2020 0.57%	25,000,000.00 25,000,000.00	99.47 0.71%	24,867,900.00 19,395.83	0.23% (132,100.00)	Aaa / AA+ AAA	3.87 2.92
3136G4H63	FNMA Callable Note Annual 8/19/2022 0.550% Due 08/19/2025	25,000,000.00	08/19/2020 0.55%	25,000,000.00 25,000,000.00	99.19 0.76%	24,797,000.00 16,041.67	0.23% (203,000.00)	Aaa / AA+ AAA	3.89 2.97
3136G4V34	FNMA Callable Note 1X 8/26/2022 0.550% Due 08/26/2025	25,000,000.00	08/26/2020 0.55%	25,000,000.00 25,000,000.00	99.50 0.68%	24,874,075.00 13,368.06	0.23% (125,925.00)	Aaa / AA+ AAA	3.91 3.02
3136G4S53	FNMA Callable Note Qtrly 8/27/2021 0.650% Due 08/27/2025	25,000,000.00	08/27/2020 0.65%	25,000,000.00 25,000,000.00	99.55 0.77%	24,887,375.00 15,347.22	0.23% (112,625.00)	Aaa / AA+ AAA	3.91 2.46
3130AK5E2	FHLB Note 0.375% Due 09/04/2025	5,000,000.00	09/11/2020 0.44%	4,985,000.00 4,988,174.82	98.34 0.81%	4,917,000.00 1,406.25	0.05% (71,174.82)	Aaa / AA+ AAA	3.93 3.89
3133EMAU6	FFCB Callable Note Cont 9/22/2022 0.500% Due 09/22/2025	40,000,000.00	09/24/2020 0.50%	40,000,000.00 40,000,000.00	98.65 0.85%	39,460,760.00 5,000.00	0.37% (539,240.00)	Aaa / AA+ AAA	3.98 3.20
3137EAEX3	FHLMC Note 0.375% Due 09/23/2025	10,000,000.00	11/04/2020 0.51%	9,936,300.00 9,948,118.78	98.34 0.80%	9,833,530.00 833.33	0.09% (114,588.78)	Aaa / AA+ AAA	3.98 3.94
3136G43L5	FNMA Callable Note Annual 9/30/2022 0.550% Due 09/30/2025	38,400,000.00	09/30/2020 0.55%	38,400,000.00 38,400,000.00	99.34 0.72%	38,145,868.80 586.66	0.36% (254,131.20)	Aaa / AA+ AAA	4.00 3.14
3134GWYS9	FHLMC Callable Note Qtrly 4/15/2021 0.600% Due 10/15/2025	26,000,000.00	01/21/2021 0.60%	26,000,000.00 26,000,000.00	98.94 0.87%	25,724,712.00 71,933.33	0.24% (275,288.00)	Aaa / NR AAA	4.04 2.54
3135G06A6	FNMA Callable Note Qtrly 10/20/2021 0.580% Due 10/20/2025	25,000,000.00	10/20/2020 0.58%	25,000,000.00 25,000,000.00	99.02 0.83%	24,754,775.00 64,847.22	0.23% (245,225.00)	Aaa / AA+ AAA	4.06 2.66
3134GW5H5	FHLMC Callable Note Qtrly 7/28/2022 0.530% Due 10/28/2025	25,000,000.00	10/28/2020 0.53%	25,000,000.00 25,000,000.00	98.63 0.87%	24,657,675.00 23,187.50	0.23% (342,325.00)	Aaa / NR AAA	4.08 4.02
3136G46N8	FNMA Callable Note Qtrly 10/29/2021 0.600% Due 10/29/2025	25,000,000.00	10/29/2020 0.60%	25,000,000.00 25,000,000.00	99.30 0.78%	24,824,025.00 63,333.33	0.23% (175,975.00)	Aaa / AA+ AAA	4.08 2.81
3133EMFS6	FFCB Note 0.460% Due 11/03/2025	16,450,000.00	11/04/2020 0.53%	16,391,602.50 16,402,194.05	98.44 0.85%	16,192,935.85 31,108.78	0.15% (209,258.20)	Aaa / AA+ AAA	4.10 4.03
3135G06G3	FNMA Note 0.500% Due 11/07/2025	23,000,000.00	11/12/2020 0.57%	22,917,660.00 22,932,265.06	98.67 0.83%	22,693,226.00 46,000.00	0.21% (239,039.06)	Aaa / AA+ AAA	4.11 4.04
3135GA3X7	FNMA Callable Note 1X 11/17/2022 0.570% Due 11/17/2025	50,000,000.00	11/17/2020 0.57%	50,000,000.00 50,000,000.00	99.35 0.73%	49,675,650.00 106,083.33	0.47% (324,350.00)	Aaa / AA+ AAA	4.13 3.42
3134GXFA7	FNMA Callable Note Qtrly 11/26/2021 0.650% Due 11/26/2025	25,000,000.00	11/30/2020 0.65%	25,000,000.00 25,000,000.00	99.36 0.81%	24,839,700.00 56,423.61	0.23% (160,300.00)	Aaa / NR AAA	4.16 2.59

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3134GXDM3	FNMA Callable Note Qtrly 12/1/2021 0.620% Due 12/01/2025	25,000,000.00	11/20/2020 0.62%	25,000,000.00 25,000,000.00	99.27 0.80%	24,818,100.00 51,666.67	0.23% (181,900.00)	Aaa / NR AAA	4.17 2.73
3135G06J7	FNMA Callable Note Qtrly 6/10/2021 0.650% Due 12/10/2025	25,000,000.00	12/09/2020 0.65%	25,000,000.00 25,000,000.00	99.17 0.85%	24,791,875.00 50,104.17	0.23% (208,125.00)	Aaa / AA+ AAA	4.20 2.72
3135G06K4	FNMA Callable Note Qtrly 12/17/2021 0.650% Due 12/17/2025	75,000,000.00	12/02/2020 0.65%	75,000,000.00 75,000,000.00	99.31 0.82%	74,481,150.00 140,833.32	0.70% (518,850.00)	Aaa / AA+ AAA	4.22 2.84
3130AKMZ6	FHLB Callable Note Qtrly 1/14/2022 0.510% Due 01/14/2026	25,000,000.00	01/06/2021 0.51%	25,000,000.00 25,000,000.00	98.84 0.79%	24,708,775.00 27,270.83	0.23% (291,225.00)	Aaa / AA+ NR	4.29 3.19
3130AKMY9	FHLB Callable Note Qtrly 7/15/2021 0.550% Due 01/15/2026	25,000,000.00	01/06/2021 0.55%	25,000,000.00 25,000,000.00	98.96 0.80%	24,739,025.00 29,027.78	0.23% (260,975.00)	Aaa / AA+ NR	4.30 2.95
3130AKQ74	FHLB Callable Note Qtrly 7/22/2021 0.625% Due 01/22/2026	25,000,000.00	01/22/2021 0.63%	25,000,000.00 25,000,000.00	99.15 0.83%	24,787,750.00 29,947.92	0.23% (212,250.00)	Aaa / AA+ NR	4.32 2.61
3130AKQX7	FHLB Callable Note Qtrly 4/28/2021 0.700% Due 01/28/2026	25,000,000.00	01/28/2021 0.70%	25,000,000.00 25,000,000.00	99.34 0.86%	24,835,100.00 30,625.00	0.23% (164,900.00)	Aaa / AA+ NR	4.33 2.34
3130AKPL4	FHLB Callable Note 1X 1/28/2022 0.550% Due 01/28/2026	50,000,000.00	01/28/2021 0.55%	50,000,000.00 50,000,000.00	99.20 0.74%	49,598,200.00 48,125.00	0.46% (401,800.00)	Aaa / AA+ NR	4.33 2.91
3130AL7M0	FHLB Callable Note Qtrly 8/24/2021 0.625% Due 02/24/2026	25,000,000.00	02/24/2021 0.63%	25,000,000.00 25,000,000.00	99.06 0.84%	24,765,475.00 16,059.03	0.23% (234,525.00)	Aaa / AA+ NR	4.41 2.83
3130ALCV4	FHLB Callable Note Qtrly 5/24/2021 0.750% Due 02/24/2026	50,000,000.00	02/24/2021 0.75%	50,000,000.00 50,000,000.00	99.81 0.79%	49,905,750.00 38,541.67	0.47% (94,250.00)	NR / AA+ NR	4.41 2.12
3130ALB94	FHLB Callable Note Qtrly 8/26/2021 0.630% Due 02/26/2026	50,000,000.00	02/26/2021 0.63%	50,000,000.00 50,000,000.00	99.07 0.85%	49,535,500.00 30,625.00	0.46% (464,500.00)	Aaa / AA+ NR	4.41 2.82
3133EMSU7	FFCB Callable Note Cont 3/9/2023 0.800% Due 03/09/2026	25,000,000.00	03/09/2021 0.80%	25,000,000.00 25,000,000.00	99.49 0.92%	24,872,325.00 12,222.22	0.23% (127,675.00)	Aaa / AA+ AAA	4.44 3.41
3130ALYT5	FHLB Callable Note Qtrly 10/29/2021 1.100% Due 04/29/2026	25,000,000.00	04/29/2021 1.10%	25,000,000.00 25,000,000.00	99.93 1.12%	24,982,375.00 116,111.11	0.23% (17,625.00)	Aaa / AA+ NR	4.58 1.37
3130AMME9	FHLB Callable Note Qtrly 11/26/2021 1.000% Due 05/26/2026	4,600,000.00	05/26/2021 1.00%	4,600,000.00 4,600,000.00	99.75 1.05%	4,588,592.00 15,972.22	0.04% (11,408.00)	Aaa / AA+ NR	4.65 1.70
3133EMB76	FFCB Callable Note Cont 11/26/2021 0.950% Due 05/26/2026	20,000,000.00	05/26/2021 0.97%	19,980,000.00 19,981,401.97	99.62 1.03%	19,924,060.00 65,972.22	0.19% (57,341.97)	Aaa / AA+ AAA	4.65 2.16
3130AMSA1	FHLB Callabe Note 4x 06/24/2026 0.915% Due 06/24/2026	25,000,000.00	06/24/2021 0.92%	25,000,000.00 25,000,000.00	99.69 0.98%	24,921,600.00 61,635.42	0.23% (78,400.00)	Aaa / AA+ AAA	4.73 2.71
3130AMU75	FHLB Callable Note Monthly 07/26/21 1.000% Due 06/26/2026	50,000,000.00	06/30/2021 1.00%	50,000,000.00 50,000,000.00	99.87 1.03%	49,933,000.00 126,388.88	0.47% (67,000.00)	Aaa / AA+ NR	4.74 1.63
3130AMYJ5	FHLB Callable Note Qtrly 06/30/2022 1.000% Due 06/30/2026	25,000,000.00	06/30/2021 1.00%	25,000,000.00 25,000,000.00	99.83 1.04%	24,958,625.00 63,194.44	0.23% (41,375.00)	Aaa / AA+ NR	4.75 2.53

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3130AN4U1	FHLB Callable Note Annual 7/22/2022 1.000% Due 07/22/2026	25,000,000.00	07/22/2021 1.00%	25,000,000.00 25,000,000.00	99.87 1.03%	24,967,450.00 47,916.67	0.23% (32,550.00)	Aaa / AA+ NR	4.81 2.63
3130ANCM0	FHLB Callable Note Qtrly 07/29/2022 0.950% Due 07/29/2026	25,000,000.00	07/14/2021 0.92%	25,000,000.00 25,000,000.00	99.67 1.02%	24,916,650.00 40,902.78	0.23% (83,350.00)	Aaa / AA+ NR	4.83 2.85
3130ANLZ1	FHLB Callable Note Annual 8/26/2022 0.900% Due 08/26/2026	25,000,000.00	08/26/2021 0.90%	25,000,000.00 25,000,000.00	99.48 1.48%	24,869,425.00 21,875.00	0.23% (130,575.00)	Aaa / AA+ AAA	4.91 0.90
3130ANV64	FHLB Callable Note Qtrly 9/16/2022 0.960% Due 09/16/2026	25,000,000.00	09/16/2021 0.96%	25,000,000.00 25,000,000.00	99.71 1.02%	24,928,325.00 10,000.00	0.23% (71,675.00)	Aaa / AA+ NR	4.96 3.16
3133EM6E7	FFCB Callable Note Cont 09/28/2022 0.940% Due 09/28/2026	50,000,000.00	09/28/2021 0.94%	50,000,000.00 50,000,000.00	99.48 1.05%	49,737,550.00 3,916.66	0.47% (262,450.00)	Aaa / AA+ AAA	5.00 3.30
TOTAL Agency		2,962,903,000.00	0.97%	2,969,492,545.92 2,966,207,110.74	0.60%	2,979,950,268.18 6,485,318.97	27.94% 13,743,157.44	Aaa / AA+ Aaa	3.06 2.15
Cash									
90JPMC\$03	JP Morgan Chase Bank Deposit	381,775,882.73	Various 0.10%	381,775,882.73 381,775,882.73	1.00 0.10%	381,775,882.73 0.00	3.57% 0.00	NR / NR NR	0.00 0.00
TOTAL Cash		381,775,882.73	0.10%	381,775,882.73 381,775,882.73	0.10%	381,775,882.73 0.00	3.57% 0.00	NR / NR NR	0.00 0.00
Commercial Paper									
45685QX12	ING (US) Funding LLC Discount CP 0.190% Due 10/01/2021	50,000,000.00	03/29/2021 0.19%	49,950,916.50 50,000,000.00	100.00 0.19%	50,000,000.00 0.00	0.47% 0.00	P-1 / A-1 NR	0.00 0.00
06366GX12	Bank of Montreal Discount CP 0.160% Due 10/01/2021	50,000,000.00	04/07/2021 0.16%	49,960,666.67 50,000,000.00	100.00 0.16%	50,000,000.00 0.00	0.47% 0.00	P-1 / A-1 NR	0.00 0.00
89233GXE1	Toyota Motor Credit Discount CP 0.140% Due 10/14/2021	25,000,000.00	04/26/2021 0.14%	24,983,375.00 24,998,736.11	99.99 0.14%	24,998,736.11 0.00	0.23% 0.00	P-1 / A-1+ F-1	0.04 0.04
09659JXV0	BNP Paribas Discount CP 0.093% Due 10/29/2021	105,000,000.00	Various 0.09%	104,965,854.17 104,992,416.67	99.99 0.09%	104,992,416.67 0.00	0.98% 0.00	P-1 / A-1 F-1+	0.08 0.08
45685QY11	ING (US) Funding LLC Discount CP 0.200% Due 11/01/2021	50,000,000.00	03/29/2021 0.20%	49,939,722.00 49,991,388.86	99.98 0.20%	49,991,388.86 0.00	0.47% 0.00	P-1 / A-1 NR	0.09 0.09
46640PY15	JP Morgan Discount CP 0.190% Due 11/01/2021	50,000,000.00	04/01/2021 0.19%	49,943,527.78 49,991,819.44	99.98 0.19%	49,991,819.44 0.00	0.47% 0.00	P-1 / A-1 F-1+	0.09 0.09
63873JY38	Natixis NY Branch Discount CP 0.170% Due 11/03/2021	50,000,000.00	05/06/2021 0.17%	49,957,263.89 49,992,208.33	99.98 0.17%	49,992,208.33 0.00	0.47% 0.00	P-1 / A-1 F-1	0.09 0.09

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46640PY80	JP Morgan Discount CP 0.190% Due 11/08/2021	50,000,000.00	04/01/2021 0.19%	49,941,680.56 49,989,972.22	99.98 0.19%	49,989,972.22 0.00	0.47% 0.00	P-1 / A-1 F-1+	0.11 0.11
21687AYH0	Rabobank Nederland NV NY Discount CP 0.109% Due 11/17/2021	50,000,000.00	06/21/2021 0.11%	49,977,388.89 49,992,867.64	99.99 0.11%	49,992,867.64 0.00	0.47% 0.00	P-1 / A-1 NR	0.13 0.13
09659BYW4	BNP Paribas Discount CP 0.140% Due 11/30/2021	175,000,000.00	05/19/2021 0.14%	174,867,291.67 174,959,166.67	99.98 0.14%	174,959,166.67 0.00	1.64% 0.00	P-1 / A-1 F-1+	0.17 0.17
09659BZ11	BNP Paribas Discount CP 0.140% Due 12/01/2021	50,000,000.00	05/19/2021 0.14%	49,961,888.89 49,988,138.89	99.98 0.14%	49,988,138.89 0.00	0.47% 0.00	P-1 / A-1 F-1+	0.17 0.17
06366GZF9	Bank of Montreal Discount CP 0.130% Due 12/15/2021	30,000,000.00	06/18/2021 0.13%	29,980,500.00 29,991,875.00	99.97 0.13%	29,991,875.00 0.00	0.28% 0.00	P-1 / A-1 NR	0.21 0.21
45685QZF9	ING (US) Funding LLC Discount CP 0.090% Due 12/15/2021	75,000,000.00	09/22/2021 0.09%	74,984,250.00 74,985,937.50	99.98 0.09%	74,985,937.50 0.00	0.70% 0.00	P-1 / A-1 NR	0.21 0.21
89233GZH2	Toyota Motor Credit Discount CP 0.090% Due 12/17/2021	50,000,000.00	09/23/2021 0.09%	49,989,375.00 49,990,375.00	99.98 0.09%	49,990,375.00 0.00	0.47% 0.00	P-1 / A-1+ F-1	0.21 0.21
45685QZH5	ING (US) Funding LLC Discount CP 0.090% Due 12/17/2021	50,000,000.00	09/24/2021 0.09%	49,989,500.00 49,990,375.00	99.98 0.09%	49,990,375.00 0.00	0.47% 0.00	P-1 / A-1 NR	0.21 0.21
89233GZL3	Toyota Motor Credit Discount CP 0.090% Due 12/20/2021	25,000,000.00	09/27/2021 0.09%	24,994,750.00 24,995,000.00	99.98 0.09%	24,995,000.00 0.00	0.23% 0.00	P-1 / A-1+ F-1	0.22 0.22
89233GZN9	Toyota Motor Credit Discount CP 0.100% Due 12/22/2021	25,000,000.00	09/20/2021 0.10%	24,993,541.67 24,994,305.56	99.98 0.10%	24,994,305.56 0.00	0.23% 0.00	P-1 / A-1+ F-1	0.23 0.23
21687AZT3	Rabobank Nederland NV NY Discount CP 0.120% Due 12/27/2021	25,000,000.00	06/25/2021 0.12%	24,984,583.33 24,992,750.00	99.97 0.12%	24,992,750.00 0.00	0.23% 0.00	P-1 / A-1 NR	0.24 0.24
21687AZX4	Rabobank Nederland NV NY Discount CP 0.120% Due 12/31/2021	25,000,000.00	06/24/2021 0.12%	24,984,166.67 24,992,416.67	99.97 0.12%	24,992,416.67 0.00	0.23% 0.00	P-1 / A-1 NR	0.25 0.25
89233HA38	Toyota Motor Credit Discount CP 0.120% Due 01/03/2022	100,000,000.00	06/24/2021 0.12%	99,935,666.67 99,968,666.67	99.97 0.12%	99,968,666.67 0.00	0.94% 0.00	P-1 / A-1+ F-1	0.26 0.26
06366HAK3	Bank of Montreal Chicago Discount CP 0.100% Due 01/19/2022	50,000,000.00	06/03/2021 0.10%	49,968,055.56 49,984,722.22	99.97 0.10%	49,984,722.22 0.00	0.47% 0.00	P-1 / A-1 NR	0.30 0.30
06366HAX5	Bank of Montreal Chicago Discount CP 0.140% Due 01/31/2022	200,000,000.00	07/14/2021 0.14%	199,843,666.66 199,905,111.11	99.95 0.14%	199,905,111.11 0.00	1.87% 0.00	P-1 / A-1 NR	0.34 0.34
09659KB17	BNP Paribas Discount CP 0.140% Due 02/01/2022	30,000,000.00	07/16/2021 0.14%	29,976,666.67 29,985,650.00	99.95 0.14%	29,985,650.00 0.00	0.28% 0.00	P-1 / A-1 F-1+	0.34 0.34
13607FB39	Canadian Imperial Holdings Discount CP 0.120% Due 02/03/2022	25,000,000.00	08/27/2021 0.12%	24,986,666.75 24,989,583.40	99.96 0.12%	24,989,583.40 0.00	0.23% 0.00	P-1 / A-1 NR	0.35 0.34
09659KB74	BNP Paribas Discount CP 0.140% Due 02/07/2022	25,000,000.00	08/11/2021 0.14%	24,982,500.00 24,987,458.33	99.95 0.14%	24,987,458.33 0.00	0.23% 0.00	P-1 / A-1 F-1+	0.36 0.36

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46640PY80	JP Morgan Discount CP 0.190% Due 11/08/2021	50,000,000.00	04/01/2021 0.19%	49,941,680.56 49,989,972.22	99.98 0.19%	49,989,972.22 0.00	0.47% 0.00	P-1 / A-1 F-1+	0.11 0.11
21687AYH0	Rabobank Nederland NV NY Discount CP 0.109% Due 11/17/2021	50,000,000.00	06/21/2021 0.11%	49,977,388.89 49,992,867.64	99.99 0.11%	49,992,867.64 0.00	0.47% 0.00	P-1 / A-1 NR	0.13 0.13
09659BYW4	BNP Paribas Discount CP 0.140% Due 11/30/2021	175,000,000.00	05/19/2021 0.14%	174,867,291.67 174,959,166.67	99.98 0.14%	174,959,166.67 0.00	1.64% 0.00	P-1 / A-1 F-1+	0.17 0.17
09659BZ11	BNP Paribas Discount CP 0.140% Due 12/01/2021	50,000,000.00	05/19/2021 0.14%	49,961,888.89 49,988,138.89	99.98 0.14%	49,988,138.89 0.00	0.47% 0.00	P-1 / A-1 F-1+	0.17 0.17
06366GZF9	Bank of Montreal Discount CP 0.130% Due 12/15/2021	30,000,000.00	06/18/2021 0.13%	29,980,500.00 29,991,875.00	99.97 0.13%	29,991,875.00 0.00	0.28% 0.00	P-1 / A-1 NR	0.21 0.21
45685QZF9	ING (US) Funding LLC Discount CP 0.090% Due 12/15/2021	75,000,000.00	09/22/2021 0.09%	74,984,250.00 74,985,937.50	99.98 0.09%	74,985,937.50 0.00	0.70% 0.00	P-1 / A-1 NR	0.21 0.21
89233GZH2	Toyota Motor Credit Discount CP 0.090% Due 12/17/2021	50,000,000.00	09/23/2021 0.09%	49,989,375.00 49,990,375.00	99.98 0.09%	49,990,375.00 0.00	0.47% 0.00	P-1 / A-1+ F-1	0.21 0.21
45685QZH5	ING (US) Funding LLC Discount CP 0.090% Due 12/17/2021	50,000,000.00	09/24/2021 0.09%	49,989,500.00 49,990,375.00	99.98 0.09%	49,990,375.00 0.00	0.47% 0.00	P-1 / A-1 NR	0.21 0.21
89233GZL3	Toyota Motor Credit Discount CP 0.090% Due 12/20/2021	25,000,000.00	09/27/2021 0.09%	24,994,750.00 24,995,000.00	99.98 0.09%	24,995,000.00 0.00	0.23% 0.00	P-1 / A-1+ F-1	0.22 0.22
89233GZN9	Toyota Motor Credit Discount CP 0.100% Due 12/22/2021	25,000,000.00	09/20/2021 0.10%	24,993,541.67 24,994,305.56	99.98 0.10%	24,994,305.56 0.00	0.23% 0.00	P-1 / A-1+ F-1	0.23 0.23
21687AZT3	Rabobank Nederland NV NY Discount CP 0.120% Due 12/27/2021	25,000,000.00	06/25/2021 0.12%	24,984,583.33 24,992,750.00	99.97 0.12%	24,992,750.00 0.00	0.23% 0.00	P-1 / A-1 NR	0.24 0.24
21687AZX4	Rabobank Nederland NV NY Discount CP 0.120% Due 12/31/2021	25,000,000.00	06/24/2021 0.12%	24,984,166.67 24,992,416.67	99.97 0.12%	24,992,416.67 0.00	0.23% 0.00	P-1 / A-1 NR	0.25 0.25
89233HA38	Toyota Motor Credit Discount CP 0.120% Due 01/03/2022	100,000,000.00	06/24/2021 0.12%	99,935,666.67 99,968,666.67	99.97 0.12%	99,968,666.67 0.00	0.94% 0.00	P-1 / A-1+ F-1	0.26 0.26
06366HAK3	Bank of Montreal Chicago Discount CP 0.100% Due 01/19/2022	50,000,000.00	06/03/2021 0.10%	49,968,055.56 49,984,722.22	99.97 0.10%	49,984,722.22 0.00	0.47% 0.00	P-1 / A-1 NR	0.30 0.30
06366HAX5	Bank of Montreal Chicago Discount CP 0.140% Due 01/31/2022	200,000,000.00	07/14/2021 0.14%	199,843,666.66 199,905,111.11	99.95 0.14%	199,905,111.11 0.00	1.87% 0.00	P-1 / A-1 NR	0.34 0.34
09659KB17	BNP Paribas Discount CP 0.140% Due 02/01/2022	30,000,000.00	07/16/2021 0.14%	29,976,666.67 29,985,650.00	99.95 0.14%	29,985,650.00 0.00	0.28% 0.00	P-1 / A-1 F-1+	0.34 0.34
13607FB39	Canadian Imperial Holdings Discount CP 0.120% Due 02/03/2022	25,000,000.00	08/27/2021 0.12%	24,986,666.75 24,989,583.40	99.96 0.12%	24,989,583.40 0.00	0.23% 0.00	P-1 / A-1 NR	0.35 0.34
09659KB74	BNP Paribas Discount CP 0.140% Due 02/07/2022	25,000,000.00	08/11/2021 0.14%	24,982,500.00 24,987,458.33	99.95 0.14%	24,987,458.33 0.00	0.23% 0.00	P-1 / A-1 F-1+	0.36 0.36

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
89236TFX8	Toyota Motor Credit Corp Note 2.650% Due 04/12/2022	25,000,000.00	04/12/2019 2.67%	24,984,250.00 24,997,226.51	101.28 0.25%	25,320,150.00 311,006.94	0.24% 322,923.49	A1 / A+ A+	0.53 0.53
037833CQ1	Apple Inc Callable Note Cont 4/11/2022 2.300% Due 05/11/2022	10,157,000.00	09/04/2019 1.76%	10,297,065.03 10,185,307.88	101.11 0.20%	10,270,138.82 90,848.72	0.10% 84,830.94	Aa1 / AA+ NR	0.61 0.53
90331HPC1	US Bank NA Callable Note Cont 4/22/2022 2.650% Due 05/23/2022	79,463,000.00	Various 1.32%	81,163,958.67 80,045,088.89	101.37 0.20%	80,554,901.08 748,718.05	0.76% 509,812.19	A1 / AA- AA-	0.64 0.56
89236TCQ6	Toyota Motor Credit Corp Note 2.800% Due 07/13/2022	25,000,000.00	02/27/2019 2.91%	24,911,500.00 24,979,527.19	102.01 0.24%	25,501,800.00 151,666.67	0.24% 522,272.81	A1 / A+ A+	0.78 0.78
742718EU9	Procter & Gamble Co Note 2.150% Due 08/11/2022	50,000,000.00	Various 1.87%	50,403,200.00 50,116,267.30	101.72 0.16%	50,859,200.00 149,305.55	0.48% 742,932.70	Aa3 / AA- NR	0.86 0.86
30231GBB7	Exxon Mobil Corp Note 1.902% Due 08/16/2022	5,000,000.00	08/16/2019 1.90%	5,000,000.00 5,000,000.00	101.50 0.19%	5,075,115.00 11,887.50	0.05% 75,115.00	Aa2 / AA- NR	0.88 0.87
89236TEC5	Toyota Motor Credit Corp Note 2.150% Due 09/08/2022	32,538,000.00	01/15/2020 1.81%	32,820,429.84 32,637,887.29	101.84 0.19%	33,136,731.74 44,694.56	0.31% 498,844.45	A1 / A+ A+	0.94 0.93
037833DL1	Apple Inc Note 1.700% Due 09/11/2022	20,000,000.00	09/11/2019 1.71%	19,996,600.00 19,998,929.74	101.46 0.15%	20,292,820.00 18,888.89	0.19% 293,890.26	Aa1 / AA+ NR	0.95 0.94
037833DC1	Apple Inc Callable Note Cont 8/12/2022 2.100% Due 09/12/2022	10,475,000.00	07/12/2019 2.10%	10,475,000.00 10,475,000.00	101.68 0.16%	10,651,011.43 11,609.79	0.10% 176,011.43	Aa1 / AA+ NR	0.95 0.86
90331HPF4	US Bank NA Callable Note Cont 12/9/2022 1.950% Due 01/09/2023	35,000,000.00	12/09/2019 1.98%	34,970,600.00 34,987,869.57	101.96 0.30%	35,684,915.00 155,458.33	0.34% 697,045.43	A1 / AA- AA-	1.28 1.18
89233P7F7	Toyota Motor Credit Corp Note 2.625% Due 01/10/2023	13,000,000.00	01/21/2020 1.84%	13,292,370.00 13,125,570.89	102.92 0.33%	13,380,133.00 76,781.25	0.13% 254,562.11	A1 / A+ A+	1.28 1.26
48128BAB7	JP Morgan Chase & Co Callable Note 1X 1/15/2022 2.972% Due 01/15/2023	10,000,000.00	03/17/2020 2.04%	10,166,900.00 10,026,444.54	100.73 0.45%	10,073,400.00 62,742.22	0.09% 46,955.46	A2 / A- AA-	1.29 0.29
46625HRL6	JP Morgan Chase Callable Note Cont 3/18/2023 2.700% Due 05/18/2023	16,848,000.00	05/28/2020 1.02%	17,627,556.96 17,253,765.49	103.43 0.35%	17,425,667.38 168,058.80	0.16% 171,901.89	A2 / A- AA-	1.63 1.43
48130UXY6	JPMorgan Chase Callable Note 2X 8/17/2022 0.700% Due 08/16/2024	50,000,000.00	08/17/2021 0.70%	50,000,000.00 50,000,000.00	99.64 0.83%	49,818,050.00 42,777.78	0.47% (181,950.00)	A2 / A- AA-	2.88 2.84
48130UYC3	JPMorgan Chase Callable Note 2X 09/01/2022 0.750% Due 08/30/2024	50,000,000.00	09/01/2021 0.75%	50,000,000.00 50,000,000.00	99.73 1.05%	49,863,950.00 31,250.00	0.47% (136,050.00)	A2 / A- AA-	2.92 0.91
				652,442,419.49		654,428,282.31	6.15%	A1 / AA-	1.02
TOTAL Corporate		647,526,000.00	1.81%	649,141,618.78	0.35%	3,021,810.36	5,286,663.53	AA-	0.80

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
Local Gov Investment Pool									
90CAMP\$00	California Asset Mgmt Program CAMP	199,734,528.37	Various 0.05%	199,734,528.37 199,734,528.37	1.00 0.05%	199,734,528.37 0.00	1.87% 0.00	NR / AAA NR	0.00 0.00
TOTAL Local Gov Investment Pool		199,734,528.37	0.05%	199,734,528.37	0.05%	199,734,528.37 0.00	1.87% 0.00	NR / AAA NR	0.00 0.00
Money Market Fund									
09248U700	Blackrock Liquidity FedFund MMF	1,000,000.00	11/30/2020 0.03%	1,000,000.00 1,000,000.00	1.00 0.03%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA NR	0.00 0.00
31607A703	Fidelity Institutional Prime Govt INS Mmkt Fund	1,000,000.00	11/30/2020 0.01%	1,000,000.00 1,000,000.00	1.00 0.01%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA NR	0.00 0.00
608919718	Federated Govt Obligations FD-Prime MMKT Fund	800,000.00	11/30/2020 0.03%	800,000.00 800,000.00	1.00 0.03%	800,000.00 0.00	0.01% 0.00	Aaa / AAA AAA	0.00 0.00
61747C707	Morgan Stanley Liq Govt MMKT	1,000,000.00	11/30/2020 0.02%	1,000,000.00 1,000,000.00	1.00 0.02%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA AAA	0.00 0.00
09248U7\$0	Blackrock CalTrust MMF	1,000,000.00	12/01/2020 0.04%	1,000,000.00 1,000,000.00	1.00 0.04%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA NR	0.00 0.00
TOTAL Money Market Fund		4,800,000.00	0.02%	4,800,000.00	0.02%	4,800,000.00 0.00	0.04% 0.00	Aaa / AAA Aaa	0.00 0.00
Municipal Bonds									
649791PN4	New York St Taxable - GO 1.950% Due 02/15/2023	10,000,000.00	10/30/2019 1.95%	10,000,000.00 10,000,000.00	102.18 0.36%	10,218,100.00 24,916.67	0.10% 218,100.00	Aa2 / AA+ AA+	1.38 1.36
20772KNU9	State of Connecticut TE-GO 0.309% Due 06/01/2023	5,000,000.00	06/04/2021 0.31%	5,000,000.00 5,000,000.00	99.82 0.41%	4,991,200.00 5,021.25	0.05% (8,800.00)	Aa3 / A+ AA-	1.67 1.66
574193TP3	Maryland State STE-GO 0.410% Due 08/01/2023	15,000,000.00	08/05/2020 0.41%	15,000,000.00 15,000,000.00	100.12 0.34%	15,017,850.00 10,250.00	0.14% 17,850.00	Aaa / AAA AAA	1.84 1.83
13063DRJ9	California State TE-GO 2.400% Due 10/01/2023	26,535,000.00	10/24/2019 1.84%	27,096,480.60 26,820,035.35	104.00 0.40%	27,595,073.25 318,420.00	0.26% 775,037.90	Aa2 / AA- AA	2.00 1.94
649791PP9	New York St Taxable-GO 2.010% Due 02/15/2024	20,000,000.00	10/30/2019 2.01%	20,000,000.00 20,000,000.00	103.33 0.59%	20,666,800.00 51,366.67	0.19% 666,800.00	Aa2 / AA+ AA+	2.38 2.32
546417DP8	State of Louisiana STE-GO 0.650% Due 06/01/2024	5,000,000.00	10/14/2020 0.65%	5,000,000.00 5,000,000.00	100.34 0.52%	5,017,200.00 10,833.33	0.05% 17,200.00	Aa3 / AA- NR	2.67 2.64
20772KNV7	State of Connecticut TE-GO 0.508% Due 06/01/2024	6,000,000.00	06/04/2021 0.51%	6,000,000.00 6,000,000.00	99.47 0.71%	5,968,200.00 9,906.00	0.06% (31,800.00)	Aa3 / A+ AA-	2.67 2.64

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CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
574193TQ1	Maryland State STE-GO 0.510% Due 08/01/2024	25,000,000.00	08/05/2020 0.51%	25,000,000.00 25,000,000.00	99.77 0.59%	24,943,250.00 21,250.00	0.23% (56,750.00)	Aaa / AAA AAA	2.84 2.81
60412AVT7	Minnesota State Taxable- GO 0.500% Due 08/01/2024	15,000,000.00	08/25/2020 0.48%	15,012,150.00 15,008,751.04	99.58 0.65%	14,936,700.00 12,500.00	0.14% (72,051.04)	Aa1 / AAA AAA	2.84 2.81
64990FD43	NY State Dorm Auth Tax Rev TE - REV 0.887% Due 03/15/2025	5,000,000.00	06/23/2021 0.89%	5,000,000.00 5,000,000.00	100.28 0.80%	5,014,100.00 12,073.06	0.05% 14,100.00	NR / AA+ AA+	3.46 3.39
546417DQ6	State of Louisiana STE-GO 0.840% Due 06/01/2025	5,000,000.00	10/14/2020 0.84%	5,000,000.00 5,000,000.00	100.13 0.80%	5,006,400.00 14,000.00	0.05% 6,400.00	Aa3 / AA- NR	3.67 3.60
34153QUD6	Florida State Board of Edu STE-GO 0.550% Due 06/01/2025	40,000,000.00	10/22/2020 0.55%	40,000,000.00 40,000,000.00	99.44 0.70%	39,777,200.00 73,333.33	0.37% (222,800.00)	Aaa / AAA AAA	3.67 3.62
9281094C8	Commonwealth of Virginia STE-GO 0.550% Due 06/01/2025	10,860,000.00	11/05/2020 0.55%	10,860,000.00 10,860,000.00	98.80 0.88%	10,729,571.40 19,910.00	0.10% (130,428.60)	Aaa / AAA AAA	3.67 3.61
20772KNW5	State of Connecticut TE-GO 0.923% Due 06/01/2025	5,000,000.00	06/04/2021 0.92%	5,000,000.00 5,000,000.00	99.89 0.95%	4,994,350.00 14,998.75	0.05% (5,650.00)	Aa3 / A+ AA-	3.67 3.59
797646NC6	San Francisco California C&C TE-GO 5.450% Due 06/15/2025	4,605,000.00	03/19/2021 0.95%	5,464,154.85 5,355,443.20	115.98 1.05%	5,340,694.80 73,897.46	0.05% (14,748.40)	Aaa / AAA AA+	3.71 3.37
574193TR9	Maryland State STE-GO 0.660% Due 08/01/2025	25,000,000.00	08/05/2020 0.66%	25,000,000.00 25,000,000.00	99.23 0.86%	24,808,500.00 27,500.00	0.23% (191,500.00)	Aaa / AAA AAA	3.84 3.77
419792YQ3	Hawaii State STE-GO 0.670% Due 08/01/2025	5,255,000.00	08/12/2020 0.67%	5,255,000.00 5,255,000.00	98.71 1.01%	5,187,368.15 5,868.08	0.05% (67,631.85)	Aa2 / AA+ AA	3.84 3.77
64990FD50	NY State Dorm Auth Tax Rev TE - REV 1.187% Due 03/15/2026	5,000,000.00	06/23/2021 1.19%	5,000,000.00 5,000,000.00	99.83 1.22%	4,991,700.00 16,156.39	0.05% (8,300.00)	NR / AA+ AA+	4.46 4.32
20772KNX3	State of Connecticut TE-GO 1.123% Due 06/01/2026	5,600,000.00	06/04/2021 1.12%	5,600,000.00 5,600,000.00	99.56 1.22%	5,575,136.00 20,438.60	0.05% (24,864.00)	Aa3 / A+ AA-	4.67 4.52
TOTAL Municipal Bonds		238,855,000.00	0.92%	240,287,785.45 239,899,229.59	0.67%	240,779,393.60 742,639.59	2.26% 880,164.01	Aa1 / AAA Aaa	2.99 2.93
Negotiable CD									
89114W6E0	Toronto Dominion Yankee CD 0.160% Due 10/04/2021	20,000,000.00	04/06/2021 0.16%	20,000,000.00 20,000,000.00	100.00 0.10%	20,000,140.00 15,822.22	0.19% 140.00	P-1 / A-1 F-1+	0.01 0.01
89114W6F7	Toronto Dominion Yankee CD 0.160% Due 10/05/2021	25,000,000.00	04/06/2021 0.16%	25,000,000.00 25,000,000.00	100.00 0.10%	25,000,225.00 19,777.78	0.23% 225.00	P-1 / A-1 F-1+	0.01 0.01
89114W6S9	Toronto Dominion Yankee CD 0.140% Due 10/07/2021	25,000,000.00	04/12/2021 0.14%	25,000,000.00 25,000,000.00	100.00 0.09%	25,000,225.00 16,722.22	0.23% 225.00	P-1 / A-1 F-1+	0.02 0.02
89114W6G5	Toronto Dominion Yankee CD 0.160% Due 10/08/2021	50,000,000.00	04/06/2021 0.16%	50,000,000.00 50,000,000.00	100.00 0.09%	50,000,750.00 39,555.56	0.47% 750.00	P-1 / A-1 F-1+	0.02 0.02

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

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CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
89114W6H3	Toronto Dominion Yankee CD 0.160% Due 10/13/2021	30,000,000.00	04/06/2021 0.16%	30,000,000.00 30,000,000.00	100.00 0.09%	30,000,750.00 23,733.33	0.28% 750.00	P-1 / A-1 F-1+	0.04 0.04
78012UYM1	Royal Bank of Canada Yankee CD 0.240% Due 10/15/2021	25,000,000.00	10/15/2020 0.24%	25,000,000.00 25,000,000.00	100.00 0.24%	25,000,000.00 58,500.00	0.23% 0.00	P-1 / A-1+ F-1+	0.04 0.04
13606CRP1	Canadian Imperial Bank Comm NY Yankee CD 0.170% Due 10/29/2021	50,000,000.00	04/12/2021 0.17%	50,000,000.00 50,000,000.00	100.01 0.08%	50,003,600.00 40,611.11	0.47% 3,600.00	P-1 / A-1 F-1+	0.08 0.08
06367CM46	Bank of Montreal Yankee CD 0.060% Due 10/29/2021	100,000,000.00	09/28/2021 0.06%	100,000,000.00 100,000,000.00	100.00 0.08%	99,998,300.00 500.00	0.94% (1,700.00)	P-1 / A-1 F-1+	0.08 0.08
90275DNP1	UBS Finance Yankee CD 0.180% Due 11/01/2021	25,000,000.00	03/04/2021 0.18%	25,000,000.00 25,000,000.00	100.01 0.10%	25,001,750.00 26,375.00	0.23% 1,750.00	P-1 / A-1 F-1	0.09 0.09
90275DNLO	UBS Finance Yankee CD 0.190% Due 11/30/2021	20,000,000.00	03/02/2021 0.19%	20,000,000.00 20,000,000.00	100.02 0.10%	20,003,000.00 22,483.33	0.19% 3,000.00	P-1 / A-1 F-1+	0.17 0.17
13606CWL4	Canadian Imperial Bank Comm NY Yankee CD 0.090% Due 12/15/2021	50,000,000.00	09/08/2021 0.09%	50,000,000.00 50,000,000.00	100.00 0.10%	50,000,000.00 2,875.00	0.47% 0.00	P-1 / A-1 F-1+	0.21 0.21
06052TN71	Bank of America Negotiable CD 0.190% Due 01/04/2022	50,000,000.00	04/09/2021 0.19%	50,000,000.00 50,000,000.00	100.03 0.06%	50,017,300.00 45,388.89	0.47% 17,300.00	P-1 / A-1 F-1+	0.26 0.26
13606CRR7	Canadian Imperial Bank Comm NY Yankee CD 0.190% Due 01/07/2022	25,000,000.00	04/12/2021 0.19%	25,000,000.00 25,000,000.00	100.02 0.11%	25,005,475.00 22,694.44	0.23% 5,475.00	P-1 / A-1 F-1+	0.27 0.27
89114WAK1	Toronto Dominion Yankee CD 0.180% Due 01/19/2022	150,000,000.00	05/07/2021 0.18%	150,000,000.00 150,000,000.00	100.02 0.11%	150,032,250.00 110,250.00	1.40% 32,250.00	P-1 / A-1 F-1+	0.30 0.30
13606CTP9	Canadian Imperial Bank Comm NY Yankee CD 0.120% Due 01/19/2022	50,000,000.00	06/01/2021 0.12%	50,000,000.00 50,000,000.00	100.00 0.11%	50,001,500.00 20,333.33	0.47% 1,500.00	P-1 / A-1 F-1+	0.30 0.30
06366HB14	Bank of Montreal Chicago Yankee CD 0.110% Due 02/01/2022	50,000,000.00	06/04/2021 0.22%	49,963,027.78 49,981,208.33	99.99 0.14%	49,995,000.00 18,180.56	0.47% 13,791.67	P-1 / A-1 F-1+	0.34 0.34
06367CBY2	Bank of Montreal Chicago Yankee CD 0.210% Due 03/01/2022	50,000,000.00	03/02/2021 0.21%	50,000,000.00 50,000,000.00	100.03 0.14%	50,014,700.00 62,125.00	0.47% 14,700.00	P-1 / A-1 F-1+	0.42 0.42
90275DNQ9	UBS Finance Yankee CD 0.220% Due 03/04/2022	25,000,000.00	03/04/2021 0.22%	25,000,000.00 25,000,000.00	100.00 0.22%	25,000,000.00 32,236.11	0.23% 0.00	P-1 / A-1 F-1	0.42 0.42
06367CEM5	Bank of Montreal Chicago Yankee CD 0.200% Due 03/04/2022	40,000,000.00	04/22/2021 0.20%	40,000,000.00 40,000,000.00	100.03 0.14%	40,010,280.00 36,000.00	0.37% 10,280.00	P-1 / A-1 F-1+	0.42 0.42
87019V3J4	Swedbank Yankee CD 0.120% Due 03/07/2022	25,000,000.00	09/22/2021 0.12%	25,000,000.00 25,000,000.00	99.99 0.14%	24,998,025.00 750.00	0.23% (1,975.00)	P-1 / A-1 F-1+	0.43 0.43
89114WH40	Toronto Dominion Yankee CD 0.140% Due 03/30/2022	50,000,000.00	09/28/2021 0.14%	50,000,000.00 50,000,000.00	99.99 0.02%	49,994,950.00 583.33	0.47% (5,050.00)	P-1 / A-1+ F-1+	0.50 0.50
89114WH81	Toronto Dominion Yankee CD 0.140% Due 03/30/2022	65,000,000.00	09/30/2021 0.14%	65,000,000.00 65,000,000.00	100.00 0.14%	65,000,000.00 252.78	0.61% 0.00	P-1 / A-1+ F-1+	0.50 0.50

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
06367CFP7	Bank of Montreal Chicago Yankee CD 0.220% Due 05/17/2022	25,000,000.00	05/21/2021 0.22%	25,000,000.00 25,000,000.00	100.04 0.16%	25,010,125.00 20,319.44	0.23% 10,125.00	P-1 / A-1 F-1+	0.63 0.63
06417MPY5	Bank of Nova Scotia Houston Yankee CD 0.200% Due 05/19/2022	50,000,000.00	05/24/2021 0.20%	50,000,000.00 50,000,000.00	100.03 0.15%	50,015,350.00 36,111.11	0.47% 15,350.00	P-1 / A-1 F-1+	0.63 0.63
78012UT21	Royal Bank of Canada Yankee CD 0.160% Due 05/25/2022	50,000,000.00	08/26/2021 0.16%	50,000,000.00 50,000,000.00	100.01 0.15%	50,002,600.00 8,000.00	0.47% 2,600.00	P-1 / A-1+ F-1+	0.65 0.65
06417MPV1	Bank of Nova Scotia Houston Yankee CD 0.220% Due 05/31/2022	100,000,000.00	05/19/2021 0.22%	100,000,000.00 100,000,000.00	100.04 0.16%	100,042,300.00 82,500.00	0.94% 42,300.00	P-1 / A-1 F-1+	0.67 0.67
89114WBY0	Toronto Dominion Yankee CD 0.180% Due 06/30/2022	75,000,000.00	06/10/2021 0.18%	75,000,000.00 75,000,000.00	100.01 0.17%	75,005,025.00 42,375.00	0.70% 5,025.00	P-1 / A-1+ F-1+	0.75 0.75
78012UP66	Royal Bank of Canada Yankee CD 0.200% Due 06/30/2022	35,000,000.00	06/29/2021 0.20%	35,000,000.00 35,000,000.00	100.02 0.17%	35,007,630.00 18,277.78	0.33% 7,630.00	P-1 / A-1+ F-1+	0.75 0.75
78012UP90	Royal Bank of Canada Yankee CD 0.200% Due 06/30/2022	40,000,000.00	07/01/2021 0.20%	40,000,000.00 40,000,000.00	100.02 0.17%	40,008,720.00 20,888.89	0.37% 8,720.00	P-1 / A-1+ F-1+	0.75 0.75
13606CVX9	Canadian Imperial Bank Comm NY Yankee CD 0.170% Due 06/30/2022	50,000,000.00	08/19/2021 0.17%	50,000,000.00 50,000,000.00	99.99 0.18%	49,995,800.00 10,152.78	0.47% (4,200.00)	P-1 / A-1 F-1+	0.75 0.75
89114WFW0	Toronto Dominion Yankee CD 0.155% Due 06/30/2022	25,000,000.00	09/15/2021 0.15%	25,000,000.00 25,000,000.00	100.00 0.17%	25,000,000.00 1,722.22	0.23% 0.00	P-1 / A-1+ F-1+	0.75 0.75
13606CTZ7	Canadian Imperial Bank Comm NY Yankee CD 0.160% Due 07/01/2022	50,000,000.00	06/07/2021 0.16%	50,000,000.00 50,000,000.00	99.98 0.18%	49,991,950.00 25,777.78	0.47% (8,050.00)	P-1 / A-1 F-1+	0.75 0.75
06367CG92	Bank of Montreal Chicago Yankee CD 0.180% Due 07/01/2022	50,000,000.00	06/09/2021 0.18%	50,000,000.00 50,000,000.00	100.01 0.17%	50,003,350.00 28,500.00	0.47% 3,350.00	P-1 / A-1 F-1+	0.75 0.75
78012UP58	Royal Bank of Canada Yankee CD 0.200% Due 07/01/2022	100,000,000.00	06/29/2021 0.20%	100,000,000.00 100,000,000.00	100.02 0.17%	100,021,900.00 52,222.22	0.94% 21,900.00	P-1 / A-1+ F-1+	0.75 0.75
06367CHU4	Bank of Montreal Chicago Yankee CD 0.200% Due 08/01/2022	35,000,000.00	07/07/2021 0.20%	35,000,000.00 35,000,000.00	100.02 0.18%	35,005,285.00 16,722.22	0.33% 5,285.00	P-1 / A-1 F-1+	0.84 0.83
78012US30	Royal Bank of Canada Yankee CD 0.200% Due 08/01/2022	25,000,000.00	08/13/2021 0.20%	25,000,000.00 25,000,000.00	100.02 0.18%	25,004,000.00 6,805.56	0.23% 4,000.00	P-1 / A-1+ F-1+	0.84 0.83
78012US63	Royal Bank of Canada Yankee CD 0.200% Due 08/01/2022	80,000,000.00	08/17/2021 0.20%	80,000,000.00 80,000,000.00	100.02 0.18%	80,012,800.00 20,000.00	0.75% 12,800.00	P-1 / A-1 F-1+	0.84 0.83

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
13606CVW1	Canadian Imperial Bank Comm NY Yankee CD 0.190% Due 08/01/2022	40,000,000.00	08/19/2021 0.19%	40,000,000.00 40,000,000.00	100.00 0.19%	39,999,640.00 9,077.78	0.37% (360.00)	P-1 / A-1 F-1+	0.84 0.83
				1,829,963,027.78		1,830,204,695.00	17.13%	Aaa / AA+	0.47
TOTAL Negotiable CD		1,830,000,000.00	0.17%	1,829,981,208.33	0.14%	1,015,202.77	223,486.67	Aaa	0.47
Supranational									
4581X0CZ9	Inter-American Dev Bank Note 1.750% Due 09/14/2022	50,000,000.00	08/27/2020 0.23%	51,548,000.00 50,720,192.51	101.48 0.20%	50,740,950.00 41,319.44	0.48% 20,757.49	Aaa / AAA AAA	0.96 0.95
4581X0DA3	Inter-American Dev Bank Note 2.500% Due 01/18/2023	94,700,000.00	Various 1.90%	96,469,012.00 95,409,308.40	102.98 0.21%	97,519,219.00 480,076.39	0.92% 2,109,910.60	Aaa / AAA NR	1.30 1.28
459058GX5	Intl. Bank Recon & Development Note 1.875% Due 06/19/2023	14,750,000.00	12/20/2019 1.72%	14,825,815.00 14,787,165.38	102.69 0.30%	15,146,863.50 78,359.38	0.14% 359,698.12	Aaa / AAA AAA	1.72 1.69
459058GL1	Intl. Bank Recon & Development Note 3.000% Due 09/27/2023	63,846,000.00	Various 1.86%	66,560,348.76 65,232,650.83	105.27 0.34%	67,209,407.28 21,281.99	0.63% 1,976,756.45	Aaa / AAA NR	1.99 1.95
4581X0CC0	Inter-American Dev Bank Note 3.000% Due 10/04/2023	50,000,000.00	Various 2.13%	51,685,788.30 50,828,555.33	105.33 0.34%	52,664,350.00 737,500.00	0.50% 1,835,794.67	Aaa / NR AAA	2.01 1.94
45950VTU0	International Finance Corp Note 0.290% Due 11/06/2023	25,000,000.00	11/06/2020 0.29%	25,000,000.00 25,000,000.00	99.78 0.40%	24,944,025.00 29,201.39	0.23% (55,975.00)	Aaa / AAA NR	2.10 2.09
4581X0DF2	Inter-American Dev Bank Note 2.625% Due 01/16/2024	84,750,000.00	Various 2.42%	85,504,800.00 85,117,047.88	104.96 0.45%	88,955,295.00 463,476.56	0.84% 3,838,247.12	Aaa / AAA NR	2.30 2.23
45818WCG9	Inter-American Dev Bank Note 2.290% Due 01/31/2024	50,000,000.00	04/02/2019 2.29%	50,000,000.00 50,000,000.00	104.30 0.43%	52,152,050.00 194,013.89	0.49% 2,152,050.00	Aaa / AA AAA	2.34 2.27
4581X0CF3	Inter-American Dev Bank Note 3.000% Due 02/21/2024	11,869,000.00	10/31/2019 1.75%	12,480,490.88 12,208,156.00	106.04 0.46%	12,585,531.53 39,563.33	0.12% 377,375.53	Aaa / AAA AAA	2.39 2.32
45818WCH7	Inter-American Dev Bank Note 2.330% Due 02/29/2024	50,000,000.00	04/08/2019 2.33%	50,000,000.00 50,000,000.00	104.51 0.45%	52,255,900.00 103,555.56	0.49% 2,255,900.00	Aaa / AAA AAA	2.42 2.35
459058GQ0	Intl. Bank Recon & Development Note 2.500% Due 03/19/2024	25,000,000.00	03/19/2019 2.53%	24,959,250.00 24,979,926.11	104.96 0.48%	26,241,200.00 20,833.33	0.25% 1,261,273.89	Aaa / AAA AAA	2.47 2.40
459056HV2	Intl. Bank Recon & Development Note 1.500% Due 08/28/2024	25,000,000.00	03/19/2021 0.52%	25,832,500.00 25,702,794.12	102.70 0.56%	25,674,875.00 34,375.00	0.24% (27,919.12)	Aaa / AAA AAA	2.91 2.85
4581X0DZ8	Inter-American Dev Bank Note 0.500% Due 09/23/2024	50,000,000.00	09/23/2021 0.52%	49,963,000.00 49,963,270.07	99.70 0.60%	49,851,950.00 5,555.56	0.47% (111,320.07)	Aaa / AAA NR	2.98 2.95
45950KCR9	International Finance Corp Note 1.375% Due 10/16/2024	25,000,000.00	10/16/2019 1.44%	24,926,750.00 24,955,456.62	102.31 0.61%	25,578,500.00 157,552.08	0.24% 623,043.38	Aaa / AAA NR	3.05 2.97

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund
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CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
45950VTV8	International Finance Corp Note 0.385% Due 11/04/2024	25,000,000.00	11/04/2020 0.39%	25,000,000.00 25,000,000.00	99.50 0.55%	24,875,775.00 39,302.08	0.23% (124,225.00)	Aaa / AAA NR	3.10 3.07
4581X0CM8	Inter-American Dev Bank Note 2.125% Due 01/15/2025	23,093,000.00	02/25/2021 0.54%	24,491,743.01 24,280,351.06	104.71 0.68%	24,179,872.05 103,597.76	0.23% (100,479.01)	Aaa / AAA AAA	3.30 3.18
45950VPR1	International Finance Corp Note 0.350% Due 02/26/2025	25,000,000.00	02/26/2021 0.40%	24,946,250.00 24,954,233.40	98.90 0.68%	24,725,325.00 8,506.94	0.23% (228,908.40)	Aaa / AAA NR	3.41 3.38
459058JB0	Intl. Bank Recon & Development Note 0.625% Due 04/22/2025	50,000,000.00	Various 0.69%	49,857,250.00 49,891,042.63	99.63 0.73%	49,815,000.00 138,020.84	0.47% (76,042.63)	Aaa / AAA NR	3.56 3.50
45818WDC7	Inter-American Dev Bank Note 0.775% Due 07/09/2025	50,000,000.00	04/09/2021 0.78%	50,000,000.00 50,000,000.00	99.76 0.84%	49,877,750.00 88,263.89	0.47% (122,250.00)	NR / NR NR	3.78 3.71
459058JE4	Intl. Bank Recon & Development Note 0.375% Due 07/28/2025	25,000,000.00	07/28/2020 0.40%	24,966,500.00 24,974,388.83	98.46 0.79%	24,613,975.00 16,406.25	0.23% (360,413.83)	Aaa / AAA AAA	3.83 3.79
459058JL8	Intl. Bank Recon & Development Note 0.500% Due 10/28/2025	44,000,000.00	Various 0.62%	43,762,370.00 43,794,247.55	98.63 0.84%	43,395,836.00 93,500.00	0.41% (398,411.55)	Aaa / AAA AAA	4.08 4.02
45950VPJ9	International Finance Corp Note 0.580% Due 01/15/2026	19,700,000.00	02/12/2021 0.53%	19,748,068.00 19,741,892.41	97.92 1.08%	19,290,791.60 24,121.56	0.18% (451,100.81)	Aaa / AAA NR	4.30 4.22
45950VPK6	International Finance Corp Note 0.450% Due 02/05/2026	25,000,000.00	02/05/2021 0.53%	24,907,500.00 24,919,556.41	97.52 1.03%	24,380,175.00 17,500.00	0.23% (539,381.41)	NR / NR NR	4.35 4.28
45905U5Y6	Intl. Bank Recon & Development Callable Note 1X 2/18/2022 0.600% Due 02/18/2026	75,000,000.00	02/18/2021 0.60%	74,987,500.00 74,989,040.25	98.12 1.04%	73,591,275.00 53,750.00	0.69% (1,397,765.25)	Aaa / AAA NR	4.39 4.09
45906M2P5	International Bank and Recon Callable Note Annual 6/30/2022 0.875% Due 06/30/2026	25,000,000.00	06/30/2021 0.88%	25,000,000.00 25,000,000.00	98.53 1.19%	24,631,575.00 55,295.14	0.23% (368,425.00)	Aaa / AAA NR	4.75 3.63
TOTAL Supranational		1,006,708,000.00	1.27%	1,017,422,935.95 1,012,449,275.79	0.57%	1,024,897,465.96 3,044,928.36	9.62% 12,448,190.17	Aaa / AAA Aaa	2.78 2.68
US Treasury									
912828U65	US Treasury Note 1.750% Due 11/30/2021	15,000,000.00	12/09/2016 1.83%	14,944,335.95 14,998,161.89	100.28 0.09%	15,041,595.00 88,217.21	0.14% 43,433.11	Aaa / AA+ AAA	0.17 0.17
9128287C8	US Treasury Note 1.750% Due 07/15/2022	20,000,000.00	11/21/2019 1.57%	20,093,750.00 20,027,824.46	101.30 0.10%	20,260,940.00 74,184.78	0.19% 233,115.54	Aaa / AA+ AAA	0.79 0.79
9128282S8	US Treasury Note 1.625% Due 08/31/2022	10,000,000.00	09/11/2019 1.58%	10,012,500.00 10,003,847.93	101.40 0.10%	10,139,840.00 13,915.75	0.09% 135,992.07	Aaa / AA+ AAA	0.92 0.91

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
912828P38	US Treasury Note 1.750% Due 01/31/2023	65,000,000.00	Various 2.10%	64,154,882.80	102.11	66,371,110.00	0.62%	Aaa / AA+ AAA	1.34
				64,706,618.59	0.17%	191,644.02	1,664,491.41		1.32
912828Q29	US Treasury Note 1.500% Due 03/31/2023	12,000,000.00	09/16/2019 1.75%	11,895,468.76	101.96	12,235,308.00	0.11%	Aaa / AA+ AAA	1.50
				11,955,825.03	0.19%	494.51	279,482.97		1.49
912828S35	US Treasury Note 1.375% Due 06/30/2023	20,000,000.00	Various 1.62%	19,831,054.70	101.99	20,398,440.00	0.19%	Aaa / AA+ AAA	1.75
				19,916,484.39	0.23%	69,497.28	481,955.61		1.73
912828S92	US Treasury Note 1.250% Due 07/31/2023	20,000,000.00	Various 1.46%	19,841,796.88	101.83	20,365,620.00	0.19%	Aaa / AA+ AAA	1.83
				19,924,841.00	0.25%	42,119.56	440,779.00		1.81
912828Y61	US Treasury Note 2.750% Due 07/31/2023	5,000,000.00	10/11/2019 1.58%	5,214,453.10	104.55	5,227,540.00	0.05%	Aaa / AA+ AAA	1.83
				5,103,135.11	0.26%	23,165.76	124,404.89		1.79
912828D1	US Treasury Note 1.375% Due 08/31/2023	40,000,000.00	05/31/2019 1.96%	39,046,875.00	102.11	40,842,200.00	0.38%	Aaa / AA+ AAA	1.92
				39,571,001.69	0.27%	47,099.45	1,271,198.31		1.89
912828T91	US Treasury Note 1.625% Due 10/31/2023	25,000,000.00	Various 1.39%	25,234,375.01	102.74	25,684,575.00	0.24%	Aaa / AA+ AAA	2.08
				25,117,307.17	0.31%	170,006.80	567,267.83		2.04
912828S29	US Treasury Note 2.500% Due 01/31/2024	10,000,000.00	02/01/2019 2.46%	10,016,406.25	104.95	10,494,530.00	0.10%	Aaa / AA+ AAA	2.34
				10,007,659.25	0.37%	42,119.57	486,870.75		2.27
912828W71	US Treasury Note 2.125% Due 03/31/2024	15,000,000.00	04/02/2019 2.25%	14,913,281.25	104.24	15,636,330.00	0.15%	Aaa / AA+ AAA	2.50
				14,956,664.38	0.42%	875.69	679,665.62		2.44
912828WJ5	US Treasury Note 2.500% Due 05/15/2024	15,000,000.00	06/11/2019 1.91%	15,417,187.50	105.38	15,806,250.00	0.15%	Aaa / AA+ AAA	2.62
				15,221,804.69	0.44%	141,644.02	584,445.31		2.53
912828XX3	US Treasury Note 2.000% Due 06/30/2024	50,000,000.00	Various 1.08%	51,432,617.19	104.17	52,084,000.00	0.49%	Aaa / AA+ AAA	2.75
				51,223,815.06	0.47%	252,717.40	860,184.94		2.67
912828Y87	US Treasury Note 1.750% Due 07/31/2024	10,000,000.00	05/04/2020 0.34%	10,594,921.88	103.57	10,357,030.00	0.10%	Aaa / AA+ AAA	2.84
				10,397,126.68	0.48%	29,483.70	(40,096.68)		2.76
912828D56	US Treasury Note 2.375% Due 08/15/2024	10,000,000.00	08/29/2019 1.39%	10,471,484.38	105.36	10,535,550.00	0.10%	Aaa / AA+ AAA	2.88
				10,272,800.39	0.50%	30,332.88	262,749.61		2.78
912828Z52	US Treasury Note 1.375% Due 01/31/2025	30,000,000.00	Various 0.65%	31,051,757.83	102.50	30,748,830.00	0.29%	Aaa / AA+ AAA	3.34
				30,717,013.97	0.62%	69,497.28	31,816.03		3.25
912828J27	US Treasury Note 2.000% Due 02/15/2025	20,000,000.00	04/28/2020 0.37%	21,546,875.00	104.57	20,914,840.00	0.20%	Aaa / AA+ AAA	3.38
				21,087,398.45	0.63%	51,086.96	(172,558.45)		3.27
912828ZF0	US Treasury Note 0.500% Due 03/31/2025	15,000,000.00	04/13/2020 0.42%	15,059,179.70	99.42	14,912,700.00	0.14%	Aaa / AA+ AAA	3.50
				15,041,683.66	0.67%	206.04	(128,983.66)		3.46
912828ZL7	US Treasury Note 0.375% Due 04/30/2025	15,000,000.00	06/01/2020 0.33%	15,036,328.13	98.86	14,829,495.00	0.14%	Aaa / AA+ AAA	3.58
				15,026,466.48	0.70%	23,539.40	(196,971.48)		3.55
912828ZW3	US Treasury Note 0.250% Due 06/30/2025	175,000,000.00	Various 0.66%	172,001,953.13	98.19	171,834,950.00	1.61%	Aaa / AA+ AAA	3.75
				172,344,925.39	0.74%	110,563.85	(509,975.39)		3.72

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of September 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
91282CAB7	US Treasury Note 0.250% Due 07/31/2025	50,000,000.00	Various 0.71%	49,020,507.81 49,134,483.37	98.05 0.77%	49,027,350.00 21,059.78	0.46% (107,133.37)	Aaa / AA+ AAA	3.84 3.80
91282CAM3	US Treasury Note 0.250% Due 09/30/2025	135,000,000.00	Various 0.72%	132,286,328.14 132,492,463.35	97.82 0.80%	132,057,405.00 927.19	1.24% (435,058.35)	Aaa / AA+ AAA	4.00 3.97
91282CAT8	US Treasury Note 0.250% Due 10/31/2025	35,000,000.00	05/28/2021 0.67%	34,362,890.63 34,412,535.52	97.68 0.83%	34,186,530.00 36,616.85	0.32% (226,005.52)	Aaa / AA+ AAA	4.09 4.04
91282CAZ4	US Treasury Note 0.375% Due 11/30/2025	30,000,000.00	05/28/2021 0.69%	29,587,500.00 29,619,057.38	98.06 0.85%	29,417,580.00 37,807.38	0.28% (201,477.38)	Aaa / AA+ AAA	4.17 4.12
91282CBC4	US Treasury Note 0.375% Due 12/31/2025	33,000,000.00	01/27/2021 0.39%	32,971,640.63 32,975,534.33	97.95 0.87%	32,323,236.00 31,273.78	0.30% (652,298.33)	Aaa / AA+ AAA	4.25 4.20
91282CBH3	US Treasury Note 0.375% Due 01/31/2026	25,000,000.00	04/12/2021 0.86%	24,424,804.68 24,481,177.10	97.82 0.89%	24,454,100.00 15,794.84	0.23% (27,077.10)	Aaa / AA+ AAA	4.34 4.28
91282CBQ3	US Treasury Note 0.500% Due 02/28/2026	25,000,000.00	04/12/2021 0.87%	24,554,687.50 24,597,645.30	98.27 0.90%	24,568,350.00 10,704.42	0.23% (29,295.30)	Aaa / AA+ AAA	4.42 4.35
91282CBW0	US Treasury Note 0.750% Due 04/30/2026	50,000,000.00	05/26/2021 0.77%	49,945,312.50 49,949,201.39	99.19 0.93%	49,595,700.00 156,929.35	0.47% (353,501.39)	Aaa / AA+ AAA	4.58 4.48
91282CCF6	US Treasury Note 0.750% Due 05/31/2026	50,000,000.00	06/09/2021 0.74%	50,015,625.00 50,014,644.68	99.12 0.94%	49,560,550.00 126,024.59	0.46% (454,094.68)	Aaa / AA+ AAA	4.67 4.56
9128286X3	US Treasury Note 2.125% Due 05/31/2026	25,000,000.00	06/09/2021 0.74%	26,694,335.94 26,588,031.98	105.41 0.94%	26,353,525.00 178,534.84	0.25% (234,506.98)	Aaa / AA+ AAA	4.67 4.42
91282CCP4	US Treasury Note 0.625% Due 07/31/2026	50,000,000.00	Various 0.91%	49,314,453.06 49,320,317.64	98.36 0.97%	49,179,700.00 52,649.46	0.46% (140,617.64)	Aaa / AA+ AAA	4.84 4.74
91282CCW9	US Treasury Note 0.750% Due 08/31/2026	25,000,000.00	09/24/2021 0.90%	24,819,335.94 24,820,037.74	98.88 0.98%	24,720,700.00 16,056.63	0.23% (99,337.74)	Aaa / AA+ AAA	4.92 4.81
TOTAL US Treasury		1,130,000,000.00	0.99%	1,125,808,906.27 1,126,027,535.44	0.65%	1,130,166,399.00 2,156,791.02	10.59% 4,138,863.56	Aaa / AA+ Aaa	3.41 3.35
TOTAL PORTFOLIO		10,627,150,856.14	0.73%	10,645,749,307.37 10,634,422,379.41	0.39%	10,672,473,891.45 16,648,472.27	100.00% 38,051,512.04	Aaa / AA+ Aaa	1.85 1.49
TOTAL MARKET VALUE PLUS ACCRUALS						10,689,122,363.72			

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of September 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
ACQUISITIONS										
Purchase	09/01/2021	48130UYC3	50,000,000.00	JPMorgan Chase Callable Note 2X 09/01/2022 0.75% Due: 08/30/2024	100.000	0.75%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	09/01/2021	90CAMP\$00	8,791.84	California Asset Mgmt Program CAMP	1.000	0.05%	8,791.84	0.00	8,791.84	0.00
Purchase	09/03/2021	09659BW71	70,000,000.00	BNP Paribas Discount CP 0.06% Due: 09/07/2021	99.999	0.06%	69,999,533.33	0.00	69,999,533.33	0.00
Purchase	09/07/2021	21687AW82	75,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/08/2021	100.000	0.07%	74,999,854.17	0.00	74,999,854.17	0.00
Purchase	09/08/2021	13606CWL4	50,000,000.00	Canadian Imperial Bank Comm NY Yankee CD 0.09% Due: 12/15/2021	100.000	0.09%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	09/08/2021	21687AW90	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/09/2021	100.000	0.07%	99,999,805.56	0.00	99,999,805.56	0.00
Purchase	09/09/2021	21687AWA7	75,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/10/2021	100.000	0.07%	74,999,854.17	0.00	74,999,854.17	0.00
Purchase	09/10/2021	21687AWD1	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/13/2021	99.999	0.07%	99,999,416.67	0.00	99,999,416.67	0.00
Purchase	09/13/2021	21687AWE9	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/14/2021	100.000	0.07%	99,999,805.56	0.00	99,999,805.56	0.00
Purchase	09/14/2021	21687AWF6	115,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/15/2021	100.000	0.07%	114,999,776.39	0.00	114,999,776.39	0.00
Purchase	09/15/2021	21687AWG4	135,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/16/2021	100.000	0.07%	134,999,737.49	0.00	134,999,737.49	0.00
Purchase	09/15/2021	89114WFW0	25,000,000.00	Toronto Dominion Yankee CD 0.155% Due: 06/30/2022	100.000	0.15%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	09/16/2021	21687AWH2	100,000,000.00	FHLB Discount CP 0.07% Due: 09/17/2021	100.000	0.07%	99,999,805.56	0.00	99,999,805.56	0.00
Purchase	09/16/2021	3130ANV64	25,000,000.00	FHLB Callalble Note Qtrly 9/16/2022 0.96% Due: 09/16/2026	100.000	0.96%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	09/17/2021	21687AWL3	80,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/20/2021	99.999	0.07%	79,999,533.33	0.00	79,999,533.33	0.00
Purchase	09/20/2021	21687AWM1	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/21/2021	100.000	0.07%	99,999,805.56	0.00	99,999,805.56	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of September 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Purchase	09/20/2021	89233GZN9	25,000,000.00	Toyota Motor Credit Discount CP 0.1% Due: 12/22/2021	99.974	0.10%	24,993,541.67	0.00	24,993,541.67	0.00
Purchase	09/21/2021	21687AWN9	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/22/2021	100.000	0.07%	99,999,805.56	0.00	99,999,805.56	0.00
Purchase	09/22/2021	21687AWP4	75,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/23/2021	100.000	0.07%	74,999,854.17	0.00	74,999,854.17	0.00
Purchase	09/22/2021	45685QZF9	75,000,000.00	ING (US) Funding LLC Discount CP 0.09% Due: 12/15/2021	99.979	0.09%	74,984,250.00	0.00	74,984,250.00	0.00
Purchase	09/22/2021	87019V3J4	25,000,000.00	Swedbank Yankee CD 0.12% Due: 03/07/2022	100.000	0.12%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	09/23/2021	4581X0DZ8	50,000,000.00	Inter-American Dev Bank Note 0.5% Due: 09/23/2024	99.926	0.52%	49,963,000.00	0.00	49,963,000.00	0.00
Purchase	09/23/2021	89233GZH2	50,000,000.00	Toyota Motor Credit Discount CP 0.09% Due: 12/17/2021	99.979	0.09%	49,989,375.00	0.00	49,989,375.00	0.00
Purchase	09/24/2021	45685QZH5	50,000,000.00	ING (US) Funding LLC Discount CP 0.09% Due: 12/17/2021	99.979	0.09%	49,989,500.00	0.00	49,989,500.00	0.00
Purchase	09/24/2021	91282CCW9	25,000,000.00	US Treasury Note 0.75% Due: 08/31/2026	99.277	0.90%	24,819,335.94	12,430.94	24,831,766.88	0.00
Purchase	09/27/2021	09659CBU1	50,000,000.00	BNP Paribas Discount CP 0.12% Due: 02/28/2022	99.949	0.12%	49,974,333.33	0.00	49,974,333.33	0.00
Purchase	09/27/2021	254683CP8	17,000,000.00	Discover Card Execution Trust 2021-A1 A1 0.58% Due: 09/15/2026	99.979	0.59%	16,996,360.30	0.00	16,996,360.30	0.00
Purchase	09/27/2021	89233GZL3	25,000,000.00	Toyota Motor Credit Discount CP 0.09% Due: 12/20/2021	99.979	0.09%	24,994,750.00	0.00	24,994,750.00	0.00
Purchase	09/27/2021	89239BAB7	22,500,000.00	Toyota Auto Receivables Trust 2021-C A2 0.2% Due: 05/15/2024	99.992	0.21%	22,498,299.00	0.00	22,498,299.00	0.00
Purchase	09/27/2021	89239BAC5	24,000,000.00	Toyota Auto Receivables Trust 2021-C A3 0.43% Due: 01/15/2026	99.992	0.43%	23,998,087.20	0.00	23,998,087.20	0.00
Purchase	09/28/2021	06367CM46	100,000,000.00	Bank of Montreal Yankee CD 0.06% Due: 10/29/2021	100.000	0.06%	100,000,000.00	0.00	100,000,000.00	0.00
Purchase	09/28/2021	21687AWV1	150,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/29/2021	100.000	0.07%	149,999,708.33	0.00	149,999,708.33	0.00
Purchase	09/28/2021	3133EM6E7	25,000,000.00	FFCB Callable Note Cont 09/28/2022 0.94% Due: 09/28/2026	100.000	0.94%	25,000,000.00	0.00	25,000,000.00	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of September 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Purchase	09/28/2021	3133EM6E7	25,000,000.00	FFCB Callable Note Cont 09/28/2022 0.94% Due: 09/28/2026	100.000	0.94%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	09/28/2021	89114WH40	50,000,000.00	Toronto Dominion Yankee CD 0.14% Due: 03/30/2022	100.000	0.14%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	09/28/2021	91282CCP4	25,000,000.00	US Treasury Note 0.625% Due: 07/31/2026	98.285	0.99%	24,571,289.00	25,051.01	24,596,340.01	0.00
Purchase	09/29/2021	21687AWW9	150,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/30/2021	100.000	0.07%	149,999,708.33	0.00	149,999,708.33	0.00
Purchase	09/30/2021	89114WH81	65,000,000.00	Toronto Dominion Yankee CD 0.14% Due: 03/30/2022	100.000	0.14%	65,000,000.00	0.00	65,000,000.00	0.00
Subtotal			2,403,508,791.84				2,402,776,917.46	37,481.95	2,402,814,399.41	0.00
TOTAL ACQUISITIONS			2,403,508,791.84				2,402,776,917.46	37,481.95	2,402,814,399.41	0.00
DISPOSITIONS										
Call	09/23/2021	89236TGG4	25,000,000.00	Toyota Motor Credit Corp Callable Note 1X 9/23/2021 2.1% Due: 09/23/2022	100.000	2.10%	25,000,000.00	0.00	25,000,000.00	0.00
Call	09/27/2021	45818WCR5	25,000,000.00	Inter-American Dev Bank Callable Note 1X 9/27/2021 1.95% Due: 09/27/2023	100.000	1.95%	25,000,000.00	0.00	25,000,000.00	0.00
Call	09/28/2021	3134GWTLO	25,000,000.00	FHLMC Callable Note Qtrly 9/28/2021 0.3% Due: 09/28/2023	100.000	0.30%	25,000,000.00	0.00	25,000,000.00	0.00
Subtotal			75,000,000.00				75,000,000.00	0.00	75,000,000.00	0.00
Maturity	09/01/2021	74433GW10	50,000,000.00	Prudential Funding Discount CP 0.06% Due: 09/01/2021	100.000		50,000,000.00	0.00	50,000,000.00	0.00
Maturity	09/01/2021	78012UYB5	25,000,000.00	Royal Bank of Canada Yankee CD 0.22% Due: 09/01/2021	100.000		25,000,000.00	51,333.33	25,051,333.33	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of September 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Maturity	09/01/2021	89114W6N0	50,000,000.00	Toronto Dominion Yankee CD 0.14% Due: 09/01/2021	100.000		50,000,000.00	28,583.35	50,028,583.35	0.00
Maturity	09/02/2021	21687AW25	25,000,000.00	Rabobank Nederland NV NY Discount CP 0.135% Due: 09/02/2021	99.945		25,000,000.00	0.00	25,000,000.00	0.00
Maturity	09/03/2021	06417MMS1	65,000,000.00	Bank of Nova Scotia Houston Yankee CD 0.25% Due: 09/03/2021	100.000		65,000,000.00	120,520.86	65,120,520.86	0.00
Maturity	09/07/2021	09659BW71	70,000,000.00	BNP Paribas Discount CP 0.06% Due: 09/07/2021	99.999		70,000,000.00	0.00	70,000,000.00	0.00
Maturity	09/07/2021	21687AW74	30,000,000.00	Rabobank Nederland NV NY Discount CP 0.135% Due: 09/07/2021	99.943		30,000,000.00	0.00	30,000,000.00	0.00
Maturity	09/08/2021	06417MMY8	50,000,000.00	Bank of Nova Scotia Houston Yankee CD 0.24% Due: 09/08/2021	100.000		50,000,000.00	88,333.35	50,088,333.35	0.00
Maturity	09/08/2021	21687AW82	110,000,000.00	Rabobank Nederland NV NY Discount CP 0.103% Due: 09/08/2021	99.971		110,000,000.00	0.00	110,000,000.00	0.00
Maturity	09/09/2021	02665WBG5	25,000,000.00	American Honda Finance Note 1.7% Due: 09/09/2021	100.000		25,000,000.00	0.00	25,000,000.00	0.00
Maturity	09/09/2021	21687AW90	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/09/2021	100.000		100,000,000.00	0.00	100,000,000.00	0.00
Maturity	09/10/2021	21687AWA7	75,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/10/2021	100.000		75,000,000.00	0.00	75,000,000.00	0.00
Maturity	09/13/2021	21687AWD1	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/13/2021	99.999		100,000,000.00	0.00	100,000,000.00	0.00
Maturity	09/14/2021	21687AWE9	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/14/2021	100.000		100,000,000.00	0.00	100,000,000.00	0.00
Maturity	09/15/2021	21687AWF6	115,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/15/2021	100.000		115,000,000.00	0.00	115,000,000.00	0.00
Maturity	09/16/2021	21687AWG4	135,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/16/2021	100.000		135,000,000.00	0.00	135,000,000.00	0.00
Maturity	09/17/2021	13606CGQ1	50,000,000.00	Canadian Imperial Bank Comm NY Yankee CD 0.25% Due: 09/17/2021	100.000		50,000,000.00	125,000.00	50,125,000.00	0.00
Maturity	09/17/2021	21687AWH2	100,000,000.00	FHLB Discount CP 0.07% Due: 09/17/2021	100.000		100,000,000.00	0.00	100,000,000.00	0.00
Maturity	09/20/2021	21687AWL3	80,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/20/2021	99.999		80,000,000.00	0.00	80,000,000.00	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of September 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Maturity	09/20/2021	78012UXT7	25,000,000.00	Royal Bank of Canada Yankee CD 0.25% Due: 09/20/2021	100.000		25,000,000.00	62,500.00	25,062,500.00	0.00
Maturity	09/21/2021	21687AWM1	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/21/2021	100.000		100,000,000.00	0.00	100,000,000.00	0.00
Maturity	09/22/2021	21687AWN9	100,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/22/2021	100.000		100,000,000.00	0.00	100,000,000.00	0.00
Maturity	09/23/2021	21687AWP4	75,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/23/2021	100.000		75,000,000.00	0.00	75,000,000.00	0.00
Maturity	09/29/2021	21687AWV1	150,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/29/2021	100.000		150,000,000.00	0.00	150,000,000.00	0.00
Maturity	09/30/2021	06367CCH8	25,000,000.00	Bank of Montreal Chicago Yankee CD 0.18% Due: 09/30/2021	100.000		25,000,000.00	25,750.00	25,025,750.00	0.00
Maturity	09/30/2021	21684XLX2	50,000,000.00	Cooperative Rabobank UA Yankee CD 0.24% Due: 09/30/2021	100.000		50,000,000.00	93,333.35	50,093,333.35	0.00
Maturity	09/30/2021	21687AWW9	150,000,000.00	Rabobank Nederland NV NY Discount CP 0.07% Due: 09/30/2021	100.000		150,000,000.00	0.00	150,000,000.00	0.00
Maturity	09/30/2021	22533TWW2	75,000,000.00	Credit Agricole Discount CP 0.13% Due: 09/30/2021	99.944		75,000,000.00	0.00	75,000,000.00	0.00
Maturity	09/30/2021	45685QWW5	50,000,000.00	ING (US) Funding LLC Discount CP 0.19% Due: 09/30/2021	99.901		50,000,000.00	0.00	50,000,000.00	0.00
Maturity	09/30/2021	63873JWW6	50,000,000.00	Natixis NY Branch Discount CP 0.14% Due: 09/30/2021	99.943		50,000,000.00	0.00	50,000,000.00	0.00
Maturity	09/30/2021	912828T34	25,000,000.00	US Treasury Note 1.125% Due: 09/30/2021	100.000		25,000,000.00	0.00	25,000,000.00	0.00
Subtotal			2,230,000,000.00				2,230,000,000.00	595,354.24	2,230,595,354.24	0.00
TOTAL DISPOSITIONS			2,305,000,000.00				2,305,000,000.00	595,354.24	2,305,595,354.24	0.00

CONTACT US



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Treasurer-Tax Collector**

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**SAN DIEGO COUNTY TREASURER'S
POOLED MONEY FUND
INVESTMENT POLICY**

January 1, 2021

The Investment Policy and practices of the County Treasurer are based on prudent money management principles and California State Law, specifically Government Code Sections 27000.1 - 27000.5, 27130 - 27137, and 53600 - 53686. Section 53635 shall apply to a local agency that is a county or other local agency that pools money in deposits or investments with other local agencies, including local agencies that have the same governing body. However, Section 53601 shall apply to all local agencies that pool money in deposits or investments exclusively with local agencies that have the same governing body.

The practices of this office will always comply with the legal authority and limitations placed on it by the governing legislative bodies. The implementation of these laws, allowing for the dynamics of the money markets, will be the focus of this policy statement. All matters contained in this policy are to be read and applied pursuant to and consistent with state law. Where this Investment Policy specifies a percentage limitation, compliance will be measured as of the date of purchase. When investing, reinvesting, purchasing, acquiring, exchanging, selling and managing the Pooled Money Fund (the "Fund") the objectives of this office shall be as follows.

- 1. The primary objective shall be to safeguard the principal of the funds under the County Treasurer's control.**
- 2. The secondary objective shall be to meet the liquidity needs of the participants.**
- 3. The third objective shall be to achieve an investment return on the funds under control of the County Treasurer within the parameters of prudent risk management.**

The Fund is an actively managed portfolio. By this, it is meant that the County Treasurer and his staff will observe, review, and adjust to changing conditions that affect the Fund. This shall be viewed as a full-time responsibility by the County Treasurer and his staff. The authority to execute investment transactions that will affect the Fund will be limited to:

**County Treasurer-Tax Collector
Assistant Treasurer-Tax Collector
Chief Deputy Treasurer
Chief Investment Officer
Investment Officers**

The County Treasurer and the above staff will meet on a regular basis to discuss current market conditions and future trends and how each of these affects the Fund.

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**2020 SAN DIEGO COUNTY TREASURER'S
POOLED MONEY FUND INVESTMENT POLICY**

The purpose of the County Treasurer's Investment Policy is to implement the legislated parameters of the investment authority of the Fund. As an elected official of the County of San Diego, the County Treasurer must manage public monies in a way that is consistent with its objectives, investment oversight, and sound investment practices and not solely to maximize returns. The basic concept of investment return is based on a risk/reward relationship; the higher the risk, the higher the expected return. Risk management must be an integral part of any investment policy. Risk management must include adequate internal controls so that Fund depositors and the public have confidence that public monies are secure. The policy stated below will concern itself with risk management.

1. **SECURITY OF PRINCIPAL POLICY** - The policy issues directed to protecting the principal entrusted to this office are:
 - A. Limiting the Fund's exposure to each type of security.
 - B. Limiting the Fund's exposure to each issuer of debt.
 - C. Determining the minimum credit requirement for each type of security.
2. **LIQUIDITY POLICY** - The policy issues directed to provide the necessary liquidity to the participants are:
 - A. Limiting the length of maturity for securities in the Fund.
 - B. Limiting the Fund's exposure to Moderately Liquid and Illiquid securities.
3. **RETURN POLICY** - The policy issues directed to achieving a return are:
 - A. Attaining a market rate of return while taking into account the investment risk constraints and liquidity needs.
 - B. Limiting a majority of the investments to low-risk securities in anticipation of earning a fair return relative to the risk being taken.
4. **MATURITY POLICY**
 - A. The maximum maturity allowed by the California Government Code is 5 years, with shorter limitations specified for certain types of securities. The guidelines for maturities of investments and duration of the Fund, as established under this Policy, shall be:
 - At least 35% of the Fund maturing within 1 year
 - At least 15% of the Fund maturing within 90 days, and
 - A maximum effective duration of 2.0 years

- B. The Fund will be considered in compliance with the maturity policy if it meets the maturity targets above. In the event that the Fund distribution does not comply with the table above, until such time as the Fund is within maturity targets, all securities purchased shall be of a maturity or duration that will lower the maturity and or duration of the Fund. In the event a compliance violation has occurred, a variance report shall be made to the Oversight Committee as part of the normal monthly reporting.

5. GENERAL STRATEGY

The County Treasurer will generally use a buy and hold investment strategy, where securities are purchased with the intent of holding them to maturity. The investment staff will update the Treasury Oversight Committee on its asset allocation and investment strategy at its regularly scheduled meetings. Securities may be sold prior to maturity when deemed prudent. Reasons for selling include, but are not limited to:

- A security with declining credit quality
- A financially advantageous sale and replacement of a security that improves the quality, yield, or target duration of the portfolio
- Meeting the liquidity needs of the portfolio
- Portfolio rebalancing to bring the portfolio back into compliance

6. PROHIBITED SECURITIES

The California Government Code prohibits a local agency from investing in any of the following derivative notes:

- Inverse Floaters
- Range Notes
- Interest-only strips derived from a pool of mortgages
- Any security that could result in zero interest accrual

7. CREDIT RATING POLICY

- A. This Investment Policy sets forth minimum credit ratings for each type of security. These credit limits apply to the initial purchase of a security and do not automatically force the sale of a security if the credit ratings of the security fall below the policy limits.
- B. Minimum credit ratings:
- a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one nationally recognized statistical rating organization (the "NRSRO").
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
- C. The monitoring of credit ratings consists of the following procedures:

1. When a credit rating downgrade occurs which results in a rating below the minimum credit requirement, the Chief Investment Officer and staff will analyze and evaluate the credit to determine whether to hold or sell the security.
2. In the event a security in the Fund receives a credit rating downgrade which results in a rating below the minimum credit requirement, the Investment Group will report the rating change to the Oversight Committee in the monthly report. In the same manner, the Oversight Committee will be informed on the Investment Group's decision to hold or sell a downgraded security.
3. The Investment Group shall meet at least quarterly to review and update the approved list of securities and establish credit criteria for each category of security.

To ensure that the Fund maintains the highest overall credit rating with the contracted NRSRO, the asset allocation and portfolio holdings will be provided to the contracted NRSRO on a monthly basis.

8. INTERNAL CONTROLS

- A. The Chief Deputy Treasurer is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the entity are protected from loss, theft or misuse. The internal control structure shall be designed to provide reasonable assurance that these objectives are met. The concept of reasonable assurance recognizes that:
 1. The cost of a control should not exceed the benefits likely to be derived; and
 2. The valuation of costs and benefits requires estimates and judgments by management.
- B. Accordingly, the Chief Deputy Treasurer shall establish and maintain internal controls that shall address the following points:
 1. Control of Collusion - Collusion is a situation where two or more employees are working in conjunction to defraud their employer. To achieve a segregation of duties, individuals who authorize investment transactions shall not also record or reconcile said transactions.
 2. Clear Delegation of Authority to Subordinate Staff Members - Subordinate staff members must have a clear understanding of their authority and responsibilities to avoid improper actions. Clear delegation of authority also preserves the internal control structure that is contingent on the various staff positions and their respective responsibilities.
 3. Custodial Safekeeping - Securities purchased from any bank or dealer, including appropriate collateral (as defined by California Government Code), that are not

insured by the FDIC, shall be placed with an independent third party for custodial safekeeping.

4. Avoidance of Physical Delivered Bearer Securities - Book entry securities are much easier to transfer and account for since actual delivery of a document never takes place. Bearer securities must be properly safeguarded against loss or destruction. The potential for fraud and loss increases with such securities.
5. Written Confirmation of Telephone Wire Transfers - Due to the potential for error and improprieties arising from telephone transactions, all telephone transactions should be supported by written or electronic communications and approved by the appropriate person.
6. Development of a Wire Transfer Agreement with the Lead Bank or Third-Party Custodian - This agreement should outline the various controls, security provisions, and responsibilities of each party making and receiving wire transfers.
7. A treasury operations manual, as overseen by the Chief Deputy Treasurer, will be reviewed and updated by the treasury staff every two years or on an as needed basis.
9. **ANNUAL AUDIT** - The Treasury Oversight Committee shall cause an independent review to be conducted annually on a fiscal year basis by an external auditor to determine if the County Treasury is in compliance with the Investment Policy, other internal policies and procedures, and the California Government Code.
10. **PERMISSIBLE INVESTMENTS** - Government Codes 53601, 53601.1, 53601.2, 53601.8, 53635, 53635.8, 53637, 53638, 53651, 53652, and 53653 address permissible investments. These investment categories are addressed individually in sections 11-26 below.
11. **GOVERNMENT OBLIGATIONS** - The Fund invests in two categories of Government Obligations: U.S. Treasury and Agency obligations. Both are issued at the Federal level. U.S. Treasury obligations are bills, notes, and bonds issued by the Treasury and are direct obligations of the Federal Government. Agency obligations are notes and bonds of federal agencies and government sponsored enterprises, including:
 - Federal National Mortgage Association (FNMA)
 - Federal Home Loan Bank (FHLB)
 - Federal Farm Credit Bank (FFCB)
 - Federal Home Loan Mortgage Corporation (FHLMC)
 - Government National Mortgage Corporation (GNMA)
 - Tennessee Valley Authority (TVA)
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.

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- B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category is unlimited.
 - C. Maximum Exposure Per Issuer - The maximum exposure to the Fund for an individual issuer shall be:
 - 1. Treasury - Unlimited
 - 2. Agency - No more than 35% of the Fund value shall be invested in any single issuer.
 - D. Minimum Credit Requirement - None
 - E. Liquidity Category - Liquid
12. **LOCAL AGENCY AND STATE OBLIGATIONS** -These include registered state warrants or treasury notes or bonds of the state of California and registered bonds of any of the other 49 states, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the state or by a department, board, agency, or authority of the state and bonds, notes, warrants, or other evidences of indebtedness of a local agency within the state of California, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the local agency, or by a department, board, agency, or authority of the local agency.
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value.
 - D. Minimum Credit Requirement - Issuers must be at or above the following ratings:
 - a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO.
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
 - E. Liquidity Category - Moderately Liquid
13. **BANKER'S ACCEPTANCES** - This is a draft or bill of exchange accepted by a bank or trust company and brokered to investors in a secondary market. The purpose of the Banker's Acceptance (BA) is to facilitate trade and provide liquidity to the import-export markets. Acceptances are collateralized by the pledge of documents such as invoices, trust

receipts, and other documents evidencing ownership and insurance of the goods financed. Since their inception in 1914, there has been no known loss of principal to investors holding Banker's Acceptances.

- A. Maximum Maturity - The maximum maturity of a security shall be 180 days from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 40%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 5% of the Fund value.
 - D. Minimum Credit Requirement – The rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as “+” or “-”) by at least one NRSRO.
 - E. Liquidity Category – Liquid
14. **COMMERCIAL PAPER** - These are short-term, unsecured or secured, promissory notes issued by firms in the open market. Commercial paper (CP) is generally backed by a bank credit facility, guarantee/bond of indemnity, some other support agreement or collateralized by other financial assets.
- A. Maximum Maturity - The maximum maturity of a security shall be 270 days from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 40%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value, inclusive of any other non-CP investments with said issuer.
 - D. Minimum Credit Requirements - The Rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as “+” or “-”) by at least one NRSRO.
 - E. Liquidity Category - Liquid
15. **MEDIUM-TERM NOTES (“MTN”)** - These are corporate notes, deposit notes, and bank notes sold by an agent in the open market on a continually offered basis. Issuers include well-recognized banks and bank holding companies, thrifts, finance companies, insurance companies, and industrial corporations. These medium-term notes are generally unsecured debt obligations, although some issues come to market on a collateralized or secured basis.
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.

- B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value, inclusive of any other non-MTN investments with said issuer.
 - D. Minimum Credit Requirements - Issuers must be at or above the following ratings:
 - a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO.
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
 - E. Liquidity Category - Liquid
16. **NEGOTIABLE CERTIFICATES OF DEPOSIT** - These are issued by commercial banks and thrift institutions against funds deposited for specified periods of time, and they earn specified or variable rates of interest. Negotiable certificates of deposit ("NCD") differ from other certificates of deposit by their liquidity. NCD's are traded actively in secondary markets.
- A. Maximum Maturity
 - 1. The maximum maturity of an NCD security shall be 5 years from the settlement date.
 - 2. The maximum maturity of any FDIC insured CDs, whether directly placed or placed through a private sector entity, shall be 13 months.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - D. Maximum Exposure per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value, inclusive of any other non-NCD investments with said issuer.
 - E. Minimum Credit Requirement – Issuers must be at or above the following ratings:
 - a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO.
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
 - F. Liquidity Category - Liquid
17. **REPURCHASE AGREEMENTS** - A repurchase agreement (RP) consists of two simultaneous transactions. One is the purchase of securities by an investor (the Fund); the other is the commitment by the seller (i.e. a broker/dealer) to repurchase the securities at the same price, plus interest, at some mutually agreed-upon future date.

- A. Maximum Maturity - The maximum maturity of repurchase agreements shall be one year.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 40%.
 - C. Maximum Exposure Per Broker/Dealer - The maximum exposure to a single broker/dealer shall be 10% of the Fund when the dollar-weighted average maturity is greater than 5 days or 15% of the Fund when the dollar-weighted average maturity is 5 days or less.
 - D. Eligible Broker/Dealers - Broker/Dealers shall sign a PSA Master Repurchase Agreement or a Tri-Party Repurchase Agreement. The Agreement must specify a minimum margin percentage of 102% and also provide for daily mark-to-market of the collateral by the custodian bank.
 - E. Eligible Collateral - The securities eligible for repurchase agreement transactions shall be securities authorized in Section 53601 of the California Government Code. Collateral eligible for repurchase agreements maturing from 7 days to 1 year shall be Treasury and Agency obligations.
 - F. Delivery of Collateral - Broker/Dealers shall deliver the underlying securities to the County's safekeeping bank, a mutually agreed-upon third party custodian bank, or a counterparty bank's customer book-entry account. When a third-party custodian is used, it will be the custodian's responsibility to transfer funds and securities between the broker/dealer and the Fund in accordance with the terms of the repurchase agreement.
 - G. Liquidity Category - Liquid
18. **REVERSE REPURCHASE AGREEMENTS** - Reverse repurchase agreements (RRPs) are essentially the mirror image of RPs. In this instance, the Fund is the seller of securities and the broker or bank is the investor.

Due to the nature of RRP, the policy regarding this instrument is different from the above RP policy.

- A. Maximum Maturity - The maximum maturity of a securities lending loan shall be 92 days unless the agreement includes a written guarantee of a minimum earning or spread for the entire period of the RRP.
- B. Maximum Exposure of Fund - No more than 20% of the Fund shall be exposed to RRP and/or securities lending at any one time.
- C. Maximum Exposure Per Broker/Dealer – No more than 10% of the Fund shall be invested in RRP with any one broker/dealer at any one time.

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- D. Purpose of RRP - The uses of RRP shall be to invest the proceeds from the agreement into permissible securities that are in the highest short-term rating category; to supplement the yield on securities owned; or to provide funds for the immediate payment of an obligation. The maturity of the RRP and the maturity of the security purchased shall be the same.
 - E. Eligible Securities - A RRP may only be entered into with a security authorized in California Government Code 53601 which has been owned and paid for 30 days prior to the settlement of the RRP.
 - F. Eligible Broker/Dealer - Broker/Dealers shall be primary broker/dealers of the Federal Reserve Bank of New York.
 - G. Liquidity Category - Liquid
19. **SECURITIES LENDING** - This is a program conducted by an agent authorized to execute securities lending under the guidelines listed under RRP and as detailed in the "Services for Securities Lending Agreement." A securities lending transaction is when the Fund transfers its securities to broker/dealers and other entities for collateral which may be cash or securities and simultaneously agrees to return the collateral for the same securities in the future. The loans must be secured continuously by cash collateral or securities and maintained at a value of at least equal to 102 % of the market value of the securities loaned. During the term of the loan, the Fund will continue to receive the equivalent of the interest paid by the issuer of the securities loaned. The Fund will have the right to call the loan and receive the securities loaned at any time with one day's notice.
- A. Maximum Maturity - The maximum maturity of a securities lending loan shall be 92 days.
 - B. Maximum Exposure of Fund - No more than 20% of the Fund shall be exposed to securities lending and/or RRP at any one time.
 - C. Maximum Exposure Per Counterparty - No more than 10% of the Fund shall be on loan with any single counterparty at any one time.
 - D. Proceeds shall be invested in securities authorized by California Government Code and this Investment Policy.
20. **COLLATERALIZED CERTIFICATES OF DEPOSIT** - This is the deposit of funds in state or national banks, state or federal savings and loan associations, federal credit unions, or FDIC-insured industrial loan companies in California per California Government Code Section 53652. The deposit of the funds will be made under the following conditions:
- A. The deposit may not exceed the total of the paid-in capital and surplus of a depository.

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- B. The depository must maintain securities with a market value of at least 10% in excess of the total amount of the Fund's deposits. These securities will be placed in the institution's pooled collateral account and monitored by the State Treasurer of California or a mutually agreed-upon third party custodian bank.
 - C. The County Treasurer may waive the first \$250,000 of collateral for each depository, so long as that amount is insured by an agency of the Federal Government. The documents listed below in D will not be required for deposits of \$250,000 or less.
 - D. Each institution that receives Fund deposits must provide the County Treasurer with an up-to-date Contract, Annual Report, Affirmative Action Policy, Community Reinvestment Act Statement, and EEO-1 Form.
 - E. Maximum Maturity – The maximum maturity of a collateralized CD shall be 13 months.
 - F. Maximum Exposure of Fund – The maximum exposure to the Fund for this category shall be 5%.
 - G. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 5% of the Fund value.
 - H. Institutions at or above the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO may pledge mortgage-based collateral for County deposits.
 - I. Liquidity Category - Illiquid
21. **FDIC & NCUA INSURED DEPOSIT ACCOUNTS** – This is the deposit of funds in a nationally or state chartered commercial bank, savings bank, savings and loan association, or credit union in this state per California Government Code Section 53635.8. The deposit of funds will be made under the following conditions:
- A. The deposit of funds may be placed directly with a selected depository institution, not to exceed the issuance limit from the Federal Deposit Insurance Corporation (FDIC) or the National Credit Union Administration (NCUA).
 - B. A selected depository may use a private sector entity to help place deposits with one or more commercial bank, savings bank, savings and loan association, or credit union located in the United States.
 - C. The full amount of each deposit and the interest that may accrue on each such deposit shall at all times be insured by the Federal Deposit Insurance Corporation (FDIC) or the National Credit Union Administration (NCUA).
 - D. Maximum Maturity - The maximum maturity of an FDIC or NCUA Insured Deposit Account shall be 13 months.

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- E. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 5%.
 - F. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 5% of the Fund value.
 - G. Minimum Credit Requirement - There is no minimum credit requirement for FDIC or NCUA insured deposit accounts whether directly placed or placed through a private sector entity.
 - H. California Government Code Section 53636.8 shall remain in effect until January 1, 2021.
 - I. Liquidity Category - Illiquid
22. **COVERED CALL OPTION/PUT OPTION** - An option is the right to buy or sell a specific security within a specific time period at a specific price.
- A. A covered call is when the County Treasurer sells the option to another party giving them the right to buy an existing security in the Fund at a specific price within a specific time period.
 - B. A put option is when the County Treasurer sells the option to another party giving them the right to sell to the County Treasurer a security at a specific price within a specific time period.
 - C. The seller of a covered call option/put option is paid at the time of the sale of the option. At the end of the option period, if the option is not exercised, the right to buy or sell the security is canceled.
 - D. The County Treasurer will act only as a seller of covered call and put options with the following exception: County Treasurer may buy an option to offset an existing open option position.
 - E. Securities subject to covered calls shall not be used for Reverse Repurchase Agreements.
 - F. Cash sufficient to pay for outstanding puts shall be invested in securities maturing on or before the expiration date of the options.
 - G. Maximum Maturity - The maximum maturity of a covered call option/put option shall be 90 days.
 - H. Maximum Exposure of Fund - No more than 10% of the Fund may have options written against it at any given time.
 - I. Counterparty Risk - Options shall only be written with primary broker/dealers of the Federal Reserve Bank of New York.

- J. Liquidity Category - Liquid
23. **MONEY MARKET MUTUAL FUND** – These investments consist of shares of beneficial interest issued by management companies. Such shares represent ownership of a diversified portfolio of securities, which are redeemable at their net asset value. The Government Code allows for purchases of many types of mutual funds, but the Fund will limit use to money market mutual funds managed to maintain a stable NAV.
- A. Maximum Exposure - The maximum exposure to the Fund for this category shall be 20%.
 - B. Maximum Exposure Per Fund - The maximum exposure to a single mutual fund shall be 10% of the Fund value.
 - C. Purchase Price - The purchase price of the mutual fund shall not include any commission.
 - D. Minimum Credit Requirement - Mutual fund ratings must be in the highest rating category by at least two NRSROs or retain an investment advisor registered or exempt from registration with the Securities and Exchange Commission with not less than five years of experience in managing money market mutual funds and with assets under management in excess of five hundred million dollars.
 - E. Liquidity Category - Liquid
24. **LOCAL GOVERNMENT INVESTMENT POOLS (LGIPs)** – These investments consist of (i) shares of beneficial interest issued by a joint powers authority (JPA) organized pursuant to Government Code Section 6509.7 and authorized by Government Code Section 53601(p) or (ii) the Local Agency Investment Fund (LAIF), established by Government Code Section 16429.1. The Fund shall only invest in LGIPs that comply with the California Government Code and all relevant sections of this Investment Policy and are managed to maintain a stable NAV.
- A. Maximum Exposure - The maximum exposure to the Fund for this category shall be 5%.
 - B. Minimum Credit Requirement – LGIP ratings must be in the highest rating category by at least one NRSRO.
 - C. Liquidity Category - Liquid
25. **PASS-THROUGH SECURITIES** - These will be limited to equipment lease-backed certificates, consumer receivable pass-through certificates, or consumer receivable-backed bonds.
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.

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- B. Maximum Exposure - The maximum exposure to the Fund for this category shall be 20%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value.
 - D. Minimum Credit Requirement - The security must be rated "AA" or higher by at least one NRSRO.
 - E. Liquidity Category - Liquid
26. **WHEN-ISSUED SECURITIES** - The Fund may invest in new issues of Government Obligations offered on a when-issued basis; that is, delivery and payment take place after the date of the commitment to purchase, normally within 15 days. Both price and interest rate are fixed at the time of commitment. This allows the Fund to lock in an interest rate that may not be available on the issue date. The Fund does not earn interest on the securities until settlement, and the market value of the securities may fluctuate between purchase and settlement. Such securities can be sold before settlement.
27. **SUPRANATIONALS** – The fund may invest in United States dollar denominated senior unsecured unsubordinated obligations issued or unconditionally guaranteed by multi-national organizations, including:
- Inter-American Development Bank (IADB)
 - International Bank for Reconstruction and Development (IBRD)
 - International Finance Corporation (IFC)
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value.
 - D. Minimum Credit Requirement - The security must be rated "AA "or higher by atleast one NRSRO.
 - E. Liquidity Category - Liquid
28. **QUALIFIED BROKERS AND DEALERS** - In order to minimize risk in executing security transactions under this Investment Policy, all transactions will be made only through qualified dealers.
- A. A qualified dealer must be a bank, savings and loan association, or an investment securities dealer. Commercial Paper and Certificate of Deposit issuers may be considered qualified dealers for direct issuance of their paper.

- B. Any dealer entering into a new business relationship to conduct security transactions with the County Treasurer is required to make application to the County Treasurer.
 - C. The dealer must ensure that its staff is aware of the County Treasurer's Investment Policy and the California Government Code Sections 53601 and 53635.
 - D. Investment securities dealers for Reverse Repurchase Agreements must be primary dealers regularly reporting to the Federal Reserve Bank.
 - E. The dealer is required to have net capital in excess of \$10 million with liquidity lines of \$50 million or more.
 - F. The dealer is required to maintain an active secondary market for securities sold to the County and must be competitive in price for bids and offers.
 - G. The dealer will be monitored by the Chief Investment Officer and staff to ensure the services the County requires are delivered in a timely and efficient manner.
 - H. The primary account representative must be in the institutional or middle market fixed income division with 5 years or more experience covering large municipalities.
 - I. A qualified dealer must not have made any political contributions to the County Treasurer, any member of the Board of Supervisors, or any candidate for these offices within any consecutive 48-month period following January 1996. The exception is if the broker/dealer is entitled to vote for any of these offices, in which case the contributions shall not be in excess of \$250 to each official per election.
 - J. Each dealer, at minimum every three years, or more frequently if requested, will be required to respond to the County's Request for Information (RFI) providing the County with up-to-date financial and investment experience information in order to continue in its role.
29. **DELEGATION OF INVESTMENT AUTHORITY TO THE COUNTY TREASURER** - The State of California gives the Board of Supervisors the ability to delegate investment authority to the County Treasurer for a one-year period in accordance with Section 53607 of the California Government Code. The delegation will require renewal each year.
30. **SAFEKEEPING AUTHORITY**
- A. The State of California gives the Board of Supervisors the ability to delegate the deposit for safekeeping authority to the County Treasurer in accordance with Section 53608 of the California Government Code. Board Resolution 109 adopted September 29, 1959 delegated this authority to the County Treasurer.
 - B. In exercising this safekeeping function, the County Treasurer will require depositories to provide evidence that they are taking reasonable measures to prevent unauthorized access to the depository's electronic data files.

- C. The County Treasurer's Continuity of Operations Plan (COOP) addresses contingency plans in the event that a disaster, natural or otherwise, disrupts normal operations. Contingency plans vary depending upon the severity and expected longevity of the disruption.

- 31. **EXTERNAL OVERSIGHT** - The County Treasurer shall retain an independent third-party investment advisor to provide oversight and compliance monitoring.

The County Treasurer will also retain an NRSRO to provide a rating for the Fund and will have in place an internal system to provide credit and compliance monitoring.

- 32. **COUNTY TREASURY OVERSIGHT COMMITTEE** - The Board of Supervisors has established a County Treasury Oversight Committee pursuant to Sections 27130-27137 of the California Government Code. The County Treasurer shall annually prepare an investment policy that will be reviewed and monitored by the County Treasury Oversight Committee and shall be reviewed and approved at a public hearing by the Board of Supervisors.

33. RULES GOVERNING THE ACCEPTANCE OF HONORARIA, GIFTS, AND GRATUITIES:

A. The County Treasury Oversight Committee:

- 1. Gifts and Gratuity Limits: - Members may not accept a gift or gifts aggregating more than the Fair Political Practices Commission (FPPC) guidelines in a calendar year from an advisor, broker, dealer, banker, or other persons with whom the County Treasurer conducts business.
- 2. Honorarium Limits - Members may not accept any honorarium from advisors, brokers, dealers, bankers, or other persons with whom the County Treasurer conducts business.
- 3. Employment - A member may not be employed by an entity that has contributed to the campaign of a candidate for the office of the County Treasurer or a candidate for a legislative body of a local agency that has deposited funds in the County Treasury in the previous three years or during the period the employee is a member of the Oversight Committee. A member may not secure employment with bond underwriters, bond counsel, security brokers or dealers, or financial services firms during the period that the person is a member of the Committee or for one year after leaving the Committee.
- 4. Contributions - A member may not directly or indirectly raise money for a candidate for County Treasurer or a member of the governing board of any local agency that has deposited funds in the County Treasury while a member of the Committee.

B. The County Treasurer and Designated Employees:

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1. Gifts and Gratuity Limits - The County Treasurer and designated employees may not accept a gift or gifts aggregating more than the Fair Political Practices Commission (FPPC) guidelines in a calendar year from a single source that does business with the County Treasurer's Office.
 2. Honorarium Limits - The County Treasurer and designated employees may not accept any honorarium.
 3. Form 700 "Statement of Economic Interests" - The County Treasurer and designated employees are required to file a Form 700 annually.
34. **REPORTING** - The County Treasurer shall prepare an investment report monthly to be posted on the County Treasurer Tax-Collector's website.
- A. The report will be available to the following officials:
 1. Board of Supervisors
 2. Oversight Committee
 3. Chief Administrative Officer
 4. Auditor & Controller
 5. Pool Participants
 - B. The report will include the following:
 1. A summary of Fund statistics
 2. The type of investment, issuer, maturity date, par value, and dollar amount invested for all securities, investments, and monies held by the Fund
 3. A description of any of the Fund's investments or programs that are under management of contracted parties, including the securities lending program
 4. Current market value and the source of the valuation as of the date of the report for all securities held by the Fund
 5. Securities lending portfolio, if applicable
 6. Pool purchases, sales, and maturities
 7. Pooled Money Fund cash flow forecast demonstrating the Fund's ability to meet cash flow requirements for the next six months
 8. Statement of compliance with the Investment Policy

35. COSTS AND EARNINGS APPORTIONMENT

- A. Prior to quarterly interest distribution, investment costs incurred by the County Treasurer will be deducted from the interest earnings of the pool and Dedicated Portfolios based on an equitable distribution formula. The costs, which are authorized by Government Code Section 27013, are made up of direct costs (salaries, banking services, computer services, and supplies) and indirect costs (department overhead and external overhead).
- B. The Pool earnings distributed to each participant are proportionate to the average daily balance of the amounts on deposit by the participant. The County Auditor and Controller conducts the apportionment process based on the net earnings of the Fund each quarter.
- C. In the event there is a negative balance in a participant's fund at any time, it shall reduce the average daily balance for the fund. If at quarter-end there is a negative average daily balance in a participant's fund, that fund will be charged the higher of the pool's earning rate for the quarter or a proxy TRANs cost.
- D. The apportionment rate is set approximately ten business days after each calendar quarter end. Apportionments are not paid out by warrants; all earnings are credited to the participant's fund balance.

36. TERMS AND CONDITIONS FOR DEPOSITING FUNDS BY VOLUNTARY PARTICIPANTS -
California Government Code Section 53684 allows local agencies, upon adoption of a resolution by the governing body of the agency, the option of depositing excess funds in the County Treasury for the purpose of investment by the County Treasurer.

- A. The County, in its regional role to assist and aid other local agencies, adopted Board Resolution 11 on March 24, 1987, to allow agencies to deposit excess funds with the County Treasurer for investment. The limitation on acceptance of voluntary deposits and this Investment Policy are structured to help to ensure that, pursuant to Section 27133 of the California Government Code, the County Treasurer shall be able to find that all proposed deposits/withdrawals will not adversely affect the interests of the other depositors in the Fund.
- B. The policy for the acceptance of local agency deposits is:
 - 1. The local agency must sign an Investment Management Agreement.
 - 2. The local agency may be asked to provide cash flows on a quarterly basis indicating projected withdrawals from the Fund.
- C. Before any deposits for new accounts from Voluntary Participants can be accepted by the County Treasurer, the local agency must perform the following:

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1. Provide a resolution adopted by the Board or governing body that authorizes the local agency to deposit excess funds in the County Treasury for the purpose of investment by the County Treasurer. The resolution must:
 - a) be signed by an authorized official
 - b) indicate the resolution number and date passed by the Board or governing body,
 - c) indicate the persons authorized to initiate deposits to and instruct withdrawals from the Fund,
 - d) bear the seal of the local agency, if the local agency has a seal.
2. Provide wire/ACH transfer instructions for cash withdrawals from the Fund. All withdrawals will be paid by electronic funds transfer.
3. Establish a trust account through the County Auditor and Controller's General Accounting Division.

37. CRITERIA FOR WITHDRAWAL OF MONIES FROM THE FUND BY VOLUNTARY PARTICIPANTS

- A. Before a local agency withdraws monies from the Fund, it must submit a withdrawal request a minimum of 2 working days prior to the desired withdrawal date. Although not encouraged, shorter notice may be honored at the discretion of the County Treasurer's Office if the withdrawal does not cause the Fund to fall out of compliance with its maturity policy or jeopardize its ability to meet cash flow requirements.
- B. When monies are requested for withdrawal, the County Treasurer's Office must find that the withdrawal will not adversely affect the interests of all other depositors in the Fund.

38. GRANDFATHERED AGENCIES

- A. Grandfathered agencies that use the services of the County to keep their records and/or issue warrants/wires for the agency can continue to function in this manner and will be treated as a mandatory participant (assuming the agency continues to make deposits into the Fund).
- B. These agencies can also opt to be treated as Voluntary Participants and elect to withdraw funds in the same fashion as the other Voluntary Participants. However, any agency so opting shall be subject to all restrictions placed upon the other Voluntary Participants.

GLOSSARY OF TERMS

BID - The price offered by a buyer of securities.

CREDIT RATING - The alphanumeric score which provides an assessment of the credit opinion of one of the Nationally Recognized Statistical Rating Organizations for a particular investment or issuing entity.

DEDICATED PORTFOLIO - Any assets, besides those held in the Fund, invested by the County Treasurer on behalf of any San Diego County agency.

DOLLAR-WEIGHTED AVERAGE MATURITY - The sum of the amount of each security investment multiplied by the number of days to maturity, divided by the total amount of security investments.

DURATION - A measure of the price volatility of a portfolio that reflects an estimate of the projected increase or decrease in the value of a portfolio based upon a decrease or increase in the interest rates. A duration of 1.0 means that for every 1.0 percent increase in interest rates, the market value of a portfolio would decrease by 1.0 percent.

EARNINGS APPORTIONMENT - The quarterly interest distribution to the Pool Participants after the actual investment costs incurred by the County Treasurer are deducted from the interest earnings of the Fund.

EFFECTIVE DURATION OR OPTION-ADJUSTED DURATION - The approximate percentage price change of a bond for a 100 basis point parallel shift in the yield curve, allowing for the cash flow to change as a result of the change in yield.

GRANDFATHERED AGENCIES- Some fire districts and other agencies that use the County's banking and accounting services.

ILLIQUID – Investments for which 1) the secondary market is non-existent or thinly traded, 2) it is not possible to access funds prior to maturity, or 3) One cannot liquidate at the cost of principal.

ISSUER - The entity identified as the counterparty or obligator related to a security trade.

INVESTMENT GROUP - Group consisting of the County Treasurer, Chief Deputy Treasurer, Chief Investment Officer, and Investment Officers.

INVESTMENT MANAGEMENT AGREEMENT - An agreement between a voluntary participant and the San Diego County Treasurer-Tax Collector. The agreement addresses the terms and conditions of local agencies' deposits of funds for investment into the Fund.

LIQUID – Term for securities that can be converted to cash quickly.

MODERATELY LIQUID - Securities that can be converted to cash quickly with the potential for minimum loss of principal.

NATIONALLY RECOGNIZED STATISTICAL RATING ORGANIZATION (NRSRO) - A credit rating agency that issues credit ratings that the U.S. Securities and Exchange Commission (SEC) permits other financial firms to use for certain regulatory purposes.

OFFER - The price at which a holder of a security would be willing to sell the security.

PORTFOLIO VALUE - The total book value of all the securities held in the Fund.

PRUDENT RISK - An investment system in which the investor will invest conservatively to receive a stable income with little risk.

SAFEKEEPING - A custodian bank's action to store and protect an investor's securities by segregating and identifying the securities.

SELECTED DEPOSITORY INSTITUTION - A nationally or state chartered commercial bank, savings bank, savings and loan association, or credit union in the state of California.

SHORT-TERM - The term used to describe a security when the maturity is one year or less.

VOLUNTARY PARTICIPANTS - Local agencies that are not required to deposit their funds with the County Treasurer.

WHEN-ISSUED SECURITIES - A security traded before it receives final trading authorization, with the investor receiving the certificate/security only after the final approval is granted.

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Appendix A
Approved Broker/Dealers

[Link to approved broker/dealers](#)

APPENDIX B - POLICY GUIDELINES

Investment Type	Maximum Maturity	Maximum % of Portfolio	Maximum % With One Issuer	Minimum Rating
US Treasury Obligations	5 years	No Limit	No Limit	No Limit
Agency Obligations	5 years	No Limit	35%	No Limit
Local Agency Obligations	5 years	30%	10%	A
Banker's Acceptances	180 days	40%	5%	A-1
Commercial Paper (1)	270 days	40%	10% (2)	A-1
Medium Term Notes	5 years	30%	10% (2)	A
Negotiable Certificate of Deposits	5 years	30%	10% (2)	A-1/A
Repurchase Agreements	1 year	40%	Note (3)	No Limit
Reverse Repurchase Agreements	92 days	20%	10%	No Limit
Collateralized Certificates of Deposit	13 months	5%	5%	No Limit
FDIC & NCUA Insured Deposit Accounts	13 months	5%	5%	No Limit
Money Market Funds	N/A	20%	10%	AAAm
Local Government Investment Pools (LGIPs)	N/A	5%	5%	AAAm
Pass-Through Securities	5 years	20%	10%	AA
Supranationals	5 years	30%	10%	AA

(1) Government Code Section 53635(a) (1-2) specifies percentage limitations for this security type for county investment pools.

(2) 10% issuer limit includes CP, MTN, and NCD exposure combined, if applicable.

(3) Maximum exposure per issue – The maximum exposure to a single Repurchase Agreement (RP) issue shall be 10% of the portfolio value for RPs with maturities greater than 5 days and 15% of the portfolio for RPs maturing in 5 days or less. The maximum exposure to a single broker/dealer of RPs shall be 10% of the portfolio value for maturities greater than 5 days and 15% of the portfolio value for maturities of 5 days or less.

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APPENDIX G

GENERAL INFORMATION REGARDING THE CITY OF CHULA VISTA AND SAN DIEGO COUNTY

The following information concerning the Chula Vista (the “City”) and San Diego County (the “County”) is included only for the purpose of supplying general information regarding the area of the City. The Bonds are not a debt of the City, the County, the State or any of its political subdivisions, and neither the City, the County, the State nor any of its political subdivisions is liable therefor.

General

The City. Chula Vista is the second largest city in the San Diego metropolitan area, covering approximately 50 square miles. The City is located on San Diego Bay, eight miles south of the City of San Diego and seven miles north of the Mexico border, in an area generally known as “South Bay.” The City is a charter city and operates under a Council-Manager form of government. The City Council is composed of the Mayor and four Councilmembers who are elected at-large and are limited to two terms of office. The City Council also appoints the City Manager who is the Executive Officer of the City and the City Clerk. Neighboring communities include the City of San Diego and National City to the north and the City of Imperial Beach and the communities of San Ysidro and Otay Mesa to the south.

City Council

The City has a five-member City Council comprised of members elected in four City Council districts and a citywide elected mayor. Each Council Member and the Mayor are elected for four-year staggered terms. The City Council members and the expiration dates of their respective terms are as follows:

<u>Name</u>	<u>Office</u>	<u>Term Expiration</u>
Mary Casillas Salas	Mayor	December 2022
John McCann, District 1	Council member	December 2022
Jill M. Galvez, District 2	Council member	December 2022
Stephen C. Padilla, District 3	Council member	December 2024
Andrea Cardenas, District 4	Council member	December 2024

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Population

The populations of the City of Chula Vista, San Diego County and the State of California during the period from 2015 through 2020 are set forth in the following table.

Population Figures 2015 through 2020

<u>Calendar Year</u>	<u>City of Chula Vista</u>	<u>San Diego County</u>	<u>State of California</u>
2015	263,028	3,266,192	38,952,462
2016	264,911	3,286,717	39,214,803
2017	267,917	3,316,192	39,504,609
2018	268,060	3,333,128	39,740,508
2019	271,411	3,351,786	39,927,315
2020	272,202	3,343,355	39,782,870

Figures as of January of the year indicated.

Source: California State Department of Finance.

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Employment

The following chart compares labor force, employment, civilian employment and the unemployment rate in the City of Chula Vista, San Diego County, the State of California and the United States during the period from 2015 through May 2020.

CITY OF CHULA VISTA, SAN DIEGO COUNTY, STATE OF CALIFORNIA AND UNITED STATES OF AMERICA LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT⁽¹⁾⁽²⁾⁽³⁾⁽⁴⁾

Year and Area	Labor Force	Civilian Employment	Civilian Unemployment	Unemployment Rate (%)
<u>2015</u>				
City of Chula Vista	120,700	112,700	8,000	6.6
San Diego County	1,548,800	1,467,700	81,100	5.2
California	18,824,100	17,647,400	1,176,700	6.3
United States	157,130,000	148,834,000	8,296,000	5.3
<u>2016</u>				
City of Chula Vista	120,600	114,400	6,300	5.2
San Diego County	1,563,200	1,489,100	74,100	4.7
California	19,012,000	17,965,400	1,046,600	5.5
United States	159,187,000	151,436,000	7,751,000	4.9
<u>2017</u>				
City of Chula Vista	122,000	116,600	5,400	4.4
San Diego County	1,571,900	1,508,200	63,600	4.0
California	19,173,800	18,246,800	927,000	4.8
United States	160,320,000	153,337,000	6,982,000	4.4
<u>2018</u>				
City of Chula Vista	122,800	118,300	4,500	3.7
San Diego County	1,579,700	1,526,300	53,400	3.4
California	19,263,900	18,442,400	821,500	4.3
United States	162,075,000	155,761,000	6,314,000	3.9
<u>2019</u>				
City of Chula Vista	124,300	119,800	4,400	3.6
San Diego County	1,580,100	1,528,300	51,800	3.3
California	19,353,700	18,550,500	803,200	4.2
United States	163,539,000	157,538,000	6,001,000	3.7
<u>2020</u>				
City of Chula Vista	122,200	109,500	12,700	10.4
San Diego County	1,538,400	1,396,500	141,800	9.2
California	18,821,200	16,913,100	1,908,100	10.1
United States ⁽⁵⁾	160,742,000	147,795,000	12,947,000	8.1

(1) Data reflects employment status of individuals by place of residence.

(2) Data not seasonally adjusted.

(3) Unemployment rate is based on unrounded data.

(5) Data seasonally adjusted.

Source: State of California Employment Development Department; U.S. Department of Labor, Bureau of Labor Statistics.

Principal Employers

The following table lists the principal employers in San Diego County.

SAN DIEGO COUNTY Principal Employers (November 1, 2020)

<u>Employer</u>	<u>Number of Employees</u>	<u>Organization Description</u>
Qualcomm Inc.	37,000	Computers and related technology
Naval Base San Diego	30,713	Principal homeport of the Pacific Fleet
Sharp HealthCare	18,770	Health care, hospitals, medical groups, health services, health plan
Kaiser Permanente San Diego Medical Center	9,630	Nonprofit health maintenance hospital, outpatient medical, urgent care, medical offices
San Diego Community College District	6,805	Higher education institution which includes City, Mesa & Miramar college & continuing education
General Atomics Aeronautical Systems, Inc.	6,777	Remotely piloted aircraft systems, radars & electro-optic & related missions systems solutions
San Diego State University	6,635	Higher education
Rady Children's Hospital-San Diego	5,541	Not for profit health care facility for newborns to young adults; regional pediatric trauma center
YMCA of San Diego County	5,517	Programs & services focused on youth development, healthy living & social responsibility
Sweetwater Union High	5,199	Secondary school district
Chula Vista Elementary School District	5,019	Primary school district
Northrop Grumman Corp.	5,000	Autonomous systems, cyber solutions, C4ISR, strike, missile defense, space systems, logistics
Sempra Energy	4,741	Electric and natural gas infrastructure company
BD (Becton, Dickinson and Co.)	4,500	Medical technology company helping to advance discovery, diagnostics & delivery of care
Palomar Health	4,200	Inpatient hospital services, outpatient services, home care, health education
University of San Diego	3,884	Private university
Veterans Affairs San Diego Healthcare System	3,735	Comprehensive health care for veterans in inpatient & outpatient settings
Barona Resort & Casino	3,332	Gaming, hospitality, golf & dining
General Dynamics NASSCO	3,000	Design, construction, repair of oceangoing vessels for the U.S. Navy and commercial customers
Viasat Inc.	2,773	Satellite & wireless systems & services, digital communications, cybersecurity
Tri-City Medical Center	2,153	Gold Seal-approved, full-service, general acute-care hospital serving coastal North County
San Ysidro Health	1,886	Comprehensive health clinic system with 42 clinic & programsites serving 107,000 patients
California State University San Marcos	1,831	Four-year public university

Source: San Diego Business Journal. Some companies or organizations have declined to participate or did not return a survey by press time.

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